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Research

Geopolitical Outlook 2026: At the Mid-Point

What has moved, what has held, and what matters now

July 2026

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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2026-H1 reinforced our view that geopolitical volatility may well be structural

As expected in our [annual outlook](#) published in January, geopolitical volatility continued to reign supreme during the first half of this year. Even as the winding down of hostilities in the Middle East promises to ease some near-term risks, the long-term structural outlook remains unchanged. Investors should expect a continued unpredictable and fragmented global operating environment, in which the pace and scale of geopolitical change makes it more challenging to identify the short, medium and long-term risks, and what is actually important.

This deck serves as a mid-year update, providing a high-level assessment of some of the key themes, risks and opportunities investors should consider during the second half of this year. This includes updates to some of the key geopolitical issues and themes we identified back in January. It is by no means an exhaustive list given the geopolitical landscape will undoubtedly continue to rapidly evolve. This report intends to provide a direction of travel rather than a blueprint for the rest of this year, which can help corporates and investors anticipate and mitigate financial, reputational, operational and other risks and identify opportunities. It is critical, however, to remain agile in the face of constant change and assume that 'black swans' can happen at any time.





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1. Trump 2.0: The “Golden Age” Agenda

The first half of 2026 brought about transformational shifts in US domestic and foreign policy. Markets should expect more policy volatility, not less. Washington’s willingness to use force means geopolitical tail risks will likely remain difficult to price. The midterms may cap some near-term volatility but increase incentives for visible foreign policy wins. President Trump has reason to avoid market-disruptive escalation before November, but pressure for quick wins could accelerate action on Cuba and Europe.

After November, foreign policy could become an even bigger focus. If domestic legislating becomes harder, the administration is likely to lean more heavily on executive tools, sanctions, tariffs, security deals and international resource coalitions.

NATO 3.0: Redefining Burden-Sharing : Pressure on European allies to carry more of the security burden will likely intensify. Trump’s demands will headline the NATO Leaders’ Summit in Ankara on 7-8 July. It is slated to advance the emerging “NATO 3.0” agenda under which European NATO members will take on more responsibility for their own conventional defence.

No such thing as a “final” tariff deal: The July expiry of Section 122 tariffs and their likely replacement by Section 301 levies should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. While EU-US trade relations are more stable now than in early 2025, there remains a tail risk that a transatlantic security or sovereignty dispute (e.g. renewed American claims on Greenland) spills over into the economic relationship.

Russia-Ukraine: An End in Sight? Trump will likely renew his push for a ceasefire. The G7 Leaders’ 16 June commitment to boost support for Ukraine and increase pressure on Russia struck European capitals as an encouraging sign that the US was converging on their approach to the conflict as did Trump’s signal that he could reinstate Russian oil export sanctions. But US-Europe rhetorical alignment could reverse quickly – for instance if US-Russia-Ukraine negotiations resume in a format that largely excludes the EU/UK. While a ceasefire this year is far from guaranteed, any deal brokered by the Trump administration could offer Russia sanctions relief, access to frozen assets and an expectation of an accelerated Ukrainian accession to the EU.

Asia policy to balance deterrence with détente: The US strategy for the Asia Pacific is crystallising around pragmatic balancing with China and more burden-sharing with allies. The administration will prioritise stabilising relations with Beijing in the lead-up to the Trump-Xi summit in Washington, D.C. on 24 September, where the 2025 Busan trade and critical minerals truce may be extended. Even so, a steadier US-China relationship will not undo deepening long-term competition on military, economic and technology issues. Strong bipartisan alignment in Congress on a more hawkish China policy will also keep pressure on the administration to limit any rapprochement with Beijing.

Will the Midterms mark an end to Trump’s global gambit? Trump has a strong incentive not to shock markets or stoke inflation ahead of the vote in November. Yet an administration looking to demonstrate strength through quick wins may pursue other issues more aggressively. Investors should watch rising US pressure on Cuba and the political relationship with Europe as possible sources of nearer-term movement. What happens after the midterms actually matters more. Trump may become a “foreign policy president”, focused on cementing his legacy. This will include: embedding existing tariff and investment deals with key US partners; deepening US leadership in the Americas; creating the conditions for a pull-back of American resources from Europe; and broadening US efforts to reduce rare earths and critical minerals dependence on China.



Source: [Library of Congress](#) on [Unsplash](#)

2. What next for the Middle East?

The 60-day limit for US-Iranian MOU (focusing on Iran's nuclear programme and deal implementation) will expire on 20 August but negotiations will almost certainly run past the initial 60 days. Reopening the Strait of Hormuz is the critical factor for markets. A return to full pre-war traffic could take months and require a commitment to fully de-mine its central corridor and reassure shipping firms. Recent strains in US-Israel relations could complicate the administration's efforts to maintain delicate ceasefires in Lebanon and Gaza. While markets are celebrating with massive rallies and oil tumbling, the reversion to the old Middle East status quo may take time to restore, if indeed that is possible. The Middle East will likely remain a focus for the rest of Trump's term even if markets move on.

What should we be watching next?

- **Strait of Hormuz:** The Strait of Hormuz is Iran's most important bargaining chip in negotiations, one which it will likely seek to protect. Whether any agreement on the Strait of Hormuz entails a "toll" or not, Iran's strategic leverage over the Strait could translate into long-term, persistent, albeit possibly intermittent, threats to navigation. The Gulf will work quickly to lessen its vulnerabilities to such future threats through diversification of dependence away from the Strait of Hormuz, creating significant infrastructure opportunities.
- **Why Iran may have won more than it lost?** The mere fact that the US came to the table validates Iran's longstanding insistence that it cannot simply be bombed into submission. The regime has a leadership cadre more hawkish and the promise of potential sanctions relief and access to \$24 billion in frozen assets provides a much-needed economic lifeline. For the broader Middle East, this sets an uncomfortable precedent for engagement with Iran in the longer term.
- **UAE-Saudi tensions:** The conflict has exposed and accelerated fault lines between the UAE and Saudi Arabia, which have simmered for years. The UAE's decision to withdraw from OPEC in May 2026 is the most visible sign. To watch will be what that rivalry means for oil markets, regional security arrangements and Washington's ability to manage its Gulf alliances as a coherent bloc once the Iran crisis settles.
- **Multipolarizing the Gulf?** Both China and Russia have welcomed the framework agreement, and both are keen to ensure that any final settlement does not reinforce long-term US dominance in the Gulf. Following the war's conclusion, various markets are poised to make significant inroads into the Gulf region, building on already expanding corridors with countries like China, India, South Korea, Japan, and European nations, a trend expected to accelerate further.



Source: IStock ugurhan

3. China-US Détente: Guardrails Now, Friction Ahead

Post-summit strategic stability could deliver tactical trade and investment gains and slow the pace of escalation into late 2026/early 2027. But corporates and investors should still prepare for a start-stop cycle of engagement and restriction as technology, tariffs and economic security remain central to national security agendas in Beijing and Washington. Major domestic political inflection points in 2027 and 2028 could increasingly shape bilateral dynamics beyond this year.



Political guardrails should keep China-US relations relatively stable through the end of the year, even as long-term risks remain skewed to the downside. While light on deliverables, the Trump-Xi summit in [Beijing](#) was heavy on positive optics and commitments to political guardrails. Three potential follow-up presidential meetings in H2 (in September, November and December) could extend the détente and potentially deliver more concrete trade and investment pledges.

A key watchpoint will be **Xi's expected visit to the US on 24 September**, just over a month before the US midterm election set to be dominated by voter cost-of-living concerns. This could incentivize the Trump administration to seek an economic agreement at the summit. An extension of last **October's Busan agreement** and an operationalization of the potentially commerce-boosting **US-China Board of Trade** – which China hopes could include a [ten-fold increase in tariff-free trade](#) – are possible deliverables.

But guardrails are not a panacea for a relationship characterized in recent years by mistrust and competing national security priorities. Policy developments during 2026-H1 highlighted the limits of détente and underscored that strategic competition and an imperative to 'derisk' continues. Even as top-level stability reduces the possibility of tail risk outcomes – such as a renewed trade war – **corporates and investors should anticipate more, not fewer, bilateral economic restrictions, including possible higher US tariffs on China as soon as July (see table).**

The next Party Congress and US presidential election will be key watchpoints over the next two years. For Beijing, ensuring external stability ahead of the **Party Congress** in late 2027 will likely be a priority. Maintaining dialogue with the Trump administration could reduce the risk of costly economic escalation, potentially slow the pace of new US economic restrictions, and ultimately buy time for China's efforts to strengthen self-reliance in semiconductors (where China is aiming for **80% self-sufficiency by 2030**), AI, and other strategic sectors.

In the US, a durable bipartisan consensus on China could make visible concessions to Beijing increasingly difficult as the **2028 presidential election** approaches. Recent developments – including bipartisan criticism of the Trump administration's decision to allow limited Nvidia H200 chip sales to China – reflect the political constraints facing a transactional approach. This raises the prospect that the détente comes under strain closer to election day.

Beyond summity: China-US relations remain competitive in 2026	
January	Washington approved limited Nvidia H200 chip sales to China , signaling a more transactional approach to tech controls.
February	The US launched a major critical minerals effort , including new bilateral frameworks, financing tools and a 56-country FORGE coalition, aimed at reducing dependence on China.
April/May	China codified new anti-derisking regulations , which allow Beijing to penalize companies that cut Chinese suppliers or comply with foreign sanctions/export controls. New US Congressional bills , such as the MATCH Act, seek to tighten semiconductor equipment controls, close loopholes and pressure allies to align with US restrictions. China ordered the unwinding of the Meta-Manus AI deal, signaling scrutiny of US investment in sensitive China-linked tech firms. New US sanctions on Chinese refiners tied to Iranian crude triggered China's first formal use of blocking measures.
June	The Pentagon included several major Chinese tech companies on its Chinese Military Companies list. In response, China introduced export controls on 10 US companies, and restricted procurement from another 46 corporates. The US banned China-linked Polestar from selling cars in the US from model year 2027 onward due to national security concerns.
July	China's new outbound investment regime , effective 1 July, covers the overseas deployment of Chinese technology, data, talent and capital, especially in AI, chips, batteries, EVs and solar. The US is set to replace its global 10% Section 122 tariffs with new levies based on two Section 301 trade investigations . China has responded with counter-probes slated to conclude in September.
November	The 2025 Busan agreement , set to expire in November, will likely be extended, delaying the introduction of new bilateral economic restrictions, including export controls and mutual shipping levies.
December	The US Congress will adopt annual must-pass defence legislation , which frequently includes provisions aimed at China.

4. The European Equation: Pressures, Potential, and the Path Ahead

Europe heads into the second half of 2026 facing several pressures at once: An unresolved war in Ukraine, greater geopolitical fragmentation, and a less predictable transatlantic relationship. At the same time, the geopolitical landscape is presenting myriad opportunities – increased defence investment and a chance to build more strategic autonomy. There is a growing recognition that the EU needs to overcome its often slow, consensus-driven decision-making processes to respond more effectively to evolving geopolitical dynamics. The key question will be **whether Europe can convert these pressures into coordinated action, or whether internal divisions stymie real progress.**

Governing Still a Challenge: Many European markets will continue to face **domestic political fragility** that saw incumbent governments across Europe swept out of power or face substantial losses in 2024. While we will see far fewer elections this year, Europe's political elite will continue to grapple with the same challenges: the need for economic reform, political polarization, and geopolitical headwinds. H2 2026 may be another period of 'more of the same' politically; the problem is that the geopolitical landscape isn't getting any easier (see map).

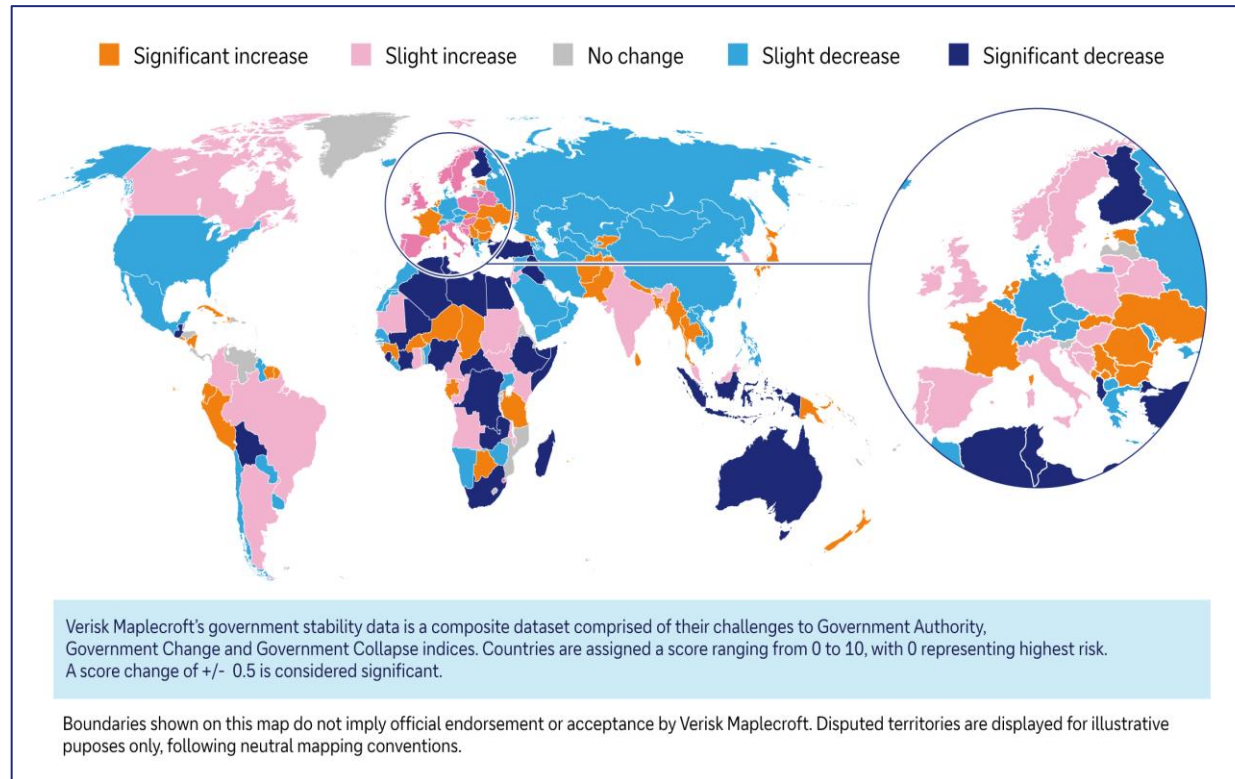
Will the Atlantic Fracture Keep Growing? Despite the recently ratified EU-US tariff agreement, the transatlantic relationship is bracing for **more turbulence in the second half of 2026**. Trump will likely continue to rebalance the economic relationship while also pursuing NATO 3.0 to “reboot” the alliance. These tensions could be exacerbated by possible renewed claims on Greenland and pressure on Ukraine, potentially escalating into economic and trade clashes,. Key watchpoints will be NATO's leaders' summit in July 2026 and the 24 July expiry of the Trump administration's Section 122 global tariffs, which could trigger a new round of trade escalation with the EU.

Divided We Stand? Europe is entering a **critical period for strategic autonomy**, particularly in advance of key elections in France and Germany in the coming years. A strategic priority will be making substantial progress on the EU's next Multiannual Financial Framework (2028-2034) to expand defence investment and joint procurement for crucial capabilities. However, this ambition will come up against the challenge of financing increased military spending, the political difficulty of maintaining sustained unity, and the challenges of scaling up the European defence industrial base to reduce critical dependencies on external technologies.

Relationship with China: The relationship will likely remain fraught with the EU's new flat €3 customs duty on low-value ecommerce parcels taking effect in July and a number of new economic security measures targeting China, including: a new “diversification law” which would require companies to reduce dependence on single-country suppliers for critical raw materials; a Trade Defence Review, which would allow the EU to take faster action against alleged Chinese dumping/subsidies; additional sector-specific investigations (chemicals, metals, clean tech, etc.); and more critical raw materials measures under the EU's critical minerals strategy. At the same time, we will see more efforts by individual member states to expand relations with China.

Threats to government stability have increased most in Europe since 2020

Government stability data, change in risk since 2020-Q4



Source: Verisk Maplecroft

5. The Ukraine War: Path to Peace?

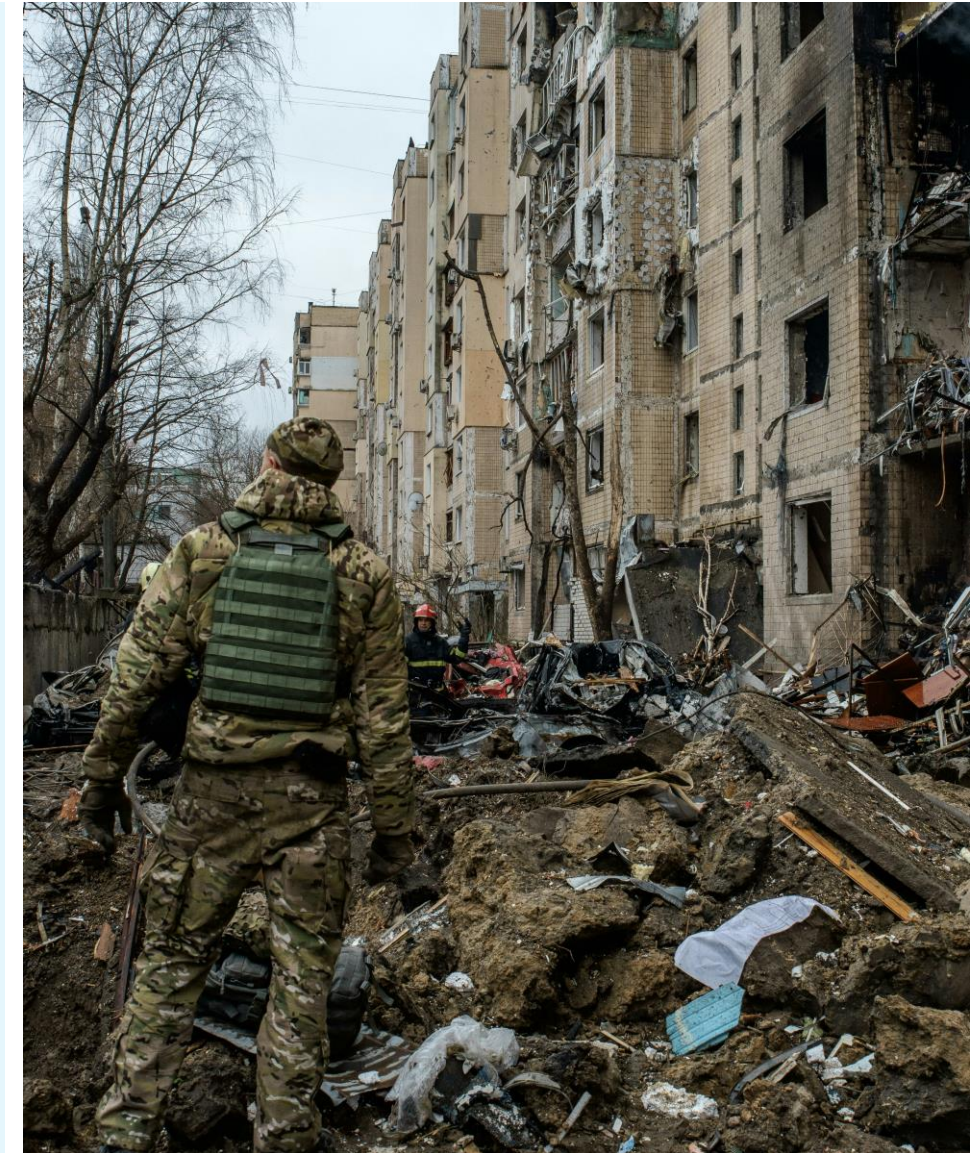
While there has been more intensity in the war in recent months and though trilateral negotiations (US/Russia/Ukraine) have stalled owing to the war in Iran, we expect increased focus on this conflict with the winding down of the Middle East crisis.



A number of recent developments suggest **we may be nearer a ceasefire than many believe, and this could potentially move quickly**. War fatigue is mounting alongside diminishing returns on the battlefield. Certainly, polling is demonstrating a marked shift. Russian support for peace talks reached a record high of 67% in March while 72% of Ukrainians say they could support a peace plan that freezes the conflict along the current front line. In addition, casualties in the war have reached the highest rates in modern warfare.

Some signs that we may be seeing progress towards a ceasefire:

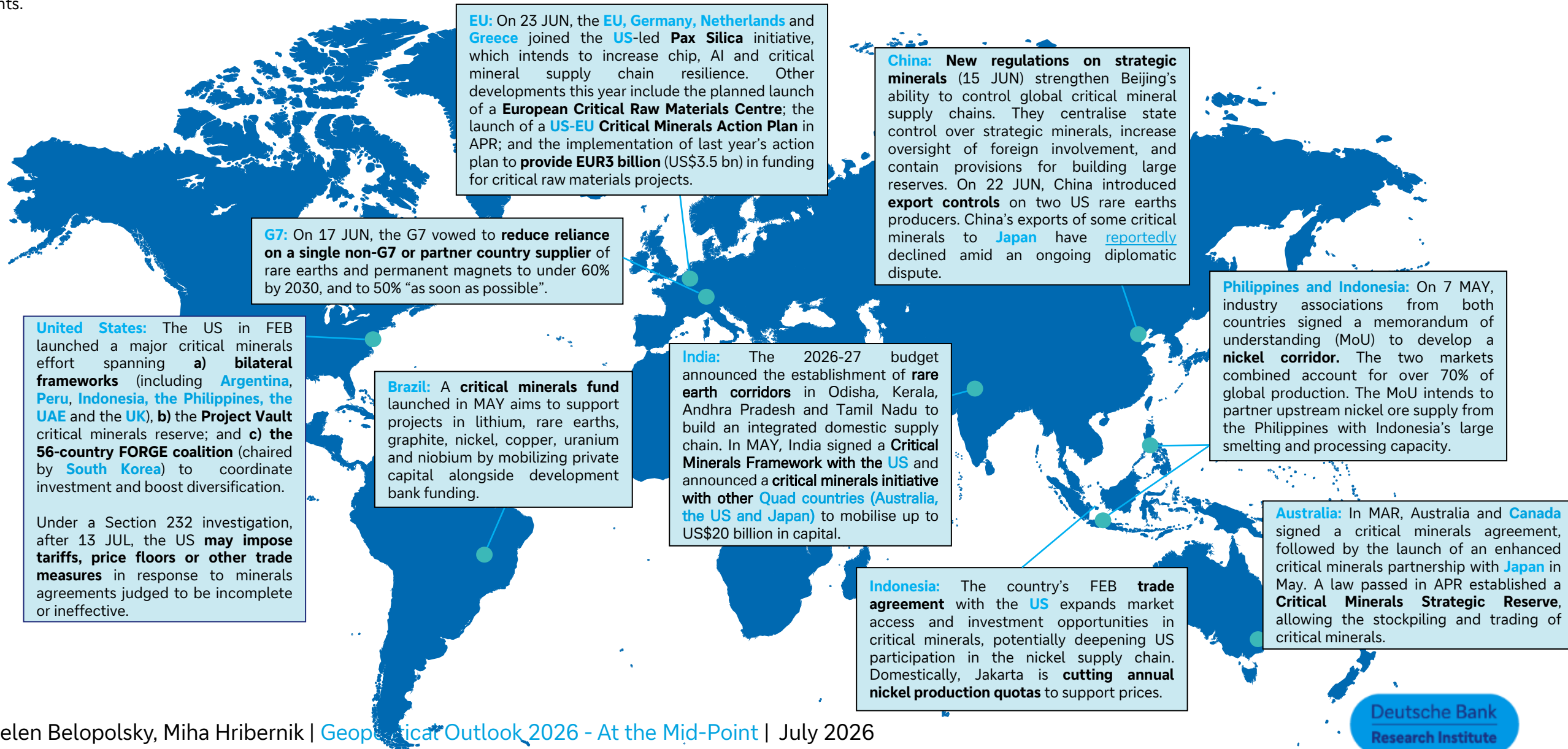
- On 3 June, with Ukrainian President Zelenskyy called for direct talks with Russian President Putin followed by a formal letter to Putin.
 - On 7 June, the UK, France and Germany issued a joint statement with Zelenskyy backing direct dialogue between Ukraine and Russia. EU leaders also signalled their readiness to “step up” engagement in the peace process on the sidelines of the EU summit on 18 June.
 - Russian President Putin publicly said the war may be “coming to an end” and his recent language contrasts with earlier maximalist messaging. The Kremlin is increasingly speaking more about security arrangements and mediation possibilities than outright military victory.
 - Reportedly, US, Russian and Ukrainian officials have continued negotiations.
 - A senior Ukrainian delegation recently travelled to Washington for renewed negotiations with US officials on possible frameworks for freezing the war.
-
- Washington may well **increase pressure on Moscow and Kyiv** if negotiations remain stalled into the summer. US pressure could be the decisive catalyst, especially if we see shifts to actively conditioning Ukraine support on negotiations or signalling a capped long-term commitment. For Russia, the US could both leverage “carrots” and “sticks” through increased sanctions or the provision of long-range weaponry to Ukraine or offer a pathway to sanctions relief, frozen assets or security architecture talks.
 - If we see increased US pressure, **a deal could emerge relatively quickly**. While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have effects for markets. Any ceasefire would have significant implications for the post-conflict landscape. This could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, a pathway for Ukrainian accession to the EU and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, defence, data centres and artificial intelligence.



Source: [Dmytro Tolokonov on Unsplash](#)

6. Critical Minerals: The Long Game Accelerates

Efforts to diversify global critical minerals supply chains will likely continue to accelerate during 2026-H2. As noted in our [annual outlook](#), global dependence on China is unlikely to materially diminish over the next several years given the scale of Beijing's supply-chain dominance – accounting for 60% of global rare earth mining and 90% of refining capacity – the cost and complexity of diversification, and China's efforts to defend its dominant position. A typical rare earth project takes [around nine years](#) and many are not commercially viable without state support. But national security imperatives will ensure diversification remains a long-term objective for the US, EU, India, Japan and others, driving investment, policy support and cooperation. Below is a *non-exhaustive* list of recent and upcoming policy developments.



7. Geopolitical Tailwinds: From Risk to Growth

Geopolitical shifts will drive the creation of new trade and investment corridors, the diversification of supply chains, and new investments in critical minerals, manufacturing and infrastructure. Pockets of growth will emerge and expand in different parts of the globe. Below are some developments we will be watching in the second half of 2026 and beyond.



Gulf States after the Iran war: Near-term risks to the region have increased significantly since the publication of our [annual outlook](#) in January. The conflict has underscored the region's exposure to conflict, highlighted the long-standing strategic rivalry between the UAE and Saudi Arabia, and complicated the Gulf's ties with the US. But **our medium-term outlook for the Gulf has not materially changed**. The region's pragmatic and increasingly diversified foreign policy agenda still leaves it positioned to navigate geopolitical uncertainty over the coming years.

The region's low taxes, modern infrastructure and deep fiscal reserves are **structural factors** that should continue to attract investment. Foreign capital inflows into the six Gulf Cooperation Council (GCC) states have [reportedly partly recovered](#), while GCC sovereign wealth funds have maintained [robust global investments](#).

The Gulf's potential efforts to further **diversify economic and security ties away from the US** after the war could unlock opportunities for corporates and investors from other markets. [China and Russia's](#) positioning during the conflict could allow them to make inroads, potentially at the US' expense. Finally, while Saudi-UAE tensions are a watchpoint, they do not seem to have materially impacted regional cohesion, or the wider business/investment environment, to date. The GCC and the UK concluded a **free trade agreement** on 20 May, while the bloc is aiming for conclusion of talks with Indonesia this year.

ASEAN's geopolitical resilience: ASEAN has proven resilient to global trade uncertainty, and its **trade with both the US and China increased in the past year**. While the Iran conflict has impacted ASEAN economies, risks are set to diminish as the immediate impacts of the war fade. As noted in our January outlook, markets including **Vietnam** and **Malaysia** remain highly attractive to investors in sectors including infrastructure, data centres, semiconductors, e-commerce, electric vehicles, and renewables. **Vietnam reportedly saw a 34.9% y/y surge in investment** during the first five months of 2026, with much of the investment coming from Asian markets.

But there are downside risks. Thailand, Indonesia, Vietnam, Cambodia, Malaysia, Singapore, and the Philippines are among dozens of US trading partners that could face **new US tariffs as soon as July**. The Trump administration will also continue to scrutinize **China-linked transshipments** through ASEAN, although near-term tariff enforcement on the issue appears unlikely. Recent framework agreements – including by Indonesia, Malaysia, and Thailand – could boost US investment and limit [US tariff increases](#). But **the agreements have also prompted Chinese concerns** over possible alignment with the US, and warnings of potential countermeasures.



Source: [Kenny](#) on [Unsplash](#)

7b. Geopolitical Tailwinds: From Risk to Growth

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Defence industry: Global defence outlays reached [USD2.6 trillion](#) in 2025 and [will likely grow further](#) amid a proliferation of armed conflicts – which reportedly reached a [post-WWII high](#) in 2025. These trends reflect a less predictable global security environment, which is reshaping industrial priorities and investment patterns. **Asia is rapidly increasing its geopolitical weight in this increasingly fractured global system**, and is emerging as both a major arms buyer and exporter. South Korea is already the second largest arms supplier to NATO and is likely to see increased Gulf demand for anti-missile systems in the wake of the Iran war. Japan's easing of export restrictions in April meanwhile could lead to a significant increase in defence exports.

Ukraine has emerged as the global leader in the production and use of **unmanned drones**. It already produces more drones than the entirety of NATO and is set to become a major global supplier after the war, including for markets in Europe, the Gulf and Asia. Other markets, including the US, France, Germany, Japan, and South Korea, are all set to boost investment in the segment, reflecting evolving battlefield requirements and defence priorities. Türkiye – the supplier of some [65% of armed drones](#) used globally – aims to double its defence exports in the next two years.

Major economies including the US and the EU will likely continue to **derisk drone supply chains from China**, which should accelerate investments to reduce critical dependencies in **critical minerals** extraction/processing and through new technological solutions such as **rare-earth-free e-engines**.

Europe's trade diversification: Accelerating global trade and investment ties will remain a strategic priority for Brussels amid trade tensions with the US and China. **The first half of 2026 saw significant developments**, including progress on, or completion, of agreements with Mercosur (January), India (January), Australia (March), and Mexico (May). The EU is also continuing trade negotiations with the GCC, as well as talks on bilateral Strategic Partnership Agreements with the six GCC states. The agreements are intended to cover trade/investment, energy, digital transformation, transport, amongst other sectors.

The EU's Global Gateway strategy has committed €45bn for investment in Latin America and the Caribbean. In 2026, we could see an expansion of digital connectivity, AI and research networks, green energy and hydrogen projects.



Source: [Guillaume Périgois on Unsplash](#)

8. Tail risks: Which “What Ifs” could become “What Nows”?

A tendency to underestimate the potential for rapid escalation frequently catches corporates and investors off guard. Geopolitical issues can simmer for years without boiling over – until they suddenly do. This was exemplified by the US and Israeli attack on Iran, which we had flagged in our 2026 [annual outlook](#) as a tail risk for this year. The below map contains our refreshed list of 11 issues to watch in the second half of this year.



9. Selected Key Geopolitical Events to Watch in 2026-H2

For a detailed look at key monthly geopolitical events, please also see our [This Month in Geopolitics](#) publication series.



Date	Market(s)	Comment
7-8 July	NATO	The NATO summit in Türkiye is expected to be one of the most important alliance meetings in years. Major issues include the future of support for Ukraine; European defence spending; NATO's posture toward Russia; burden-sharing tensions with the US; and security coordination in the Black Sea and the Middle East.
24 July	US/Global	The US global 10% Section 122 tariffs are set to expire. These will likely be replaced by new tariffs introduced as a result of two Section 301 trade investigations. Dozens of countries face higher US tariffs as a result.
Late July/early August	China	The meeting of the Politburo in late July will likely set the economic policy direction for the rest of the year. China's leaders will gather for their annual informal summer retreat in Beidaihe near Beijing. The venue provides an opportunity for Party leaders to exchange views on major policy issues, including relations with the US.
Mid-August	US/Iran	The 60-day ceasefire extension between the US and Iran is set to expire. The two countries continue to negotiate a range of issues, including Iran's nuclear stockpile, sanctions and restoration of normal shipping flows through the Strait of Hormuz. If no agreement is reached, both sides could seek an additional extension.
8 September	UN	The UN General Assembly in New York will bring leaders together amid increasing geopolitical volatility and the process to choose the next UN Secretary-General before Antonio Guterres leaves office at the end of 2026.
13 September	Germany	German state and local elections may impact Chancellor Friedrich Merz's governing coalition amidst economic pressures, immigration debates and the continued rise of the far-right Alternative for Germany (AfD).
September	India/BRICS	India will host the BRICS Summit in New Delhi. Watchpoints include any announcements that could suggest efforts to move further away from the US dollar. This includes BRICS Pay (an initiative meant to facilitate cross-border payments in BRICS currencies) and the BRICS 'Unit', a prototype gold-backed digital currency unveiled in 2025.
24 September	China/US	China's President Xi is expected to visit the United States following the China-US Summit in Beijing in May.
30 September	US	Key US government funding deadline . Failure to pass appropriations or a stopgap measure could trigger a government shutdown.
3 November	US	Congressional midterm elections will see voters choose 435 seats in the House of Representatives, 35 Senate seats and governors in 39 states and territories. The US midterms will be vital in determining control of the Congress and the Senate, which will significantly influence President Trump's ability to pass laws and shape national policy.
18-19 November	APEC	China will host the APEC Economic Leaders' meeting in Shenzhen . The summit could see a Xi-Trump meeting on the sidelines, and may shape Indo-Pacific economic architecture for years to come.
14-15 December	G20	The G20 Summit in Miami may become contentious due to Ukraine-related divisions, trade and tariff disputes, climate financing disagreements and questions around global governance reforms. The summit could also see this year's fourth meeting between presidents Xi and Trump.



Source: [Carl Wang](#) on [Unsplash](#)

10. Recent geopolitical publications



1 July 2026: [This Month in Geopolitics: July 2026](#)

29 June 2026: [Washington's Post-Iran Playbook: Risks, Deals and Pressure Points](#)

16 June 2026: [Is the ceasefire a reset? Iran, the US and the Middle East they can't restore](#)

9 June 2026: [Geopolitics beyond Iran](#)

8 June 2026: [dbDataInsights Geopolitics Survey UK Politics: Perspectives on leadership transition and key priorities](#)

1 June 2026: [This Month in Geopolitics: June 2026](#)

26 May 2026: [dbDataInsights Geopolitics Survey: America's Choice: What's Influencing the 2026 Midterm Vote?](#)

18 May 2026: [The Dragon and the Eagle: Decoding China-US Ties After Beijing](#)

Appendix 1



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Push and pull: France, RN and the challenges of political change

July 3, 2026

France and Europe are moving into the shadow of 2027 presidential elections. In an increasingly geopolitical world, the EU needs to invest, innovate, and acquire strategic autonomy to maintain its relevance. Indebted public balance sheets and a drift towards populism are significant hurdles. The question we ponder is how much higher these hurdles will become when France goes post-Macron.

On [July 7](#), the Court will rule on Marine Le Pen's eligibility to run for President. If Le Pen is barred from running, Jordan Bardella will be [RN's candidate](#) in the election. However, this Court decision will not resolve the fundamental dilemma facing the Rassemblement National (RN). Instead, it is likely to set the stage for **"push and pull"** – a continuous tension between RN's political ambitions and the powerful constraints it would face in government.

While RN may be closer to power than at any point in its history, electoral success and governing capacity are not the same thing. The party's platform would have to contend with a series of powerful constraints – from constitutional guardrails, fiscal realities to market discipline, and demographic trends. Understanding an RN government requires looking not only at what the party wants to do, but also at what it would realistically be able to do.

There are three key points we would make.

1. The potential path to power – Why the Presidency is not enough. We find that RN not only has a credible path to the presidency but also, perhaps unintuitively, to a National Assembly majority and control of the government. This is due to France's legislative electoral system, which creates a significant "majority premium" for the party that finishes first in the national first-round vote. This makes the legislative elections that would follow the presidential contest a critical event for markets. To be sure, RN would not control the entire State apparatus, as both the Senate and Constitutional Council are designed for slow, gradual change, creating durable checks on the government. We also find a core internal tension between Le Pen's traditional base and Bardella's market-friendly wing, a conflict that defines the party's uncertain economic direction.

2. The policy agenda – Part fixed, part pragmatic. The RN is not monolithic, and its evolving platform and attempt to appear more governable could still **collide with hard realities**. This collision is evident in that, for every major policy ambition there is at least one specific constraint, **creating strong incentives for policy pragmatism**: flagship immigration proposals face constitutional blockades and slowing demographics; expensive fiscal promises face market scrutiny; and the party's electoral base acts as a political brake on a full pivot to economic liberalism.

3. Europe – Disruption, not rupture. RN is likely to try to use France's institutional weight within the EU, but we think disruption would be more likely than rupture. While an RN government could generate **significant friction, its ability to alter EU policy could be limited** by internal EU voting rules,

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enforcement mechanisms, and ideological divides with potential right-wing allies.

Ultimately, we think the key issue is not whether the RN can win power, but how France's institutions and economic realities would shape what the party can do with it. In our view, the defining feature of an RN government would likely be the volatility created by a continuous **push and pull** between political ambition and governing reality.

Push and pull: France, RN and the challenges of political change

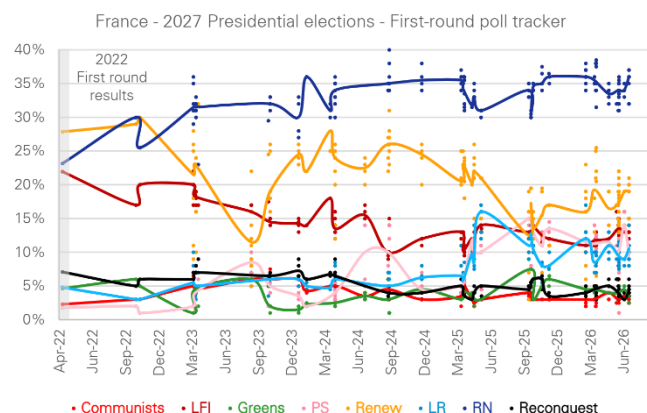
The possibility of a Rassemblement National (RN) victory in France in 2027 should no longer be considered a tail risk. [Current polling](#) suggests that an RN candidate – whether Marine Le Pen or, if legal developments force a succession, Jordan Bardella – potentially has a credible path to the second round of the presidential election and the Élysée Palace itself. More importantly, for investors, France's institutional calendar means that a RN presidential victory would likely be followed by a snap legislative election, creating a realistic pathway to a parliamentary majority and, thus, meaningful governing power.

However, in our view the focus should be less on whether RN can win power and more on what it could actually do with it.

The defining characteristic of any RN administration would likely be a continuous tension between political ambition and governing realities. Constitutional constraints, the Senate, EU institutions, fiscal arithmetic, demographic pressures, and financial markets would all act as powerful checks on the implementation of the party's programme. There may be volatility, but disruption appears more likely than rupture.

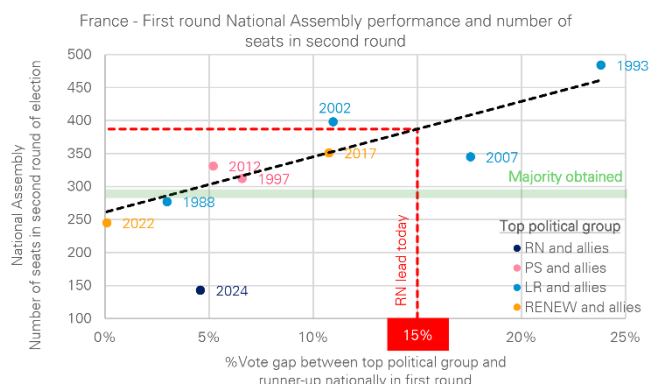
RN in power never felt as close. Politically, RN is in a stronger position than at any point in its history, with recent polls suggesting either of its likely candidates – Le Pen or Bardella, depending on the outcome of the [July 7](#) court verdict – could win the presidency against any potential opponent. Crucially, the RN also has a credible path to a National Assembly majority. Despite polling in the mid-30s, France's two-round electoral system creates a significant "majority premium" for the leading party, which can translate into control of the government. The key uncertainty, we think, is therefore less RN's ability to reach power but whether a broad anti-RN coalition can re-emerge as it did in 2024.

A comfortable lead for the RN candidate, and an open race for the contenders



Deutsche Bank Research, IFOP, Cluster 17, Elabe, Odoxa, Harris Interactive, Opinionway, Verian, IPSOS

Picturing the implied majority premium in French legislative elections

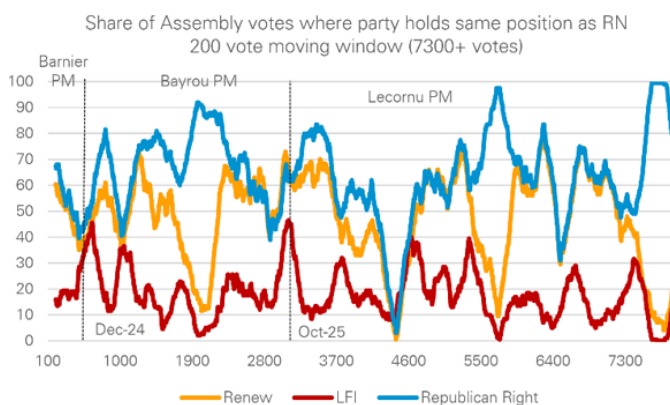
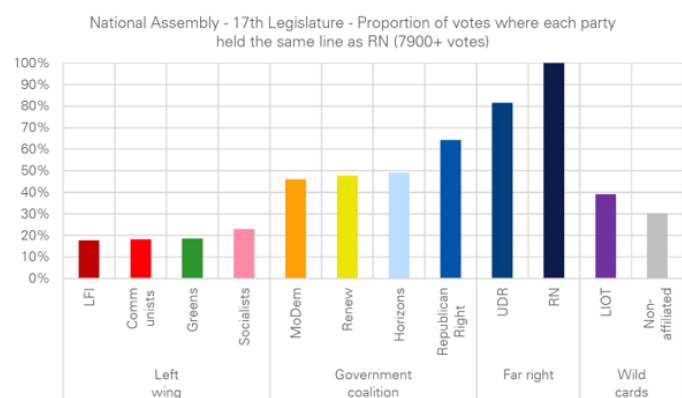


Deutsche Bank Research, French Ministry of the Interior

Current political fragmentation suggests a traditional broad anti-RN coalition is far from certain. However, the party's power would not be absolute: both the Senate and the Constitutional Council are designed for slow, gradual change, creating durable checks on an RN government.

Two-headed RN, debates not settled. A second uncertainty concerns the party itself. While Bardella has increasingly become the public face of RN, Marine Le Pen remains the dominant political figure. The result is a [growing tension](#) between two competing economic narratives. Bardella has sought to reassure investors and business leaders through a more market-friendly, fiscally conservative message, whereas Le Pen's traditional social-sovereigntist approach remains focused on purchasing power, pensions, and economic protection. This ambiguity is important because RN's parliamentary voting record often appears more pragmatic and centre-right than its rhetoric suggests, yet its electoral base remains strongly attached to protective policies.

RN is closer to the centre-right than to any other non-far right party in voting behavior



Deutsche Bank Research, National Assembly. The sample covers all the votes that occurred between October 2024 and July 2026

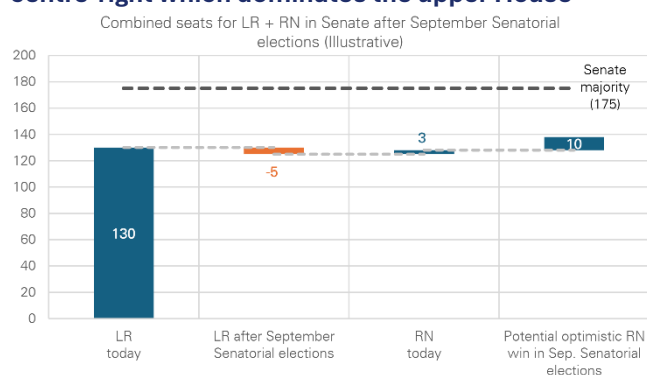
On policy, immigration remains the most stable element of the RN platform, while Europe and pensions have evolved significantly. RN has [effectively abandoned](#) 'Frexit' and euro-exit proposals, opting instead for a **pragmatic** strategy of reshaping the EU from within. Its objective is now to slow further integration, reduce France's net contribution to the EU budget, challenge certain aspects of EU legal primacy, and roll back elements of the Green Deal rather



than leave European institutions altogether. This moderation substantially reduces the systemic risk profile relative to previous electoral cycles but, nevertheless, is likely to create tension.

Material institutional obstacles to full platform implementation. Many of RN's flagship immigration proposals would likely run into constitutional obstacles, according to leading constitutional experts (see [here](#) and [here](#) for details). Measures based on "national preference" appear [difficult to reconcile](#) with France's constitutional principle of equality before the law. The Constitutional Council would likely act as a substantial brake on implementation, while constitutional revision itself would likely face formidable procedural hurdles, particularly given RN's long-term inability to secure meaningful representation in the Senate (for details and seat projections, see [here](#)). In practice, many of the party's most ambitious proposals would probably need to be moderated if they are to become law.

RN's weak footing in the Senate does not facilitate Constitutional reforms, even in an alliance with the centre-right which dominates the upper House



Deutsche Bank Research, French Senate

A standard and a controversial path for Constitutional reform

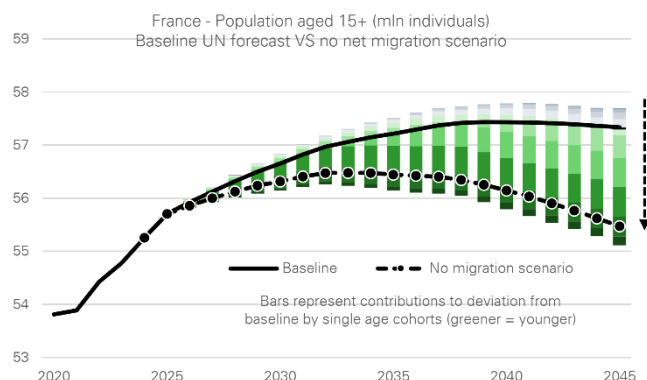
Paths to Constitutional revision for RN			
Path	Key requirement(s)	Main obstacle for RN	Timeline implication
Standard path (Article 89)	Identical text passed by both National Assembly & Senate; then referendum OR 3/5 supermajority of both houses. Referendum mandatory if revision initiated by Parliament	Blocked by opposition-controlled Senate (RN has minimal representation, alliances unlikely to reach majority).	Deliberately slow: Mandatory delays (6 weeks + 4 weeks) for parliamentary debate, lengthy back-and-forth.
Contested path (Article 11)	President calls direct referendum (bypassing Parliament).	Legally contested for constitutional revision, triggers institutional crisis and confrontation with Council/Senate. Restrictions in subjects (only economic policy, public authority organization).	Potentially faster in execution, but the process of navigating the resulting political and legal crisis would be extensive and unpredictable.

Deutsche Bank Research, Constitutional Council

Fiscal policy – Asymmetric spending/saving commitments are a risk. For markets, fiscal policy remains the most important area of focus. RN's programme contains a clear asymmetry between highly visible spending commitments and comparatively uncertain savings plans. Measures aimed at boosting purchasing power, protecting pensions, and reducing energy taxation carry material fiscal costs, while proposed offsets – including lower immigration spending, anti-fraud initiatives and reduced EU contributions – are inherently less predictable. [Independent estimates](#) have suggested that the gap between proposed spending and realistic savings could be substantial.

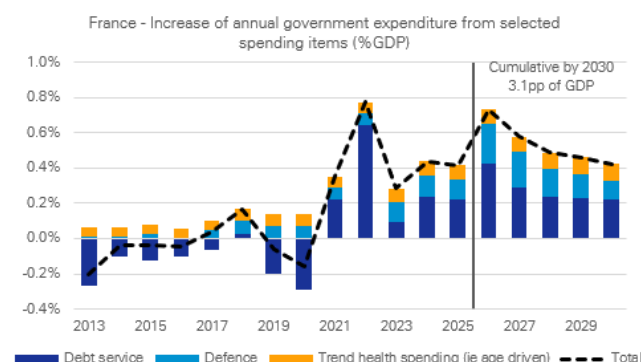
RN would inherit an already fragile fiscal backdrop. France faces elevated public debt, persistent deficits, rising defence requirements, and adverse demographic trends. Lower immigration, while politically central to RN's platform, could further reduce labour-force growth and worsen age-related fiscal pressures over time. Consequently, an RN government would likely face difficult trade-offs between delivering electoral promises, maintaining fiscal credibility, and supporting growth.

Less immigration, more adverse demographics



Deutsche Bank Research, French Senate

Meaningful upward pressure on government spending every year



Deutsche Bank Research, Constitutional Council

Careful policy calibration needed to avoid a market challenge. Financial markets therefore represent one of the most immediate constraints. Unlike constitutional or political obstacles, market discipline can emerge quickly. Any perception that an RN government is unwilling or unable to stabilise the fiscal trajectory could lead to higher sovereign risk premia, rising debt-servicing costs and tighter domestic financial conditions. With debt sustainability already a vulnerability, France can ill-afford to lose more fiscal credibility. Any fiscal misstep could quickly face sharp market scrutiny. The question is how pragmatic RN would be in response.

Momentum for EU strategic autonomy and integration at risk. At the European level, we think the most likely scenario is increased friction. France has considerable weight within the EU, and an RN administration could slow integration, complicate negotiations on EU budgets, enlargement or defence initiatives, and create uncertainty around France's future role in European policymaking. Yet, the ability to fundamentally alter EU outcomes would remain constrained by voting rules, enforcement mechanisms, and the difficulty of assembling durable alliances across Europe's fragmented right.

Different shades of right in the European Parliament

European Parliament - Right-wing groups political profiles			
	European Conservatives and Reformists (ECR)	Patriots for Europe (Pfe)	Europe of Sovereign Nations (ESN)
Number of MEPs	Right-wing 82	85	Extreme Right 27
Top-3 member parties	- Brothers of Italy (24 MEPs) - Polish PIS (20) - Romanian AUR (6)	- French National Rally (29 MEPs) - Hungarian Fidesz (11) - Italian League (7)	- German AfD (15 MEPs) - Bulgarian Revival (3) - Polish Konfederacja (2)
Political profile	- Partly Eurosceptic - Pro-Ukraine and NATO - Anti Green deal - Anti immigration	- Eurosceptic, similar to previous "Identity and Democracy" group - Russia-friendly and NATO sceptic - Anti Green deal - Anti immigration	- Eurosceptic - Russia-friendly and NATO sceptic - Anti Green deal - Anti immigration

Deutsche Bank Research, European Parliament



Bottom line. Our conclusion is nuanced. An RN victory would represent a significant political event, but France's institutional architecture makes revolutionary change difficult. The most probable outcome in our view would be elevated uncertainty, periodic clashes with domestic and European institutions, and selective policy shifts rather than a wholesale restructuring of the French economic model. For financial markets, we believe the key theme is not outright regime change, but a constant, volatility-inducing push and pull between RN's political objectives – shifting in places – and the fiscal, legal, and market constraints that would ultimately shape its capacity to govern. The push for political change will generate friction.



Appendix 1

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July 2026

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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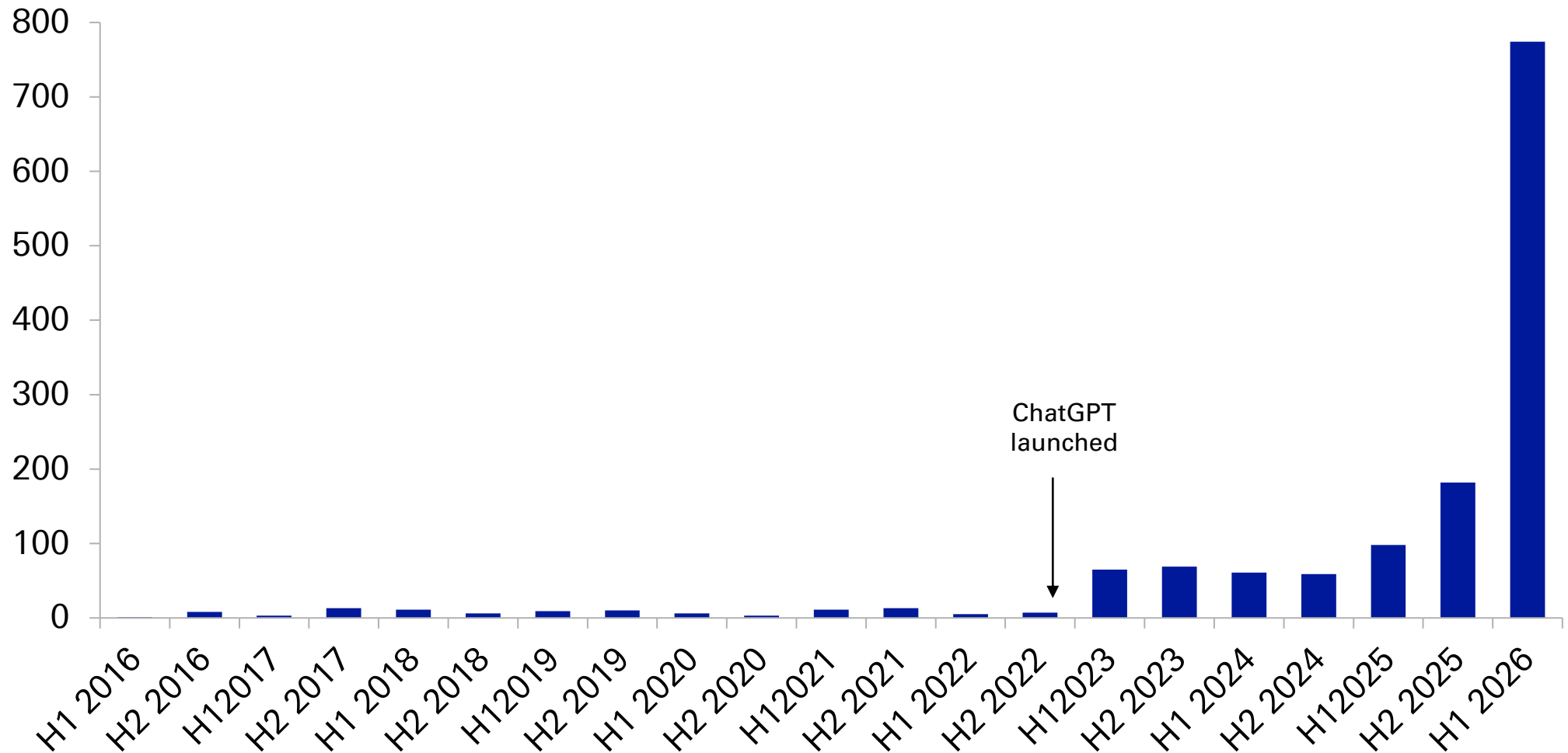
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The whole world has gone AI crazy....



Mentions of AI Disruptions in Global Earnings Call Transcripts

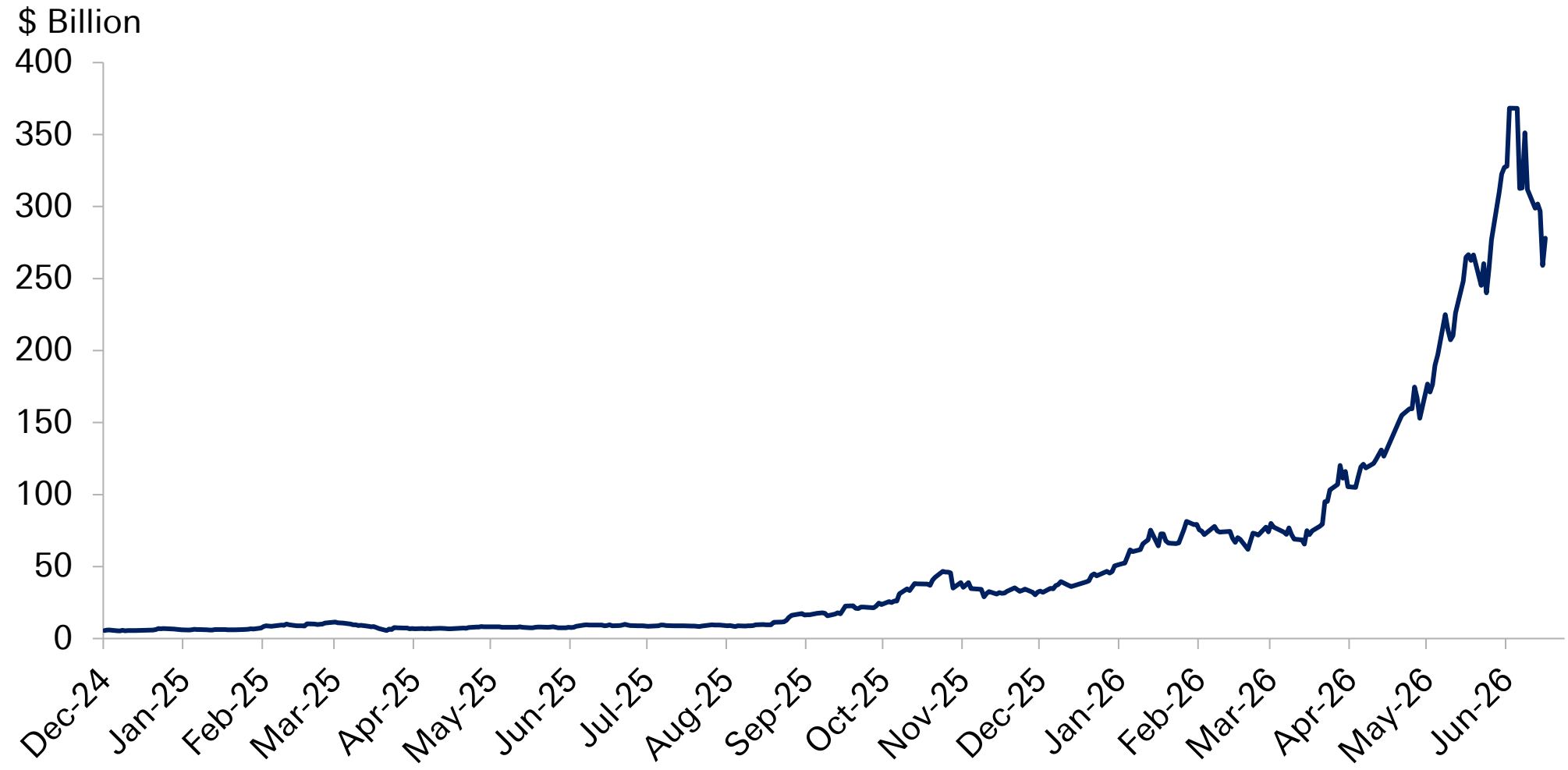


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

The largest company in Japan was only worth c.\$8bn 12 months ago. Was around 46 times larger at the peak 2 weeks ago. It only entered the Nikkei 225 on April 1st, 2026. It manufactures semiconductor memory products.



Kioxia Holdings Corporation Market Capitalisation

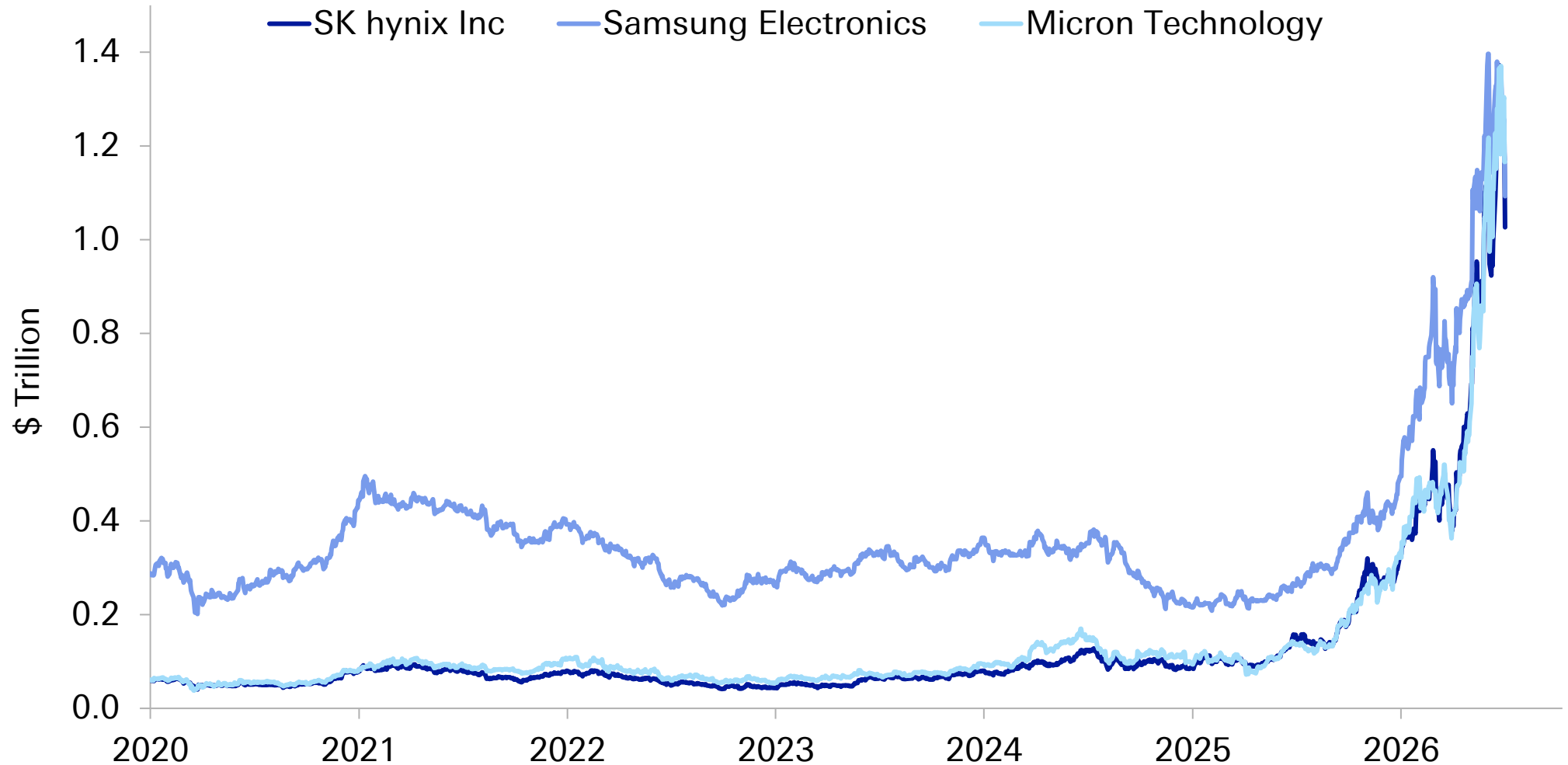


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3



The largest global memory companies have seen their market caps climb around 5-10 times that of a year ago and have burst into the trillion-dollar club, an exclusive global club with only 17 members. A big sell-off over the last 10 days is worth watching though...

Market cap in US\$ of the largest global memory companies

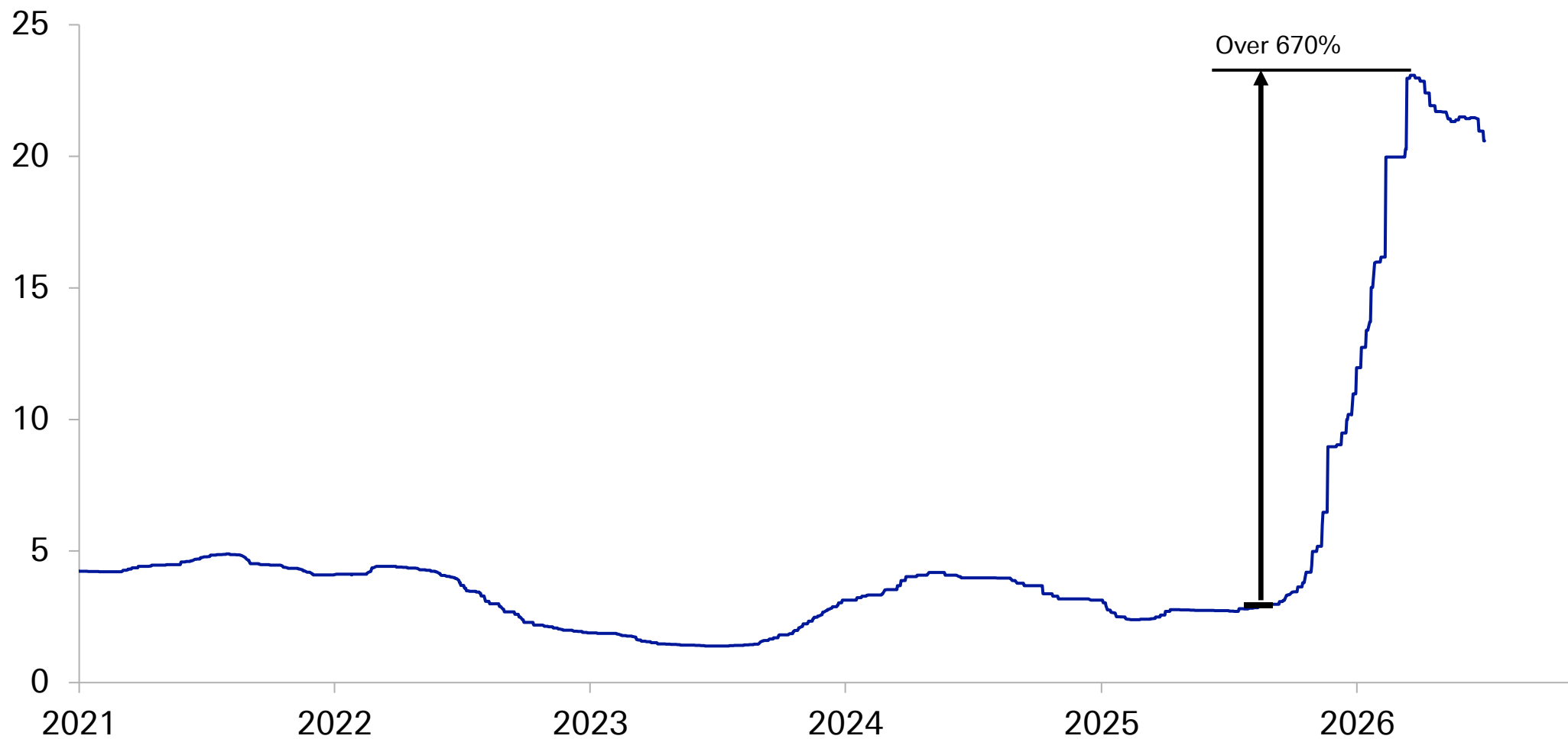


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

Memory is a broken market even if it has come off its highs...
expect all your consumer electronic prices to soar....



inSpectrum Tech Inc NAND FLASH Spot Price TLC Flash 512Gb

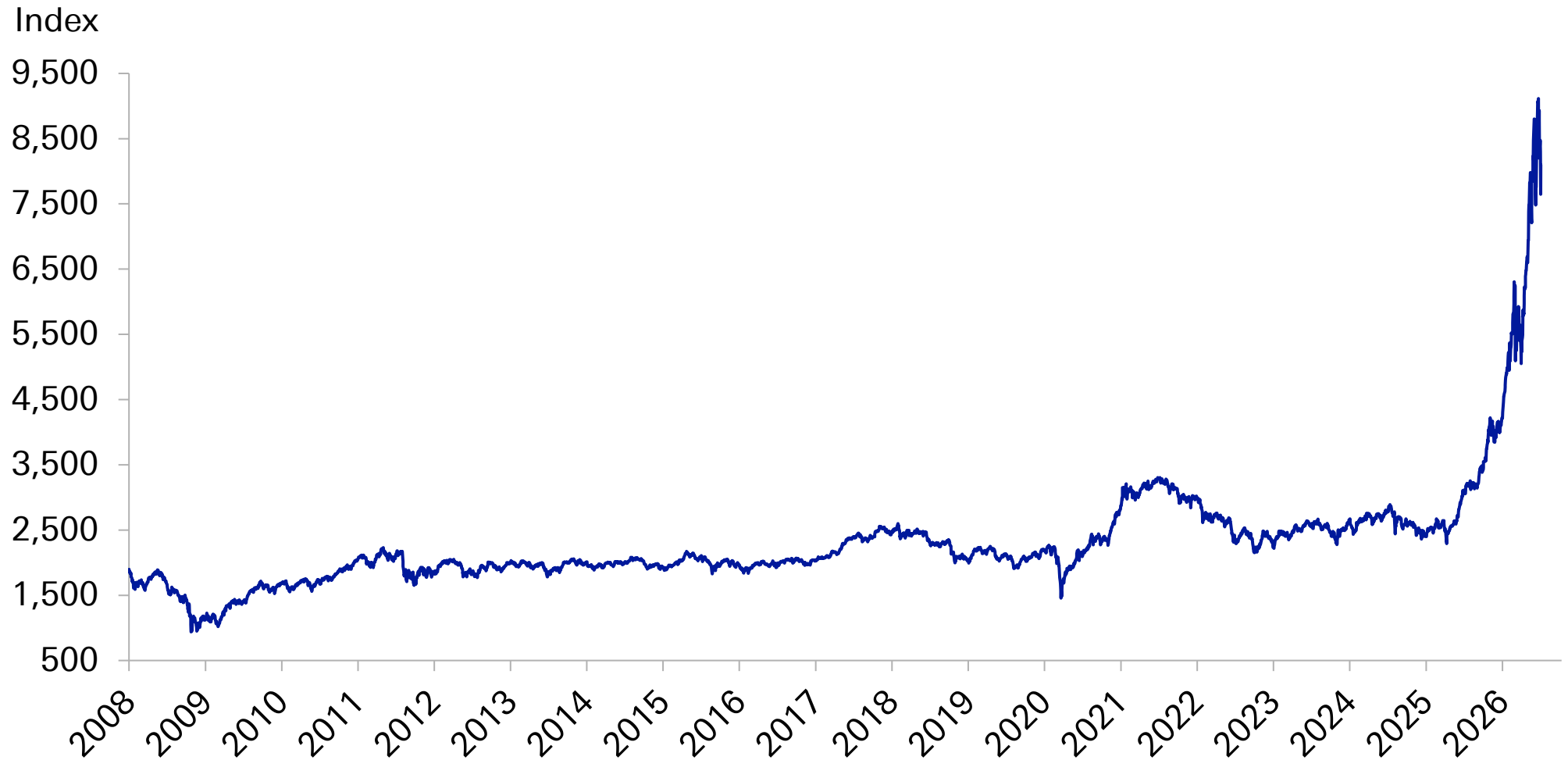


Source: Bloomberg Finance LP, Deutsche Bank, Last update July 3



Samsung and SK hynix helped the KOSPI triple over the past year after 17 years of doing nothing, even if some air has escaped from the balloon in recent days. Their combined market cap is still around 16 times that of the third largest company in the index.

KOSPI Index

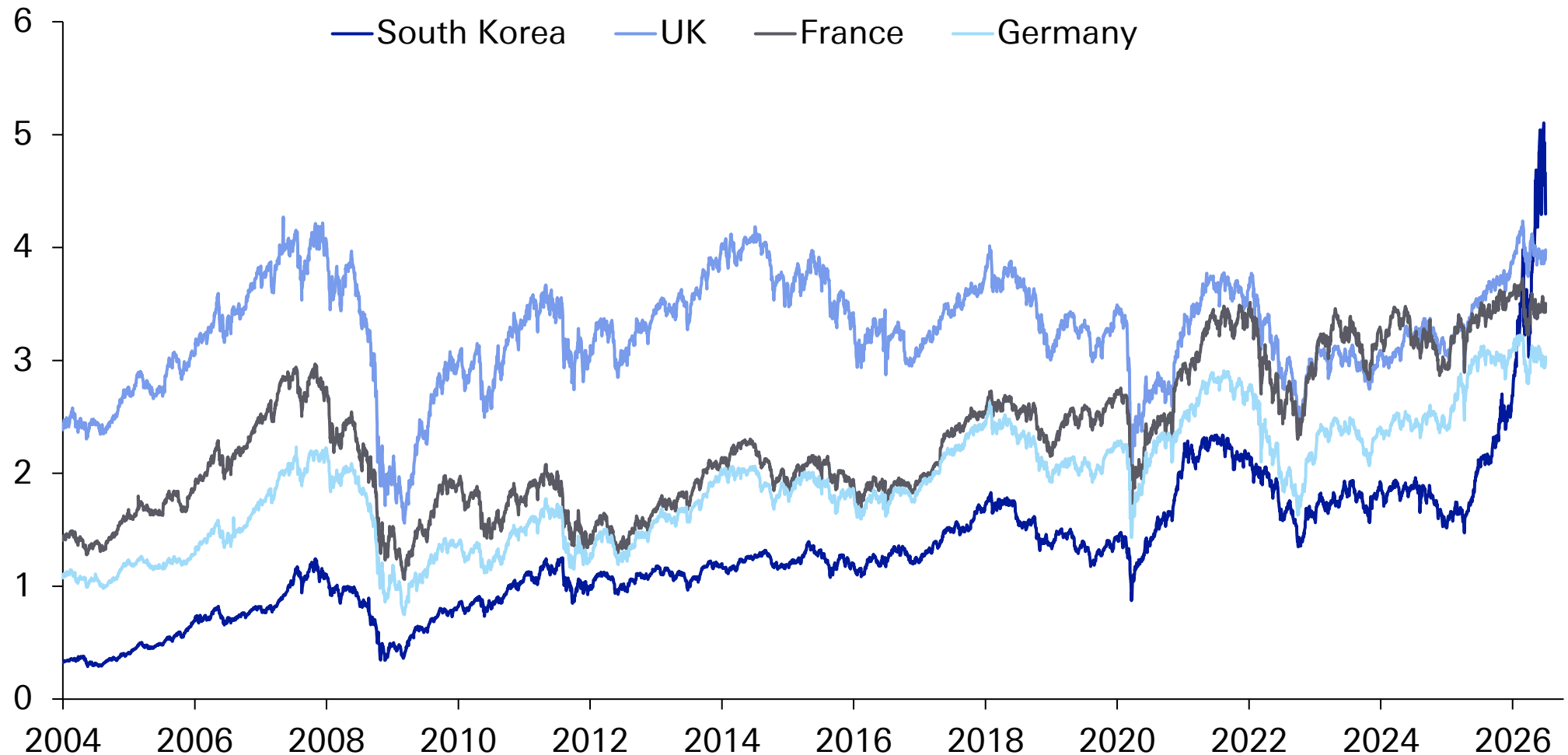


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

As a result the Korean exchange has now flown past the three largest European ones in terms of market cap...



Market cap in \$tn of selected exchanges

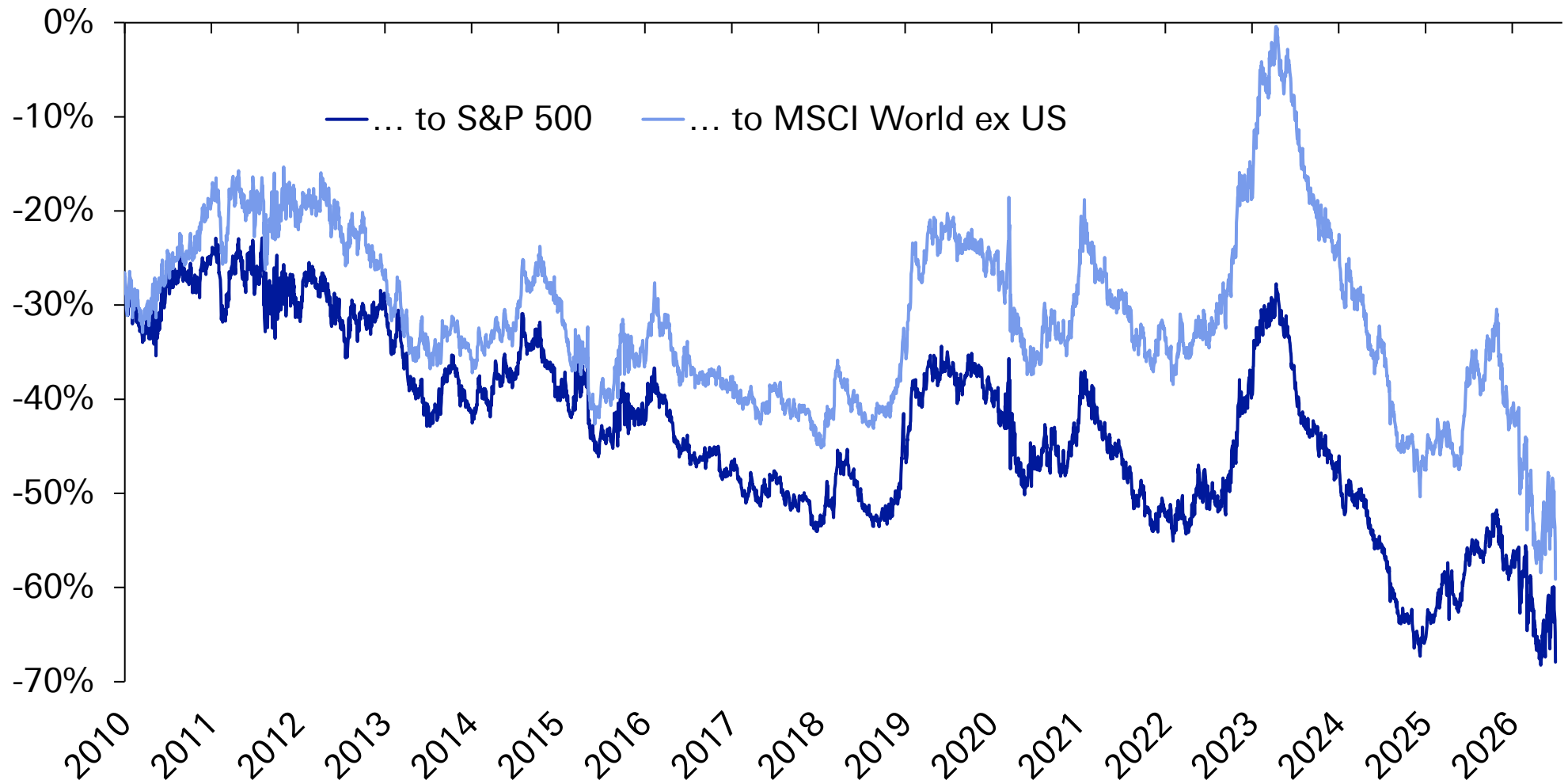


Source: Bloomberg Finance LP, Deutsche Bank.

Ironically, because of earnings estimates, it still trades at a large discount to the rest of the world. However this will all be very dependent on two companies' earnings...



Kospi 200 discount based on forward P/E

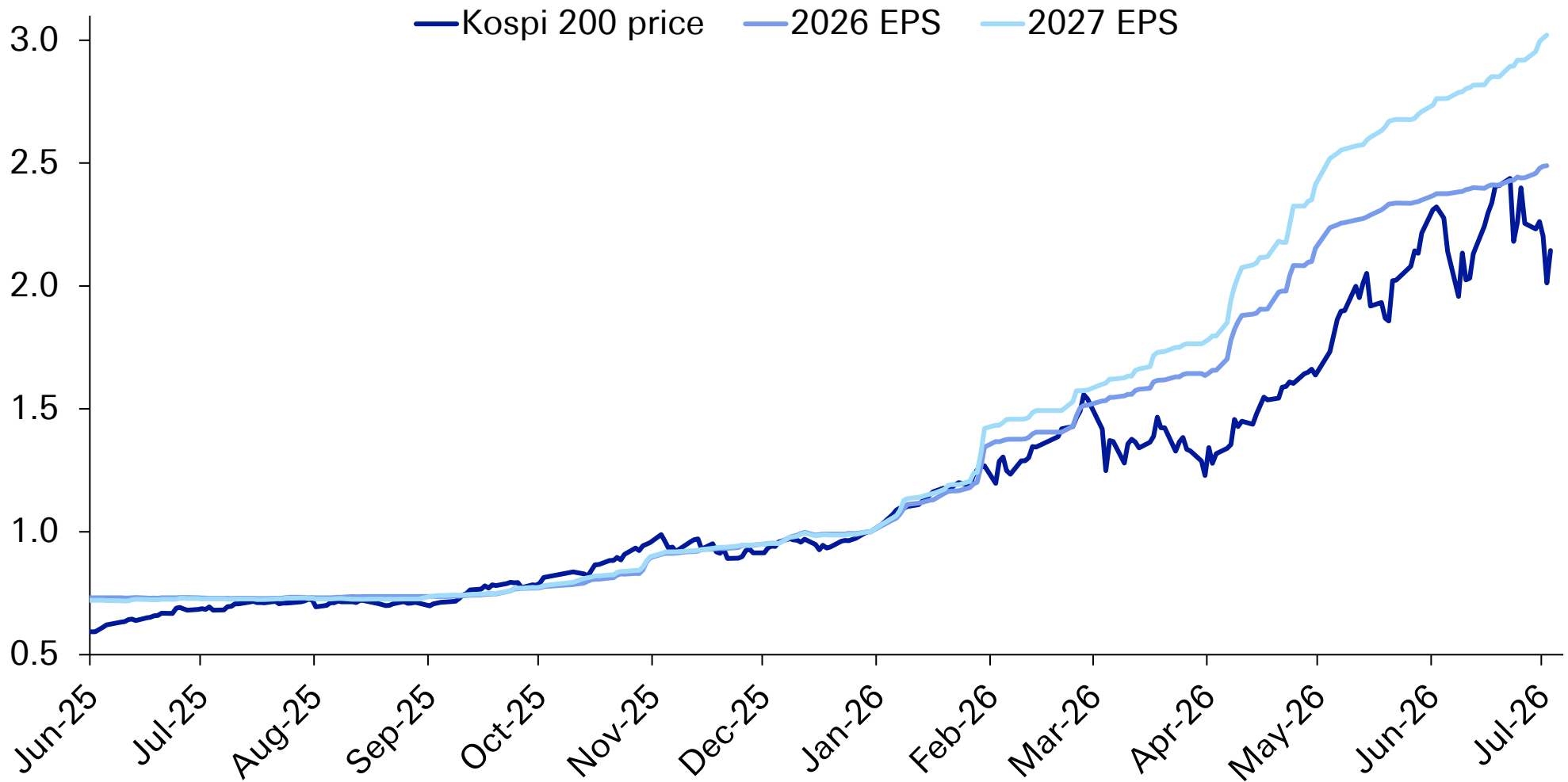


Source: Bloomberg Finance LP, Deutsche Bank.

So far the KOSPI move has actually lagged that of earnings which are again highly dependent on those two mega-caps



BBG consensus estimates for Kospi 200 full-year 2026 and 2027 EPS and the index price, rebased to end of 2025 (=1)

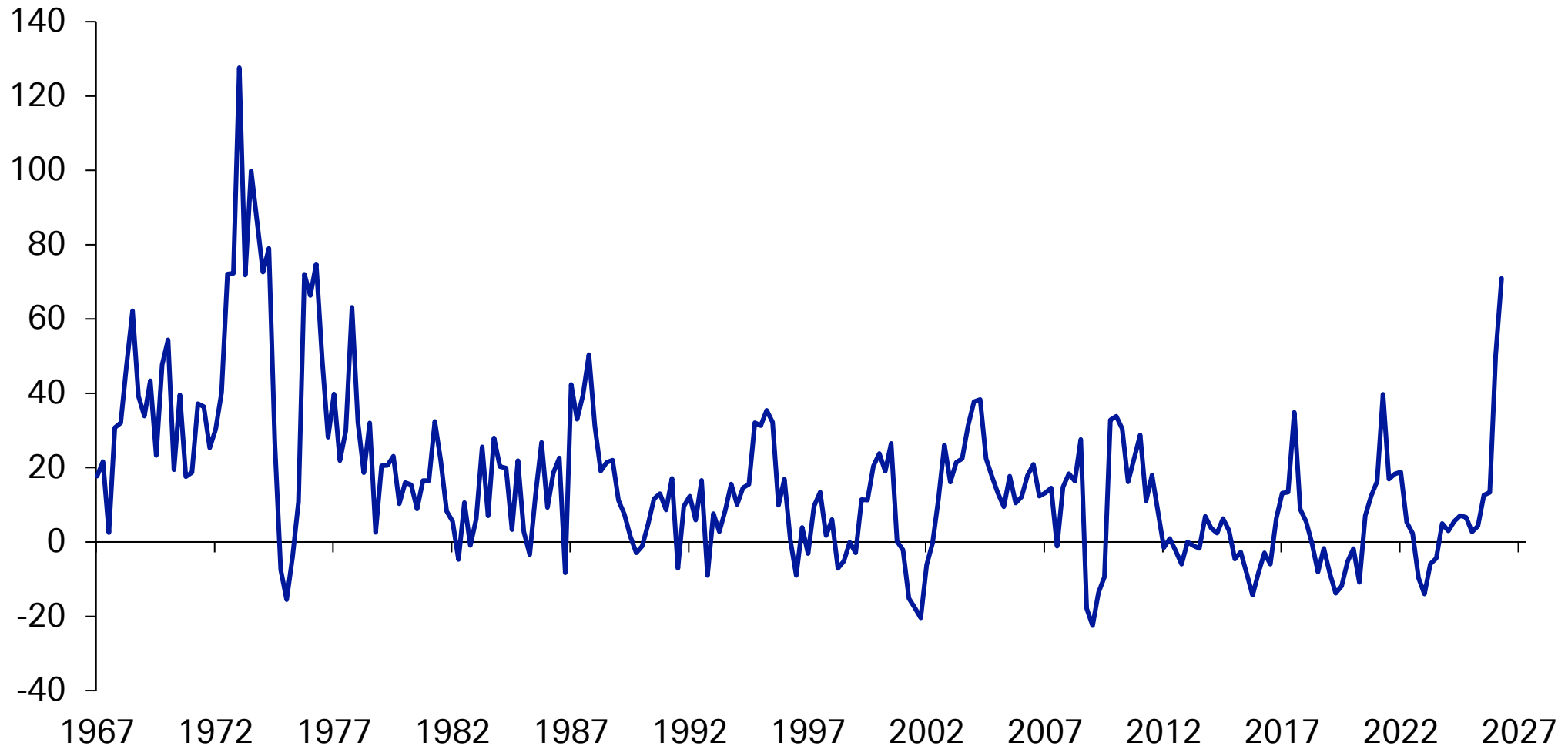


Source: Bloomberg Finance LP, Deutsche Bank.

Linked in to all this, South Korean exports are growing at their fastest YoY rate for 50 years...



South Korea Exports growth (%Y-o-Y)

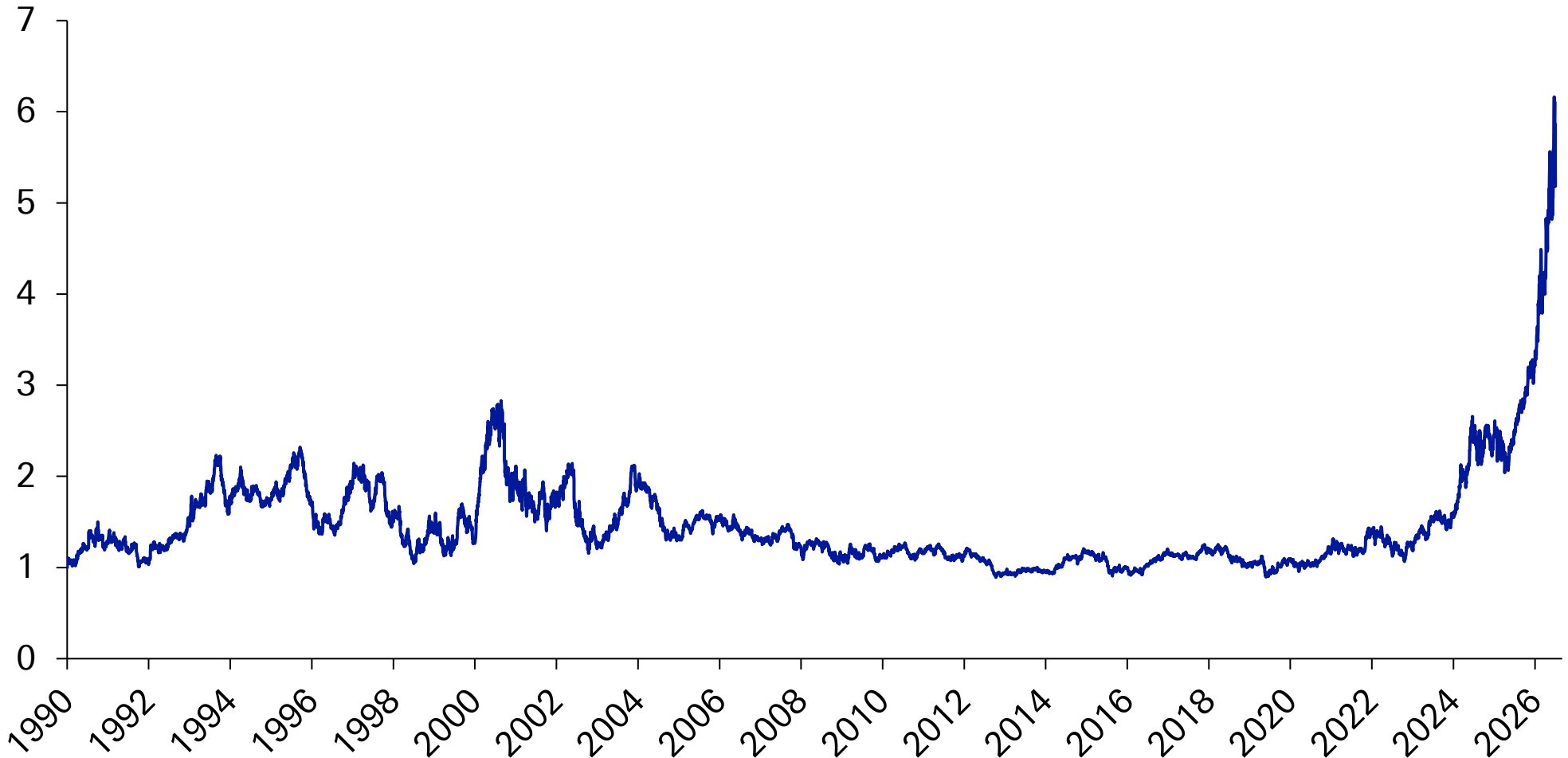


Source: Ministry of Trade, Industry and Resources, Bloomberg Finance LP, Deutsche Bank

It's clearly not just South Korea.. The semiconductors frenzy is global and has created an extreme bifurcation within tech as software lags on AI disruption fears



S&P 500 semiconductors & equipment relative to software & services, total returns ratio, since 1990 (=1)



Source: Bloomberg Finance LP, Deutsche Bank.



Party like it's 1999? Intel's share price has finally exceeded its high back in 2000. From its peak in 2000 to September last year, it was down around -75%. Since then, it's up over +600%. Is it a warning from the past as to how long it can take for stocks to recover after a valuation surge...

A Historic comeback: Intel's stock finally tops its 2000 high... and then some...



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

As AI fever takes over, Bitcoin has halved since October and has gone nowhere for 5yrs.



XBTUSD Spot Exchange Rate - Price of 1 XBT in USD



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

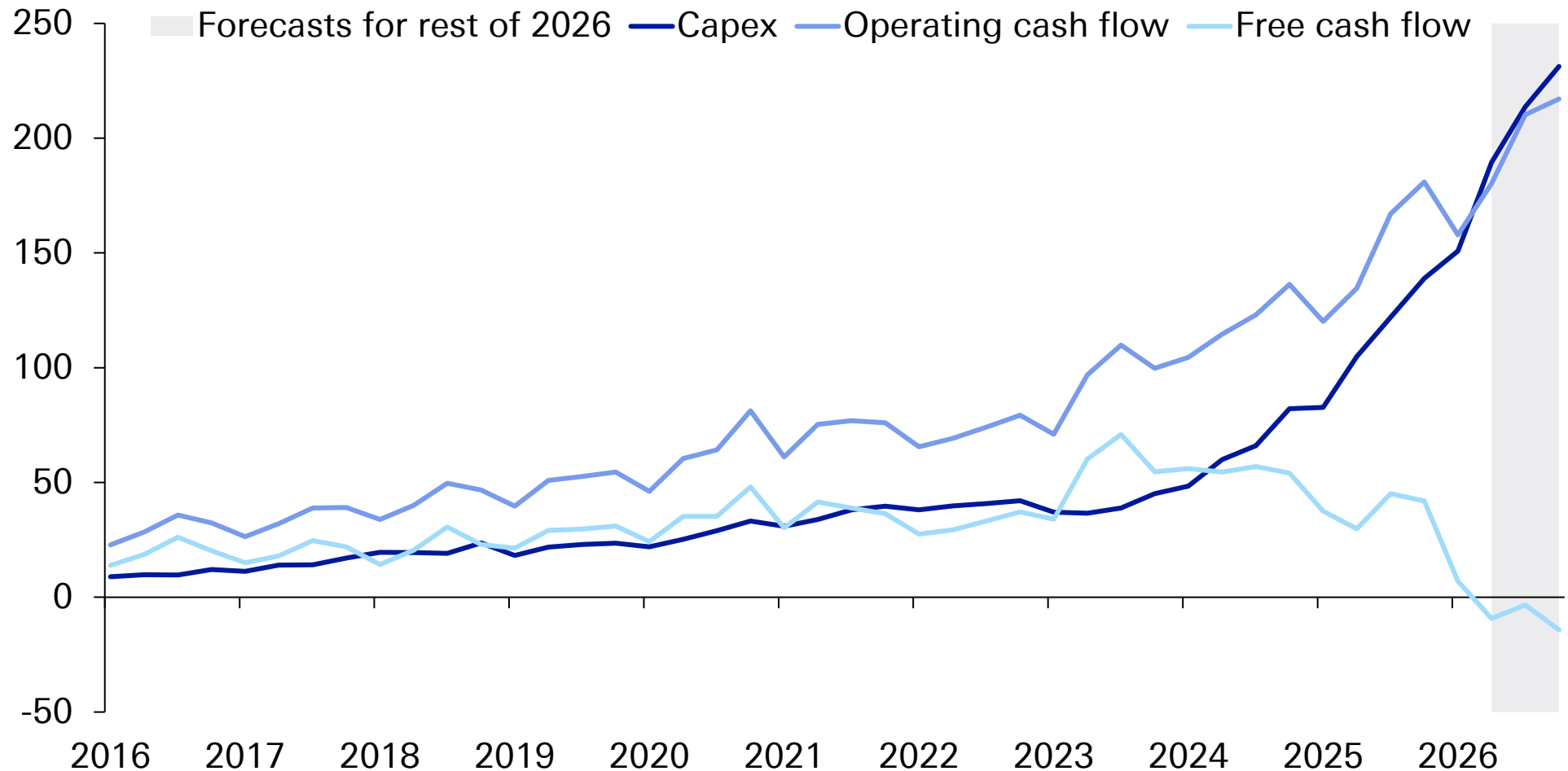


Hyperscalers. Capex starts to bite.

The 5 large US hyperscalers are now spending more on Capex than their combined operating cash flow...



5 hyperscalers, selected metrics with DB analysts' forecasts through 2026 (\$bn, quarterly)

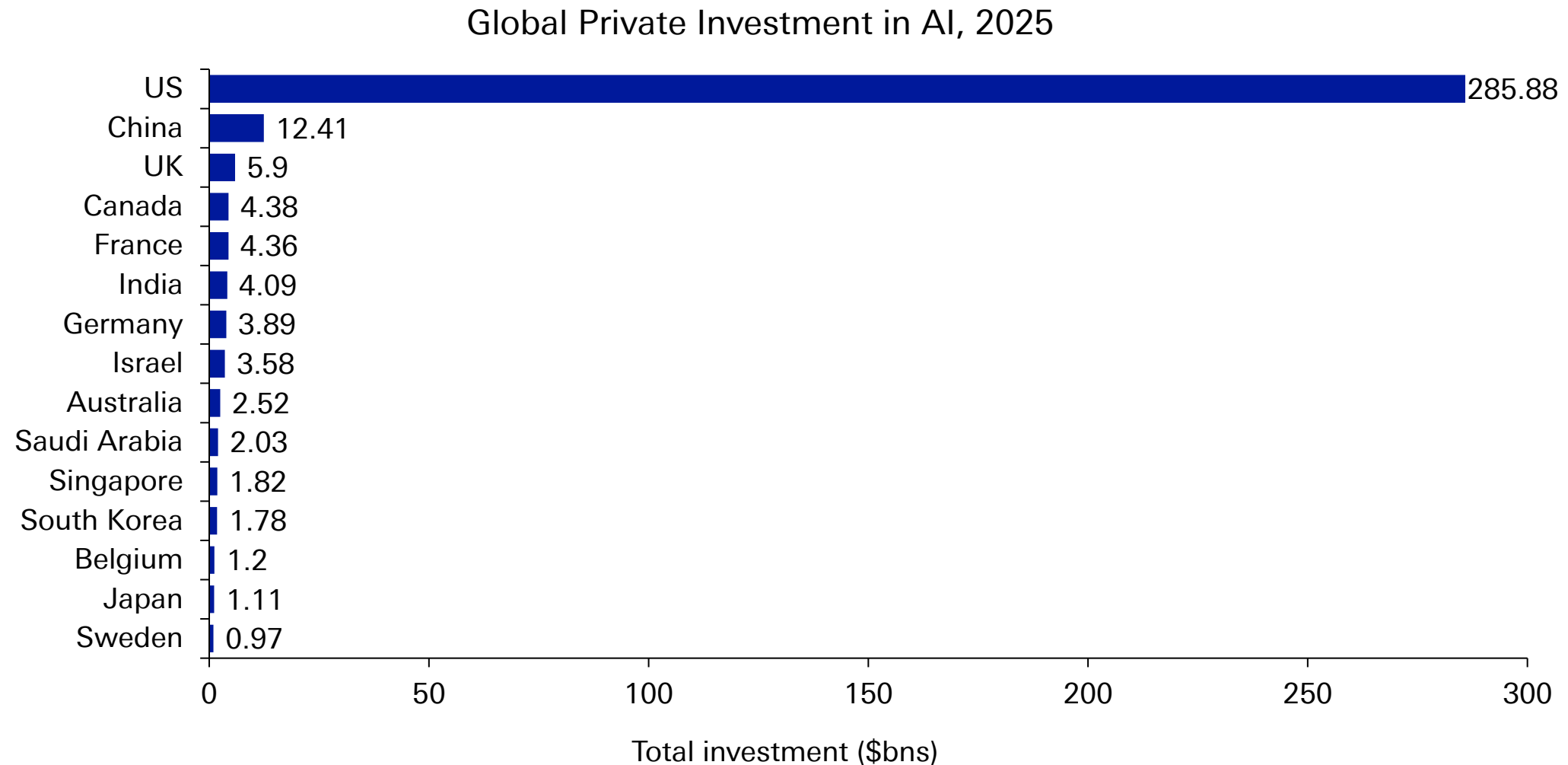


Source: Deutsche Bank, company reports.

Unparalleled access to private capital (around 20 times greater than the next-largest market) has helped finance the current wave of pioneering AI investment and innovation.



US private AI investment reached \$285bn in 2025, more 20x as much as in China

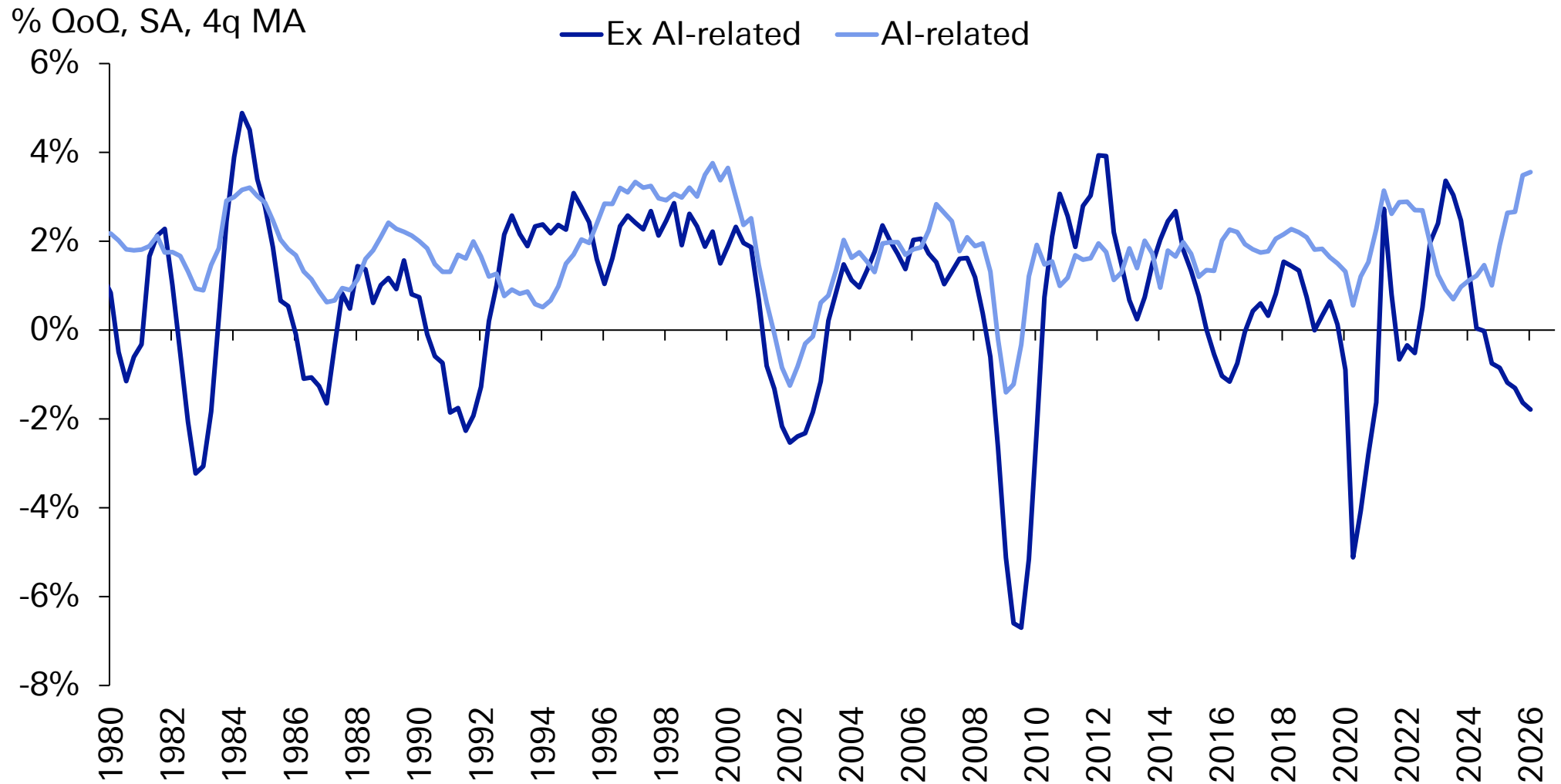


Source: Stanford University 2026 Artificial Intelligence Index Report, Deutsche Bank Research

But is this AI Capex crowding out non-AI investment?



US real private nonresidential fixed investment (Chn.2017\$)

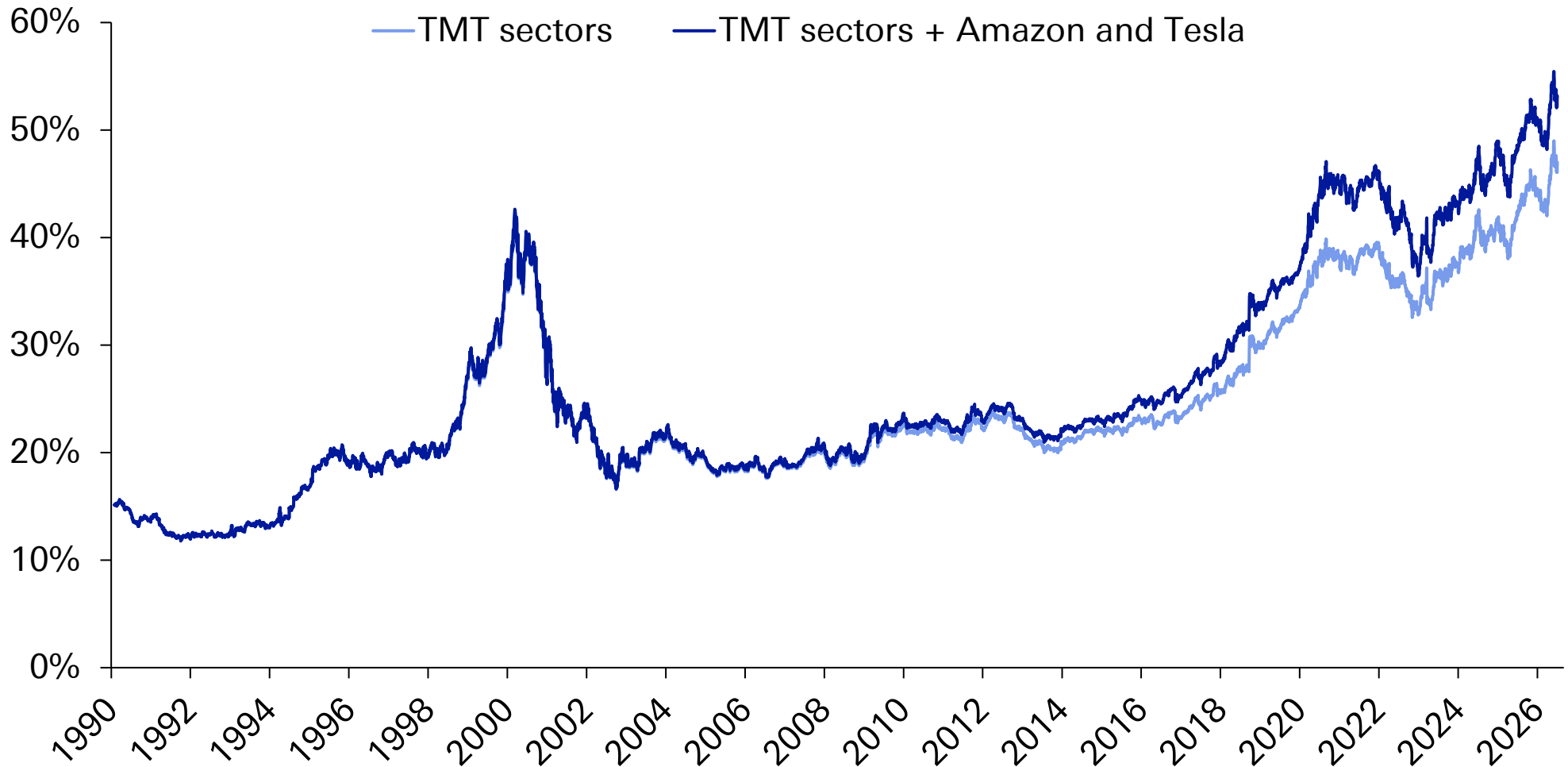


Source: BEA, Haver Analytics, Deutsche Bank. Note: includes information processing equipment, software, R&D and data centres.

This comes as TMT companies (mostly AI related) are now more than half of the S&P 500



Tech as a share of S&P 500 market cap

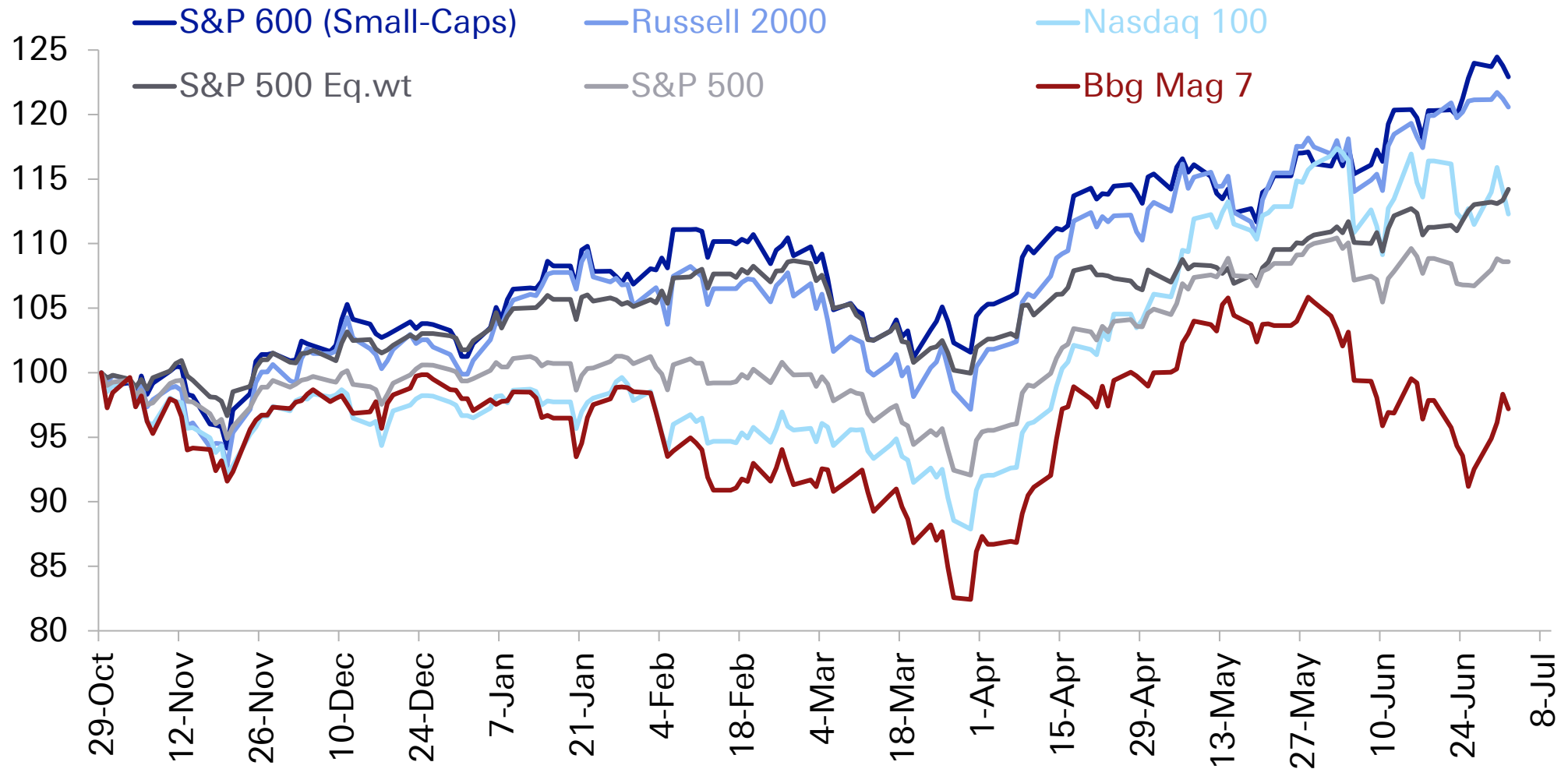


Source: Bloomberg Finance LP, Deutsche Bank.

However the S&P 500's leadership has changed, and the Mag-7 have underperformed in recent months...



Rotation away from large cap tech. US Index performance (Oct 29, 2025=100)

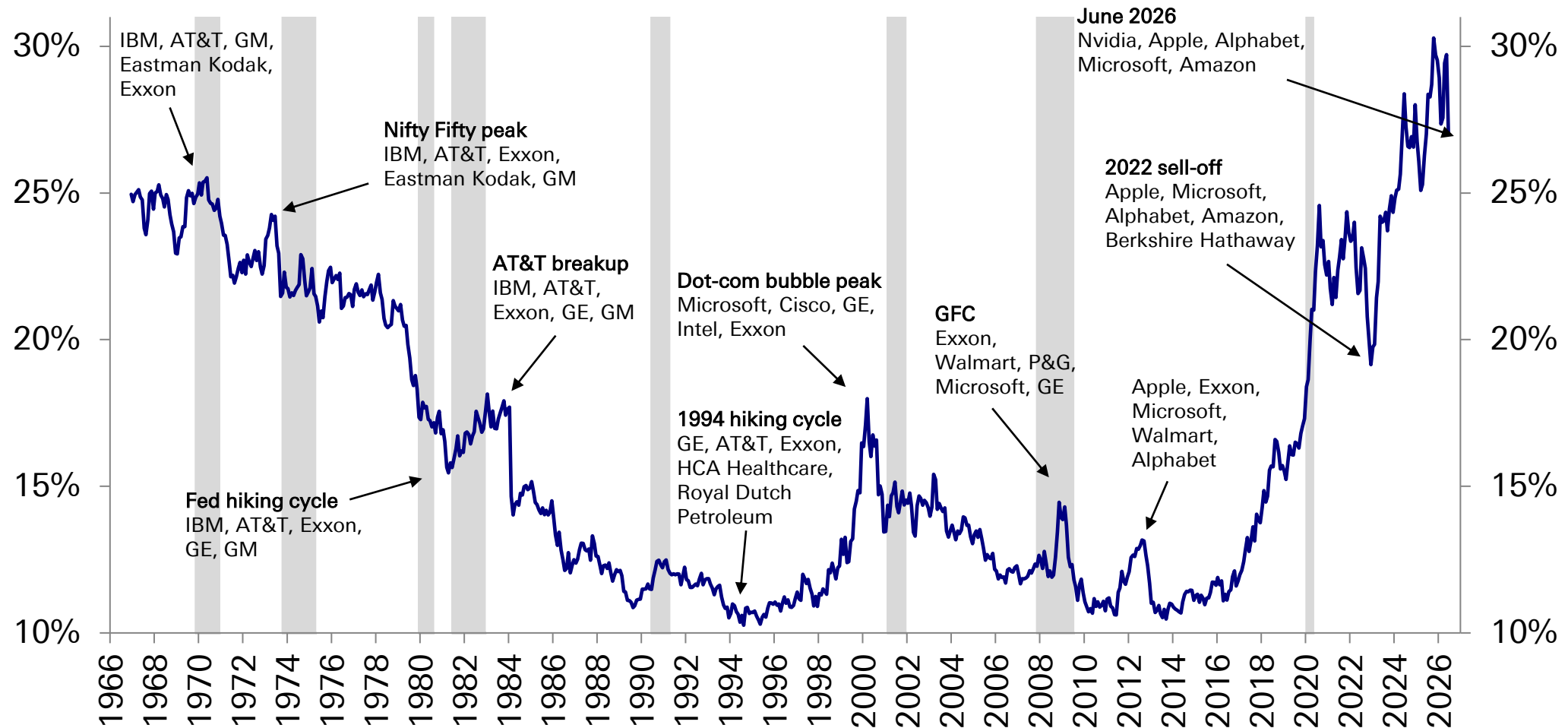


Source: Bloomberg Finance LP, Deutsche Bank., Last update July 3



This Mag-7 underperformance has meant the top 5 weighting in the S&P 500 has fallen since the peak in October last year and is back at the same level as it was 2 years ago.

Proportion of the S&P 500 made up by top 5 names by size

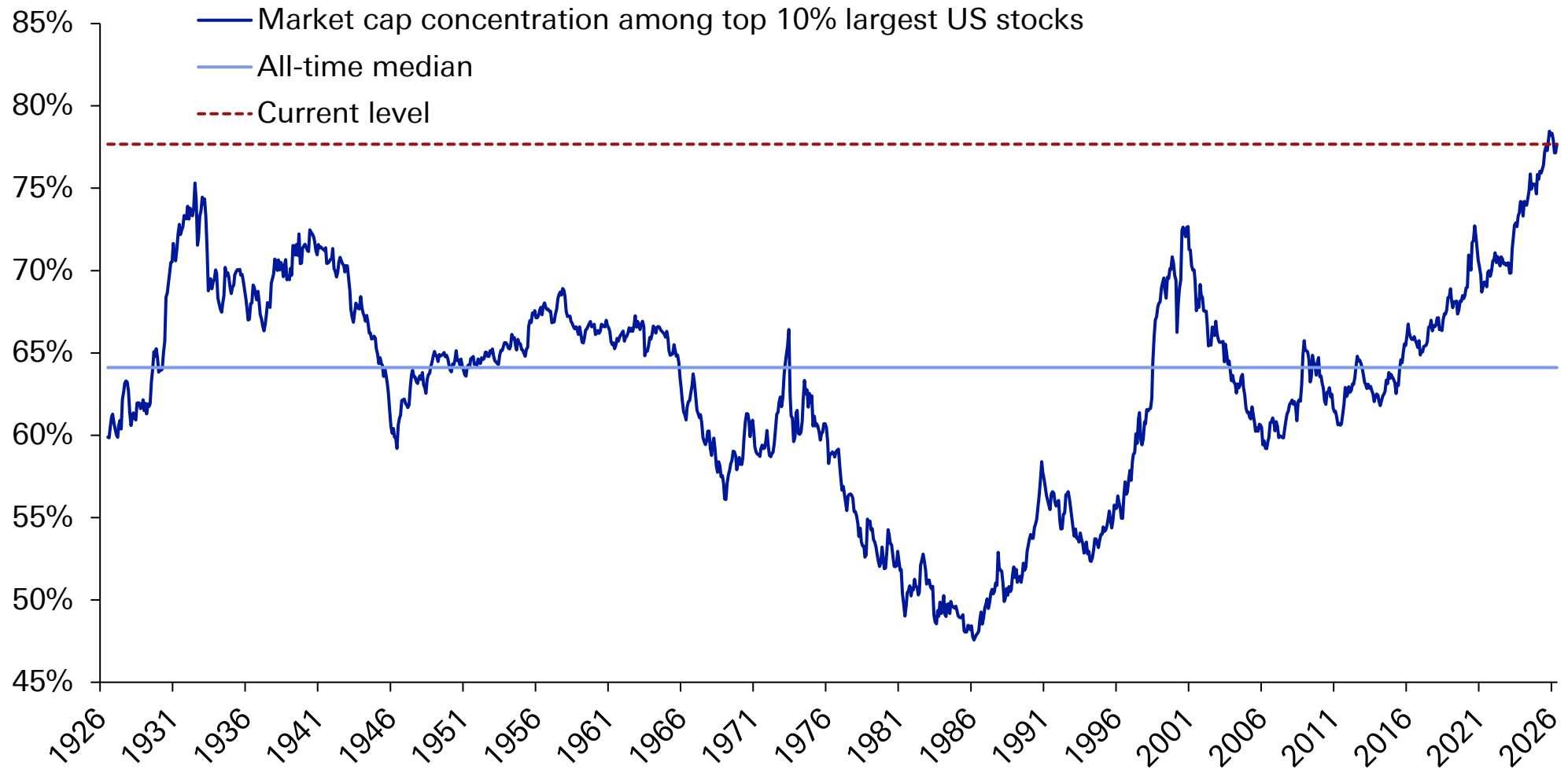


Source: Bloomberg Finance LP, Deutsche Bank. Note: as of June 30.



A similar trend can be seen for the top decile of companies in the whole of the US market, but it's closer to the record level of concentration, showing overall dominance of the wider mega caps beyond the Mag-7

Top 10% of stocks by size versus the entire US stock market



Source: Kenneth R. French database, Deutsche Bank. Note: as of May 2026.

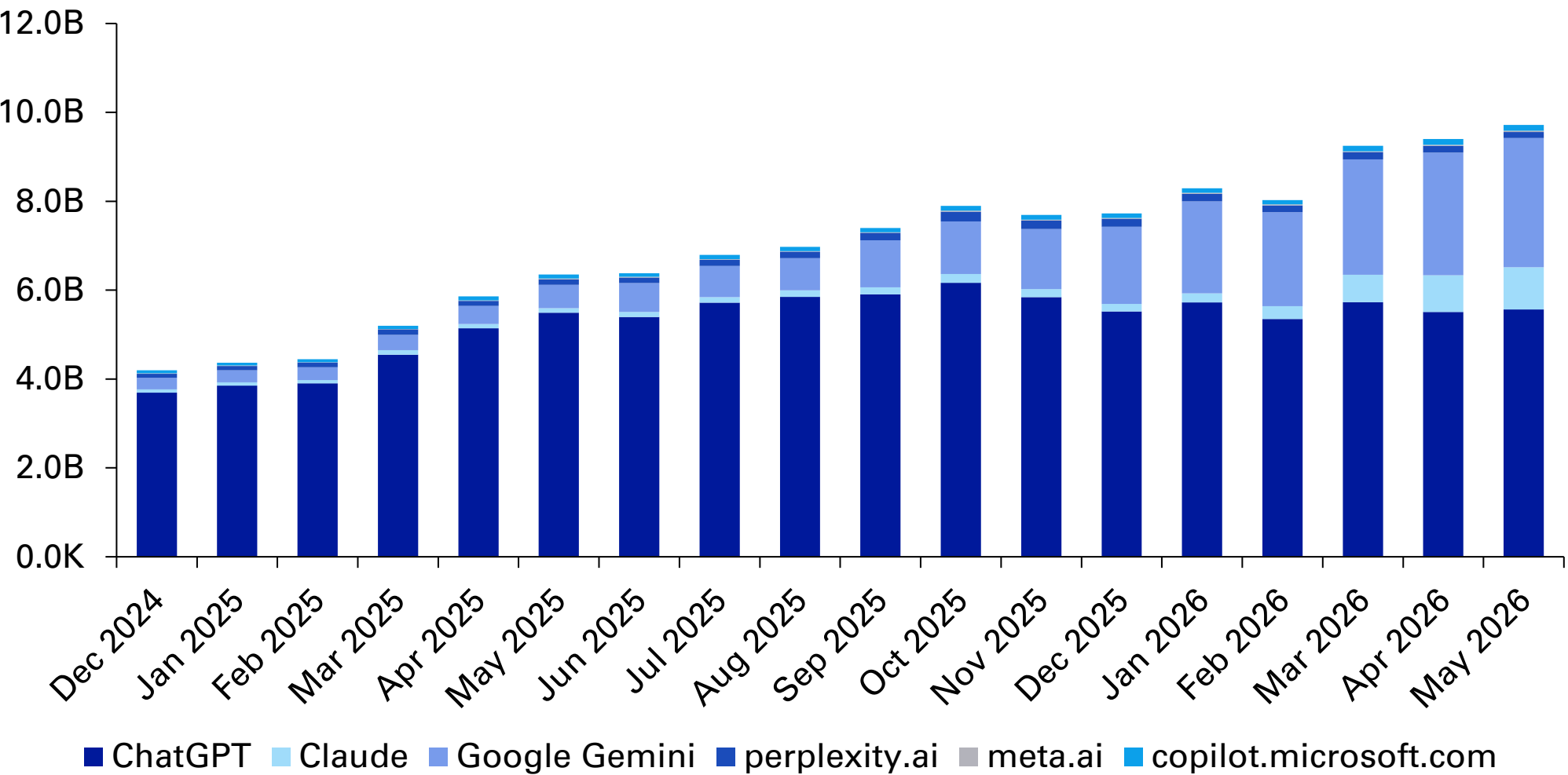


LLMs and jobs..

Visits to LLM sites continue to increase but ChatGPT, which is by far the most popular, is showing signs of losing visitors to the likes of Gemini and Claude...



Combined Top LLM Combined Visits

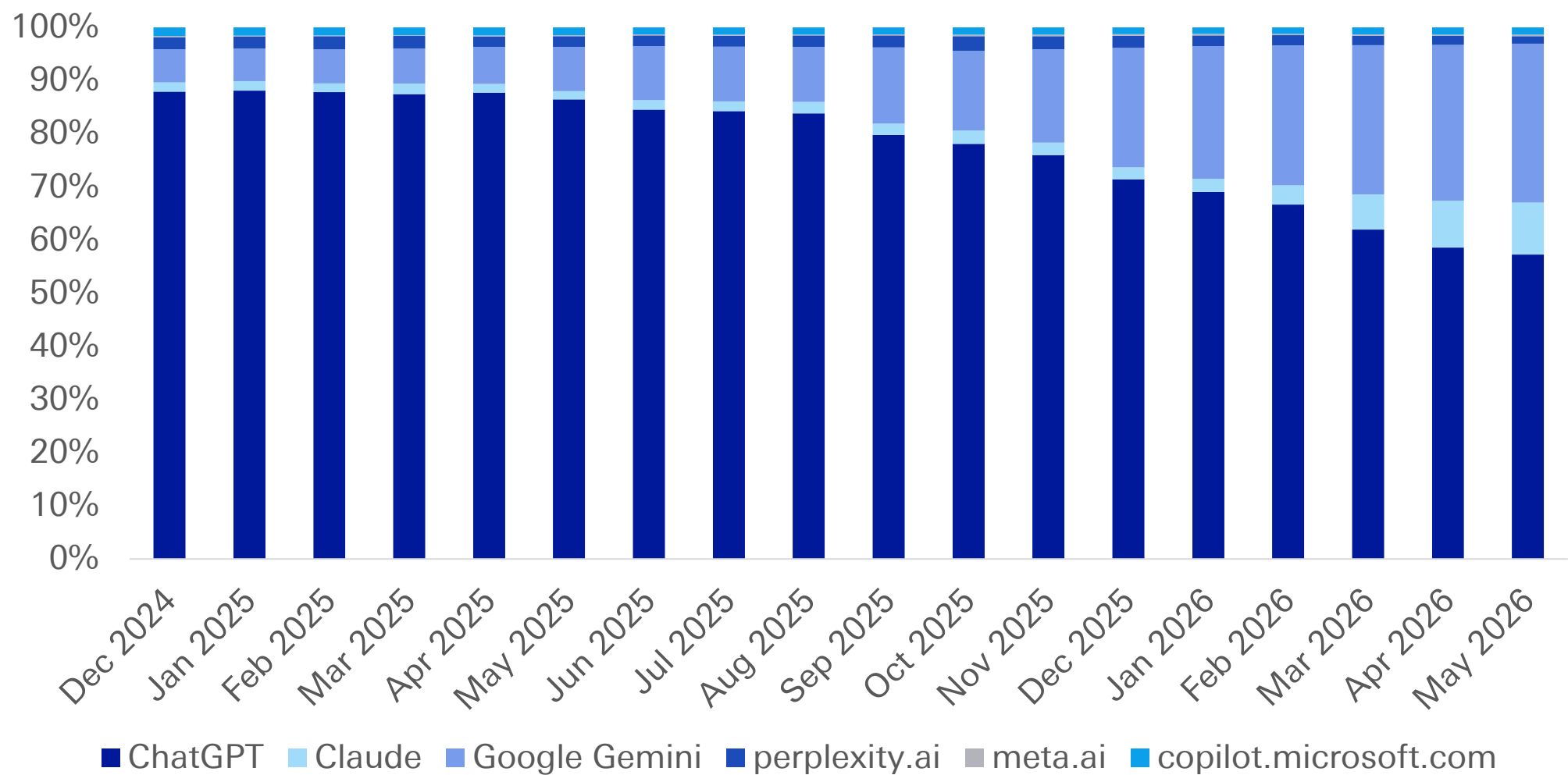


Source: Deutsche Bank Research, Similarweb

This changing market share can be seen more starkly here...



% Share of Total Top LLM Visits

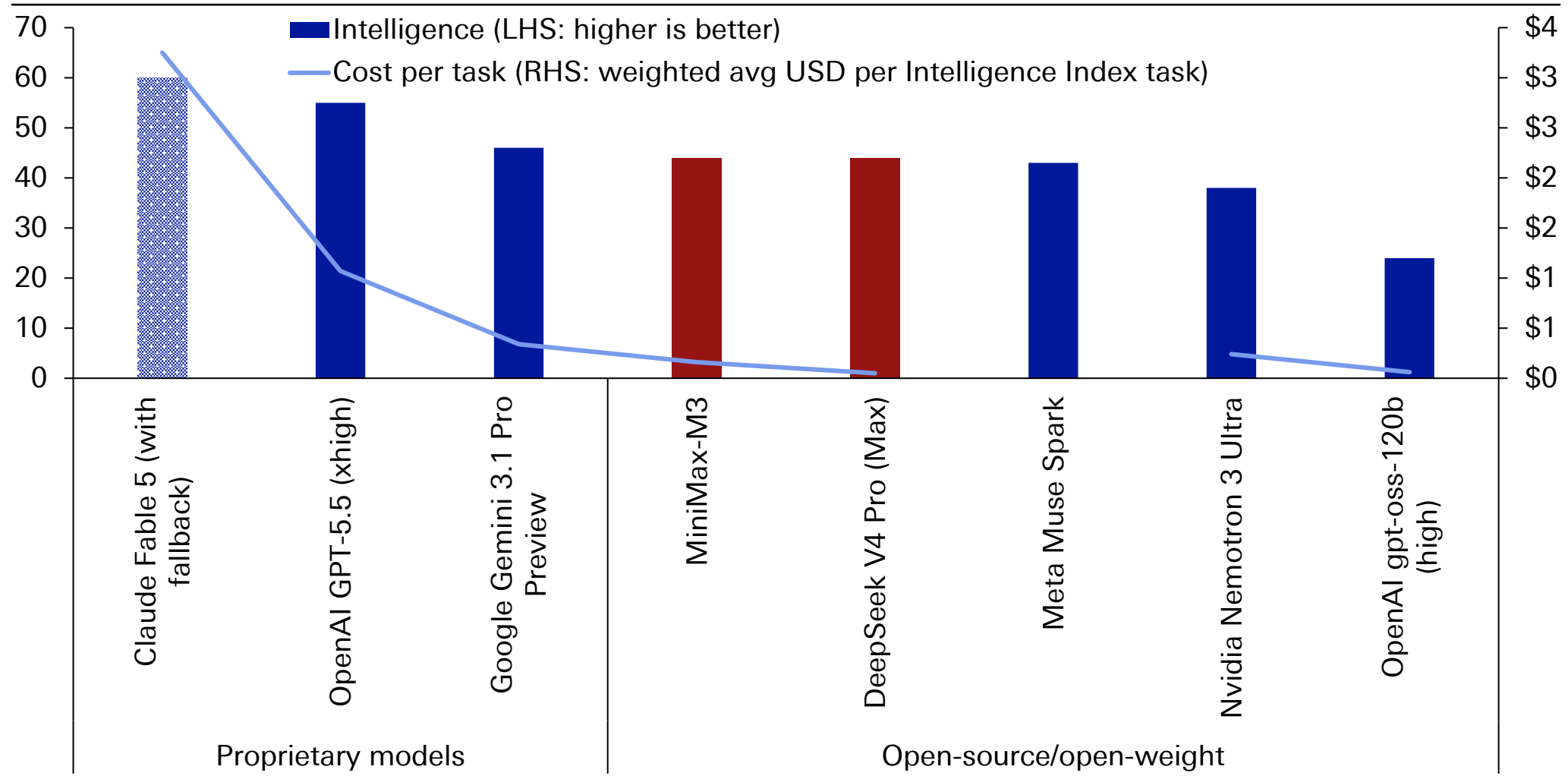


Source: Deutsche Bank Research, Similarweb

The cost of tokens for the frontier models is exponentially higher than still very intelligent mid-tier models.... This is one of the biggest challenges for wide enterprise adoption....



Cost of frontier and other models....

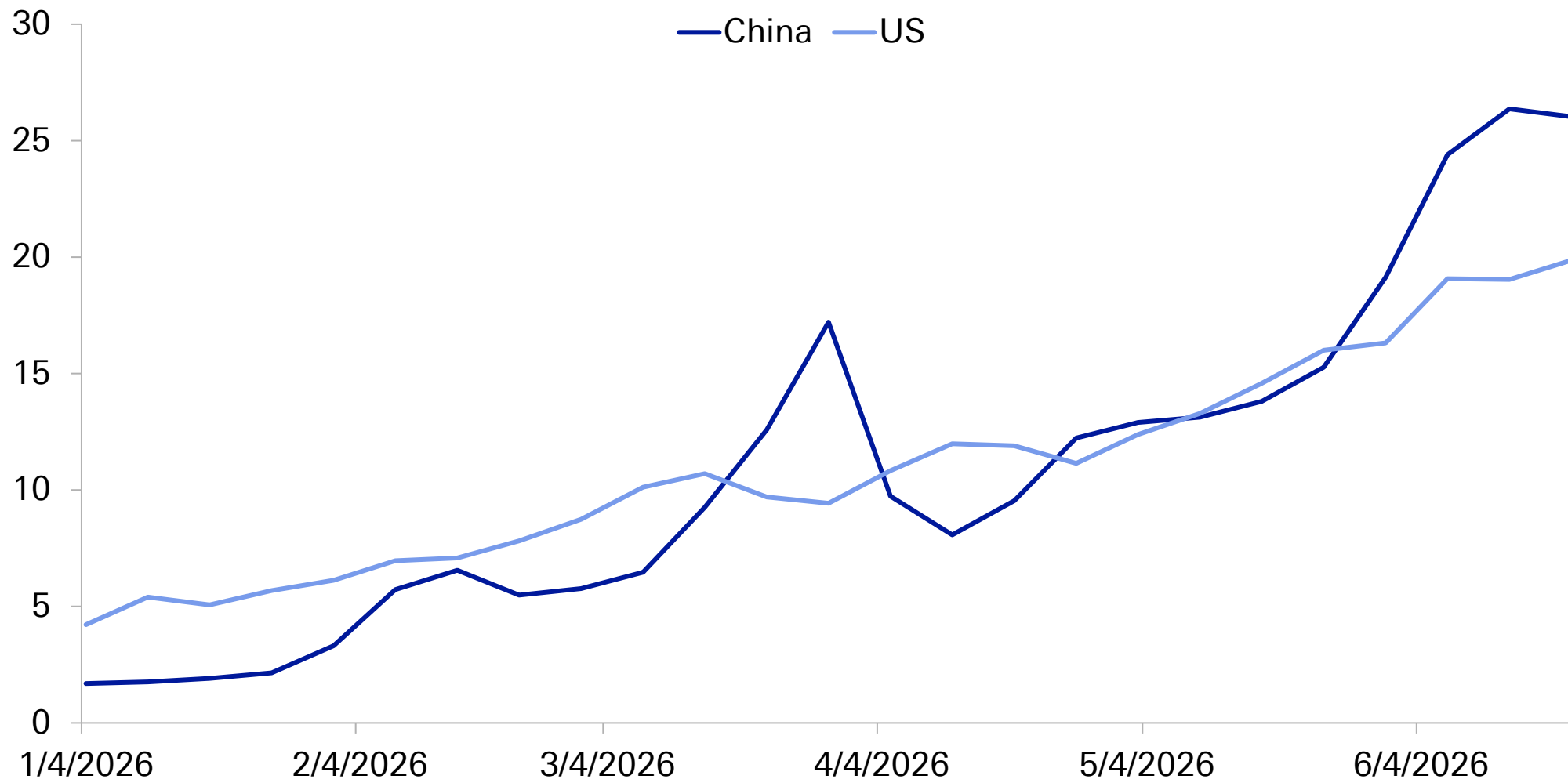


Source: Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

Weekly token usage of the top models on OpenRouter indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by cheaper Chinese models to 26. Interesting as enterprise grapples with surging token costs. For more see Adrian Cox's piece on what the current AI IPO wave means for the sector and broader markets [here](#)



The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion).

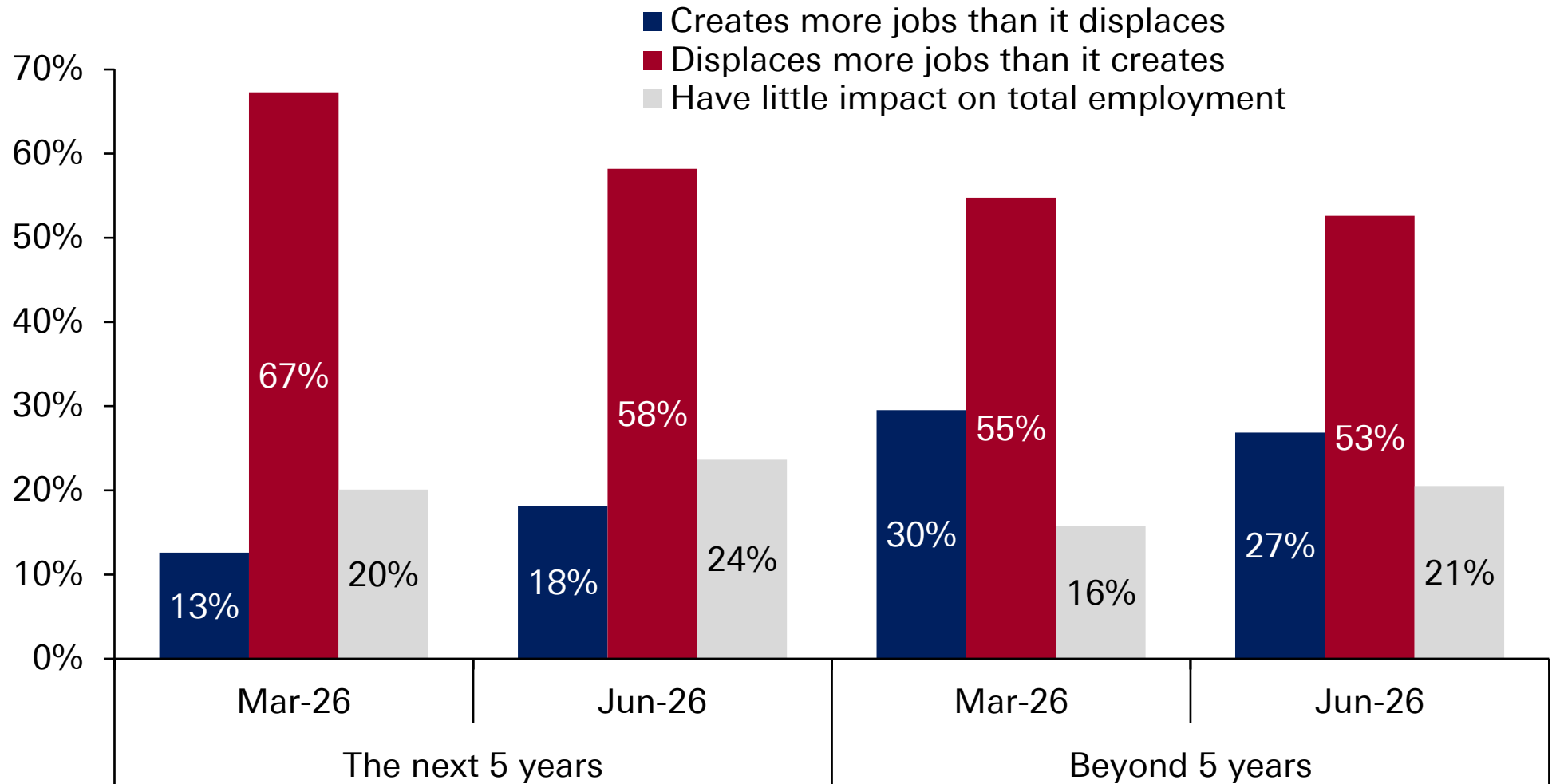


Source : OpenRouter, Deutsche Bank Research

Market sentiment on AI's impact on jobs remains pessimistic, but we saw a small improvement in our June versus March survey.



For the following time horizons, which best describes your expectation for the AI's impact on employment? Assume a scenario where AI adoption stays on its current trajectory. AI will...

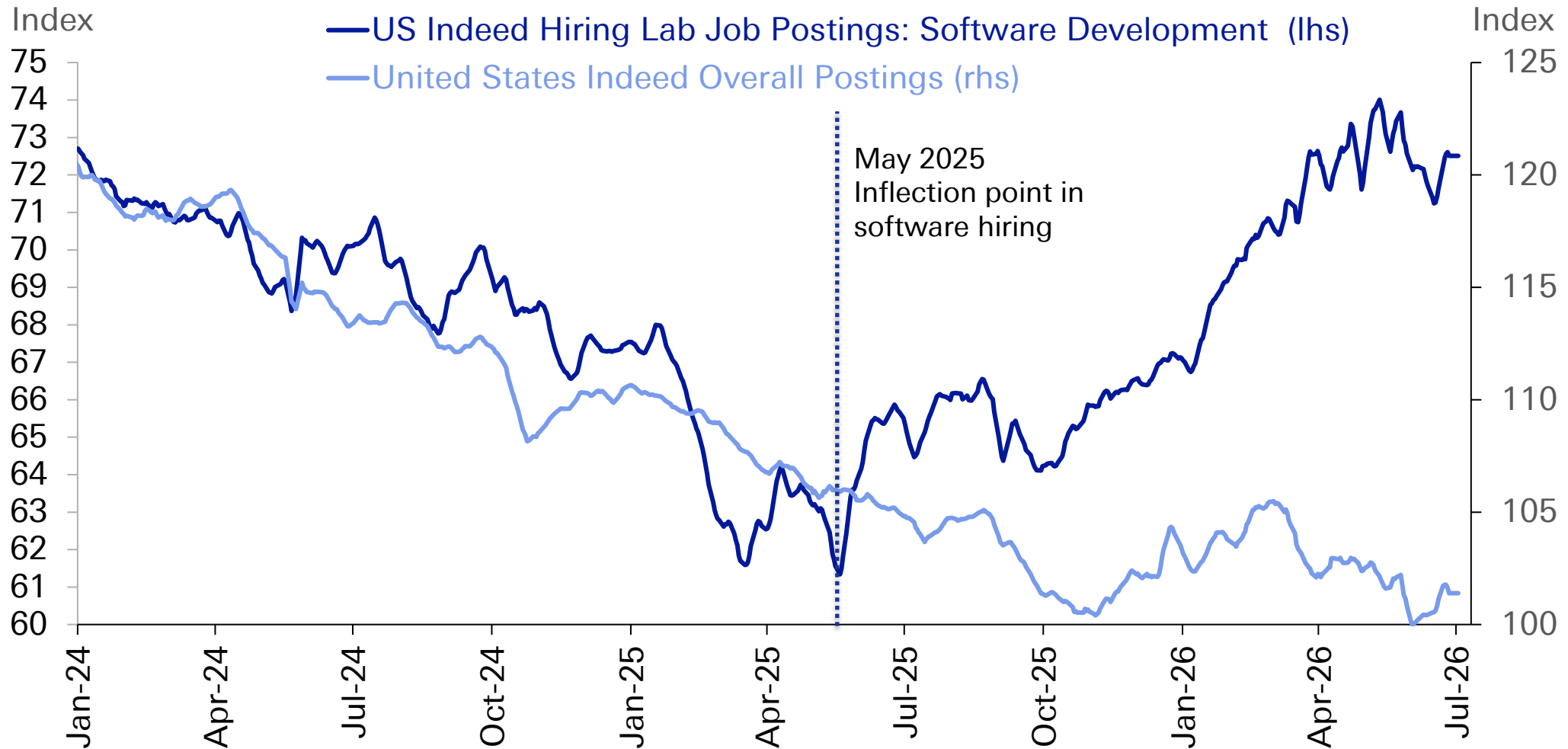


Source: dbDataInsights Survey, Deutsche Bank Research

However as an example so far, AI has made software jobs more valuable rather than cause displacement



US Indeed Lab Job postings



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

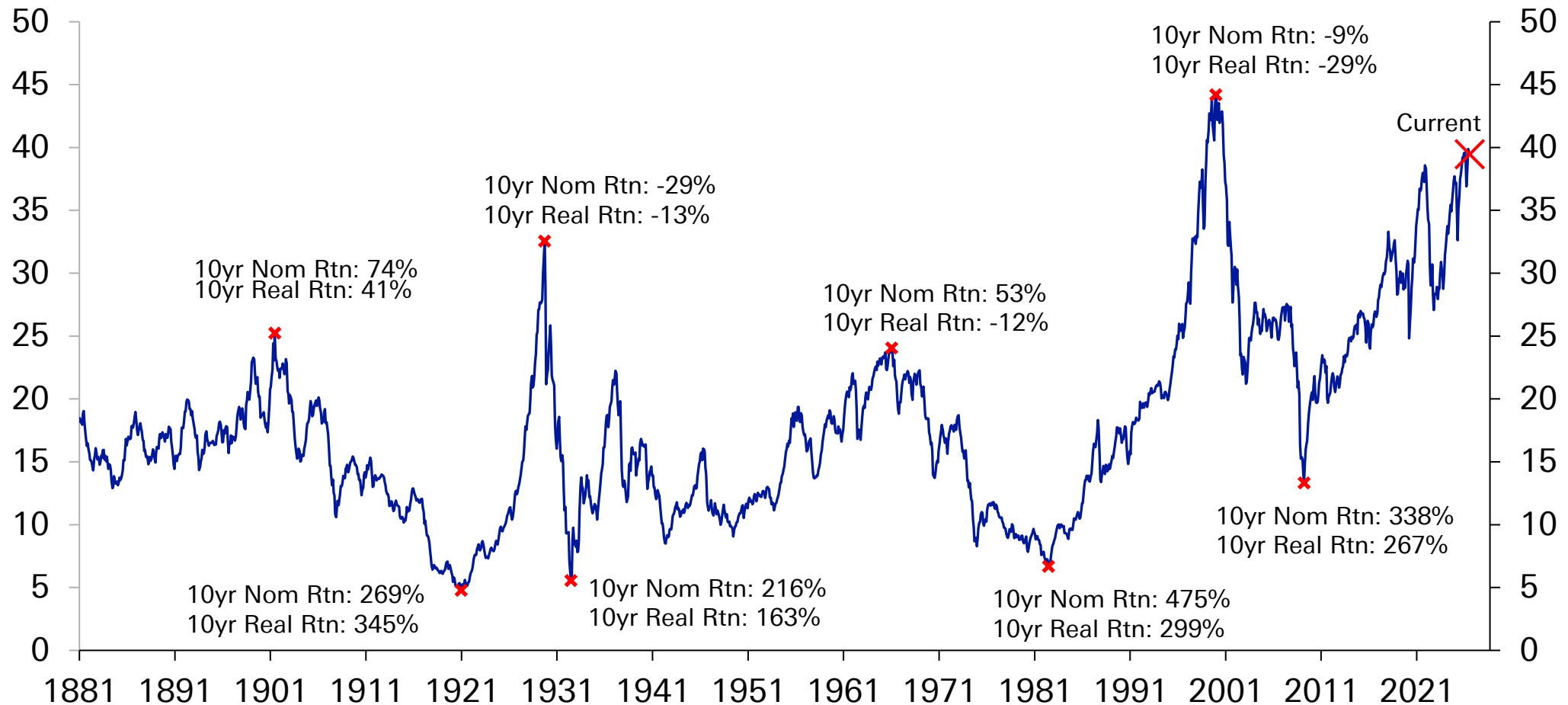


Partying like its 1999...

We remain close to the most expensive US equity valuations in history seen back in 2000. This measure looks at rolling 10yr real earnings to try to eliminate cyclical... The bulls would say this will fall as the breakout in tech earnings continues...



S&P 500 Cyclically Adjusted Price Earnings Ratio

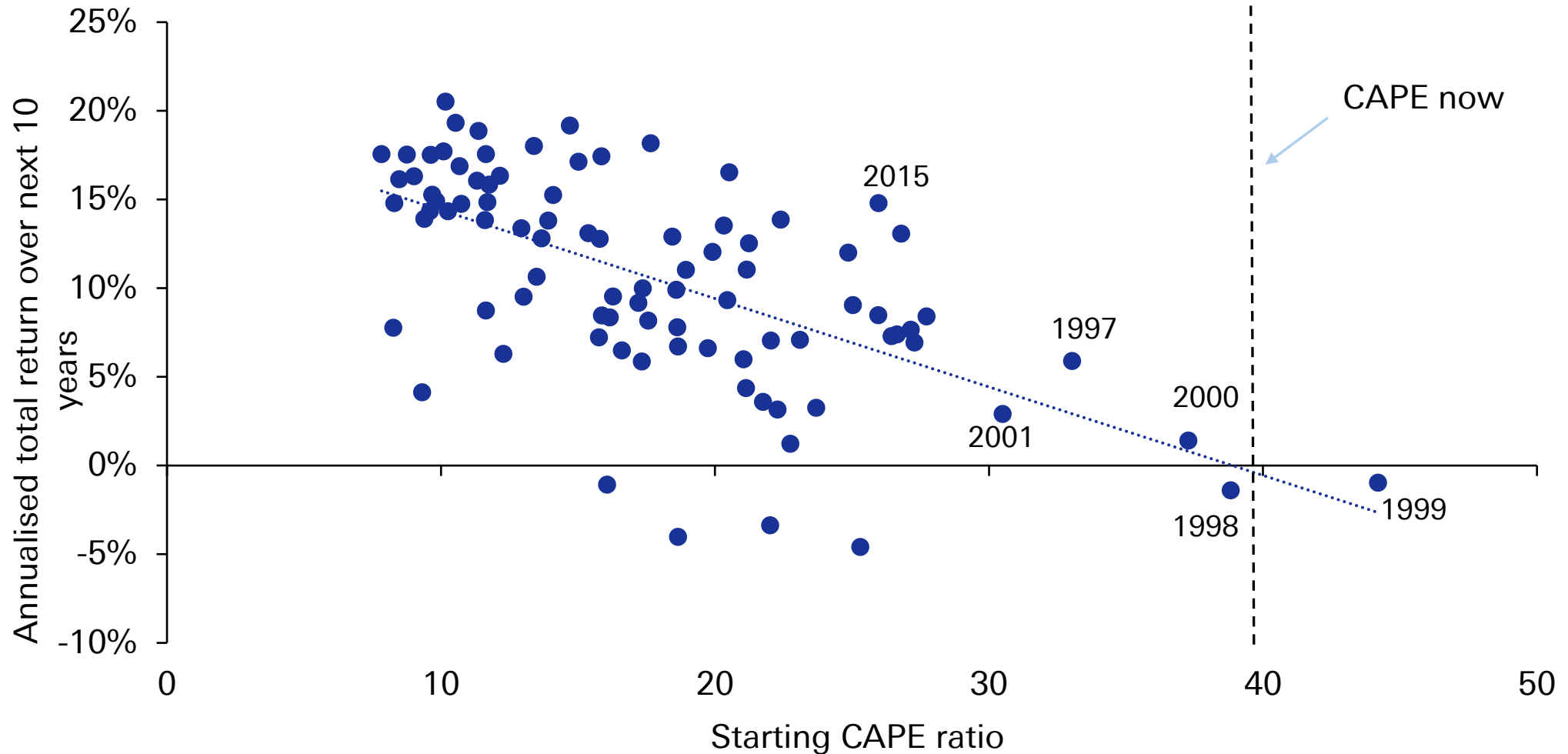


Source: Robert Shiller, Deutsche Bank.



When the CAPE ratio has been as high as the current starting point, subsequent returns have been very weak... however, there's a small sample size around the dot com bubble, and the subsequent decade included the GFC... As a minimum though starting valuations have correlated well to next 10-year returns...

CAPE Ratio since 1927 and annualised S&P 500 total return over the next 10 years



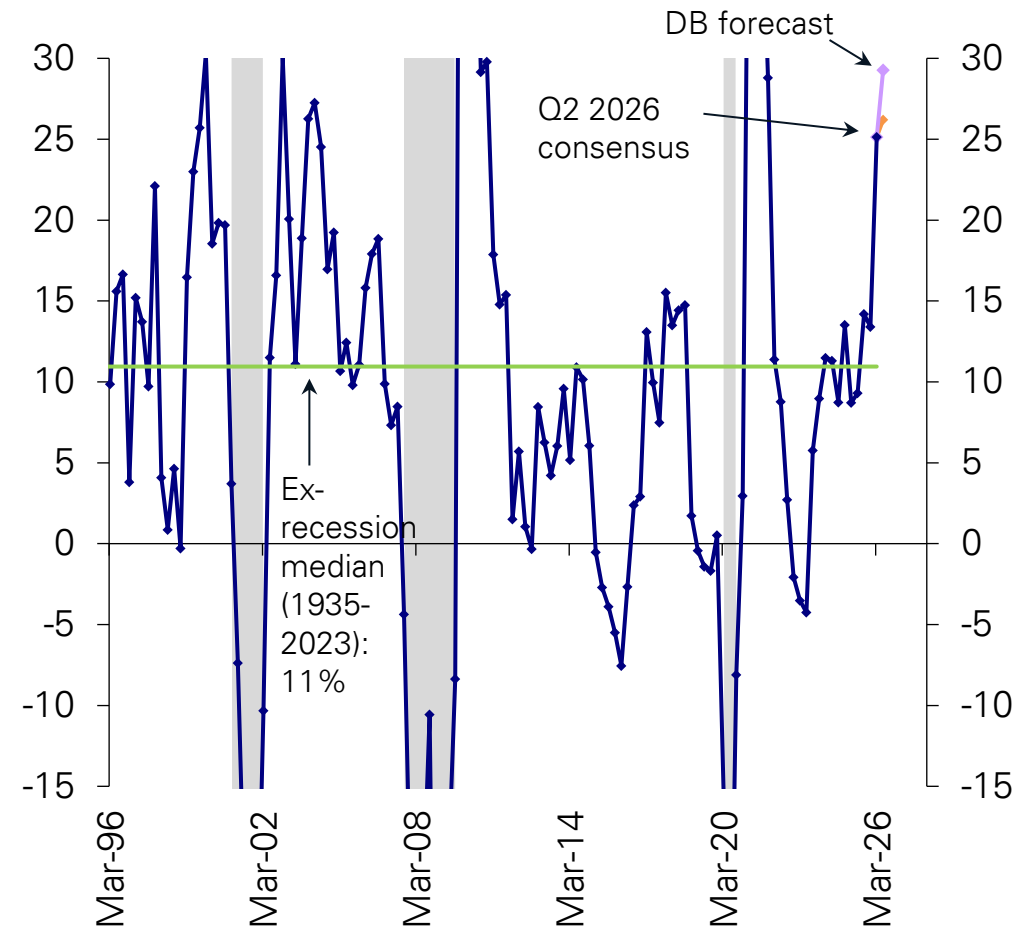
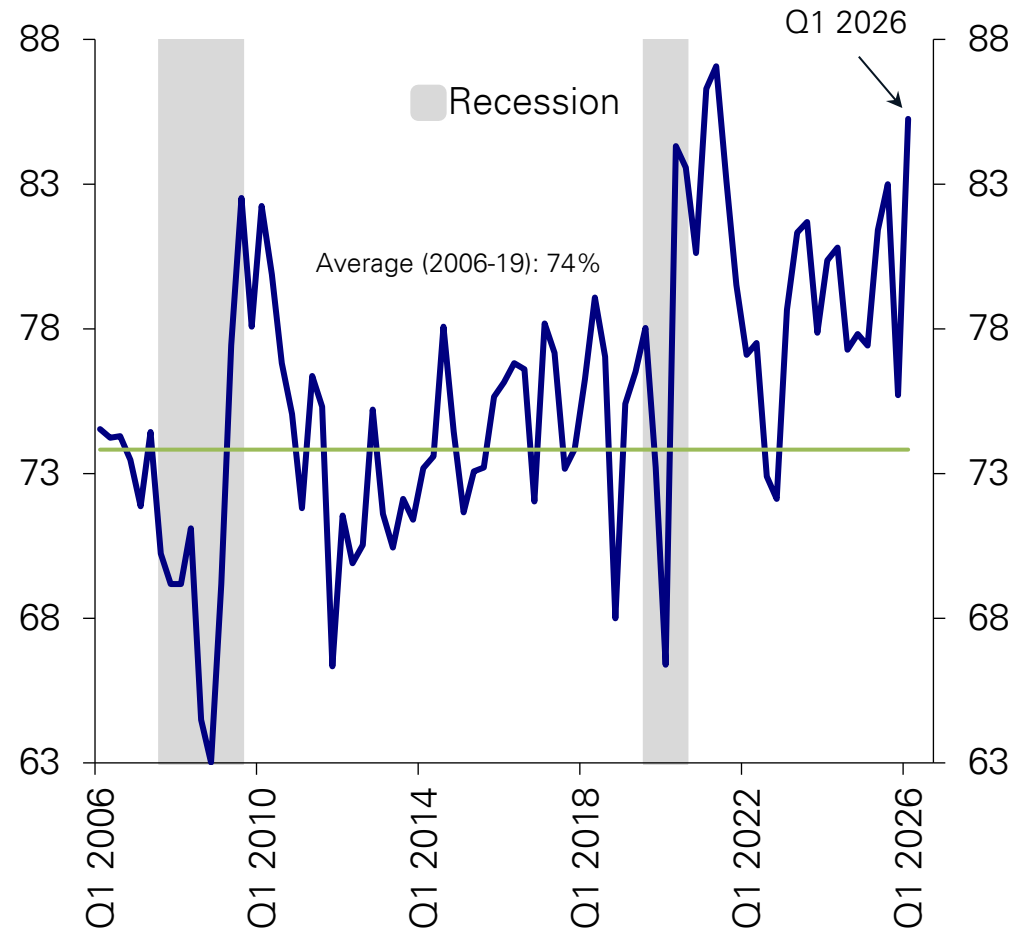
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank

The bull case would be a breakout in earnings. According to our equity analysts, Q1 was arguably the best non-recessionary bounce-back earnings seasons in around 30 years.



Proportion of S&P 500 beating earnings estimate (%)

S&P 500 quarterly earnings growth* (% yoy)



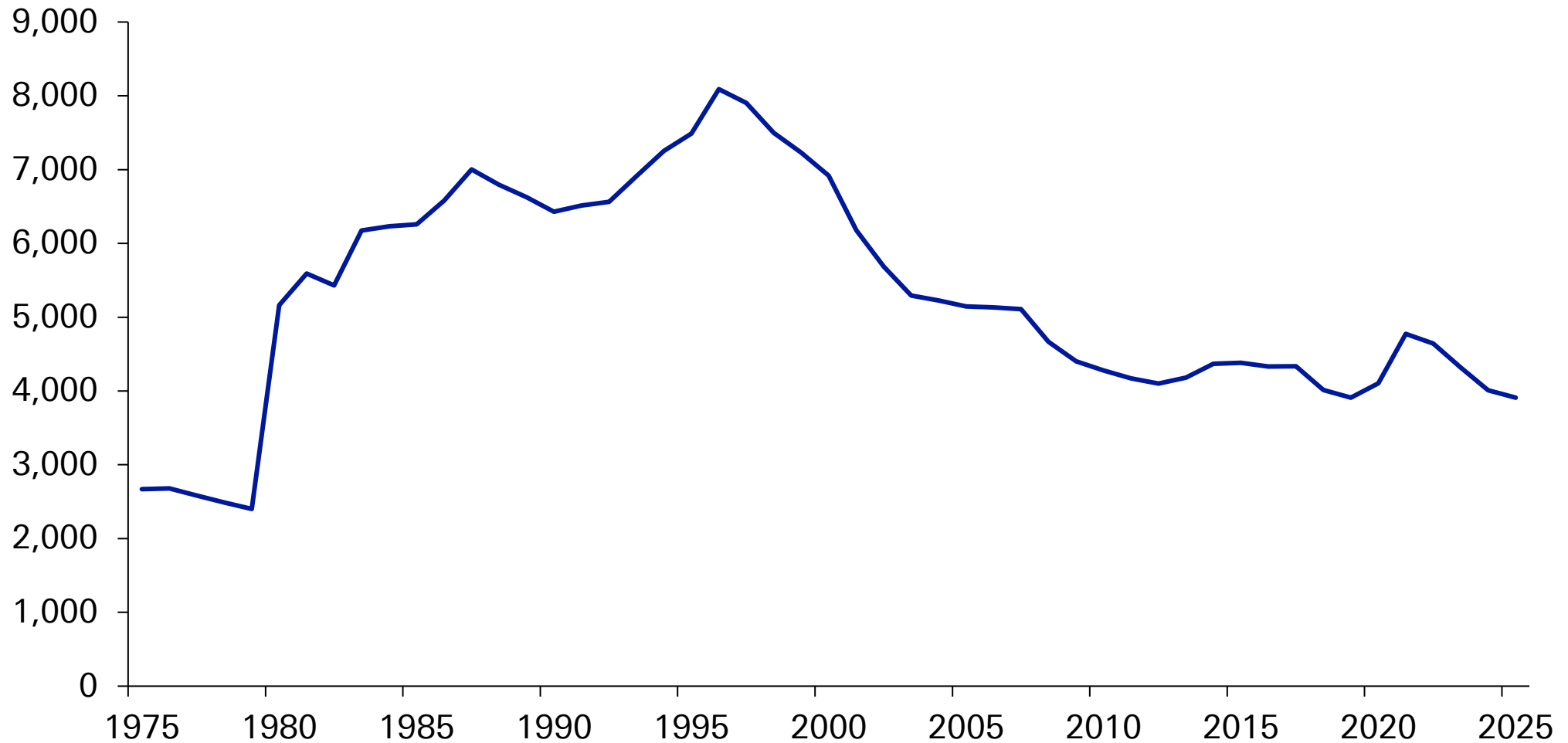
*Excluding 2018 tax cut

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut

This is a different equity market to the late 1990s. The number of listed companies is now the lowest since the early 1980s. Private markets have impacted this.



Number of listed domestic companies in the US

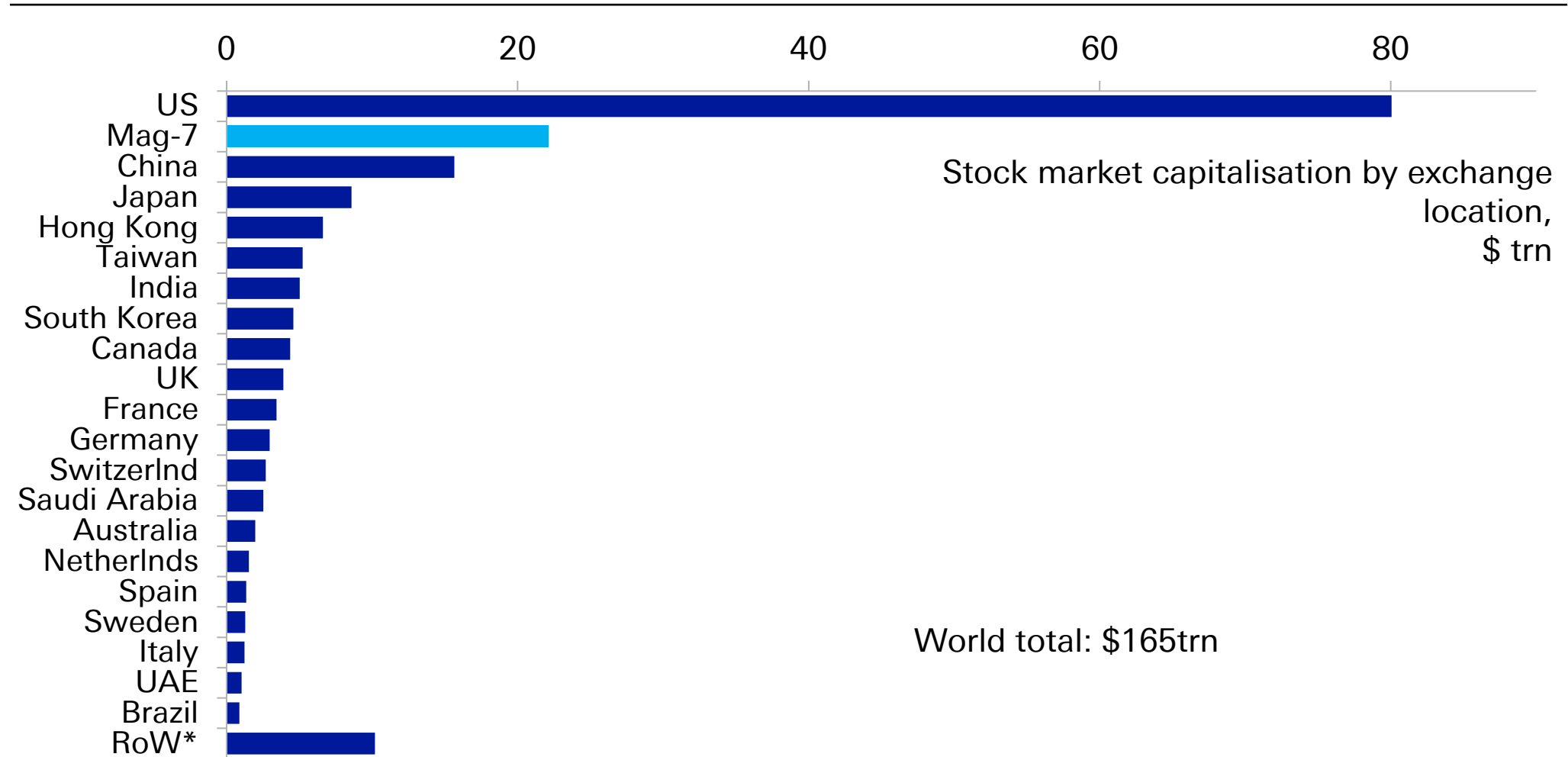


Source: World Bank, Deutsche Bank.

The US now accounts for almost half of global equity market capitalisation, despite representing only around 25% of global GDP and roughly 4.5% of the world's population.



The US accounts for nearly half of the world's public stock market capitalisation



Source: Bloomberg Finance LP, Deutsche Bank Research; Data as of 1st July 2026* Rest of World comprises of a further 62 country exchanges



Rest of the World vs US equities

The World Ex-US equity index was flat for 17yrs until 2025.
Since then we've seen large gains...



iShares MSCI ACWI ex U.S. ETF

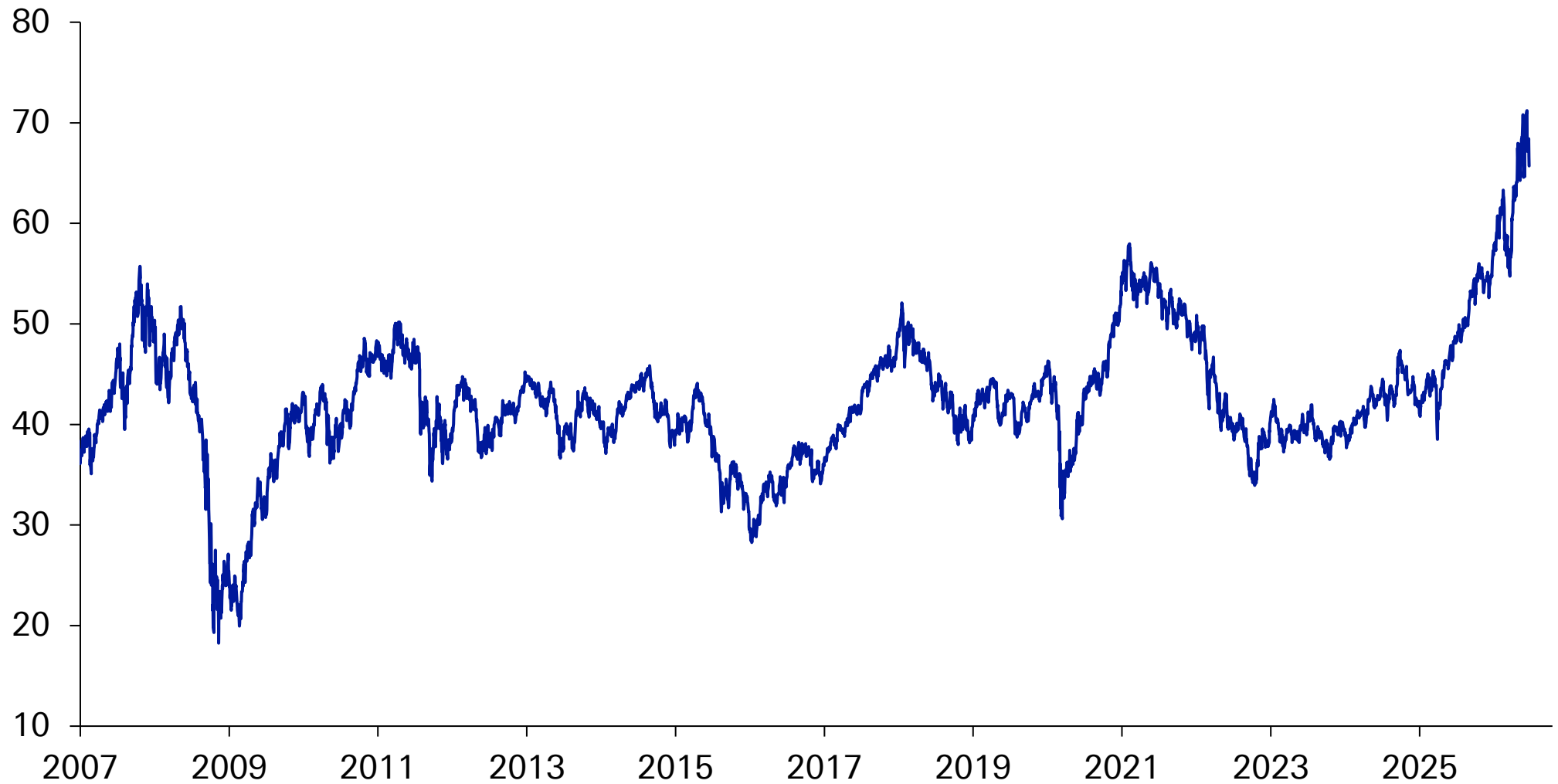


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

It's a very similar story for EM equities...



iShares MSCI Emerging Markets ETF

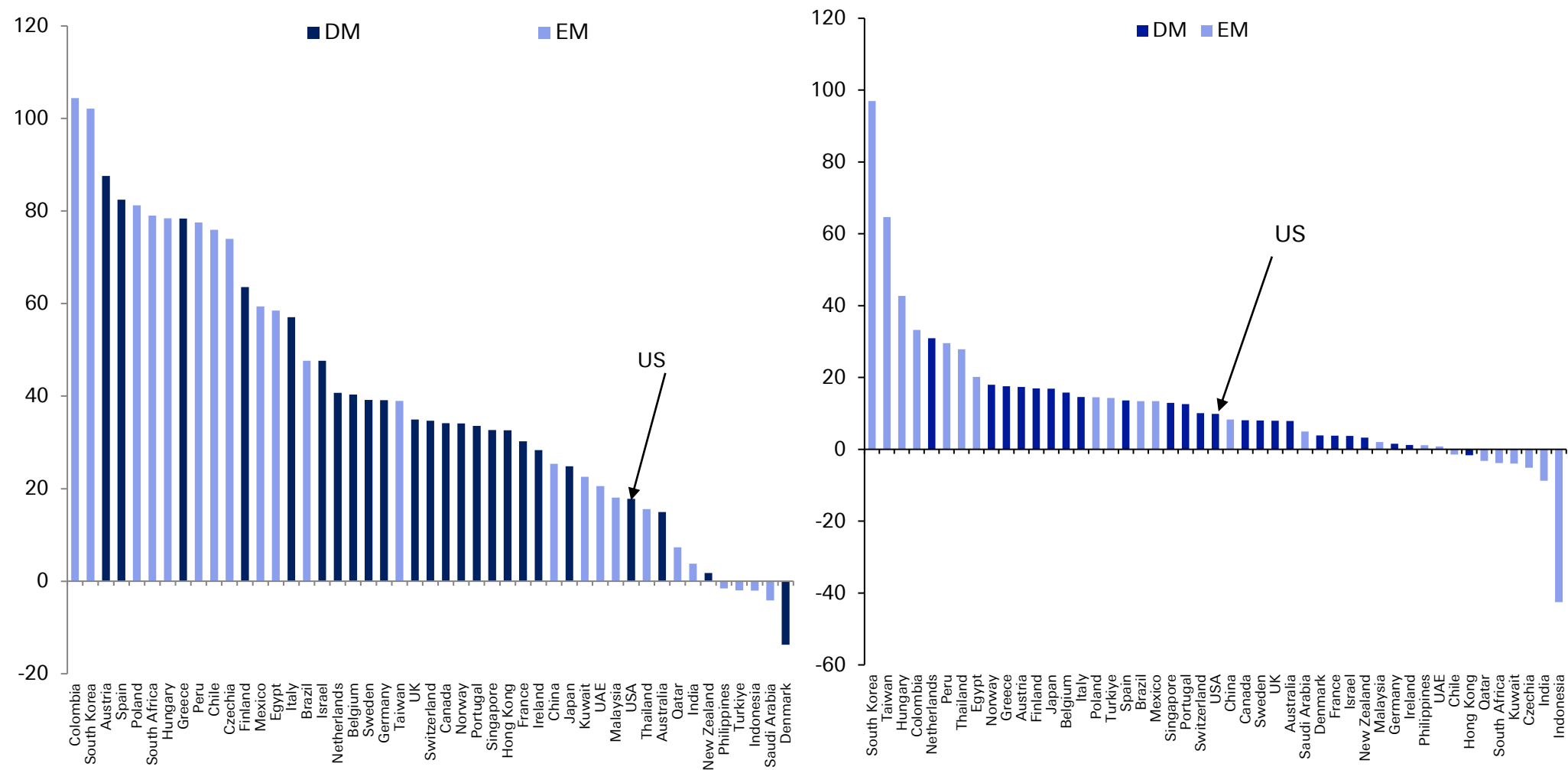


Source: Bloomberg Finance LP, Deutsche Bank; Last update: July 3

Even if it feels US equities are surging, note that last year their returns were in the bottom quartile globally and this year they are around half-way in the global rankings. So good returns but not the global leader it was pre-2025



Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

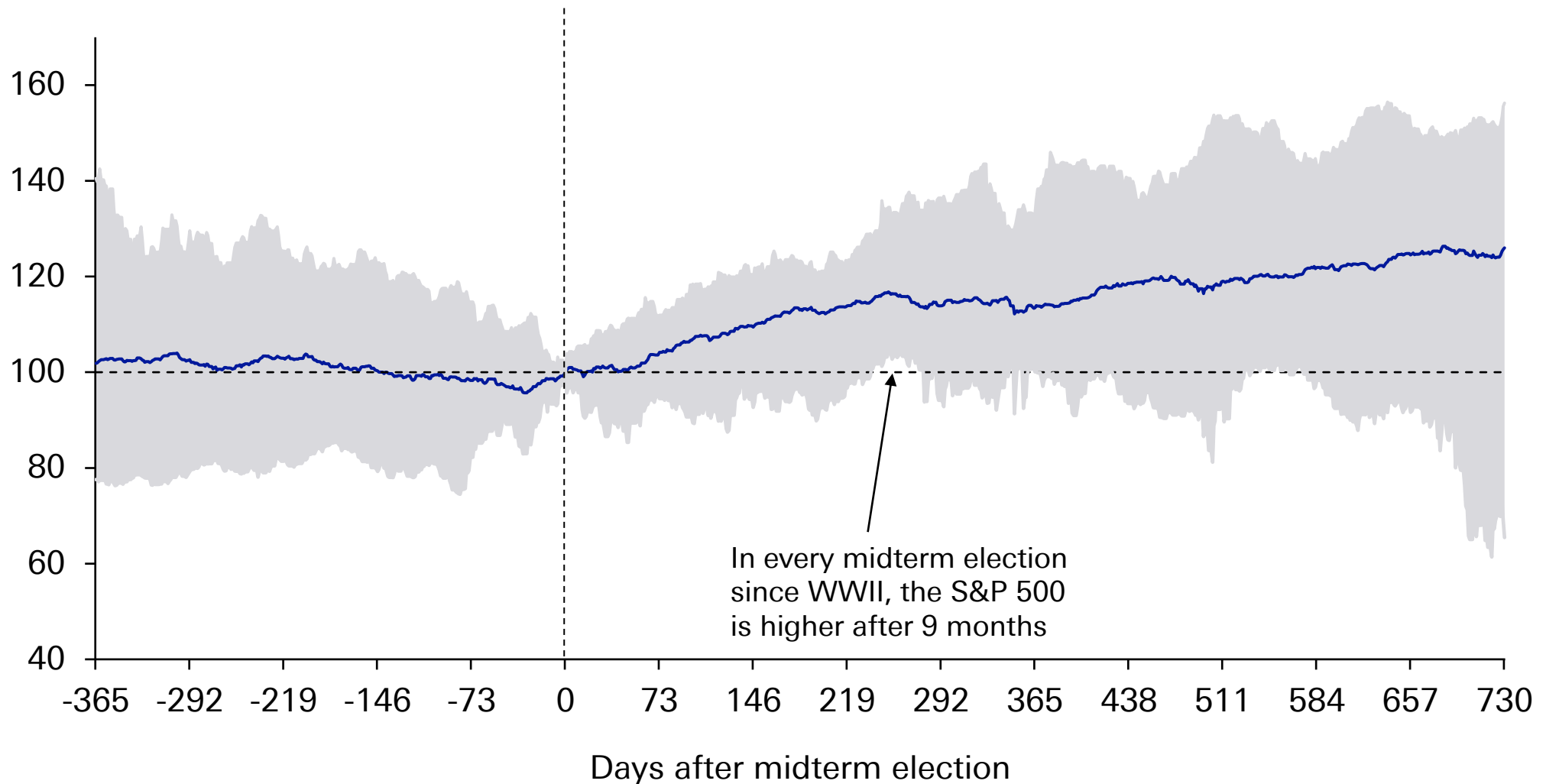


Source: Bloomberg Finance LP, Deutsche Bank, Note: 2026 YTD is updated through July 2

There could be support for the US to come. The S&P 500 has a strong record after midterm elections... in the 20 midterm elections since WWII, the S&P 500 has risen after 9 months every single time...



Average S&P 500 Performance after midterm elections since WWII (with range)



Source: Bloomberg Finance LP, Deutsche Bank

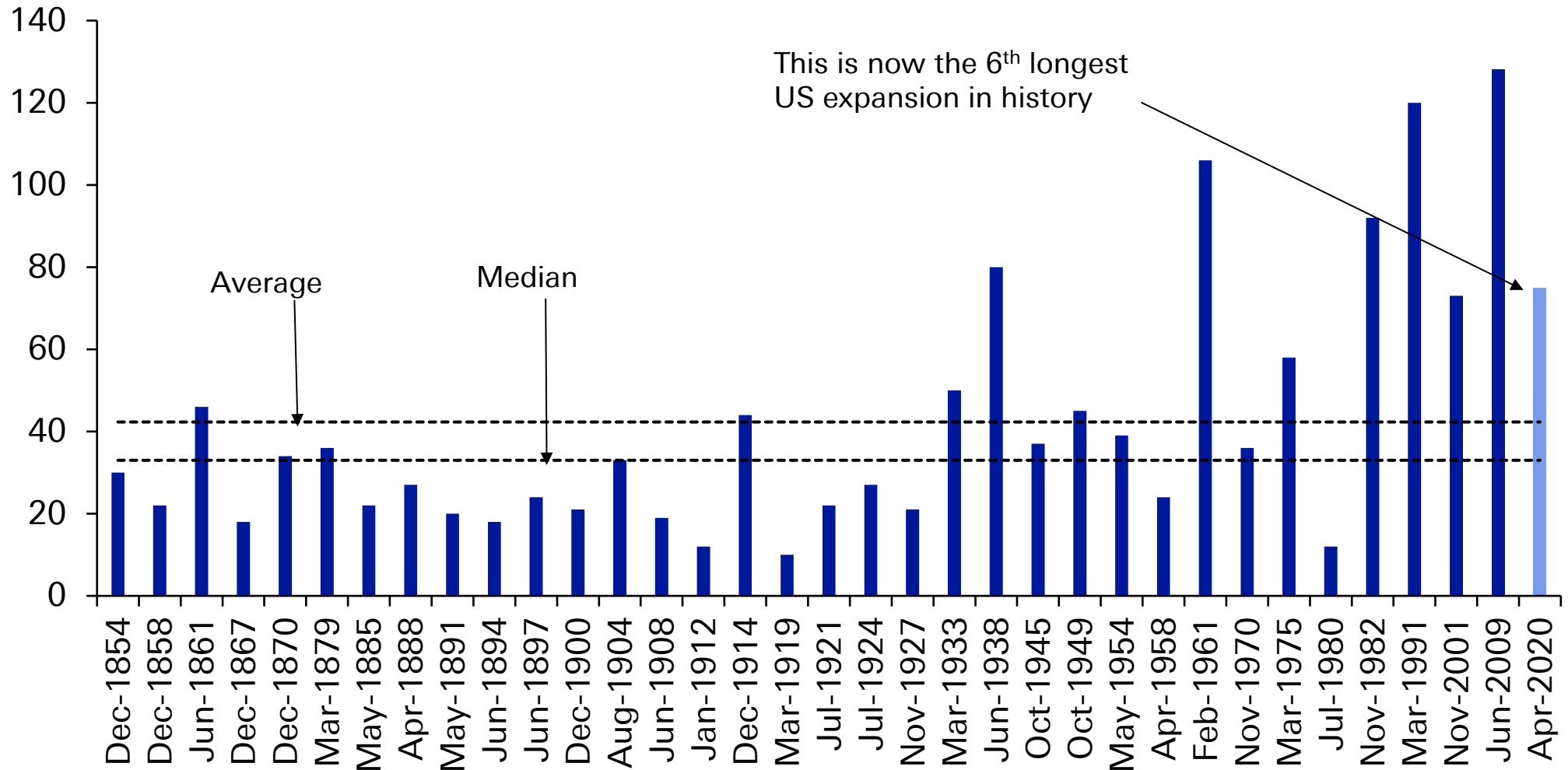


The US economy needs rate hikes... but...

All of a sudden this US cycle is the 6th longest in history. It will enter the top 5 if we avoid a 2026 recession



US Business Cycle Expansion Length (Months)

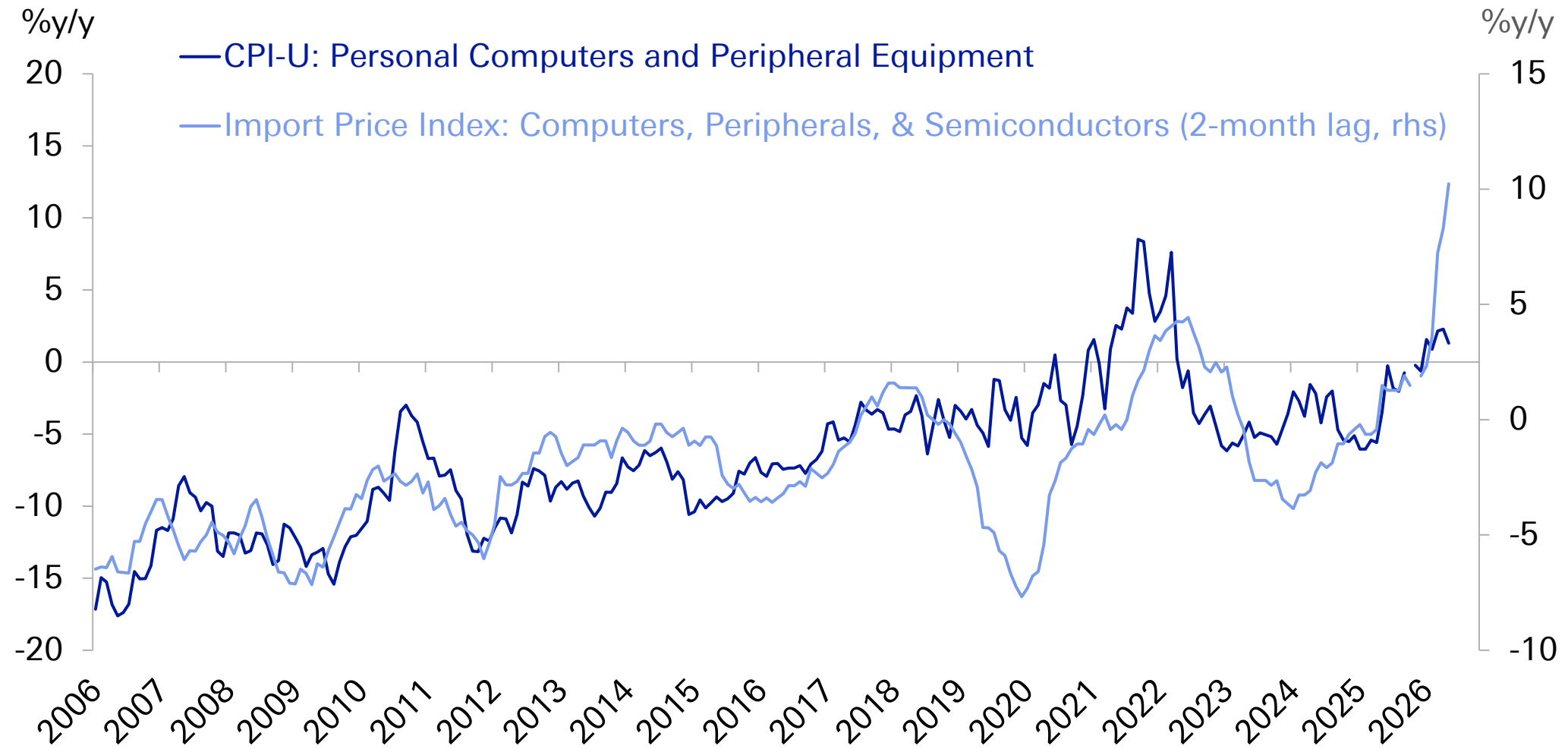


Source : NBER, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 1



AI is impacting inflation

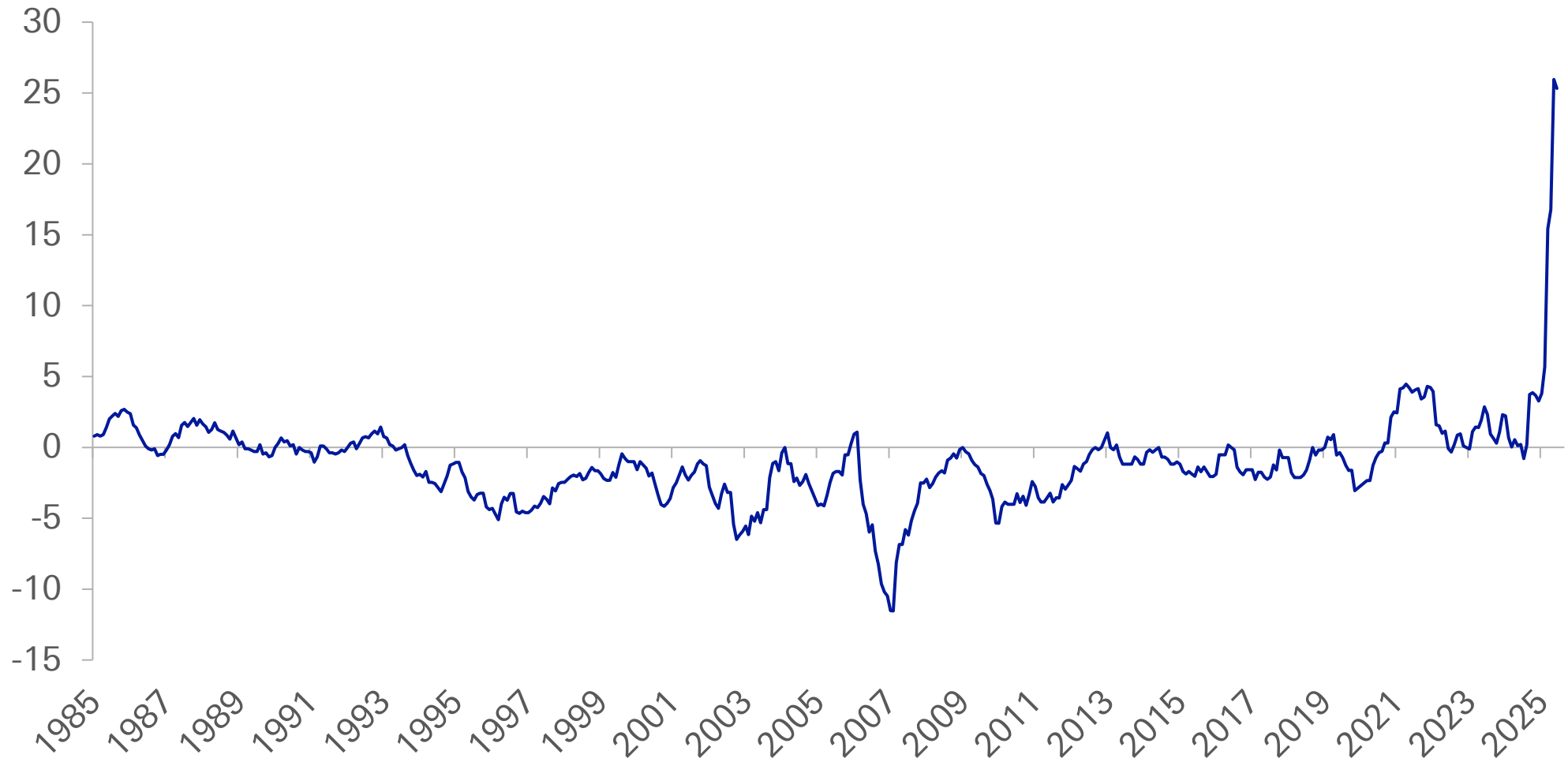


Source: BLS, BEA, Haver Analytics, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 2



PPI: Semiconductor & Other Electronic Component Mfg

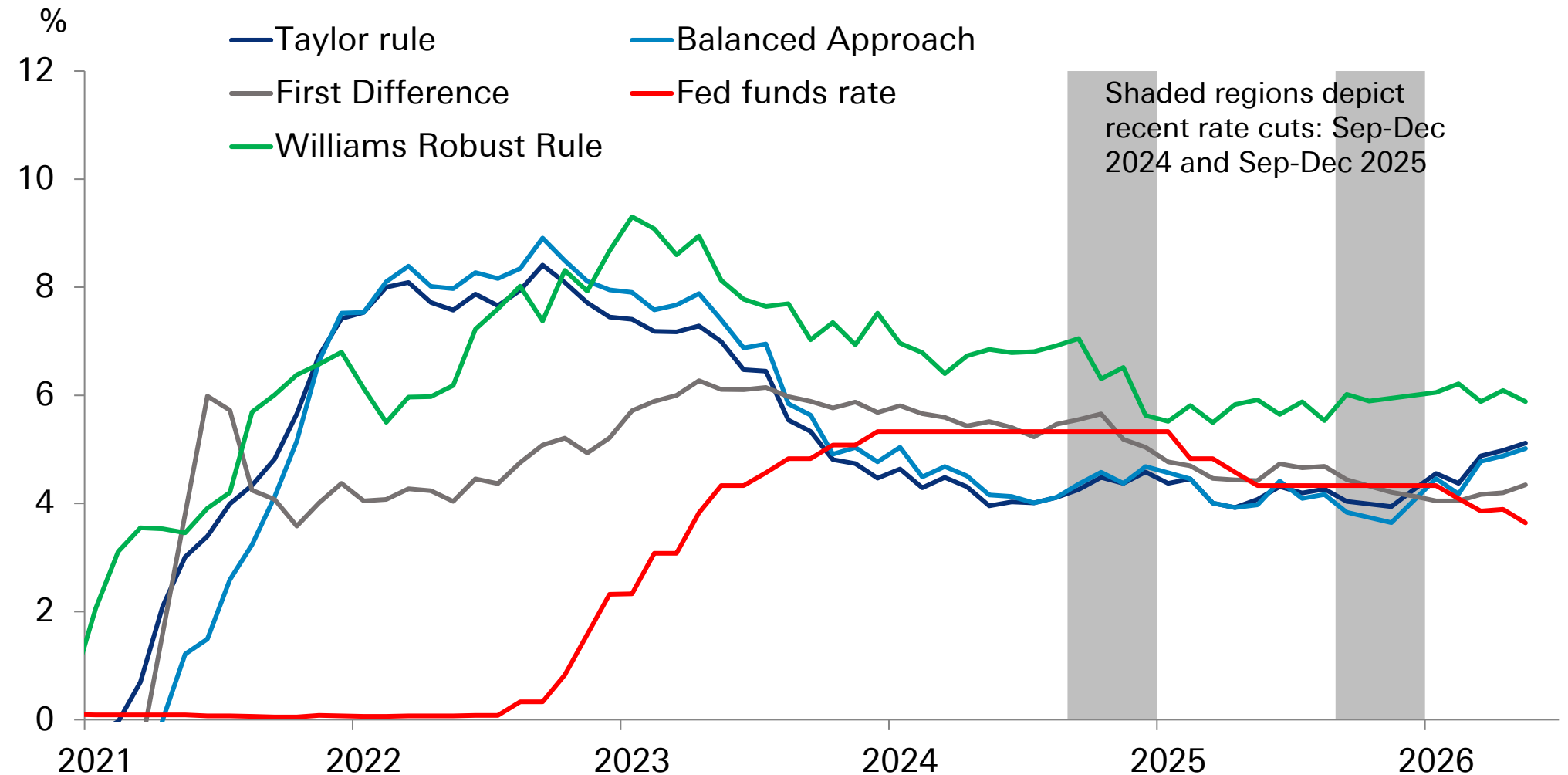


Source: Bloomberg Finance LP, Deutsche Bank



At the moment, the bigger risk in the US is overheating rather than weaker growth. DB believe that Fed Funds are too low under all reasonable policy rules...

Fed funds rate is below policy rule prescriptions after the last round of insurance cuts, even with Fed's r^* estimate (included in this chart). It would be a larger gap under DB's r^* estimate....

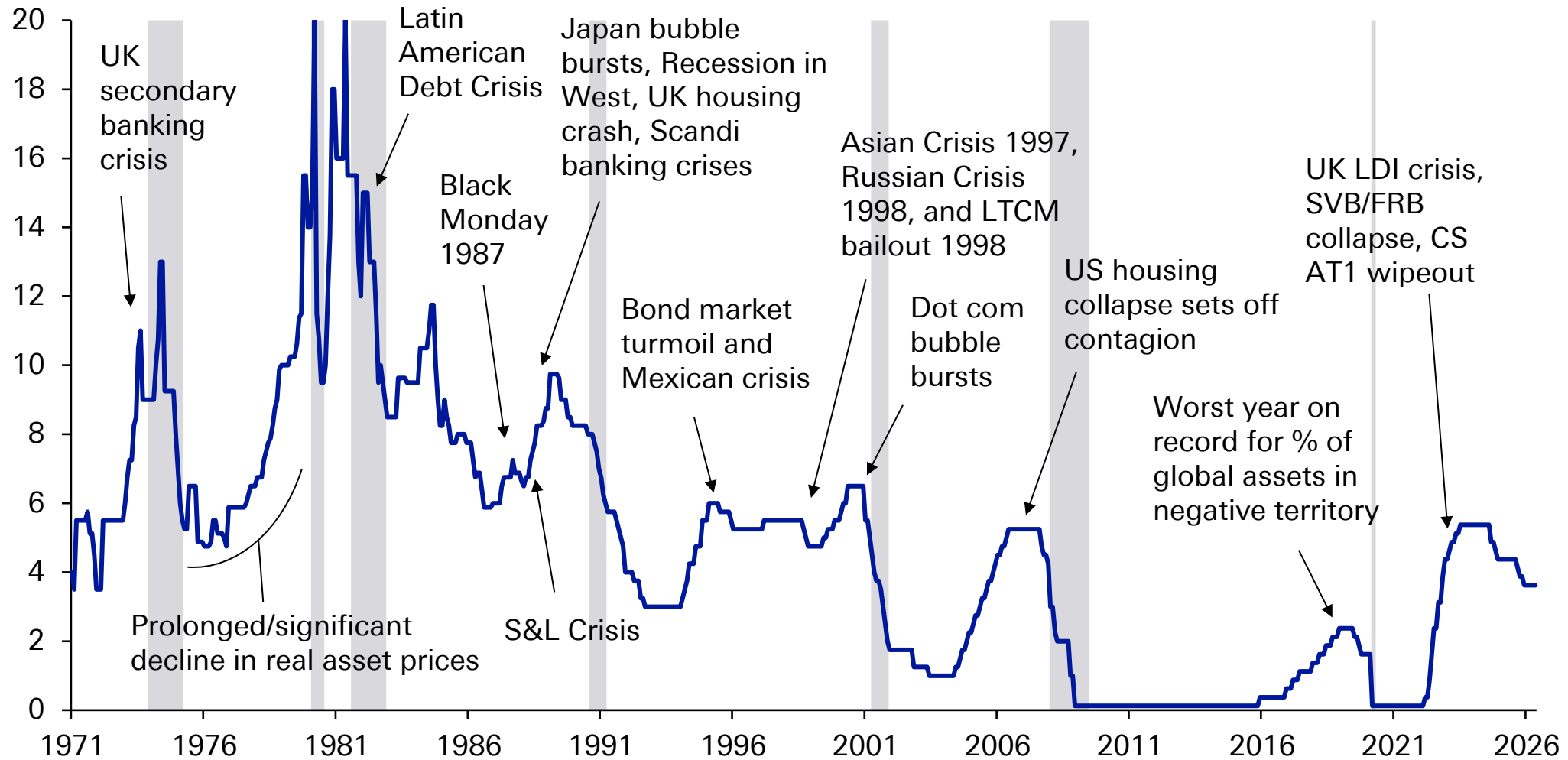


Source: FRB, BLS, CBO, Haver Analytics, Deutsche Bank Research

If we do get rates hikes, note they often coincide with some sort of financial turmoil or the bursting of an asset bubble



Federal Funds Rate (with recessions shaded) and crises annotated

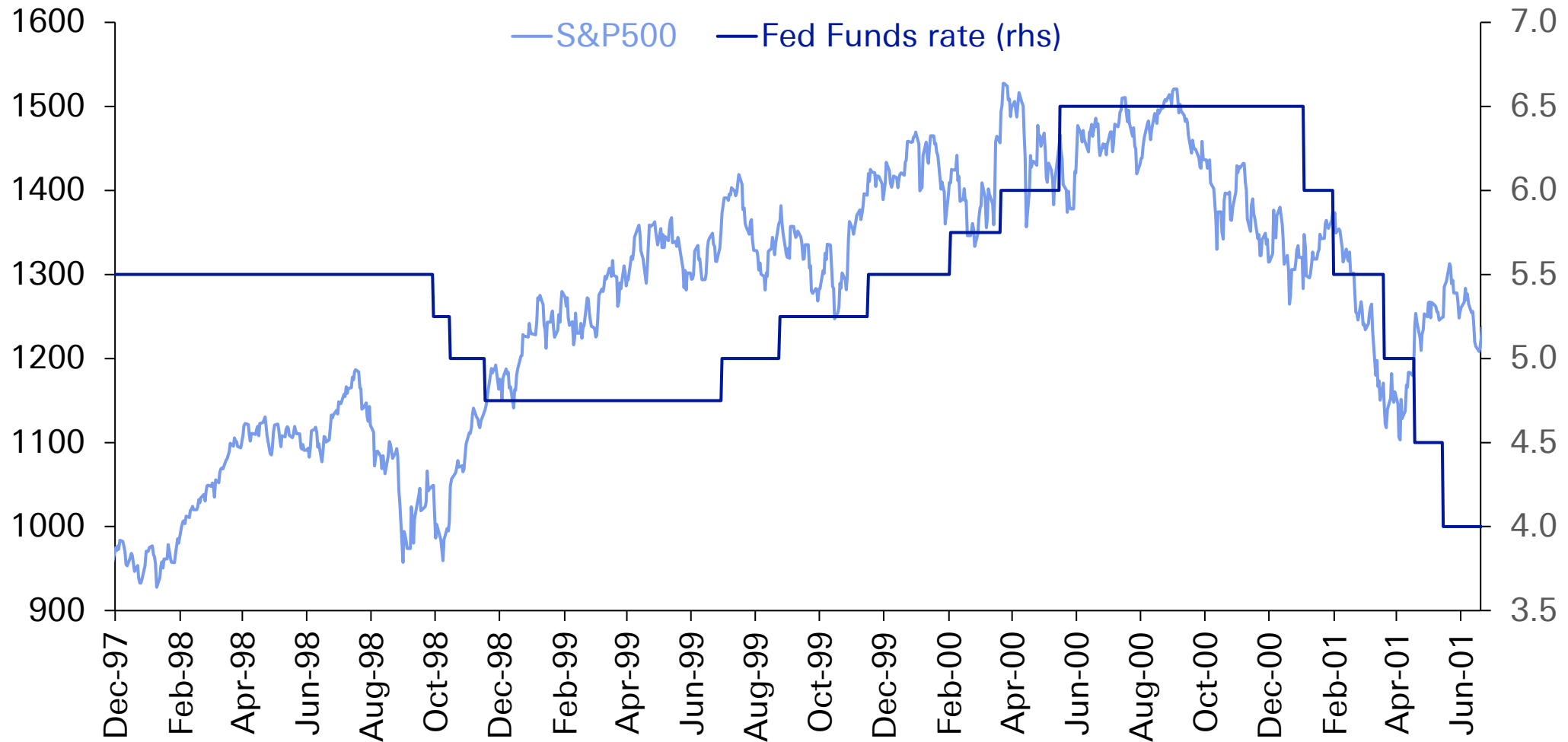


Source: Bloomberg Finance LP, Deutsche Bank

After the insurance cuts of 1998, the Fed raised rates 6 times between May 1999 and June 2000.



S&P 500 Index vs. Fed funds rate



Source: Bloomberg Finance LP, Deutsche Bank

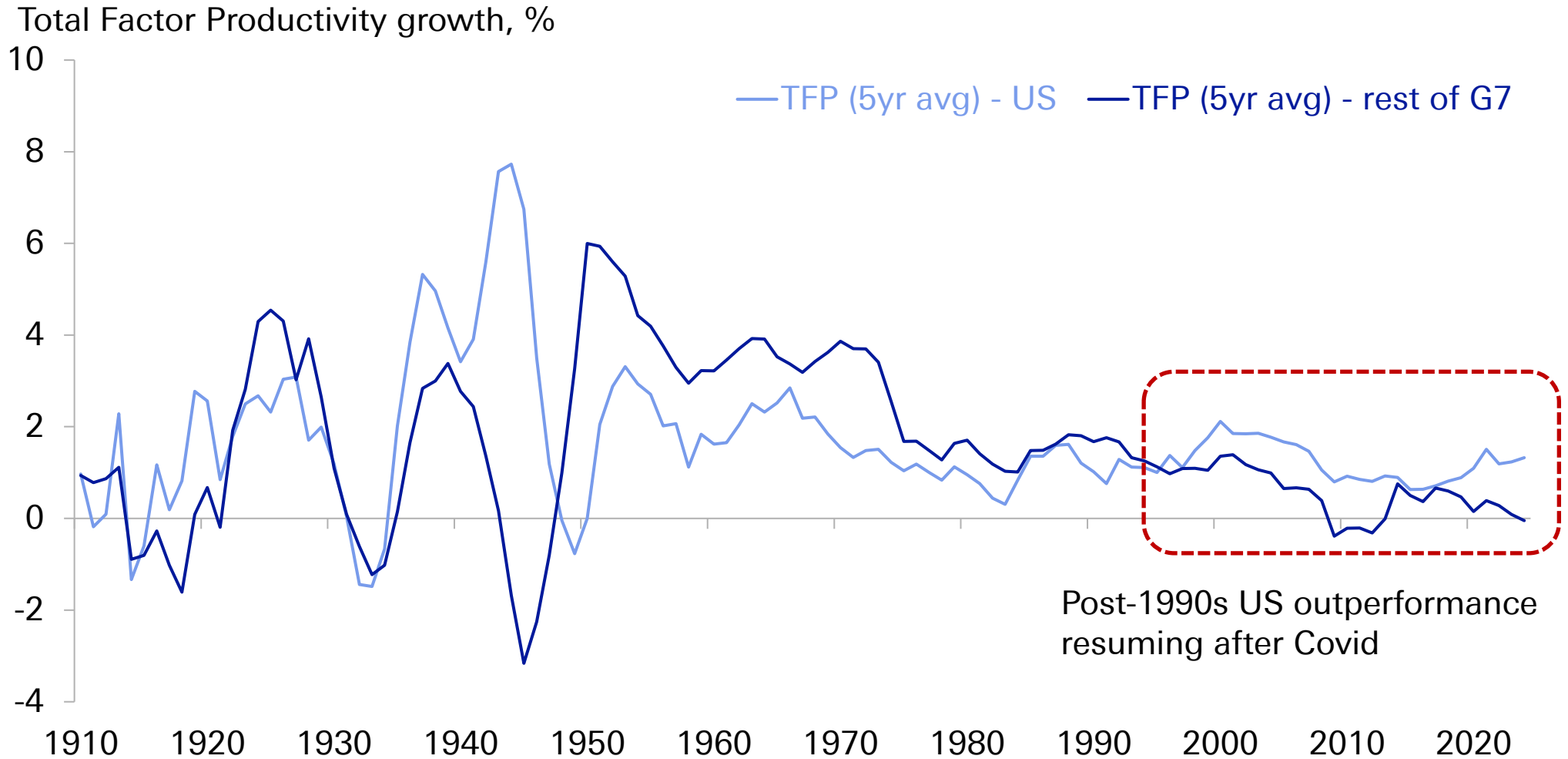


Does an imbalanced US economy matter?

The US has maintained a clear productivity advantage over its peers since the mid-1990s, with productivity growth rising above its post-1970s average in the years since Covid.



The US has resumed its productivity outperformance in recent years

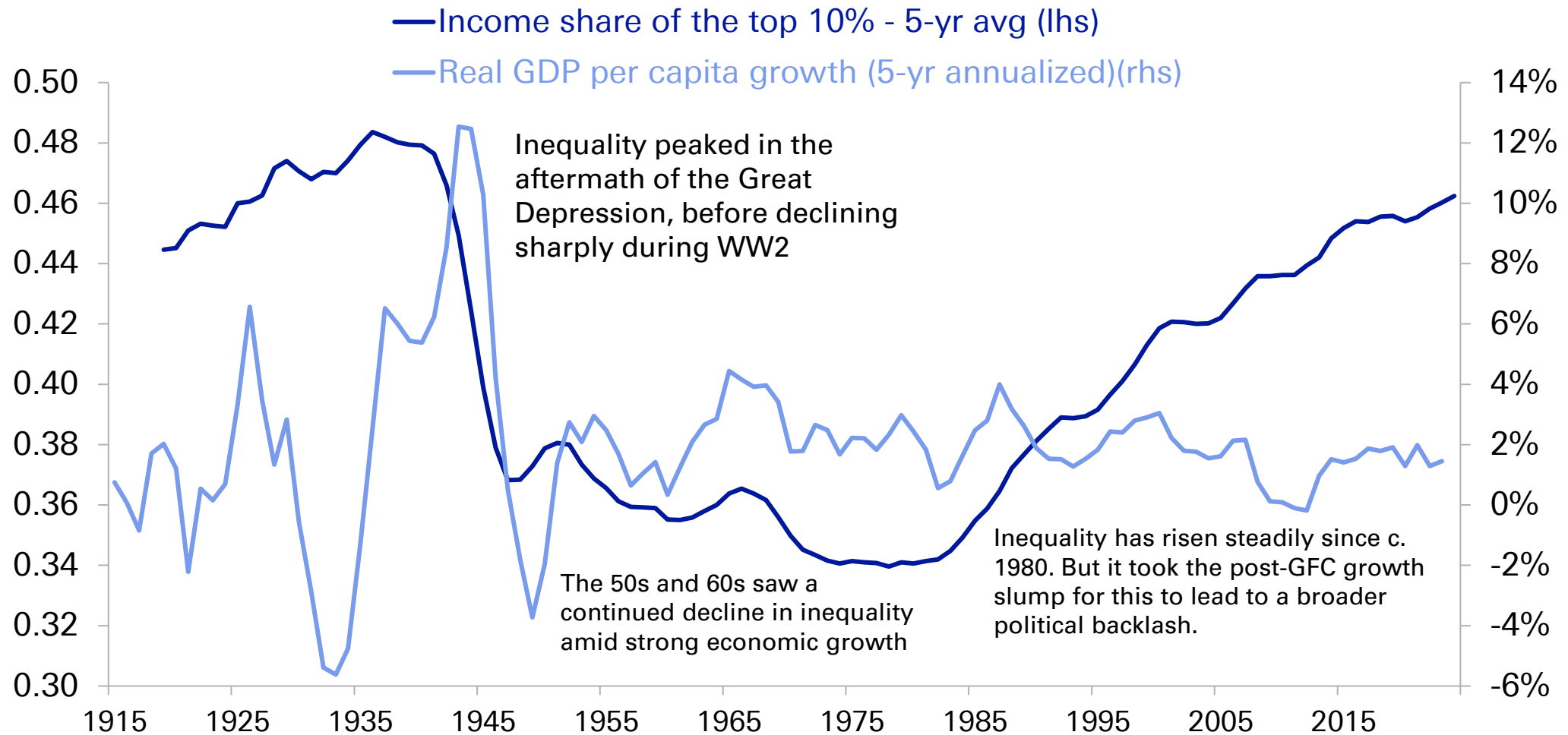


Source: Deutsche Bank Research, www.longtermproductivity.com; Note : Rest of G7 is the simple average of Canada, France, Germany, Italy, Japan and the UK

But inequality is getting worse and poses social and political risk...



The rise in inequality since 1980 added to the political challenges facing the US, especially after growth slowed post-GFC

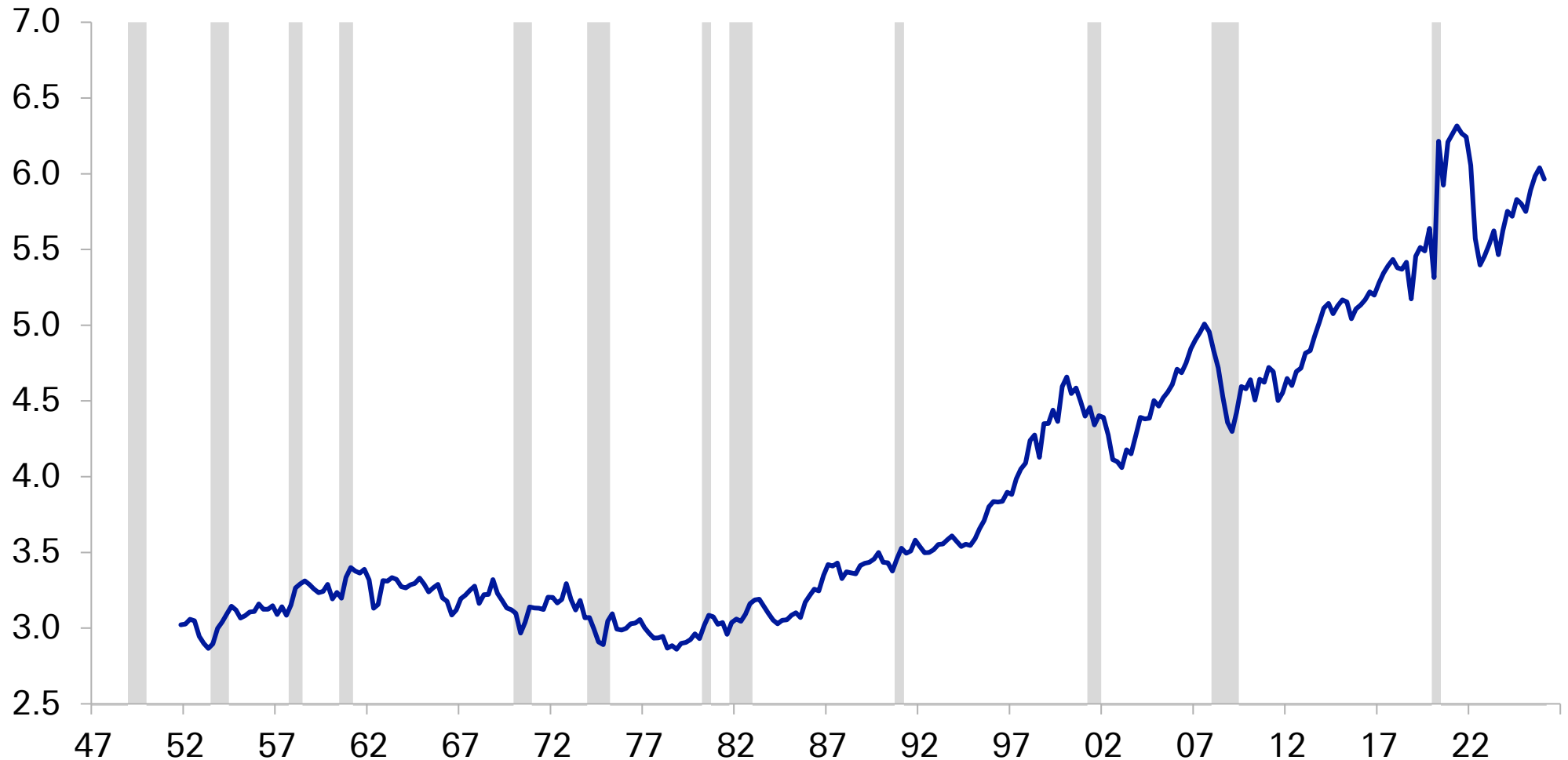


Source: Finaeon, World Inequality Report

US wealth to GDP is approaching the highs again. It dipped due to the bond market sell-off in 2022 but equities have helped it increase again...



US Private sector Financial assets to GDP ratio

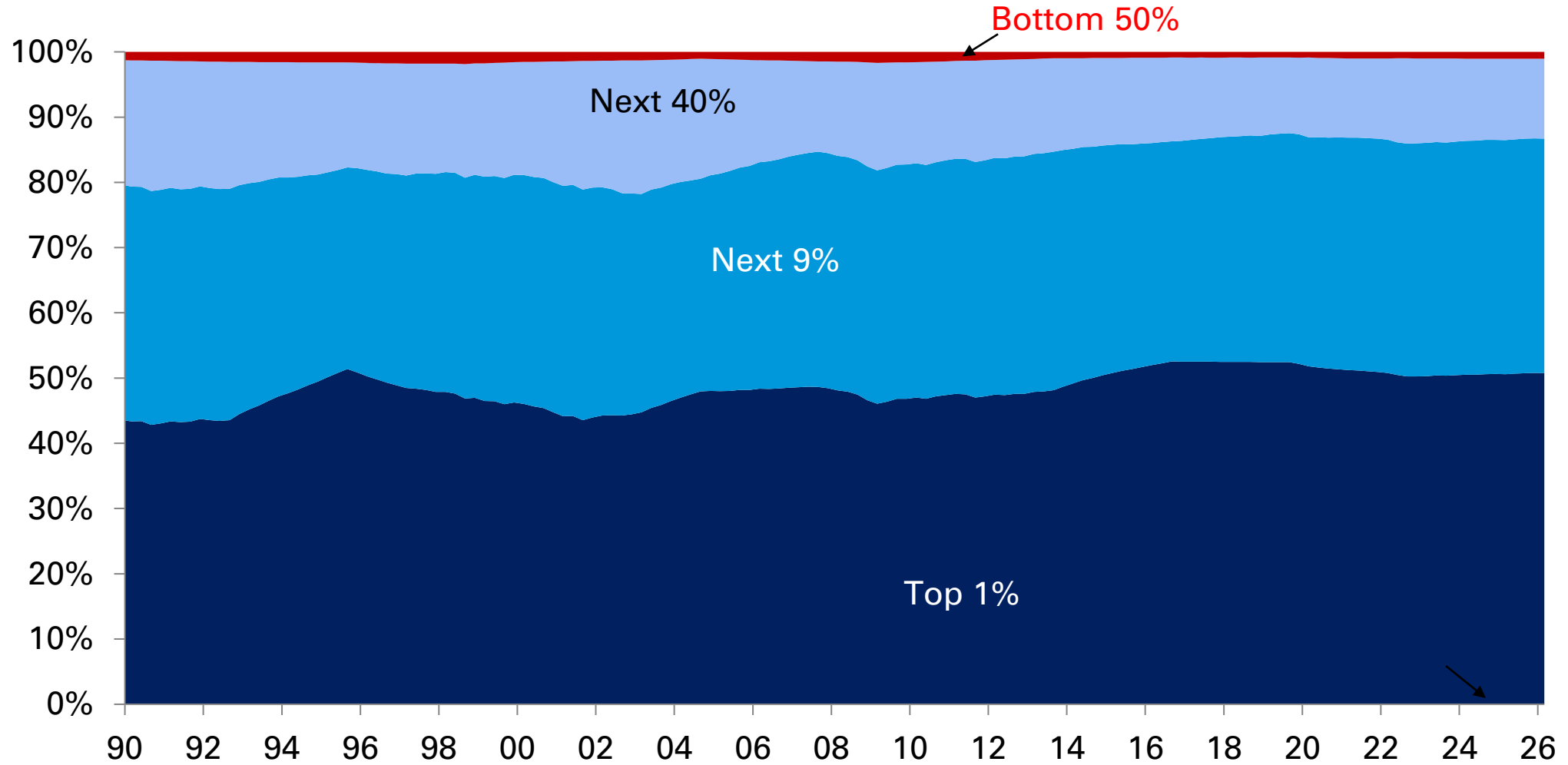


Source: FRB, Haver, Deutsche Bank

The bulk of US equity holdings are concentrated among the top 10% and especially the top 1%..



Equities & Mutual Funds across wealth percentile groups

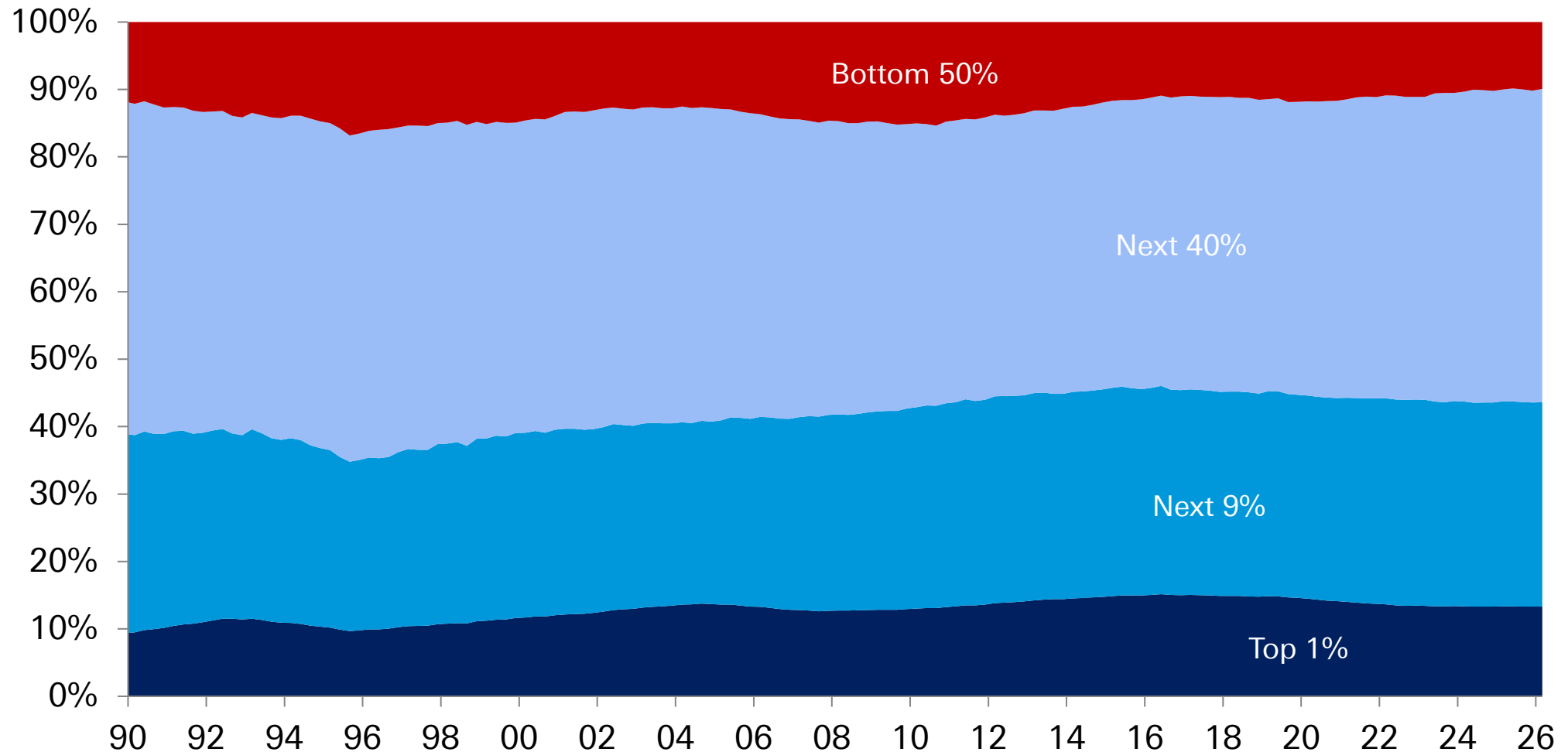


Source: FRB, Haver, Deutsche Bank.

We can see a contrast with real estate even if there is still a divide. The majority is owned outside the top 10%.... Even if the bottom 50% share has declined in the last 30 years...



Real estate assets across wealth percentile groups

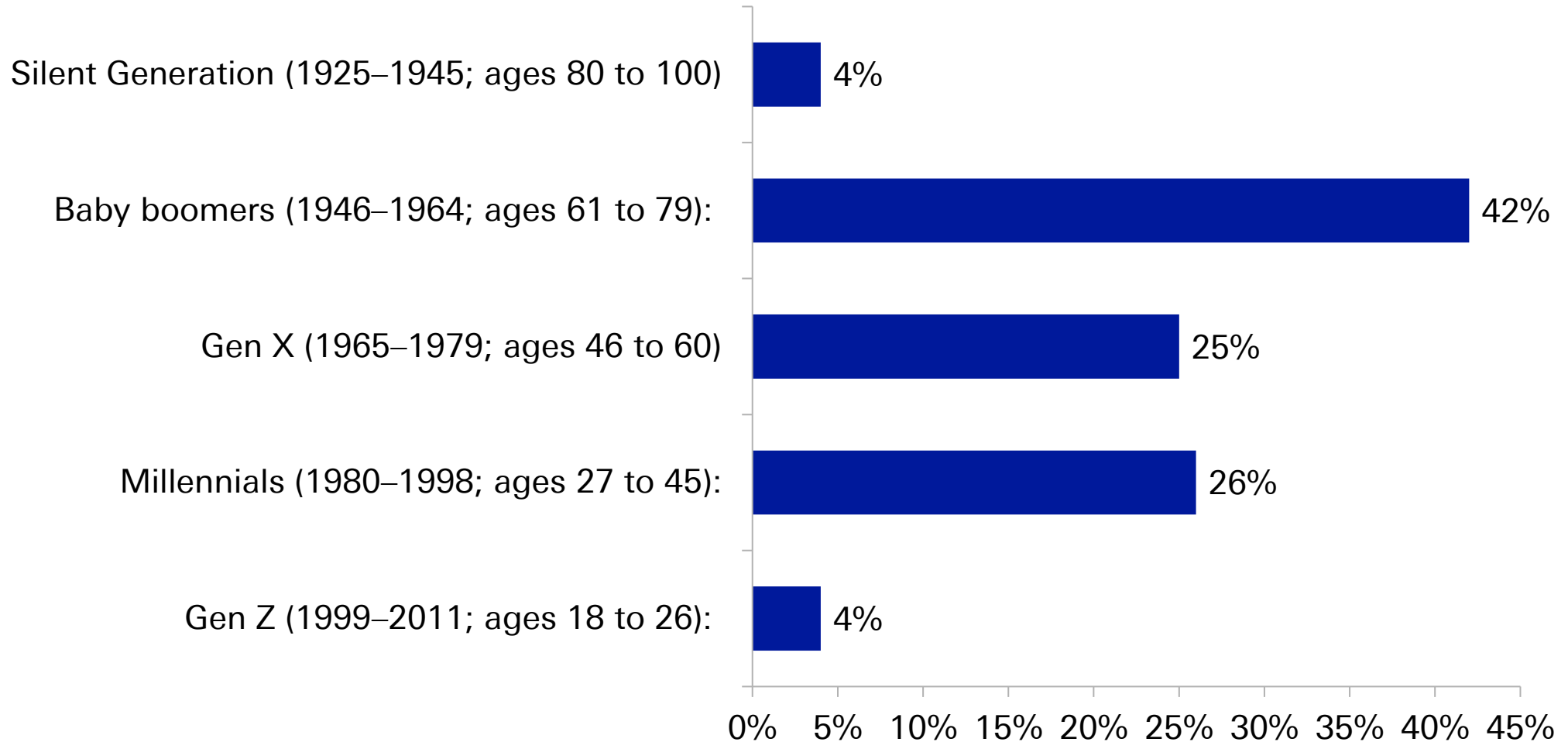


Source: FRB, Haver, Deutsche Bank.

As many US Octogenarians and older buy houses as Gen Zs. One and half times the number of baby boomers (aged 61-79) buy houses as Millennials (aged 27-45) who should be in their peak home buying years.



Age distribution of Home buyers by Generation, 2025

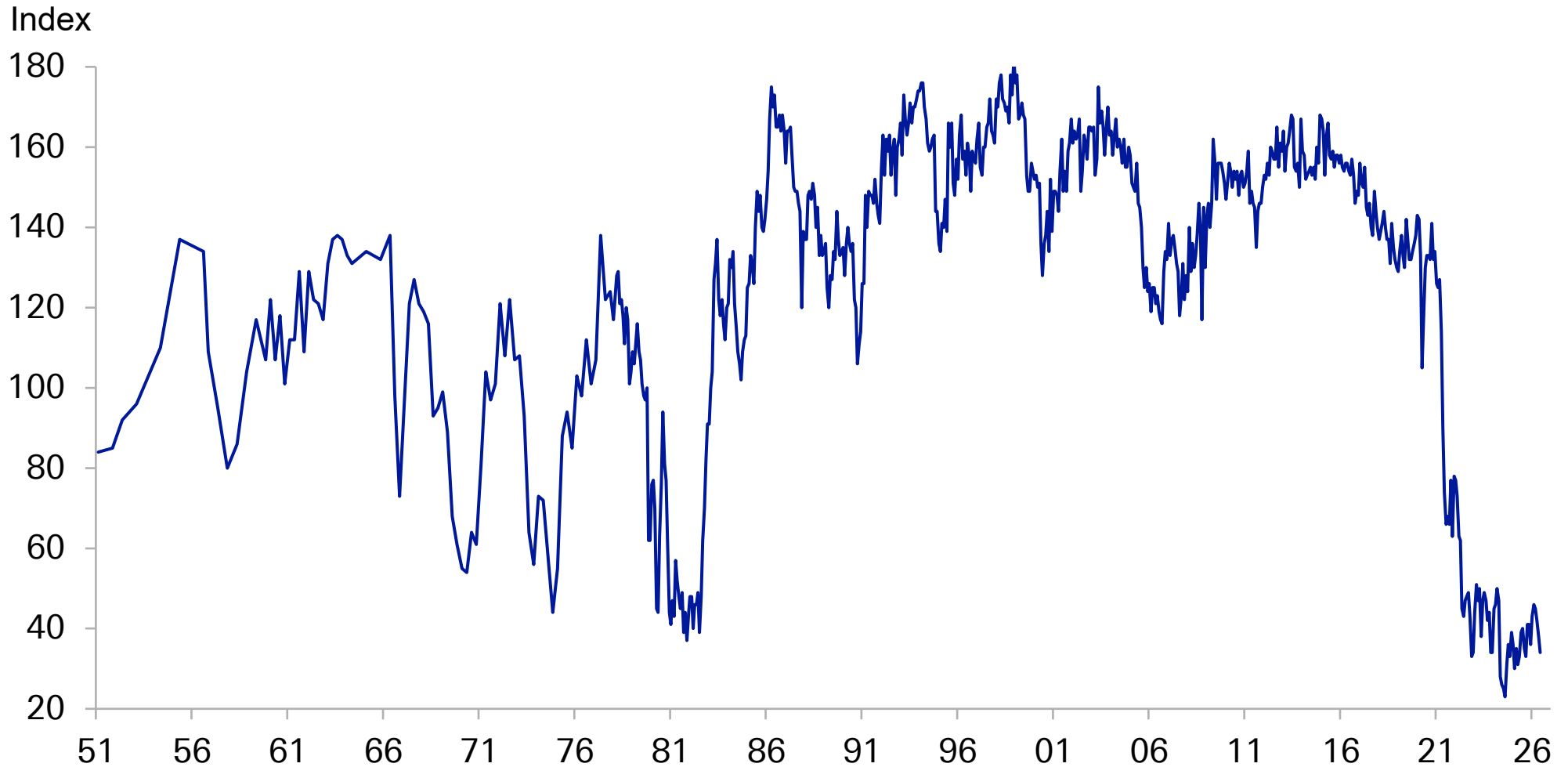


Source: 2026 NAR Home Buyers and Sellers Generational Trends , Deutsche Bank

Consumers don't see this as a great time to be buying a house and haven't since mortgage rates soared in 2022. Prices aren't falling which is preventing a rebalancing...



Current Conditions for Buying Houses (Index Score)

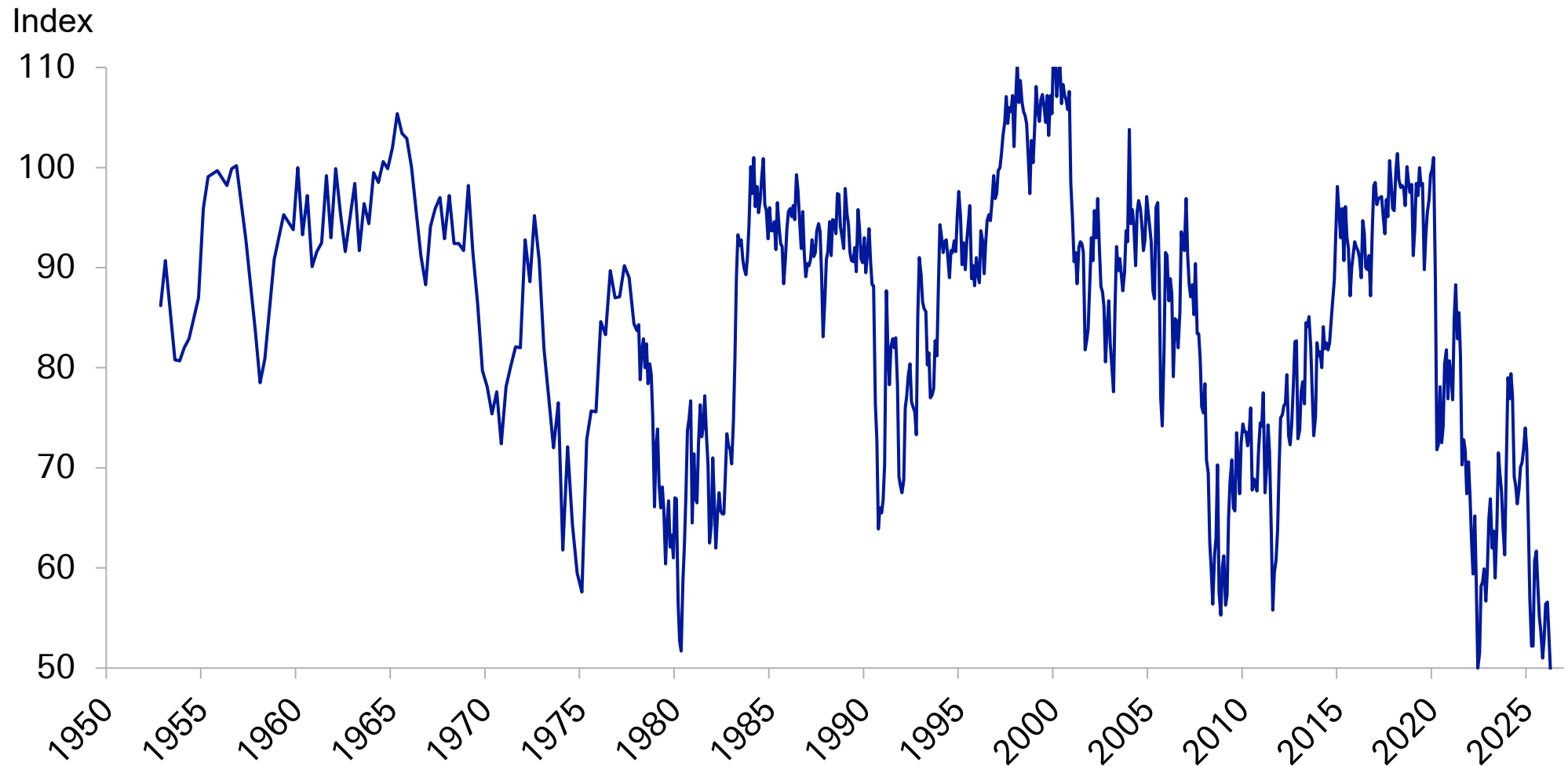


Source: UMICH, Haver Analytics, Deutsche Bank

US consumers generally don't seem to be too happy with the state of the economy, contrasting with the strong GDP numbers...



University of Michigan: Consumer Sentiment (NSA, Q1-66=100)

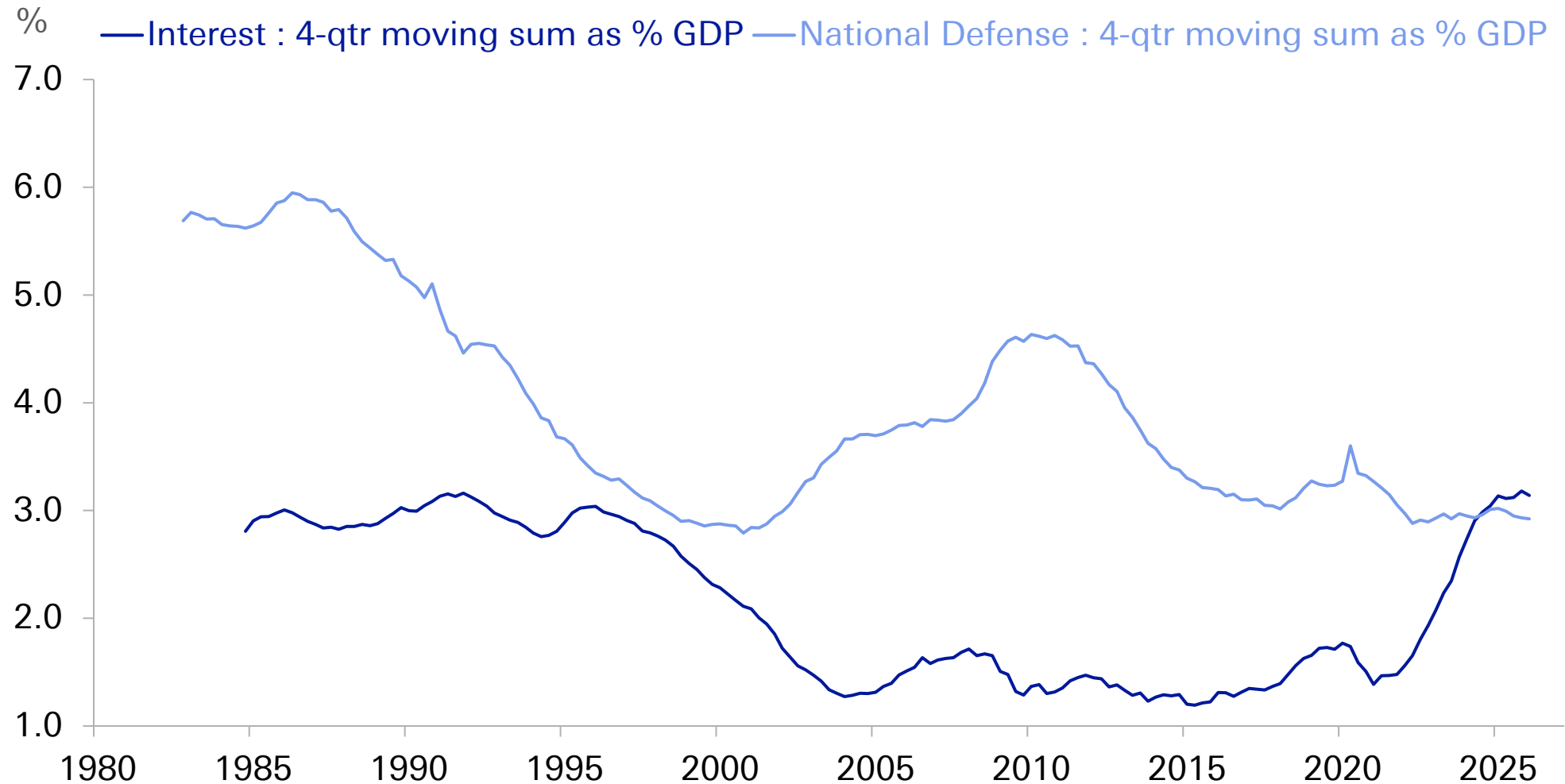


Source: University of Michigan, Haver, Deutsche Bank

Renewed US leadership relative to its peers has also been accompanied by record peacetime fiscal deficits. Interest payments on government debt now exceed defense spending at a time when the geopolitical backdrop remains highly uncertain.



The Crossover: Rising Federal Interest Payments have Overtaken Defense Spending

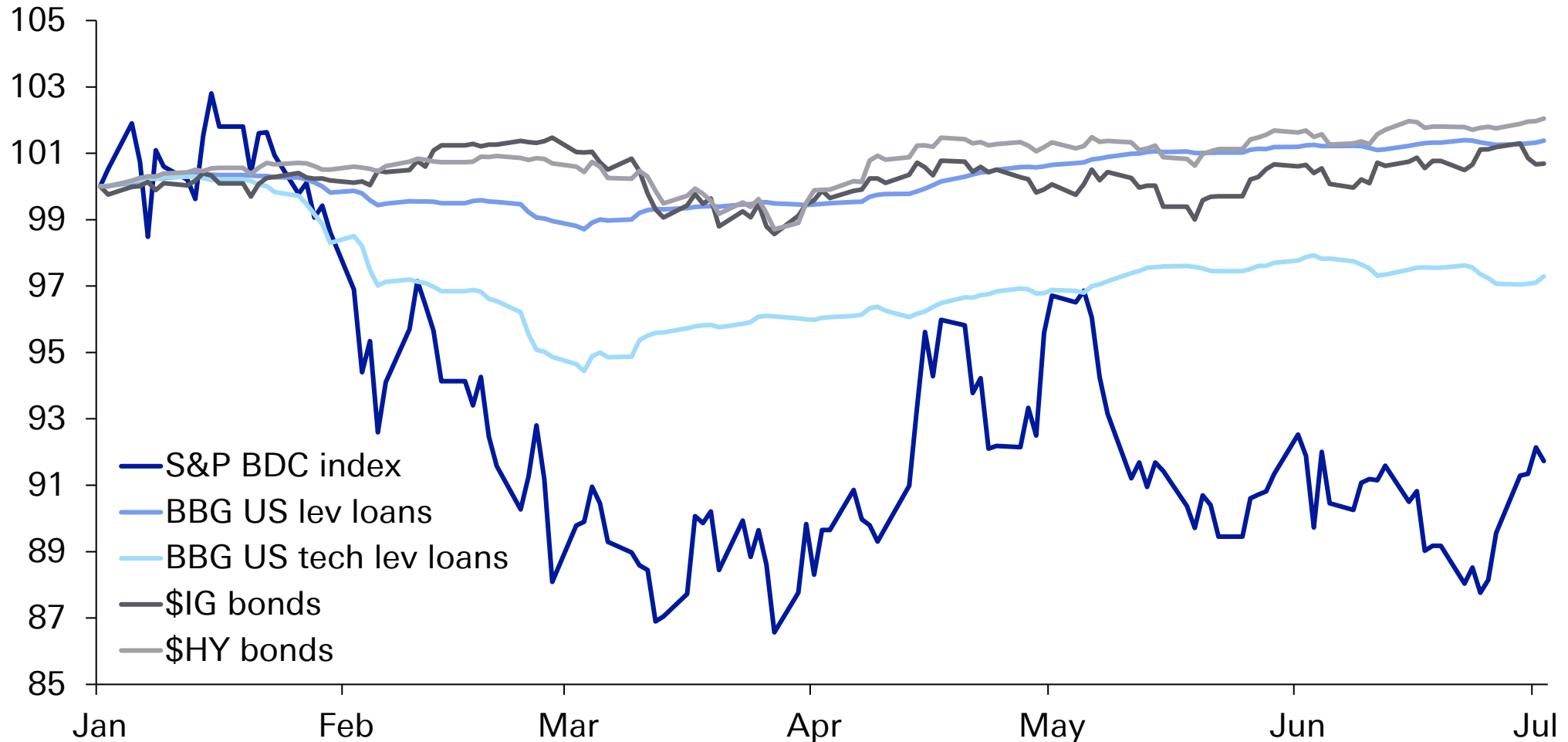


Source: CBO, OMB, Haver Analytics, Deutsche Bank Research

Credit has had a good year but software and associated sectors/indices are suffering even if they've stabilised since March/April...



Credit indices YTD total return performance

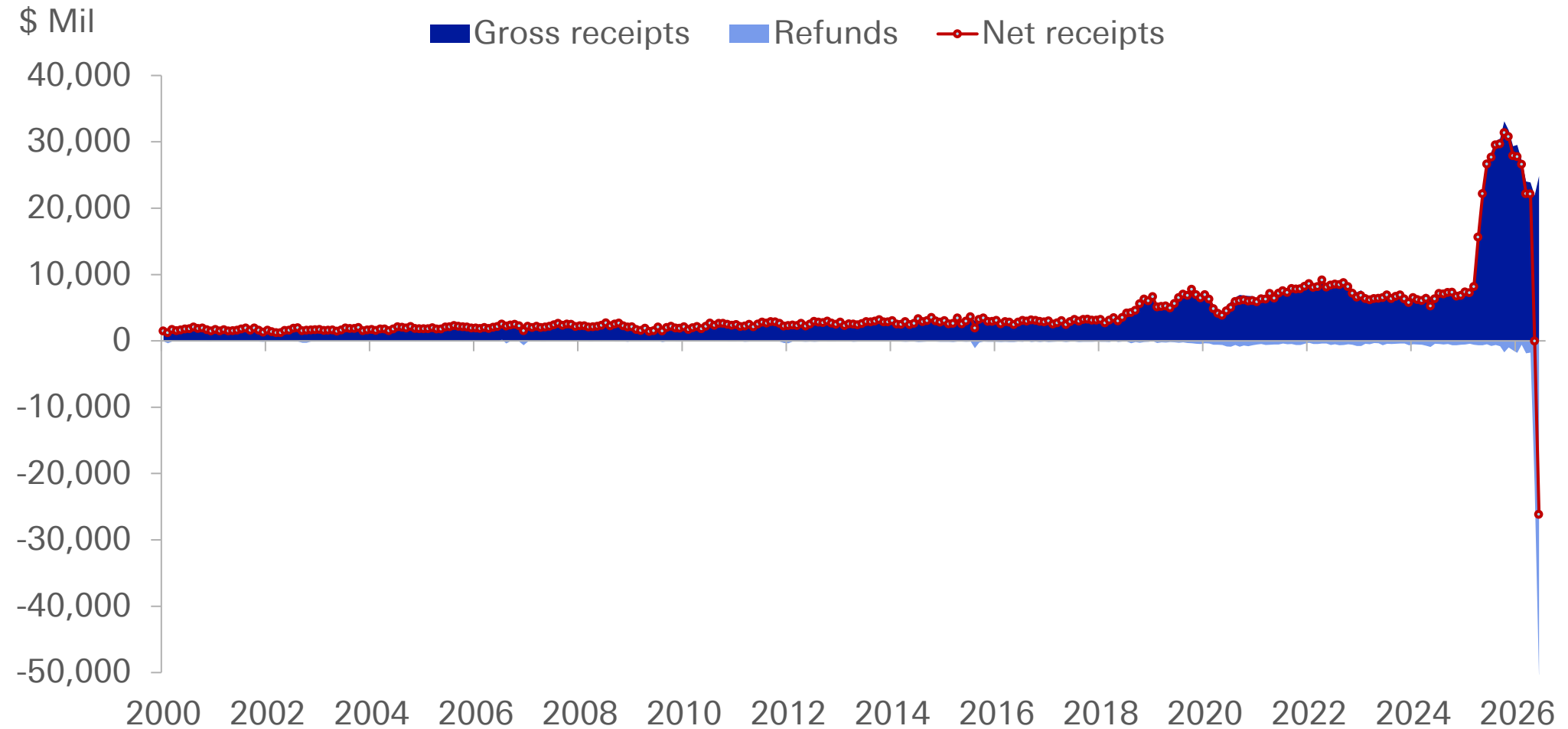


Source: Bloomberg Finance LP, Deutsche Bank.



Tariff refunds are giving back some of the US fiscal gains of recent months. New tariffs will likely be implemented to offset but the graph is a striking reflection of the post Liberation Day world.

US Government Custom duties



Source: US Treasury, Deutsche Bank

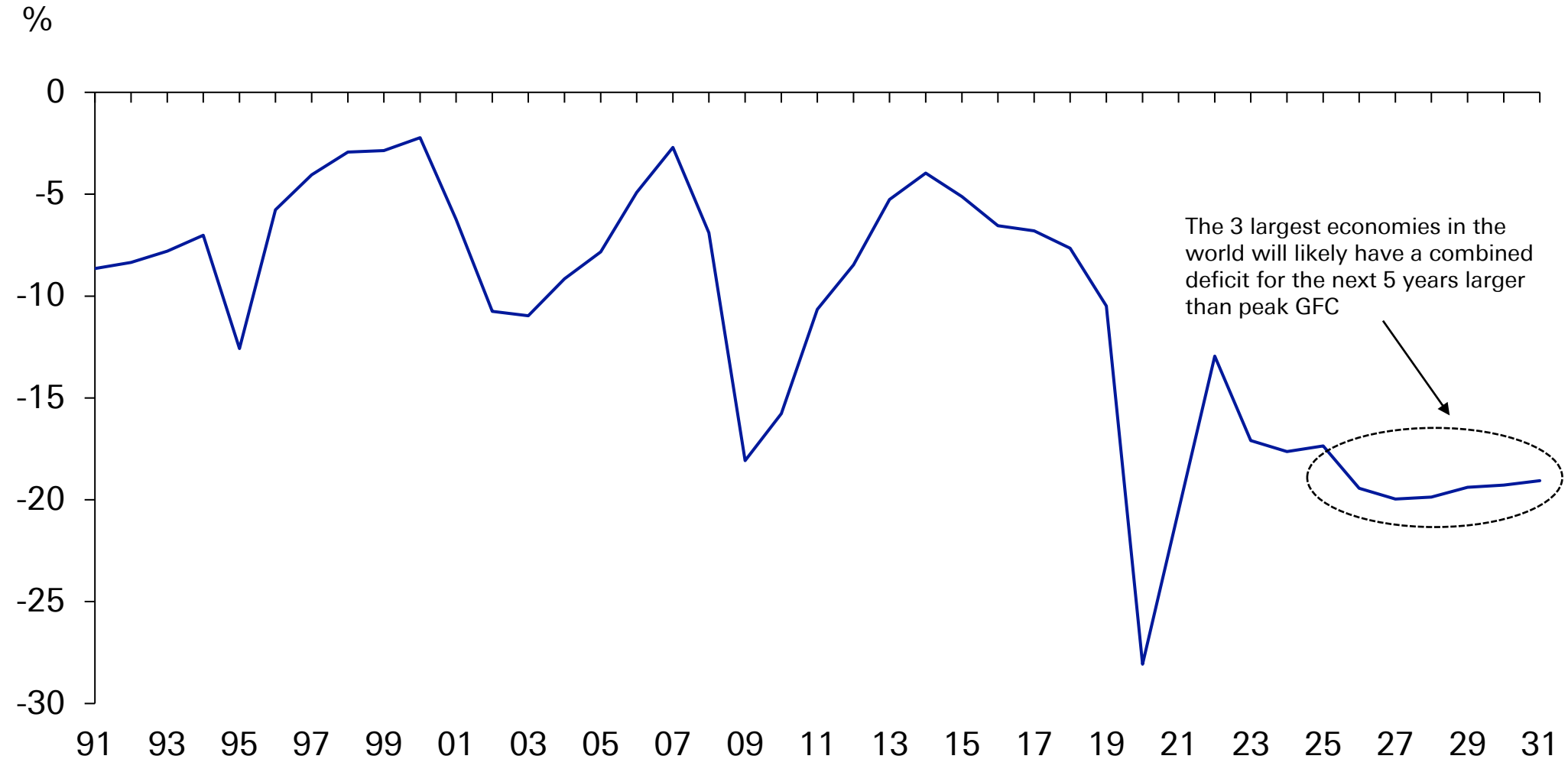


Fiscal spending is high around the world...



The combined fiscal deficits of the three largest economies in the world (US, China and Germany) is set to be higher every year out to 2031 than at the worst point of the GFC. And don't forget the 4th largest, Japan has a new PM committed to more fiscal...

Big Three: Combined Fiscal Deficits as % GDP of US, China and Germany



Source: IMF, Haver, Deutsche Bank



Japan is worth a watch..

Talking of Japan, the Yen is now at 40-year lows...



USDJPY Spot Exchange Rate - Price of 1 USD in JPY



Source: Bloomberg Finance, Deutsche Bank; Last update: July 3

10-year JGB yields are hovering near the highest levels since 1997, having recently reached those highs.



JGB 10 yr yields

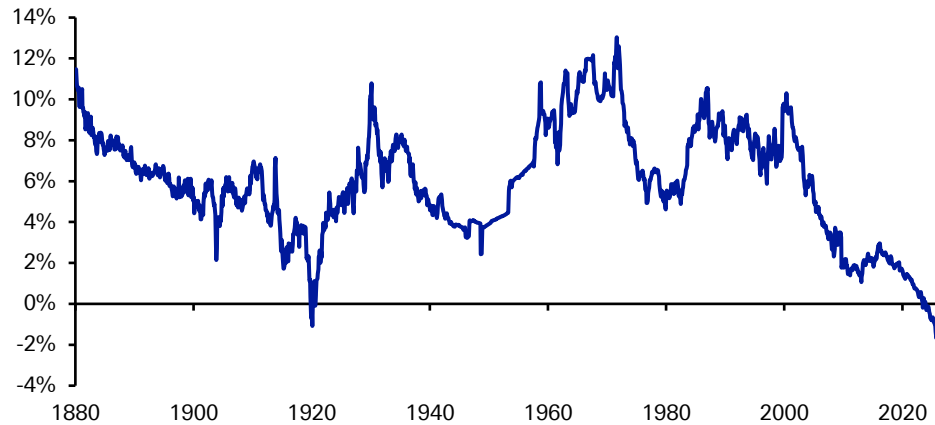


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

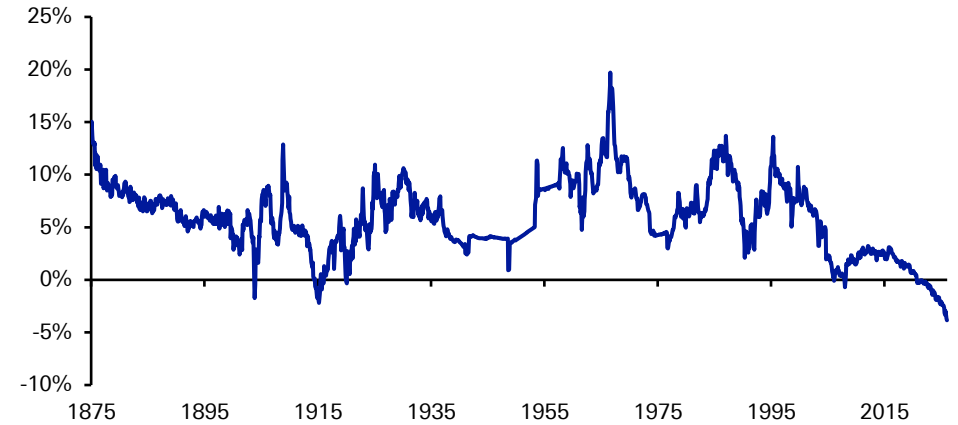
10yr JGBs have seen negative returns over a 5yr and 10yr horizon, in both nominal and real terms... In nominal terms it's the worst ever performance..



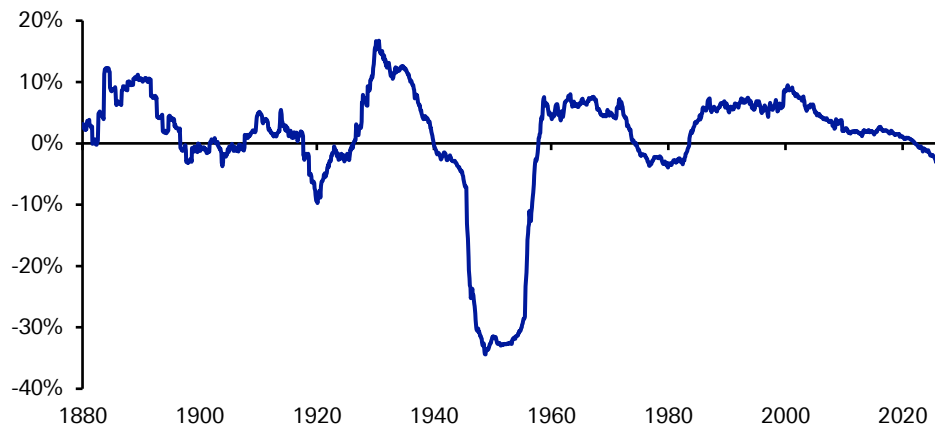
10yr Rolling Nominal Return (Annualised)



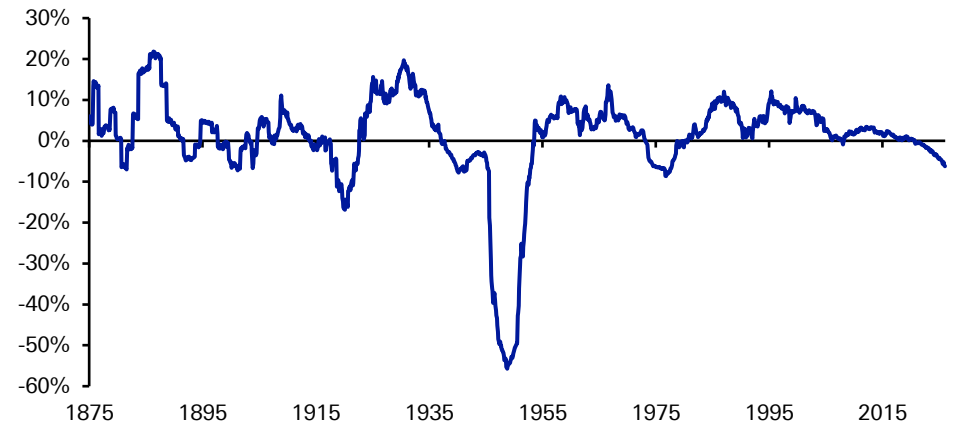
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)



Source: Finaeon, Deutsche Bank

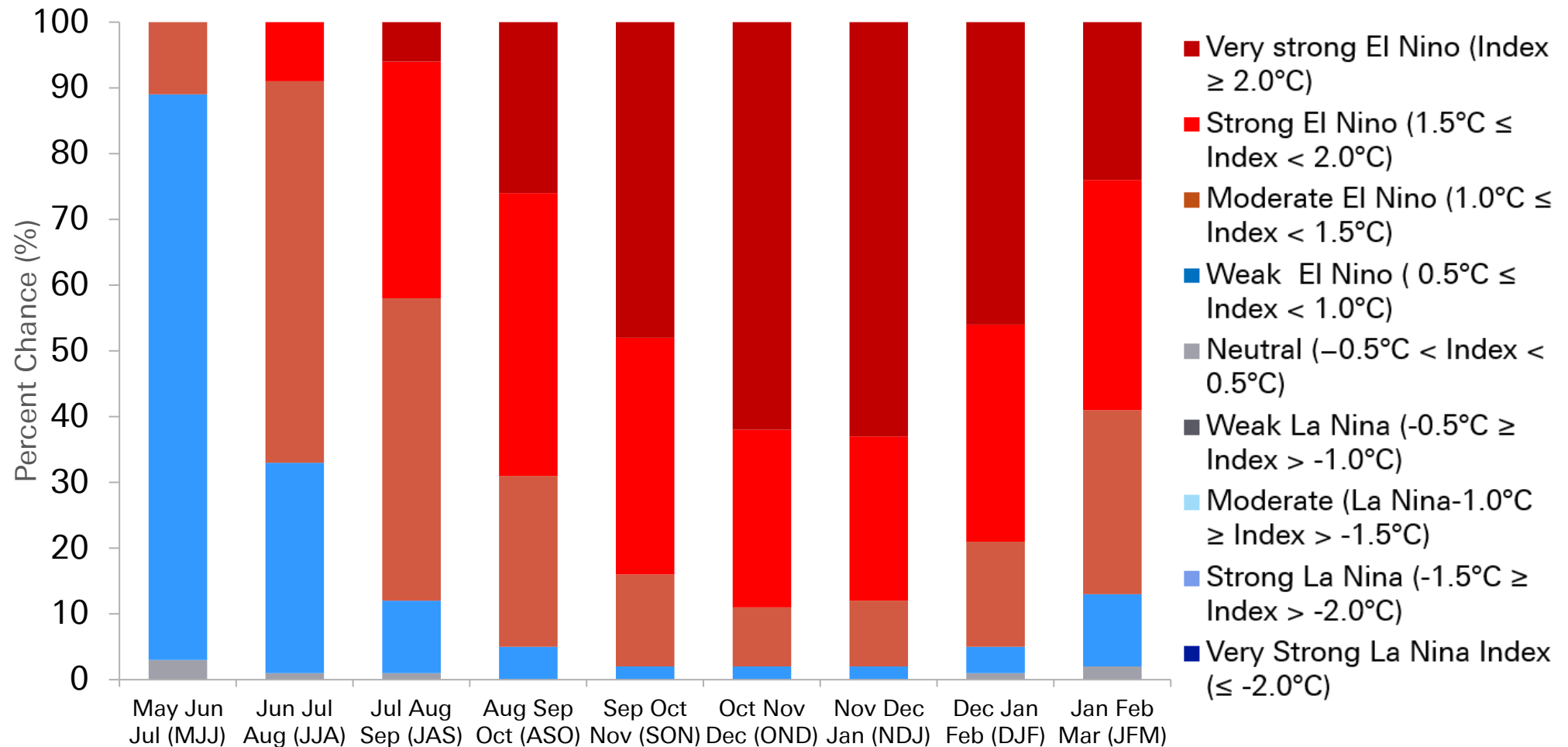


Random slides to end...

Strong/very strong El Nino probabilities are very high towards the end of this year. Darkest red indicates the highest heat probabilities.



Official NOAA CPC ENSO Strength Probabilities (Issued June 2026)

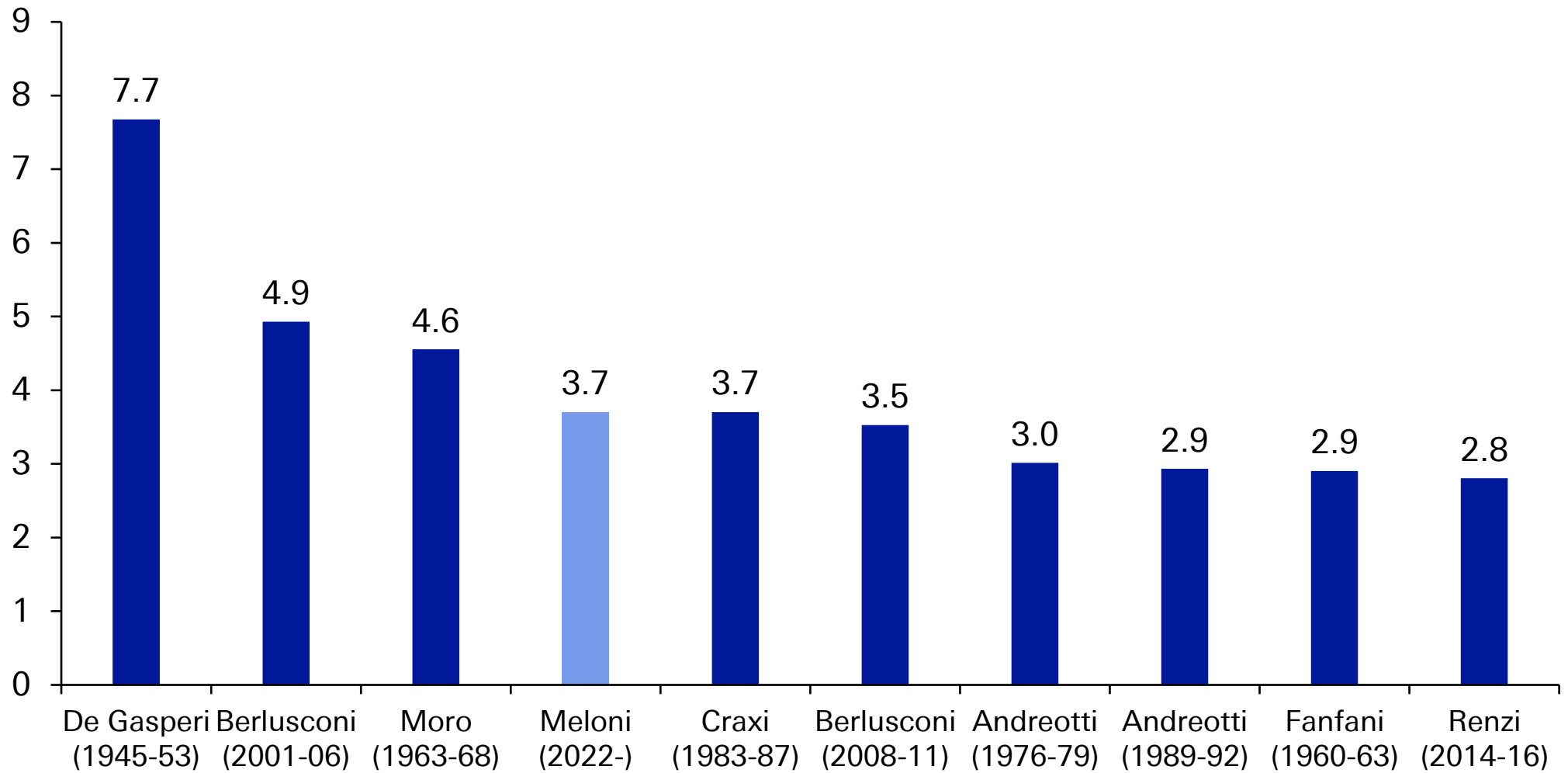


Source: NOAA, Deutsche Bank ; Note: The bars show the chance of El Niño, ENSO-Neutral, and La Niña provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month).

Giorgia Meloni has now served the 4th longest consecutive term for a post-war Italian PM... meanwhile the UK is about to see a 7th PM in a decade....



Longest consecutive terms for Italian Prime Ministers since WWII (in years)



Source: Wikipedia, Deutsche Bank

Appendix 1



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AI IPOs 101: why they'll change the boom forever

July 01, 2026

Four reasons why the expected IPOs of OpenAI and Anthropic matter so much

The expected wave of initial public offerings of the world's leading AI companies will change the AI boom forever.

It will bring unprecedented **transparency**, **funding** and **accountability** to the industry – as well as finally giving investors a **pure-play benchmark** to value the likely winners and losers of a revolutionary technology.

The [news](#) at the end of last week that [OpenAI](#) is considering delaying its own share sale, originally expected for later this year, indicates just how much is at stake. The company, which lit the fuse for the AI frenzy with its launch of ChatGPT in November 2022, as well as its now slightly larger rival [Anthropic](#), which makes Claude, confidentially filed for IPOs in early June. Those share sales would reportedly aim to raise about \$60bn apiece and value each company at more than \$1 trillion.

They and their peers need to **strike while the iron is hot** to secure computing power, distribution and capital. But there is no guarantee that there will be enough investor appetite to absorb hundreds of billions of dollars in rapid-fire demand.

The AI boom is fast approaching a **moment of truth**, as rapid growth and soaring valuations collide with ballooning capital expenditure, a public backlash and the challenges of real-life adoption. Challenges abound, including Chinese open-source models that promise similar performance for a fraction of the price. Whoever comes out on top could define the era.

In this report, we look at:

- Why have an IPO?
 - Which AI-related companies are likely to have IPOs?
 - OpenAI and Anthropic in a nutshell
 - Four ways that IPOs will change the AI boom forever
1. Greater transparency for financials – and business models
 2. More diverse funding sources – and more spending
 3. Greater accountability for their actions – and the industry
 4. New era for comparing valuations to peers – and the past

Authors

[Adrian Cox](#)
Research Analyst



Why have an IPO?

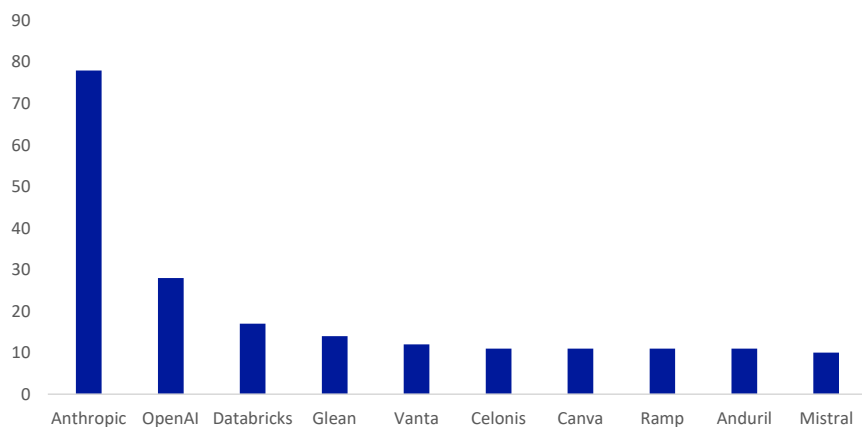
1. **Access new sources of funding** to invest, reduce debt and improve financial flexibility.
2. **Create liquidity** to give existing investors and employees a way to cash out and enable acquisitions with publicly traded shares.
3. **Improve public credibility and profile**, lending additional weight with consumers, businesses and lawmakers.

Which AI-related companies are likely to have IPOs?

The two leading contenders to sell shares to the public this year are Anthropic, given a 78 percent chance, according to bets on Polymarket, and OpenAI, now down to 28 percent.

Other AI-related companies that may go public include data analytics platform Databricks, enterprise data platform Glean, and compliance tool Vanta, according to Polymarket bets. Others include business process platform Celonis; graphic design tool Canva; finance operations platform Ramp; defence company Anduril; and Europe's only notable frontier-model maker Mistral.

Figure 1: Implied probability of select AI-related IPOs by 2027



Source : Polymarket, Deutsche Bank Research

OpenAI in a nutshell

- San Francisco-based OpenAI was **founded in 2015** as a non-profit research laboratory led by **Co-Chairs Elon Musk and now-CEO Sam Altman**, the former head of Y-Combinator. It was backed by some of the biggest investors in Silicon Valley, including Peter Thiel and Reid Hoffman. (Musk severed ties with OpenAI in 2018, triggering a legal dispute that concluded in May in OpenAI's favour.)
- Its **mission** was "to ensure that artificial general intelligence – AI systems that are generally smarter than humans – benefits all of humanity".
- On November 30, 2022, OpenAI launched **ChatGPT**, a generative AI chatbot based on its GPT-3.5 large language model, which became a



runaway success with 100 million users in three months. GPT-4, released in March 2023, was so far ahead of the competition that it took a year or more for serious challengers to gain a foothold. However, GPT-5, launched last August, was quickly matched amid stiffer competition.

- The non-profit board voted to remove **Altman** as CEO in November 2023. He was reinstated four days later, after a revolt by investors and employees.
- Its **most important strategic relationship has been with Microsoft**. When OpenAI transitioned into a “capped-profit” entity in 2019, it was able to obtain capital investment including \$1bn from Microsoft, which later added another \$10bn in early 2023. Their exclusive partnership and revenue-sharing agreements enabled Microsoft to be an early leader in AI and secured funding and computing power for OpenAI.
- The companies **scaled back their partnership** in late April 2026, though Microsoft retains a 27 percent stake in OpenAI. (OpenAI’s for-profit LLC became a public benefit corporation controlled by the non-profit in May 2025.)
- Today, **more than one in ten people on the planet use ChatGPT every week**. The name is to chatbots what PostIts are to sticky labels. It reportedly surpassed \$25bn in annualised revenue in March and has indicated to investors that it will achieve its first annual profit in 2030.
- Although the market is increasingly crowded, OpenAI is still producing **cutting-edge models**, with GPT-5.5 excelling at agentic coding. Brand new GPT-5.6 won the same badge of honour as the latest Claude model last Friday by being restricted to a small group of users over US government concerns that it was so powerful that it could pose a security risk. It also has a strong developer ecosystem building on top of its Application Programming Interface (API).

Anthropic in a nutshell

- San Francisco-based Anthropic was **founded in 2021** by seven former employees of OpenAI, including **Dario Amodei, its CEO**, and his sister Daniela Amodei, its president. Anthropic is a public benefit corporation whose [mission](#) is “to ensure that the world safely makes the transition through transformative AI”.
- Led by its **Claude models**, the company has focused heavily on the enterprise market, positioning itself as a bastion of high standards of safety and reliability.
- **Google parent Alphabet and Amazon** have invested billions of dollars in Anthropic. Like OpenAI, it has struck complex agreements that commit it to use chips and data centres from its investors in return, including a commitment [reported](#) by The Information to spend about \$200bn with Google Cloud over five years.
- This has been a **breakout year** for Anthropic. The release of its Cework and Claude Code agent tools in January and February prompted a “SaaSocalypse” slump in stocks of software-as-a-service companies, amid concerns that their utility-like business models could be largely disintermediated.
- The **Claude website had almost one billion visits in May**, still behind ChatGPT at 5.6 billion and Google’s Gemini at nearly three billion, but way up from 200 million in January, according to data from Similarweb. Meanwhile, Claude Code now accounts for slightly more than half of the business-focused coding market.
- **Anthropic’s revenue** reached an annual recurring rate of \$47bn in May,



overtaking OpenAI. CEO Amodei [said](#) that an 80-fold increase in usage in the first quarter on an annualised basis was “just crazy” and “too hard to handle,” forcing it to limit access for some users and sign up new sources of compute to keep up with demand.

- A **disagreement with the US Administration** came out into the open in February when the Department of Defense announced that it was a supply-chain risk. The company had demanded restrictions on the use of its technology for domestic surveillance and autonomous weapons.
- Then two weeks ago, Anthropic [abruptly switched off its most powerful](#) **Table 5 and Mythos 5 models** worldwide after the US Department of Commerce ordered it to restrict access by foreigners, due to concerns that it could be weaponised by bad actors. It won approval to restore some access at the end of last week.

Four ways that upcoming IPOs will change the AI boom forever

1. Greater transparency for financials and business models

Nothing sharpens an entrepreneur’s mind – and business model – like the prospect of an IPO.

- It is a decision that they may take with some trepidation, given the obligation to open the doors and explain their finances, business model and outlook in detail.

To prepare for an IPO, AI companies will have to produce public-company-grade reporting, credible performance indicators, risk analyses and forecasts.

- They will also have to make any relevant disclosures about a growing number of lawsuits over copyright, alleged negligence regarding safety, and corporate governance.
- Remuneration may also have to be revamped, with public metrics around pay for performance for management and provisions for employees to vest stock.

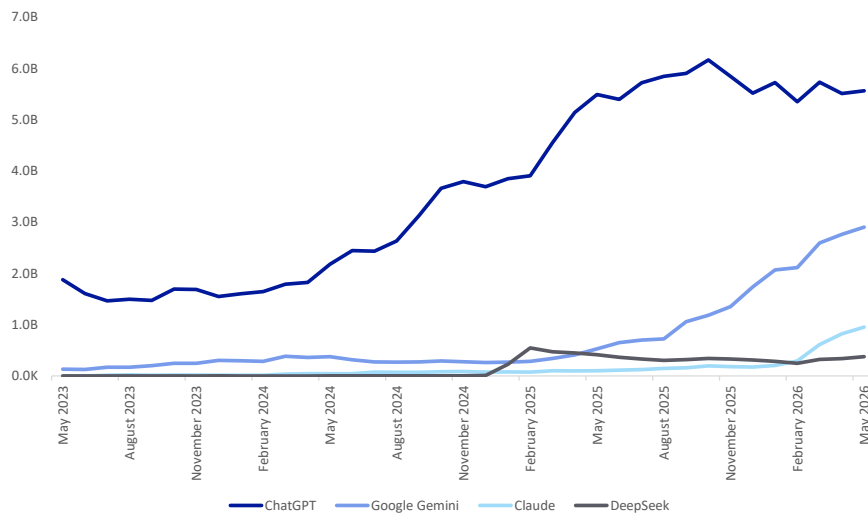
Greater transparency may help investors take a view on how much they consider currently lossmaking AI models to be winner-takes-all, like Amazon or Meta, where network effects create a virtuous circle, or commodities, where one model is viewed as interchangeable with another.

- While OpenAI has the leading chatbot by far with around 900 million monthly users, it has been rapidly pivoting its business model this year to try to attract enterprise users who will pay for it.
- That includes creating the [OpenAI Deployment Company](#) in May with 19 private-equity groups led by TPG to distribute its enterprise products, spearheaded by so-called “forward deployed engineers”. It said previously that enterprise revenue was on track to match consumer revenue by the end of the year.
- Since CEO Sam Altman declared a “code red” in December, OpenAI has scrapped what it called “side quests” such as its video generating tool Sora and is [working](#) on a “unified superapp” that brings its chatbot, coding, browsing and agentic capabilities together, aiming to convert satisfied home users to a similar business offering.



- Anthropic overtook it in business subscriptions in May, according to data from Ramp. And Similarweb data shows monthly visits to ChatGPT fell below a majority of the generative AI market for the first time in May, suggesting consumers are increasingly willing to switch between models.

Figure 2: Top four generative AI platforms: monthly visits worldwide (desktop and mobile web)



Source : Similarweb, Deutsche Bank Research

- OpenAI has indicated that it is generating about \$25bn to \$33bn in annualised revenue, up from a \$4bn annual rate at the end of 2024. By comparison, Anthropic's annualised run rate shot up from \$1bn a year at the end of 2024 to \$47bn in late May. The company previously said that its first profitable full year will be in 2029, one year earlier than OpenAI.

Greater disclosure around IPOs will finally illuminate the business models of the frontier model makers.

- While chips and data centres are easy to measure, actual monetisation of AI is opaque, given that private model makers make only limited disclosures and public hyperscalers rely on AI models for just a small part of their AI revenues.
- The key questions are how intense and rapid adoption will be; is the return on investment justified once businesses have to make hard choices to scale beyond pilots; and will premium all-singing, all-dancing frontier models win out over cheap, stripped-down, task-specific alternatives?

The stakes for pure-play model makers are higher now than ever before, with pressure from above and below.

- On the one hand, the hyperscalers have unsurpassed access to data, distribution and compute, as well as the ability to offer competing models on their platforms and still take a cut.
- On the other hand, ever-smarter open-source models may be good enough for most tasks. GLM 5.2, an open-source model from China's Z.ai, has become a viral hit in the US after rocketing up the leaderboards over the past couple of weeks. It scores 51 in Artificial Analysis's Intelligence Index, not

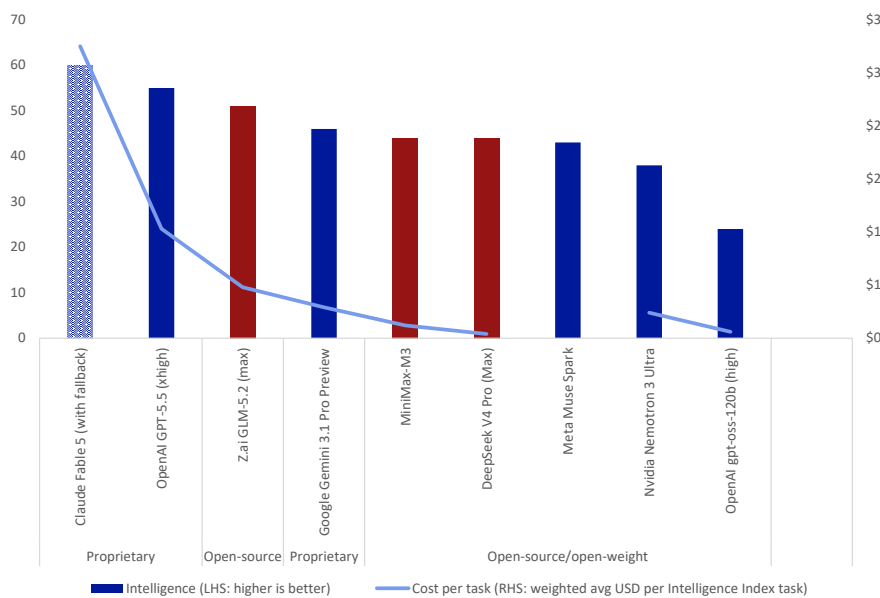


far behind Claude's (currently restricted) Fable 5 and OpenAI's GPT-5.5, yet costs just 48 cents per task in the index, versus \$2.75 and \$1.03 respectively.

Price is becoming a battleground as enterprise customers begin to balk at the true costs of rolling AI out at scale.

- Yes, cost per token, the building block of AI, is falling by between nine and 900 times a year, depending on the task, according to Epoch AI. But that is being offset by ever more compute-hungry agentic applications – as well as by well-meaning initiatives to encourage employees to be creative that have incentivised budget-busting “token-maxxing”.
- The economics of AI suddenly look less attractive once token usage is no longer being subsidised by investors. Anthropic has changed from a flat fee to a usage-based model, and OpenAI's Altman said last month that cost had come out of the blue to become a “huge issue” for customers this year. Both are [reported](#) to be considering price cuts that could erode their profit margins.

Figure 3: Artificial Analysis Intelligence Index of selected AI models vs cost per tasks

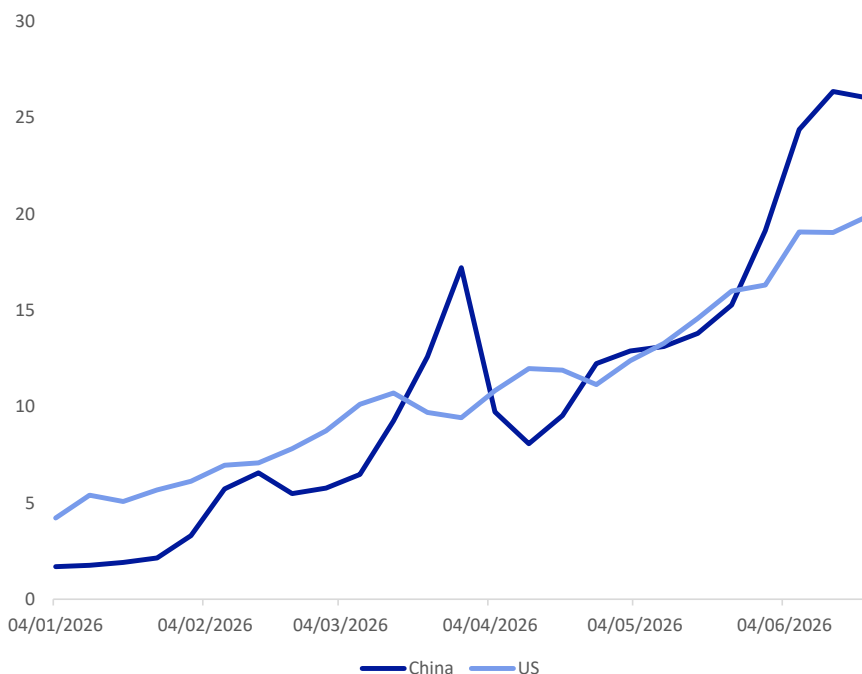


Source : Artificial Analysis Intelligence Index. “Fallback” mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

- OpenRouter data showing weekly token usage of the top models on its platform indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by Chinese models to 26 trillion. The platform allows customers to access hundreds of LLMs from different providers through a single account.



Figure 4: The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion)



Source : OpenRouter, Deutsche Bank Research

- Amazon, Walmart and Cisco are among companies that have reined in token use. Uber burned through its AI budget for the year in four months and has now capped spending, with its Chief Operating Officer [saying](#) that “the link is not there yet” between the use of Claude Code and customer innovation.
- Demand is growing for new model architectures that can divert queries to the most efficient model for any given prompt, such as OpenRouter’s new Fusion plugin.

2. More diverse funding sources – and more spending

AI is an arms race for compute, pitting startups against established hyperscalers.

- Specialist model-makers are on the back foot compared with a company like Alphabet parent Google that has ample cloud compute facilities and is generating roughly \$50bn in cash from operations every quarter that it can use to buy even more.
- Private companies cannot tap the same pool of investors forever. Abundant public market funding would break the cycle of relying on the piecemeal multi-billion-dollar investments and complicated financing arrangements among the leading firms of the past few months.

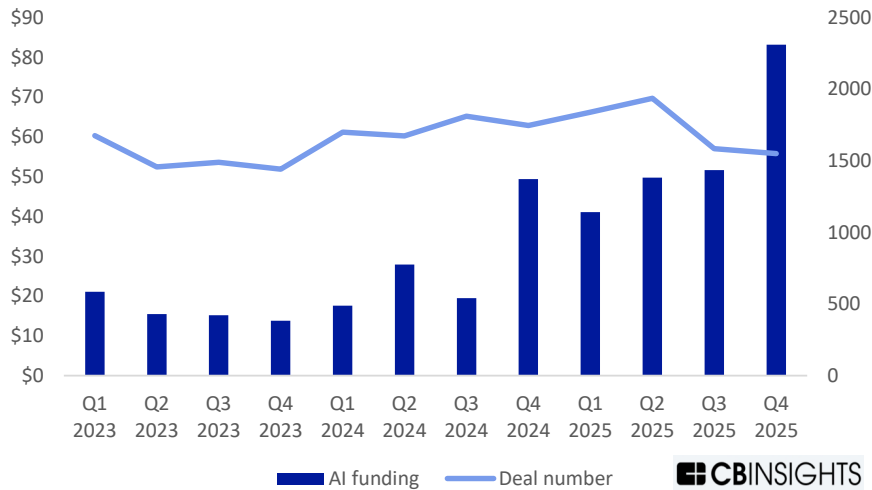
To be sure, this has not been a bad time to be raising private money.

- Three lean years for venture investment reversed last year as investors injected \$425bn, an increase of almost a third from the previous year, into more than 24,000 companies, [Crunchbase](#) data show. AI funding was particularly healthy, exceeding \$225bn globally, albeit concentrated in few



companies, according to [CB Insights](#).

Figure 5: Global AI funding surged in recent quarters, albeit concentrated in fewer companies: quarterly equity funding (\$bn) and deal count



Source : CB Insights, Deutsche Bank Research

- Anthropic said at the end of May that it [raised](#) \$65bn at a post-money valuation of \$965bn, more than double its valuation in February. In one leap, it overtook OpenAI, which [raised](#) \$122bn at an \$852bn post-money valuation in March. If either achieved the mooted market value of \$1trn, it would be comfortably within the world's top 20 most valuable companies.

But growth does not come cheap.

- OpenAI told investors in February that it was targeting some \$600bn in infrastructure investments by 2030, less than half of its earlier estimate of \$1.4tn amid concerns about whether future revenue could justify the outlay. Its emphasis has changed from building its own data centres to just renting them.
- OpenAI's funding round in March was anchored by long-term partners Amazon, Nvidia and SoftBank. Amazon will invest \$50bn in OpenAI in return for OpenAI using 2GW of its Trainium chip capacity and cooperating on new joint products.
- Long-term shareholder and partner Microsoft still took part even though the two have grown more distant and [unwound](#) some exclusive arrangements in April. The startup also took investments from at least 19 institutional investors and funds, as well as some retail investors via banks and exchange-traded funds, and expanded a revolving credit facility to about \$4.7bn.
- Meanwhile, Anthropic's latest round looped in at least two dozen investors and included \$15bn of previously committed investments from hyperscalers including \$5bn from Amazon – after the startup agreed to buy up to 5GW of compute capacity from it and a similar amount from Google and Broadcom.
- In a sign of just how complicated the AI funding org chart is becoming, Google, which already [reportedly](#) owned a 14 percent stake in Anthropic



worth \$3bn, pledged to invest another \$40bn in it in April and more recently was said by Bloomberg to have agreed to backstop lease payments worth \$35bn on five data centres.

IPOs would not just unlock new equity finance.

- Public listings would give the companies and their backers leverage capacity: the ability to raise debt against liquid, transparently valued collateral. Those funds could then be recycled into further expenditure on data centres, acquisitions and other ventures.
- A publicly funded OpenAI or Anthropic would likely not just build bigger models but also seek to become the default foundational platform layer similar to what Windows was for PCs and to Amazon's AWS for the cloud. They could use larger war chests to expand their API services, developer tools and enterprise partnerships, commoditising the layers where rivals (and perhaps some customers) operate.

Financial flexibility matters for all of the players in the land grab for capacity in the AI boom.

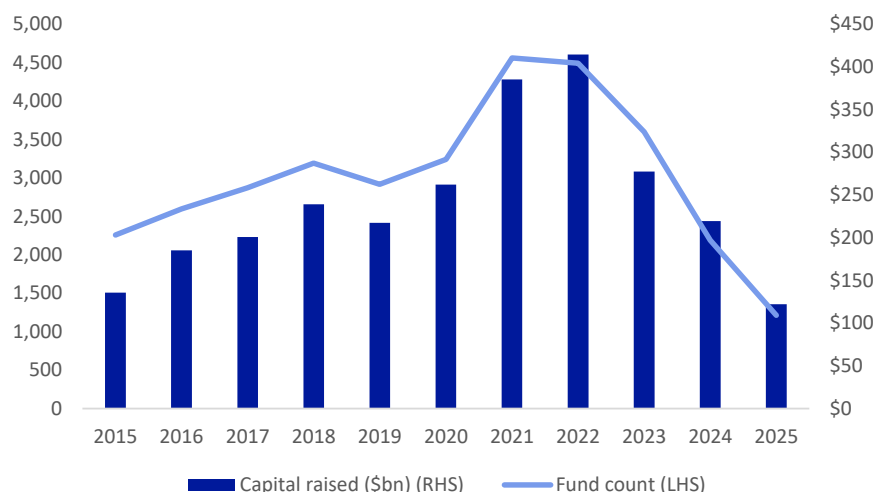
- Capital expenditure by hyperscalers looks set to rise by two-thirds to more than \$750bn this year. Even cash-rich Google turned to the debt markets this year, raising almost \$32bn in less than 24 hours in February, then raising \$84.75bn in the biggest equity capital markets transaction ever on June 1. Nvidia sold \$25bn of high-grade bonds in mid-June.
- And smaller companies are turning to the public markets, most recently with South Korean memory chip maker SK Hynix announcing that it is planning to raise more than 45 trillion won, or almost \$30bn, in a landmark US listing.

An opening of the IPO floodgates after a five-year drought would give companies the currency they need to embark on a spending spree.

- It could even break the inertia of an upstream drought in fundraising for early investments by unblocking trapped liquidity. Global venture capital fundraising fell last year to \$122 billion, little more than a quarter of the peak in 2021 and 2022, as investors shied away from illiquid investments in favour of less risky strategies, PitchBook [data](#) show.



Figure 6: Global private-equity fundraising dropped significantly after 2022, trapping upstream liquidity



Source : [PitchBook](#), Deutsche Bank Research. Data as of Dec 31, 2025

- That could mean a surge in mergers and acquisitions, turning other private companies into targets and giving an exit route to impatient investors. This year has already seen more than 5,000 technology acquisitions or investments pending or completed with a value of about \$850bn, more than double the level for the same period last year, Bloomberg data show.
- Elevated valuations and regulatory hurdles for the biggest companies would put them out of reach of all but a tiny number of strategic buyers (the hyperscalers) or sovereigns. An alternative approach has been “acquihires”, pioneered by Microsoft two years ago when it hired most of the staff of Inflection, including co-founder Mustafa Suleyman, and licensed the use of its AI models for \$650 million.
- But smaller companies have a much greater chance of being acquired.
- Most recently, US chipmaker Onsemi agreed to buy Synaptics, which makes semiconductors for smart devices, for about \$6.2bn in stock late last week. Indeed, Bending Spoons, which buys up struggling software companies, including AOL and Vimeo, itself filed for an IPO last week. The Italian company aims to raise as much as \$1.6bn at a \$19bn valuation early this month.

Last but not least, IPOs will give companies a potent new weapon in the battle for talent: liquid, publicly traded stock options.

- For top-tier researchers and engineers, this would be a far more tangible and immediate form of wealth than illiquid shares in a private rival that might seek to lure them away.
- Such a liquidity shock could force private competitors into responding with ever larger funding rounds at higher valuations on the promise of “jam tomorrow” for star employees – or into going public themselves. They would also have to be on high alert to prevent their existing core teams from being poached by a newly public OpenAI or Anthropic armed with a trillion-dollar market capitalisation.
- Meta’s Mark Zuckerberg sparked a bidding war for top AI researchers last



year, offering compensation packages worth hundreds of millions of dollars in some cases. OpenAI and Anthropic were the most recent players to fish in the small pond of genuine AI experts a couple of weeks ago, hooking two legends of the industry. Shares of Google, where they worked, fell more than 5 percent on the day.

3. Greater accountability for their actions – and for the industry

The AI industry has lost its lustre in recent months.

- Warm initial perceptions of it as a slightly magical composer of wedding speeches have faded and may vanish once Mom and Pop own shares in pure-play AI companies for the first time. Those companies risk becoming a lightning rod for broader fears about the impact of AI on trust, jobs and vulnerable industries.

At the most basic level, public companies are held to higher standards around consistency and accountability.

- For example, OpenAI has attracted criticism for reversing its earlier opposition to advertising in an attempt to create a more sustainable business model. Critics have said conversations could be biased by sales imperatives.

Beyond that, OpenAI and Anthropic have already had a taste of the political challenges in store as public companies.

- Anthropic was blacklisted by the US Department of Defense in February for refusing to let Claude be used for autonomous weapons and mass surveillance. The dispute cost Anthropic a \$200m [contract](#) and is now in the courts. OpenAI was then criticised from the other side after it struck a deal to replace Anthropic. Altman later described the move as being “complex but the right decision with extremely difficult brand consequences and very negative PR for us in the short term”.
- More recently, the US Department of Commerce issued an export control directive late on June 12 to suspend all access by foreign nationals to Anthropic’s Claude Mythos 5 and less powerful Fable 5 models because of security concerns.
- Although it had to temporarily disable access to all customers to ensure compliance, its reputation for having the most powerful models will have benefitted (see our report [AI twist in the tale for Anthropic’s Fable and Mythos](#)). The silver lining may eventually eclipse the cloud amid a branding boost that money can’t buy. However, alternatives to US models are also likely to benefit from concerns that access could be switched off without warning.

Most broadly, the makers of the best-known chatbots may pay a price for being seen as proxies for all of AI when controversy hits the industry.

- Hot topics include cybersecurity. The leaders of the Five Eyes cybersecurity agencies of the US, UK, Australia, Canada and New Zealand warned in a joint [statement](#) last week that frontier models are likely to supercharge cyber threats: “The timeline is not years, it is months”.

The biggest underlying popular concern is what AI will mean for jobs.

- The leaders of both Anthropic and OpenAI have moderated their



predictions of severe disruption in recent weeks, with Amodeli pivoting to say automation would dramatically increase productivity and Altman saying the impact on jobs has been less than he expected.

- One challenge is that AI has become a scapegoat for job cuts at companies ranging from Block (4,000 employees, or nearly half the workforce) to Atlassian (10 percent of roles) and even British American Tobacco (with AI cited as one of a number of factors in a planned one-fifth reduction in its workforce).
- However, the tide has begun to turn on predictions of catastrophic job losses. A slump in entry-level graduate jobs may have been more due to rising interest rates and remote work than AI – and may be reversing. And business leaders like Amazon Web Services' CEO Matt Garman have [said](#) eliminating the pipeline of talent makes no sense.

Nowhere has the AI backlash become more focused than over data centres.

- As fast as these “AI factories” are mushrooming around the US and the world, so are concerns – both justified and unjustified – about them overwhelming the electricity grid, forcing up power prices, and sucking rivers dry for water to cool their chips.
- How the leading model makers, hyperscalers and infrastructure companies handle the issue could determine whether it remains contained or unleashes moratoriums, regulation or swingeing taxes that put the entire boom at risk.
- In the US, home to half of the world’s data centres, opposition to “AI factories” is becoming a rare area of bipartisan consensus, uniting prominent Democratic Representative Alexandria Ocasio-Cortez and independent Senator Bernie Sanders on the left, and populist strategist Steve Bannon on the right.
- Maine recently passed a moratorium on larger data centres while, across the Atlantic, data-centre hub Ireland has introduced a “Bring Your Own Power” policy that requires new facilities to generate their own electricity or secure renewable energy contracts.

Data centers are – literally – close to home for voters.

- That makes them ripe fodder for targeted lobbying and grassroots campaigns in a way that vague fears about long-term job losses are not. The US midterm elections in November will be an important litmus test of the political consequences of local pressure.
- A Gallup poll in May found that 71 percent of Americans would oppose a data centre being built in their area. At least 75 projects worth a record \$130bn were blocked or delayed in the first quarter, [according](#) to Data Center Watch.
- Tech companies have done their bit to respond. Microsoft, for example, said in its most recent data centre announcement last week that it would create thousands of jobs at the facility in Pecos, Texas; pay to ensure it does not cause a rise in electricity prices; and replenish more water than it uses. “We are approaching this project as a new neighbour,” it said.

The IPOs of the biggest AI companies could also have repercussions in the geopolitical contest for technological supremacy, raising their status to that of strategic national assets.



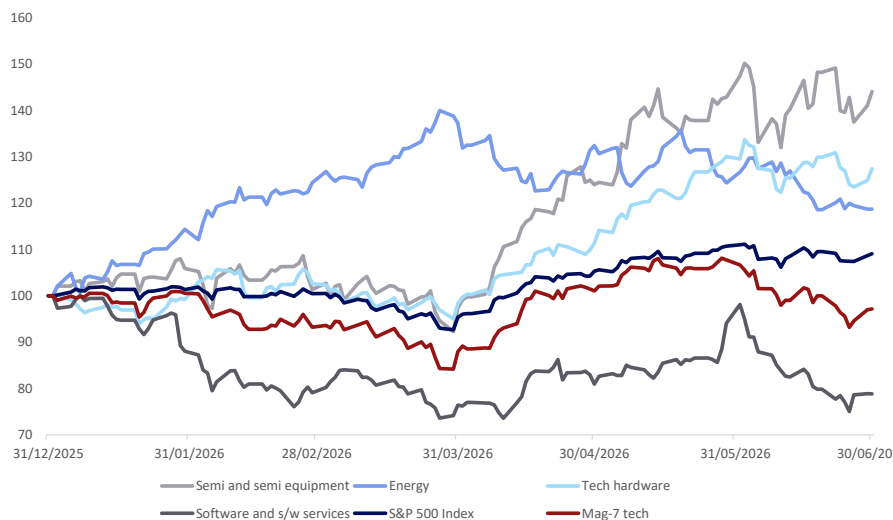
- That could encourage other powers to accelerate support for their own national champions, like China's "AI tigers" and France's Mistral, to avoid becoming dependent on US-controlled foundation models. Other countries may find themselves having to choose to align with one centre of power or the other.

4. New era for comparing valuations to peers – and the past

Part of the anxiety about an AI bubble is the lack of pure-play, public, investable companies to act as a benchmark. A listed OpenAI or Anthropic would fill a huge gap.

- Sentiment about AI has driven much of the market since the launch of ChatGPT, with anticipated gains from investment and productivity helping to explain the two-thirds rise in the S&P 500 Index during that period.
- That rise has been bumpy, soaring and swooning from week to week, as one area after another, such as software, semiconductors or infrastructure companies, has come into favour and then fallen out again. Investors have crowded into trades on a concentrated and shifting list of potential AI enablers and adopters, and away from prospective casualties.
- To give one example, the Magnificent Seven biggest technology stocks have whipsawed over the past month amid concerns about how much of their AI capital expenditure will pay off, shedding as much as 12 percent by late last week. They have tripled over the past three-and-a-half years to account for almost a third of the S&P 500.

Figure 7: S&P 500 Index, Magnificent Seven tech stocks and other select AI-related sectors performance YTD to June 30 (indexed to 100)



Source : Bloomberg Finance LP, Deutsche Bank Research

- That makes investing in AI right now feel a bit like going to a horse race and having to bet on the jockeys and the condition of the track because the horses themselves are unavailable.

Of course, there is no guarantee that any filing ends up in a successful IPO.

- The San Francisco-based co-working company WeWork was valued at



\$47bn in early 2019 but failed to gain traction when it filed its prospectus in August that year. It eventually went public in 2021 at a heavily reduced valuation and ended up filing for bankruptcy in late 2023.

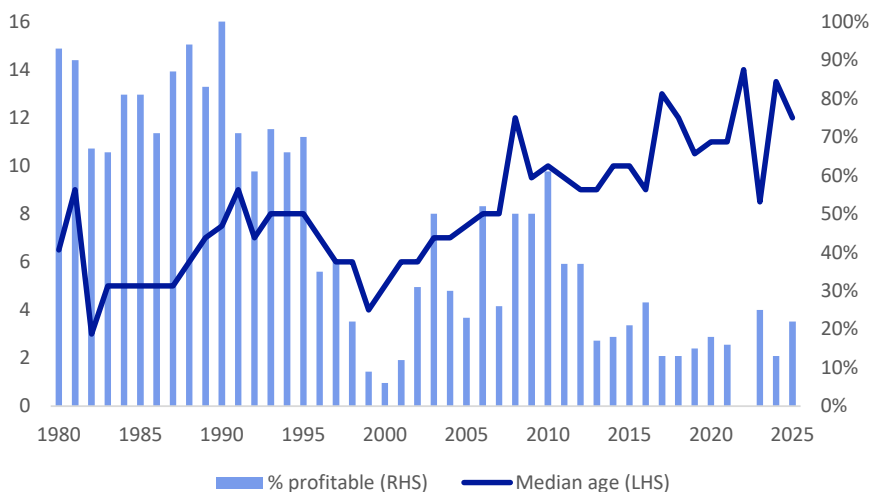
Another way that major IPOs could remove some distortions is by acting as a release valve for private markets, enabling long-awaited exits from investors.

- Private-equity companies are sitting on a record backlog of unsold companies, thanks in part to geopolitical disruption and fears of a “SaaSocalypse”, according to [data](#) from Pitchbook and others. The median age of still-held assets continued to trend upwards from three years in 2022 to four years in 2025 as exit activity stalled.

Despite concerns that the boom turns to bust, there are differences in the IPO markets from the height of the dot-com bubble.

- Overall valuations are clearly elevated by historical standards, with the Shiller Cyclically Adjusted Price-Earnings (CAPE) ratio for the S&P 500 recently surpassing 40, nearing the record 44 it reached at the peak of the dot-com bubble.
- However, the IPOs coming to market are more mature and more profitable.
- Back in 1999 to 2000, the median age of venture-capital-backed tech startups going public shrank to about 4.5 years, according to University of Florida data. Since then, the median age has been relatively stable at ten-and-a-half years and was 12 years last year.
- Only 6 percent of those tech startups going public at the height of the dot-com bubble were profitable, compared with 22 percent since 2010, and they had a median opening price-to-sales ratio of over 40, four times higher than the average since 2010.

Figure 8: Median age and profitability of technology IPOs (1980-2025)



Source : University of Florida, Jay Ritter, Deutsche Bank Research

Perhaps the greatest insurance against a bubble is the fixation of today’s senior investment managers on the dot-com bust that scarred them in their formative years in the market.



- For them, mega IPOs bring back memories of the IPO of Netscape in August 1995, widely regarded as the start of the dot-com bubble. However, there is just as important a lesson in how long it took for that bubble to go bad despite prophecies of doom and gloom right from day one.
- Bloomberg published an article two days after the IPO on August 9, 1995, entitled “Why investors say Netscape shows a market poised for a fall” and warns “Be worried, very worried”. “Netscape was a little insane,” says a trader quoted in the article, after the stock doubled on its first day of trading, giving the lossmaking company a \$2.9bn market value. “It certainly hints at more frothiness in the market and that’s usually the sign of the beginning of the end of a bull market”.
- Yet in the end, the Nasdaq shot up from 1,005 on the day of Netscape’s IPO, not peaking until almost five years later, at over 5,000 on March 10, 2000. It was only then that it dramatically fell back, reaching a trough of about 1,100 in October 2002.
- As for Netscape, it was bought by America Online (AOL) for \$10bn in 1999, and then vanished in the fallout from AOL’s record-breaking \$124bn purchase of Time Warner in 2001.

Yet Amazon, another star of the times, shows the power of patience – and picking a winner.

- Adjusting for stock splits, the shares debuted at 7.5 cents in the company’s \$54m IPO on May 15, 1997. After the roller coaster of the dot-com bubble and crash, the shares took a decade to recapture their early peak – and then continued to rise, reaching almost \$275 a month ago.
- Yet on the day of its IPO, when the stock rose 31 percent, a Pennsylvania-based fund manager told Bloomberg: “I personally am going to stay away from it. I don’t think it’s been proven that one can make a lot of money over the web.”

Recent relevant research

[Assessing AI in finance with Evident Co-CEO Alexandra Mousavizadeh](#) (June 9, 2026)

[ChatIPO: Quick take on OpenAI’s record-breaking IPO plans](#) (May 21, 2026)

[Will Claude’s AI finance agents change your life?](#) (May 6, 2026)

[AI, Iran and the Gulf 101](#) (April 13, 2026)

[What AI says about AI eating itself and the world...](#) (Feb 16, 2026)

[AI Q&A: Why have market vibes suddenly shifted on AI?](#) (Feb 16, 2026)

[Three AI themes for 2026: the honeymoon is over](#) (Jan 20, 2026)



Appendix 1

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This Month in Geopolitics: July 2026

Key events, themes and trends to watch in the month ahead

July 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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At a Glance: Geopolitical events to watch in July 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



In the spotlight for July 2026: US-Iran peace talks and China-EU trade tensions



US-Iran peace talks (all of July)

The US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. This process is unlikely to be without friction. There are many moving parts in negotiations and we should watch closely for disagreements over implementation, Gulf states' requirements for security guarantees, and domestic political opposition from key parties. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

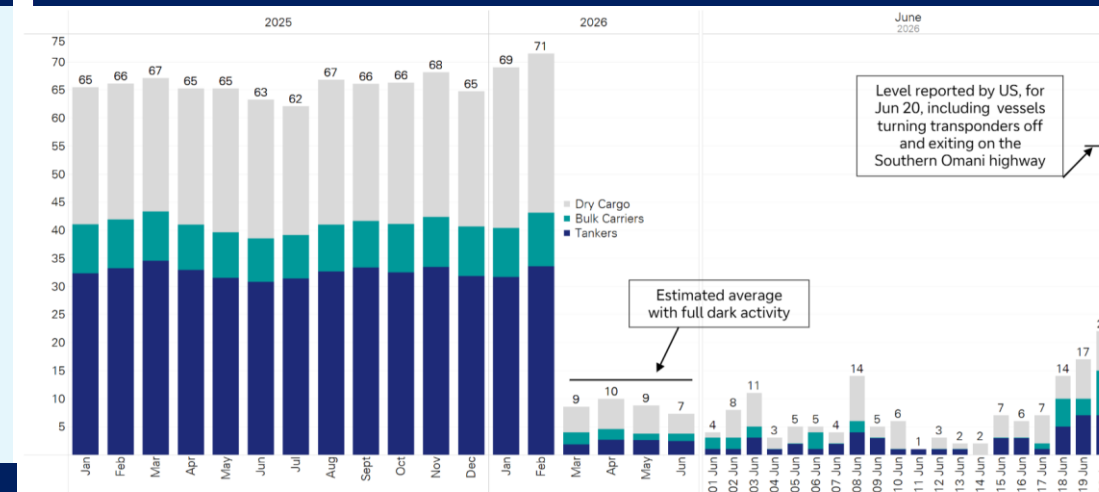
Shipping levels through the Strait of Hormuz have increased (see top chart), but **traffic will likely take time to recover to pre-war levels** given the challenges of de-mining, a lack of trust between the US and Iran, and Iranian [threats](#). Infrastructure repair to ports, terminals and energy infrastructure, as well as the provision of security guarantees are other factors to watch. While crude oil prices have recovered to pre-war levels, full operational normalization, involving infrastructure repairs, [is not expected](#) until 2027 and beyond.

China-EU trade tensions (all of July)

While efforts have been initiated to avoid a trade war, the EU continues to implement new measures against China. On 29 JUN, the EU and China agreed to a 3-month dialogue with a commitment to reconvene in October on four “workstreams” to make progress on trade disagreements, including export controls, trade and investment balancing, and a joint monitoring mechanism to improve transparency and manage trade frictions.

At the same time, the EU Council **has reportedly tasked the European Commission with developing new trade defence tools** implicitly aimed at addressing trade imbalances with China. The trade imbalance, along with perceptions that China's currency is [undervalued](#), is a growing political concern for the bloc (see bottom chart). **Two new EU measures implicitly aimed at China entered into force on 1 JUL.** The first is a temporary €3 (US\$3.4) customs duty per item levied on low-cost shipments entering the bloc. The measure intends to address imports from Chinese e-commerce companies and will remain in force until 1 JUL 2028. **New rules intended to protect the EU steel market from global overcapacity** entered into force, which include a revised quota system. China is the world's largest steel producer, accounting for around 50% of global output.

Blue-water commercial cargo tankers exit the Strait of Hormuz (from 2025) version count

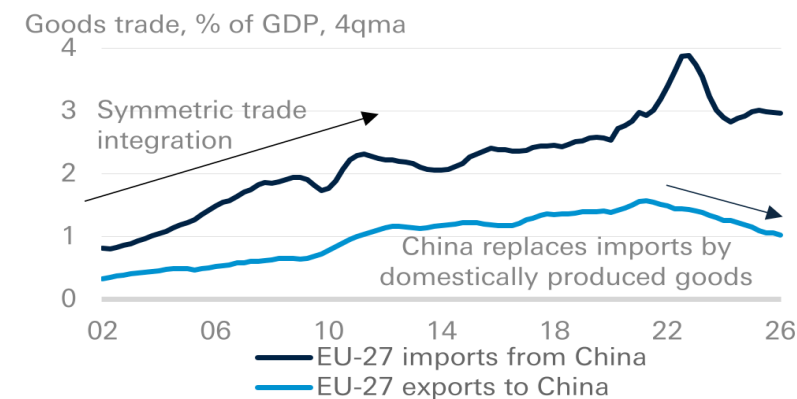


Source: dbDataInsights

Note: Pre-crisis figures do not account for 'dark activity' (estimated 3-6 vessels per day with transponders off, mainly Iranian tankers). Following the crisis, we implemented a methodology to estimate partial dark activity by cross-referencing Persian Gulf port departures with confirmed arrival records outside the SoH, and media reports. Based on this, our recorded average daily vessel crossings from March to mid-June were nine. However, if we were to triangulate all estimated dark activity, average daily crossings during this period would likely have been in the low-teens. Dark activity appears to have picked up significantly since the MoU was signed as the U.S. Central Command said 55 commercial ships passed through the strait on 20 June.

For a detailed analysis of the impact of the Iran conflict and the outlook for the Strait of Hormuz, please see [Twenty Miles That Shook the World](#)

Structural trend of a widening EU trade deficit with China



Key events, issues and themes to watch in July 2026

Listed in chronological order



US trade policy (all of July)

July could see the introduction of new US tariffs against dozens of trading partners. The expiry of US 10% global Section 122 tariffs **on 24 July**, and their expected replacement by Section 301 levies, should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. Countries with existing framework agreements with the US [could see](#) the rates of new levies capped at previously agreed levels. **New US Section 301 tariffs on China** could increase bilateral tensions, although we assess that a return to significant trade escalation remains unlikely as long as both leaders continue to signal a [commitment to strategic stability](#).

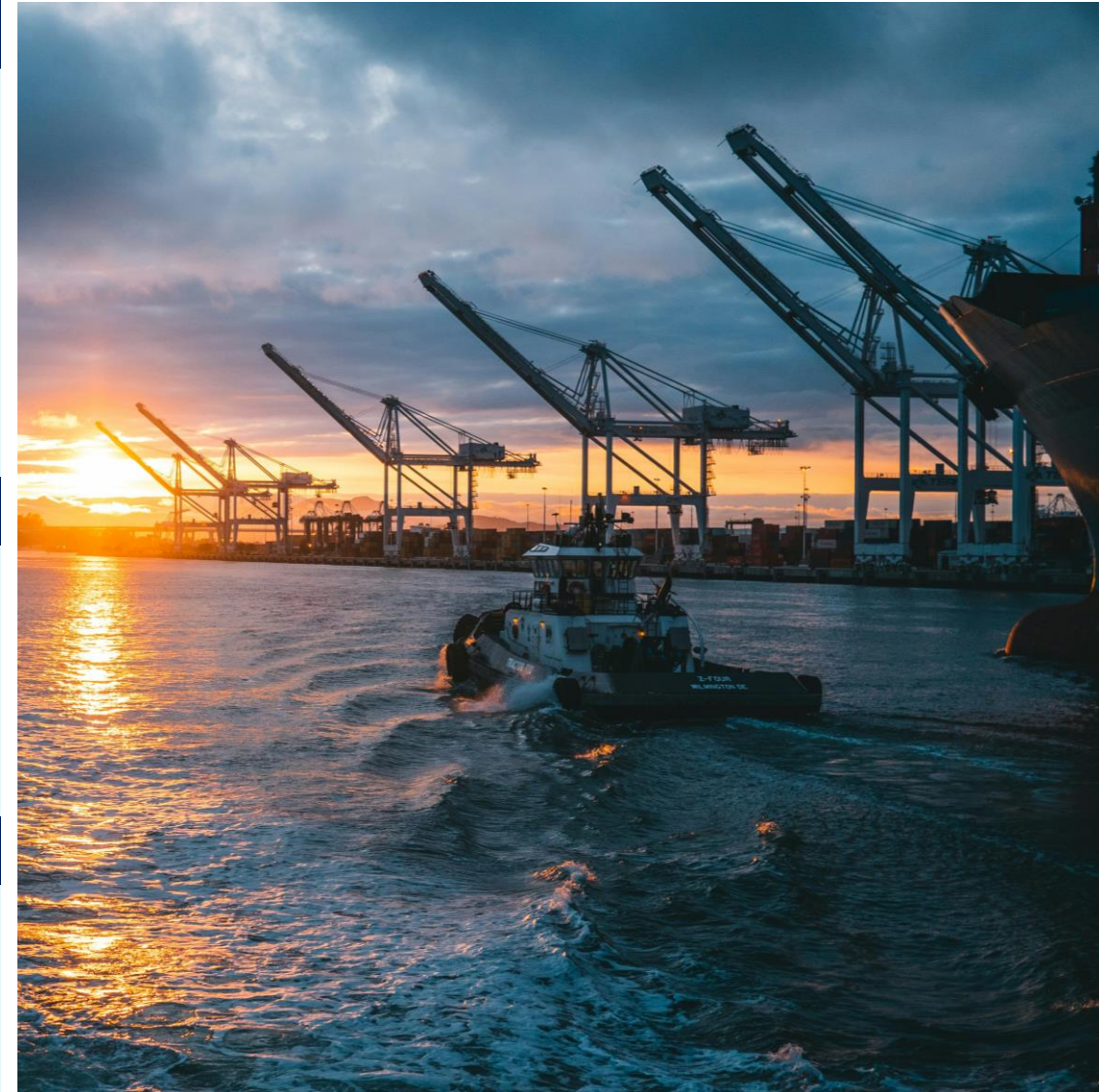
Under a separate [Section 232 investigation into critical minerals](#), after 13 July, the US may choose to impose tariffs, price floors or other trade measures in response to minerals agreements judged to be incomplete or ineffective.

US-Mexico-Canada trade talks (1 July onward)

The renewal talks are expected to be challenging and potentially protracted. 1 July marks the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process. The three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode if consensus is not reached. **Officials have signaled that the complex negotiations may continue beyond the initial review date.** President Trump's statements in June expressing skepticism over the deal and its value to the US could add another layer of uncertainty to the talks.

Japanese Prime Minister Takaichi's expected to visit India (1-3 July)

The visit will likely aim to strengthen bilateral trade and investment ties. Prime Minister Takaichi's first official visit to India will likely include a bilateral meeting with Prime Minister Modi. Areas of focus in talks could include increased cooperation in semiconductors, strengthening supply chain resilience, as well as security cooperation. Both countries are members of the Quad initiative, and bilateral ties have strengthened in recent years as New Delhi and Tokyo diversify their international ties amid rising geopolitical uncertainty. **Japan is India's fifth-largest foreign investor**, particularly in sectors such as automotive manufacturing, digital technology, clean energy and infrastructure.



Source: [Ronan Furuta](#) on [Unsplash](#)

Key events, issues and themes to watch in July 2026

Listed in chronological order



AI/digital summits in Geneva (6 -10 July)

Switzerland will host three UN-backed summits during July. The UN will hold its inaugural **Global Dialogue on AI Governance** (6-7 July), intended to establish shared principles on AI governance and improve interoperability across emerging national regulatory frameworks. The summit takes place alongside two meetings organized by the International Telecommunication Union (ITU). The annual **AI for Good Global Summit** (7-10 July) aims to translate AI policy discussions into technical standards, public-private partnerships and scaled deployment of AI solutions. The **World Summit on the Information Society** (WSIS; 6-10 July) centres on promoting global digital cooperation.

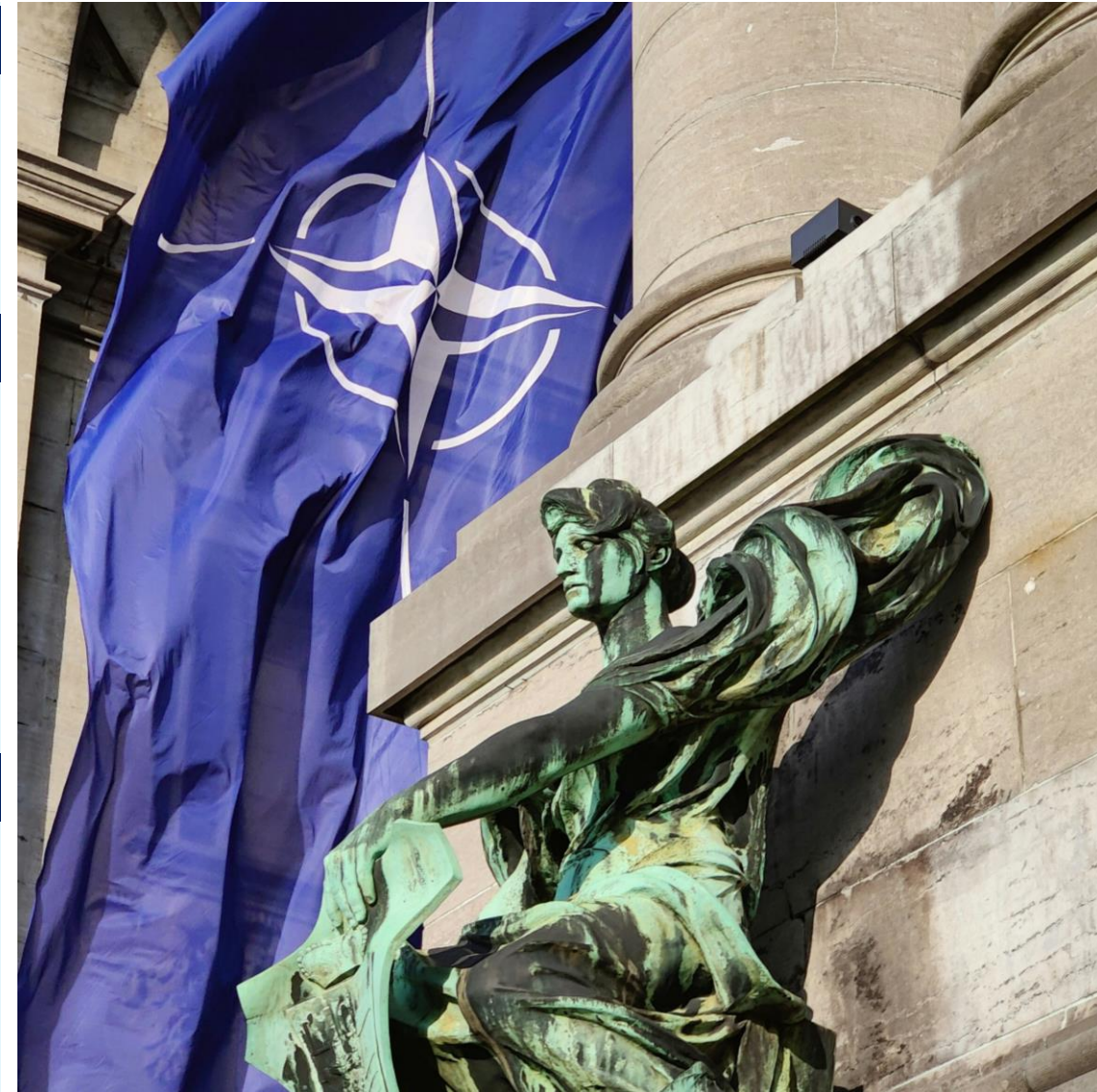
NATO leaders' summit in Ankara (7-8 July)

Pressure on European allies to carry more of the security burden will likely intensify as US stockpile and resource constraints bite after the Iran war. President Trump's demands will likely headline the NATO Leaders Summit. **It is slated to assess the credibility of national defence spending plans** and advance the emerging "NATO 3.0" agenda under which European NATO members take on more responsibility for their own conventional defence.

Ahead of the meeting, **the US has announced some military pullbacks from Europe** and reportedly notified allies of further planned reductions to its NATO Force Model contributions. To slow the withdrawal of hard-to-replace US capabilities (such as air defence, long-range weaponry and strategic airlift), European leaders will stress their commitment to NATO's new 3.5%-of-GDP target for "core" defence spending and their readiness to help clear the Strait of Hormuz.

India's Prime Minister Modi could visit Indonesia, Australia and New Zealand (6 -11 July)

Media reports indicate that Modi could visit the three countries during July, even though no plans have been officially confirmed. The prime minister's itinerary could reportedly include talks with Indonesian President Prabowo Subianto, Australian Prime Minister Albanese and New Zealand's Prime Minister Luxon. If confirmed, the visit would likely reflect New Delhi's **intensifying economic and security engagement with regional middle powers** amid rising global geopolitical risk and global trade volatility.



Source: Jannik on Unsplash

Key events, issues and themes to watch in July 2026

Listed in chronological order



Appointment of new UK Prime Minister (mid-July)

UK will see the appointment of its 7th Prime Minister since 2016. Prime Minister Keir Starmer announced his resignation on 22 JUNE. The Labour leadership nomination process opens on 9 JUL. At the time of publication, Any Burnham is the only declared candidate. Assuming no other Labour MP mounts a leadership challenge, Burnham could become the Prime Minister by mid-July, pending the completion of the Labour leadership process and formal appointment by the King.

Burnham's key priorities appear to be significant devolution of power, regional economic growth, fiscal discipline, and political reform.

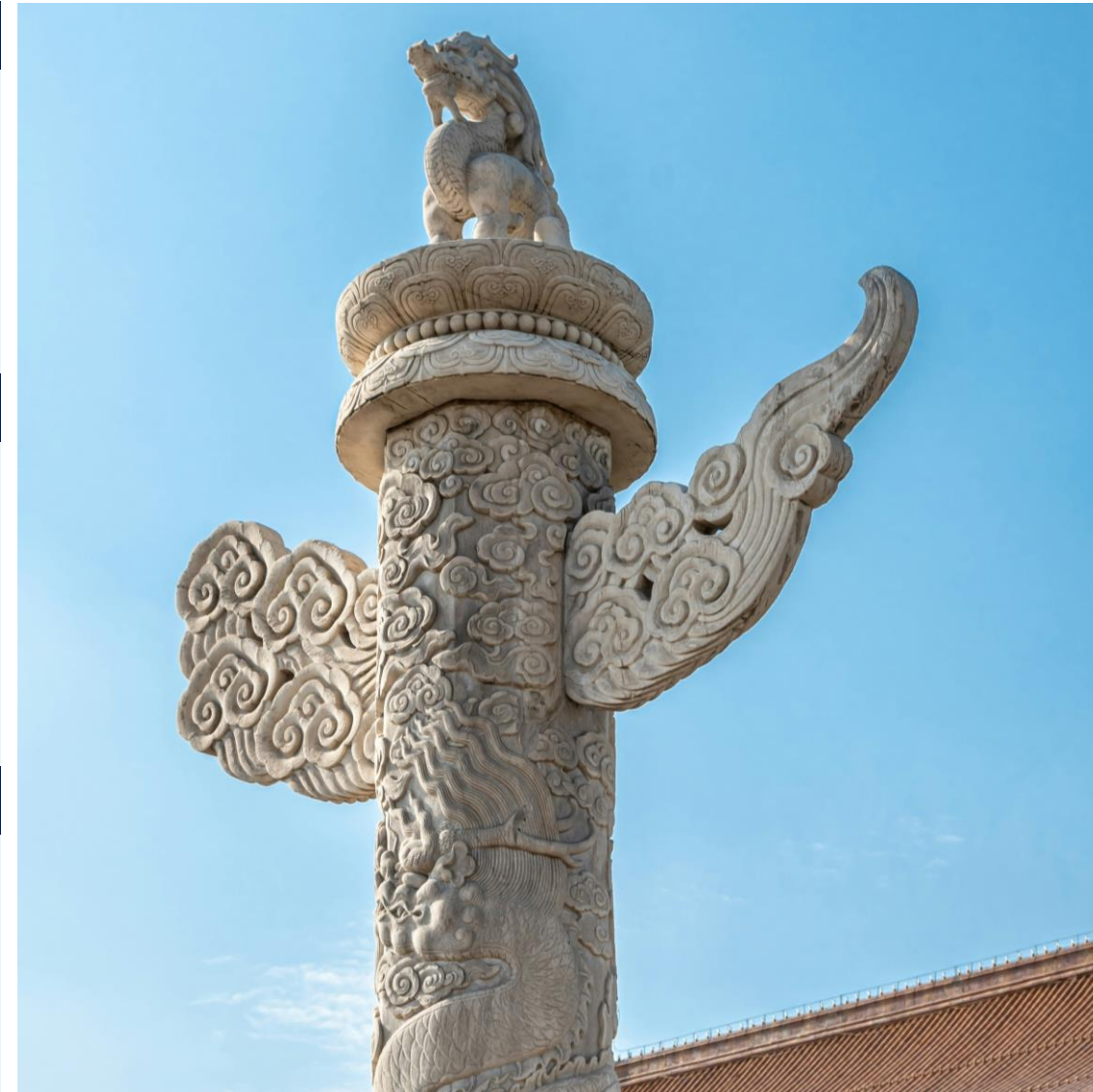
US-India trade negotiations (24 July as a soft deadline)

Trade talks are reportedly nearing completion, reaffirming strategic stability despite recurring bouts of friction. The Modi-Trump meeting on the sidelines of the June G7 summit has reportedly injected renewed momentum into bilateral trade talks, which are now believed to be nearing completion. India's Trade Minister Piyush Goyal has expressed **optimism that an interim deal could be concluded by 24 July**, when the US' global 10% tariffs expire.

But even if negotiations extend beyond this deadline, we maintain our view that a convergence of strategic interests – including long-term competition with China – should keep bilateral ties broadly on track. **Nevertheless, this does not preclude the possibility of recurring bouts of friction over trade, tariffs and [security issues](#).**

Politburo meeting in Beijing (late July)

The July meeting of the Politburo – China's top policy-making body – is one of the more important sessions in this year's political calendar. The meeting will most likely assess the state of the Chinese economy during the first half of 2026 **and set the economic policy direction for the rest of the year.** Post-meeting readouts could provide insights into priorities around industrial policy, support for the property sector, and the implementation of the 15th Five-Year Plan adopted in March 2026.



Source: 典方 on [Unsplash](#)

Appendix 1



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I, robot... you, unemployed: How workers are responding to AI fears

July 1, 2026

While media headlines this year have been filled with stories of AI-driven layoffs, less attention has been paid to how workers are responding to the new AI-centric world they find themselves in. Are people so fearful of displacement by AI that they are pulling back on spending and increasing savings? Or are they embracing its potential to enhance their careers and lifestyles?

This research report uses our proprietary dbDataInsights household survey¹ to examine how workers are responding to fears that they will lose their jobs to AI. The analysis shows that, contrary to the idea that worker's fear could slow down the economy as they spend less to boost precautionary savings, individuals most concerned about AI-driven job loss are not retreating. Instead, they are taking some proactive steps.

- **Proactive upskilling:** Workers who are more concerned about losing their job to AI are more likely to undertake AI-related training – potentially in an attempt to complement, rather than be substituted by, AI.
- **Increasing wage demand:** They are more likely than other workers to seek out a pay rise.
- **Confident spending:** They are more likely to be currently spending more, in direct contrast to the idea that greater concern about job security will act as a drag on spending.

The survey also reveals who these concerned individuals are. They tend to be younger, more educated, have a better understanding of AI, and are already using AI in their professional and personal lives.

The findings suggest that workers are not resigned to the fear of losing their jobs to AI. They are attempting to adapt to the new AI world. Supporting this trend – both at the level of individual businesses and broader public policy – could help reduce the social cost of AI adoption that some fear.

Authors

Michael Kirker
Economist

¹ For more background on the dbDataInsights household survey see the [Annex](#) at the end of this report.



Survey background

Our dbDataInsights household survey asks a wide range of questions each month to nationally representative samples in Germany, France, Italy, Spain, the United Kingdom, and the United States. The analysis in this report draws exclusively from the survey. Respondents to the survey are asked directly about their fears of losing their job to AI:

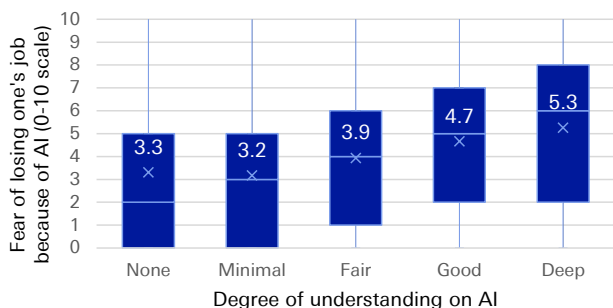
Using a scale of 0 to 10, where 0 is 'Not at all concerned' and 10 is 'Extremely concerned', how concerned are you that you will need to look for a new job within the following time frames because of AI?

This report will focus specifically on the one-year ahead horizon, although results are similar if we consider the two- or five-year ahead horizon instead. We began asking this question in our June 2025 survey round, and the level of concern has been broadly stable since then, both over time and similar across countries. Therefore, this analysis aggregates data from all monthly surveys and countries to maximise statistical power

The fear of losing one's job to AI is not born out of ignorance or irrational fear about AI – it is driven by informed concern. In our survey, those that have a greater understanding of AI show higher levels of concern about losing their jobs.

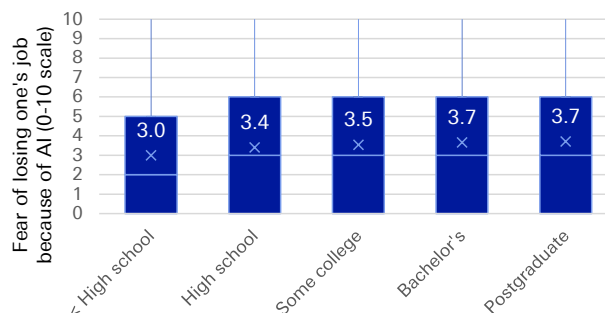
When asked to describe their own knowledge level of AI, respondents who reported higher levels of understanding generally had a higher concern about losing their job to AI than those with less self-reported knowledge (Figure 1). This relationship is not likely to be driven by bias in people's self confidence. **On average, those with higher levels of education also showed higher levels of fear (Figure 2),** and **those who have actively used AI in the past three months either at home or at work – and thus should have greater knowledge about the latest AI developments – also showed greater concern on average about losing their job to AI (Figure 3).**

Figure 1: Those with a higher self-report understanding of AI are also those with the highest level of fear about losing their jobs over the next year



Source : Deutsche Bank Research, dbDataInsights
Notes: Numerical values denote the average fear (on a 0-10 scale) of each group

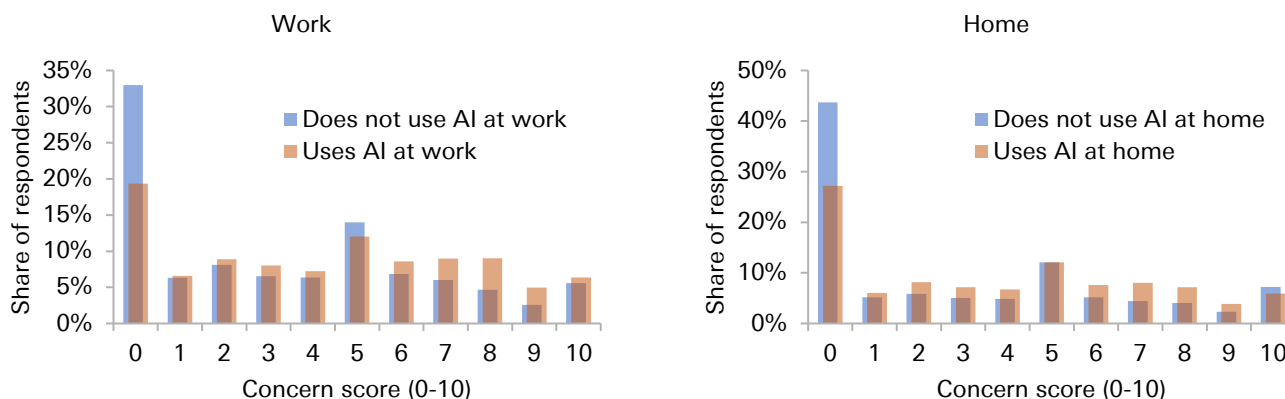
Figure 2: The more educated respondents show more concern about losing their job to AI over the next year



Source : Deutsche Bank Research, dbDataInsights
Notes: Numerical values denote the average fear (on a 0-10 scale) of each group



Figure 3: The distribution of concern about losing one's job to AI over the next year is higher for those respondents who have used AI at work or at home within the last three months



Source : Deutsche Bank Research, dbDataInsights

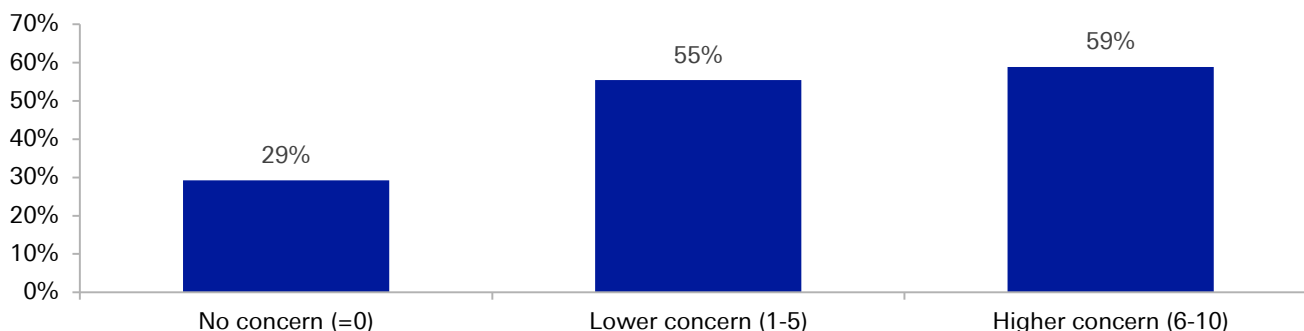
The proactive worker: Upskilling to become a complement to AI rather than a substitute

Worker's fear of losing their job to AI over the next year translates into direct action by the workers. They are not taking the transition to a new AI world lying down. One way in which they are doing this is by upskilling – adapting to become a complement to AI investment rather than a substitute for it.

Up until December 2025, our survey asked respondents what AI learning activities they may have been engaged in: (1) Watching videos to learn about AI; (2) Completing a course to learn more about AI; (3) Reading articles to learn more about AI; or (4) none of these. If the respondent has done any of these types of training (1-3) then they are classified as having undertaken training.

As [Figure 4](#) shows, the proportion of respondents undertaking some form of AI upskilling/training is increasing with the level of concern about losing one's job to AI over the next year.

Figure 4: The proportion of respondents undertaking AI training/upskilling is higher for those with higher levels of concern about losing their jobs to AI over the next year



Source : Deutsche Bank Research, dbDataInsights



To work out if the higher likelihood of undertaking training is associated with the level of concern, and not driven by differences in the types of people who are more likely to be concerned, a logit regression analysis is carried out. The regression includes controls for a range of other factors of respondents in an attempt to isolate the effect of concern about job loss on the likelihood of undertaking AI training/upskilling.² The results are shown in the table of [Figure 5](#).

Figure 5: Logit model: Impact of concern about losing one's job to AI on the likelihood of doing AI training

	Share upskilling	Average marginal effect
Full sample	55.3%	1.67pp (SE 0.12)
Only those concerned (concern>0)	61.6%	0.51pp (SE 0.17)

Source : Deutsche Bank Research, dbDataInsights.
Notes: pp = percentage points

The regression is run on the full sample, and then again on the subset who say they have some level of concern (concern > 0 on the 0-10 scale). The reason for this is that The change in behaviour from going from "not at all concerned" (a score of 0) to a score of 1 could be quite different from the change in behaviour of someone who is already concerned becoming slightly more concerned (say moving from a 4 to a 5).

The regression analysis shows that a one-unit increase in AI concern (moving one point higher on the 0-10 scale) correlates with a statistically significant average marginal effect of around 1.7 percentage points (pp) for the full sample, and 0.51pp for the concerned subsample. **This means a one-point rise in an individual's concern about losing their job to AI over the next year is, on average, associated with a 0.5-1.7pp increase in the probability of that person undertaking some form of AI training.**

To put that into context, the average level of concern across our survey has risen slightly over half a point over the last year. Therefore, the average respondent has become 0.25-0.9pp more likely to be undertaking some form of AI because of their rising concern about job loss.

This finding is a positive development. Workers are not waiting to be replaced by AI. They are actively working to become AI complements rather than substitutes. If AI does lead to the productivity gains business leaders hope for, tomorrow's labour force are more likely to have the skills and knowledge needed to take advantage of the AI, thereby further boosting the productivity gains from AI.

The pay-rise paradox: Demanding more in the face of disruption

Conventional economic theory would suggest that the because AI is a technology that threatens to replace workers, the adoption of AI by businesses should weaken the bargaining power of workers, making them less likely to push for pay rises.

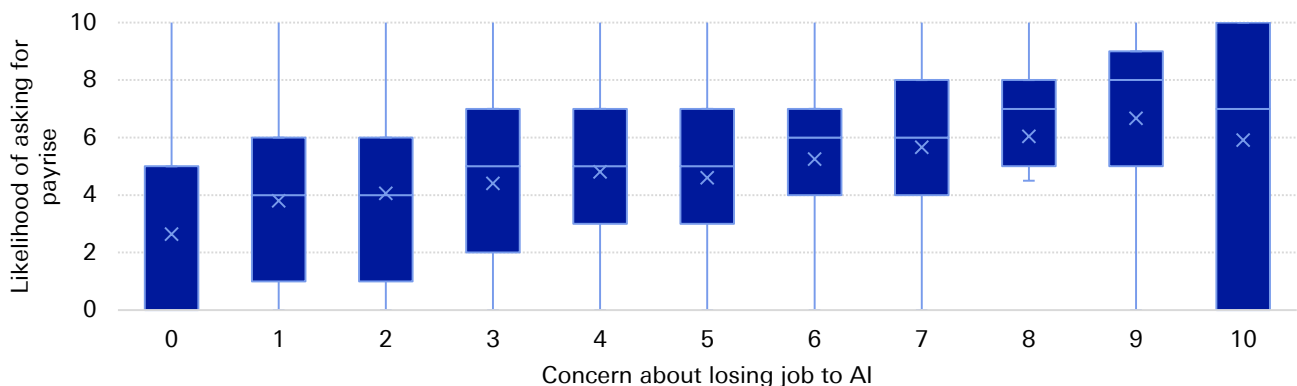
² For more on the regression framework used in this report, see [Annex 2](#).



However, the data from our dbDataInsights survey shows the opposite: workers who are more concerned about losing their job to AI are, in fact, more likely to ask for higher wages.

Figure 6 illustrates this paradoxical finding. In our survey, we ask respondents how likely (on a scale of "0 – not at all likely" to "10 – extremely likely") they are to ask their employer for a pay rise in the next three months. Looking at the distribution of responses to this question for each different level of concern about losing one's job to AI over the next year there is a clear pattern of **respondents with higher levels of concern being the most likely to ask for a pay rise in the next three months.**

Figure 6: Paradoxically, workers who report higher levels of concern about losing their jobs to AI are also saying they are more likely to ask for a pay rise in the next three months



Source : Deutsche Bank Research, dbDataInsights

To explore this relationship further, two different forms of regression analysis are used. The first is a panel OLS regression. The results are presented in the table of Figure 7. This approach makes the simplifying assumption that the likelihood of asking for a pay rise is a continuous variable (rather than the discrete 0-10 buckets). The advantage of making this assumption is the coefficient from the regression has a rather simple and intuitive interpretation.

Figure 7: Panel OLS: The impact of concern about AI on the likelihood of asking for a pay rise

	Likelihood of asking for a wage increase (0-10)		Coefficient
	Mean	Median	
Full sample	4.22	5	0.29 (SE 0.01)
Only those concerned (concern>0)	5.01	5	0.30 (SE 0.02)

Source : Deutsche Bank Research, dbDataInsights

The second approach is an ordered logit regression. The results of this are presented in the table of Figure 8. This approach accounts for the discrete buckets for the likelihood of asking for a wage rise, and only requires that the buckets be in ascending order (and not necessarily equally spaced apart).



Figure 8: Ordered Logit: The impact of concern about AI on the likelihood of asking for a pay rise

	Likelihood of asking for a wage increase (0-10)		Odds ratio for a 1pt increase
	Mean	Median	
Full sample	4.22	5	1.21 (95% CI: 1.20, 1.21)
Only those concerned (concern>0)	5.01	5	1.22 (95% CI: 1.20, 1.22)

Source : Deutsche Bank Research, dbDataInsights

Both regression approaches point to the same conclusion. **An increase in the concern about losing one's job in the next year is associated with a higher likelihood of asking for a wage rise in the next three months, even after we control for the characteristics of respondents that are likely to influence their behaviour.**

The panel OLS regression coefficient indicates that a one-point increase in concern about losing one's job to AI (on our 0-10 scale) is associated, on average, with a 0.3 point increase in the likelihood of asking for a pay rise.

So, that would suggest that if an individual's concern about losing their job rose by 3 points on the 0-10 scale, then the likelihood of them asking for a pay rise in the next three months would increase by nearly one point on its 0-10 scale.

The ordered logit gives us an odds ratio of around 1.21-1.22. **That tells us that each one-point increase in the concern of losing one's job to AI is associated with a 21-22% higher likelihood that the individual reporting a higher likelihood of asking for a pay rise in the next three months (than someone with a lower level of concern).**

Why do we find such a counter-intuitive result? It is difficult to say with any certainty. But there are a few theories that could explain the pattern:

- **Omitted Variable Bias:** The regression analysis includes a range of other variables (like the respondents age, whether they are using AI, country-time fixed effects), that attempt to control for factors that could also influence the respondents willingness to ask for a wage rise, and could thus confuse our estimate of the effect from AI job loss concern. But it is possible that the regression does not control for every possibility.

It's possible that unobserved respondent characteristics influence both concern about losing one's job to AI and the propensity to ask for a wage increase. For instance, ambitious or career-driven individuals might be more inclined to seek pay rises while at the same time are more attuned to both the threats (and opportunities) presented by AI, leading to higher concern as well.

- **Strategic Preparation for Future Redundancy:** Although not reported here, the level of concern about losing one's job to AI over the next year is not too dissimilar to the concern over the next five years. Perhaps workers expect that the time horizon for being replaced by AI is quite long. This could lead them to strategically maximize their current earnings, including seeking higher wages today, in an attempt to bolster future severance payouts or raise their incomes today to build up their savings in anticipation of a future job loss.



The confident consumer: Spending and saving in the AI era

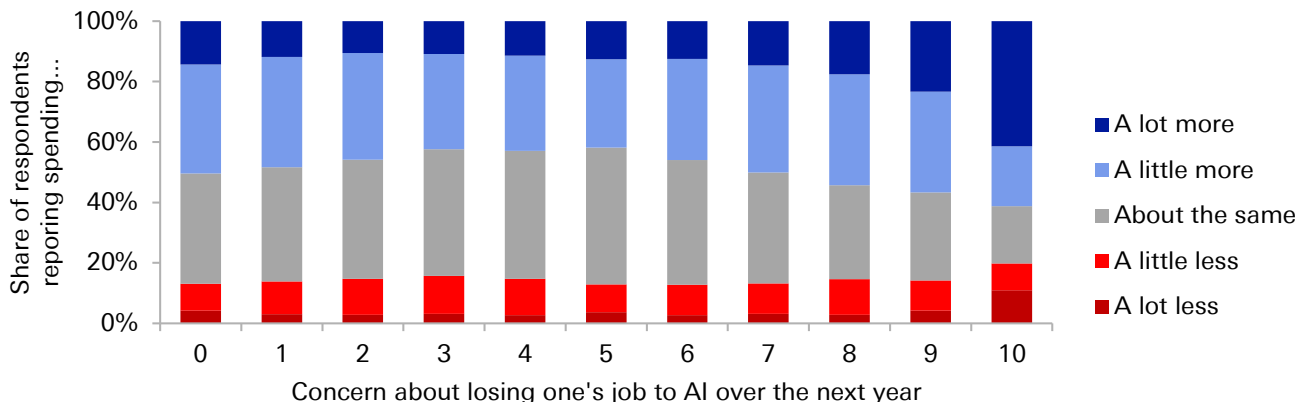
Consumption smoothing behaviour tells us that if workers become more concerned about losing their job in the future, they should reduce their consumption today and save more, thereby having more money available for when they are unemployed.

Thus while spending on AI data centres can boost GDP and economic activity in the near term, at the same time worries about job security can act as a drag on spending, thereby lowering GDP and economic activity.

The results from our household survey present mixed results regarding this behavioural prediction of households. **While workers concerned about losing their job to AI state an intention to save more (a prudent response to uncertainty), they are also more likely to report spending more than this time last year (something that goes against consumption smoothing).**

In the survey, we ask respondents if there are current spending: a lot more; a little more; about the same; a little less; or a lot less, relative to a year ago. [Figure 9](#) shows how the distribution of responses varies by the level of concern about losing one's job to AI. While all groups are more likely to report spending a little or a lot more than last year (a consequence of higher inflation rates), those with a greater level of concern about losing their job are also the ones more likely to report spending more than this time last year.

Figure 9: Respondents who are more concerned about losing their job to AI are also more likely to report spending more than this time last year.



Source : Deutsche Bank Research, dbDataInsights



[Figure 10](#) reports the results from the ordered logit regression of spending behaviour onto the fear of job loss (and other controls).³ **The results suggest that each one-point increase in the concern of losing one's job to AI is associated with a 3-6% higher likelihood that the individual reports a higher degree of spending relative to last year.** The result is statistically significant.

Figure 10: Ordered logit: The impact of concern about AI on spending growth

	Odds ratio for a 1pt increase
Full sample	1.032 (95% CI: 1.02, 1.04)
Only those concerned (concern>0)	1.060 (95% CI: 1.05, 1.07)

Source : Deutsche Bank Research, dbDataInsights

This positive correlation between AI concern and increased spending contradicts the initial hypothesis that AI-driven job loss concerns would dampen consumer spending. Spending less would imply a negative correlation (i.e., an odds ratio below 1).

Savings and consuming are two sides of the same coin. It is difficult to accurately measure savings behaviour in household surveys. However, we do ask respondents about their intentions to save. Specifically, respondents are asked: *'Thinking 12 months ahead, do you anticipate your current savings amount(s) will increase, decrease, or remain about the same?'* Response options in the survey included: *'Increase significantly,' 'increase slightly,' 'stay about the same,' 'decrease slightly,' or 'decrease significantly.'*

The ordered logit regression analysis was repeated on the savings intention of the survey respondents. The results are presented in the table of [Figure 11](#).

The results suggest that each one-point increase in concern about losing one's job to AI over the next year is associated with a 6-9% higher likelihood that the individual reports a higher intention to save more over the next year.

Figure 11: Ordered logit: The impact of concern about losing one's job to AI on savings intentions

	Odds ratio for a 1pt increase
Full sample	1.06 (95% CI: 1.05, 1.07)
Only those concerned (concern>0)	1.09 (95% CI: 1.08, 1.10)

Source : Deutsche Bank Research, dbDataInsights

³ Inflation expectations is included as an additional control here as it could impact on the decision to bring forward the timing of consumption spending. We also include a control related to the question "are you better or worse off financially than a year ago" as being better off financially than a year ago could explain why the respondent is spending more today than last year.



Thus, a higher concern for losing one's job to AI is, on average, directly associated with an intention to increase savings in the near future. This positive correlation aligns with the concept of precautionary savings, where the perceived heightened risk of AI-induced job in the future loss motivates consumers to save more today.

Thus while the reported spending behaviour of respondents contradicts to predictions that concerned households should be spending less and saving more, those respondents also report a greater intention to save more going forward. But whether they actually follow through on these intentions is not something we can observe. Therefore, the weight of the evidence from our survey suggests that the uncertainty shock from AI fear is not (yet) dampening consumption.

Conclusions and implications

The standard economic theory tells us that workers/households should fear AI. As a substitute for their labour, it weakens their bargaining power and makes it more likely they will be laid off.

But concerns about AI-driven job loss are not creating a passive, fearful workforce poised to retreat from the economy. Instead, our dbDataInsights household survey reveals a powerful paradox: the individuals who are most anxious are also the most proactive, turning their concern into decisive economic action.

- Fear of job-loss from AI is not born out of ignorance. Our survey shows that those who are most informed about AI show the greatest fear of losing their job.
- Workers who are fearful of AI are responding by investing in their own skills and trying to learn more about AI, turning themselves from a type of labour AI can substitute for, to a type of labour that is a complement to AI.
- Rather than weakening worker's bargaining power, fear of AI seems to be encouraging workers to ask for higher wages.
- The confidence also extends to their role as consumers. Higher fear of losing one's job to AI is not associated with workers spending less (savings for the future when they are unemployed). Instead they seem to be spending more.

The key insight from the findings here is that fear of AI is not (yet) acting as a drag on households as standard theory would predict. While businesses are spending big on AI models and data centres, workers are actively trying to adapt to the new world we are moving into. Proactive policies can support workers adapting to AI and lead to productivity gains that go well beyond simply replacing labour with AI tools.

But it must be kept in mind that these findings present only a snapshot of a highly dynamic situation. For now, the 'AI Anxiety Paradox' shows a workforce that is resilient and adaptive. However, these behaviours are rooted in the anticipation of change. Should widespread, large-scale AI-driven layoffs materialise, this dynamic could fundamentally alter, potentially shifting today's proactive ambition back towards a precautionary retreat.



The author would like to thank Anthony Chaimowitz from the dbDataInsights team for his invaluable assistance in administering the survey and collating the data.

Annex 1: dbDataInsights household survey

The dbDataInsights household survey provides valuable insights into household/consumer attitudes and expectations regarding personal finances, labour market conditions, and buying conditions. The survey is conducted by Deutsche Bank and is used by economists and sector analysis in their research on the macroeconomy and specific sectors.

The survey covers households/consumers in Germany, France, Italy, Spain, the United Kingdom, and the United States. For each country, a national-representative sample of 550 households is surveyed each month (650 households in the US). Results are collected throughout the month to provide a high-frequency look at how expectations and attitudes are evolving in response to the latest developments in the economy.

The survey has been running since 2018 and is continuously evolving to address relevant issues. The survey is conducted online. Although the individual respondents change each month, the panel remains nationally representative each month.

Annex 2: Regression analysis framework

This Annex describes in more detail the regression analysis framework used throughout the report.

To assess the correlation between AI concern and behavior, a series of panel regressions is run using micro-level survey data. In these regressions, the variable of interest (e.g., savings intentions, spending) is regressed against the self-reported concern level, incorporating fixed effects to control for individual respondent characteristics.

Standard fixed effects in most of the analysis account for:

- **Age:** Categorized by ranges (18-24, 25-34, 35-44, 45-55, 55-64, 65+)
- **Using AI:** Binary indicator of whether the respondent has used AI in the last 3 months, either at work or at home.
- **Income Brackets:** Low, medium, and high.
- **Country-Month Interactions:** To capture broader macroeconomic trends (e.g., economic shifts, political events).

Other fixed effects are added where appropriate. For example when examining worker's savings intentions, inflation expectations of the respondents are also included.

All results in the paper are based on concern of losing one's job to AI over the next year. However, using their concern of losing their job over the next two and five years produce similar results.

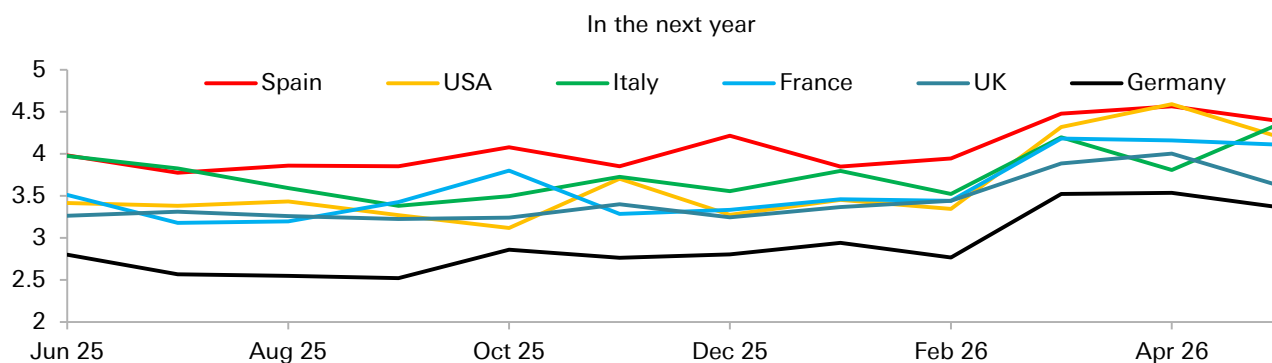


Annex 3: Further results about what type of respondents are worried about AI job loss

[Figure 12](#) plots average level of concern in each country we survey (Germany, France, Italy, Spain, the UK, and the US) for each month. A few patterns stand out here:

- **Up until March, the average level of concern was quite stable.** Between June 2025 and February 2026 the average level of concern in all countries remained broadly stable. This period we saw release of some major new LLM models.⁴ But the stability of concern shown in [Figure 12](#) suggests the improvement of these models did little to affect the average concern of workers, either because the improvements did not change the opinion of respondents, or respondents may have been ignorant of these latest developments.⁵
- **A shift occurred in March, with average concern rising significantly in all countries.** This increase may be linked to broader geopolitical anxieties, such as the Iran war, which could heighten general economic and financial well-being concerns, making respondents more sensitive to AI-related job loss risks.
- **Across all surveyed nations, Germany consistently records the lowest average level of concern, while Spain registers the highest or near highest.** France, Italy, and the UK show broadly similar levels of concern, though a recent surge in the US has brought its average closer to Spain's level.

Figure 12: Average concern (scale 0-10) of losing your job to AI



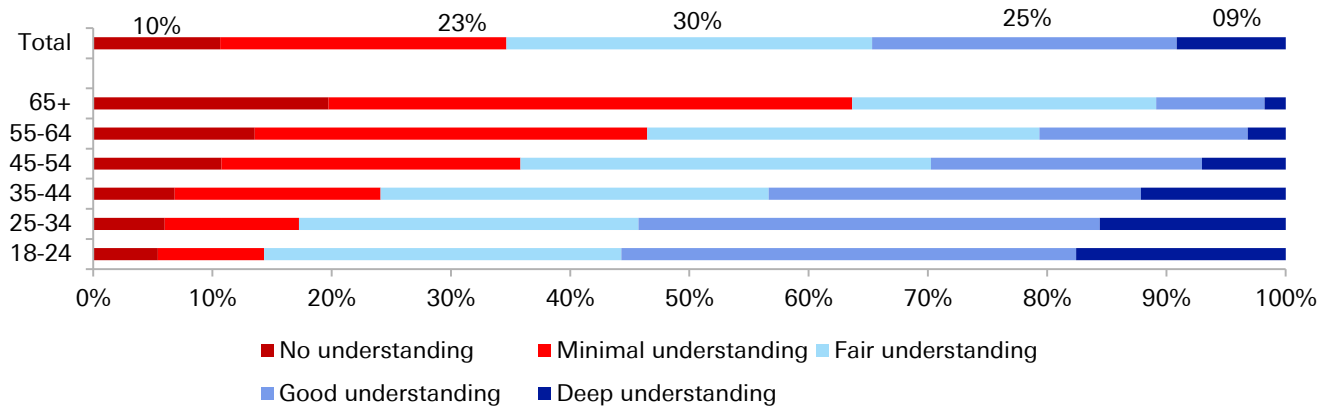
Source : Deutsche Bank Research, dbDataInsights

⁴ Including OpenAI's GPT-5 (August 2025), Google's Gemini 3.1 Pro (February 2026), etc.

⁵ However, as shown in [Figure 13](#), a majority of respondents report at least "a fair understanding of AI", suggesting that the new model developments would have likely to have been known by a significant proportion of respondents.



Figure 13: Self reported understanding of AI by age group – The young claim to understand AI better



Source : Deutsche Bank, dbDataInsights

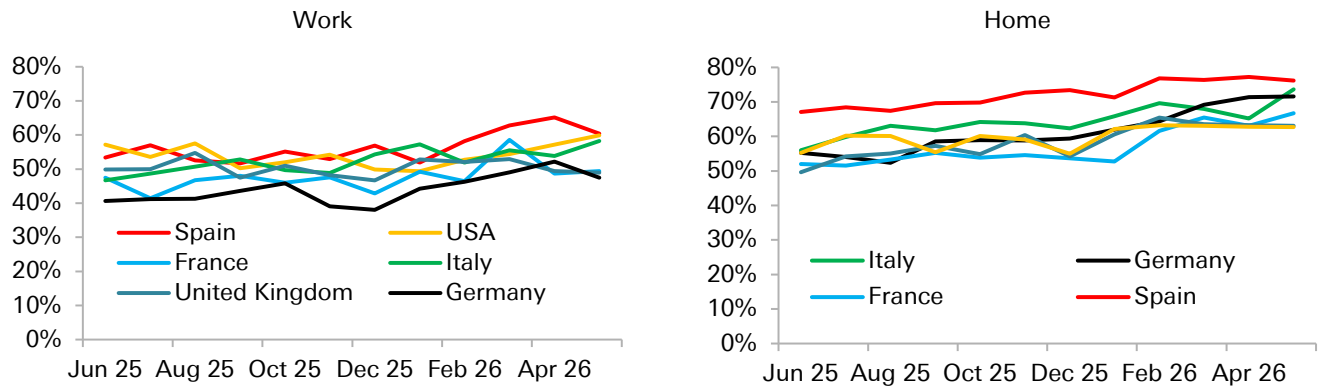
Younger individuals also report a higher self-assessed understanding of AI (Figure 13). Younger individuals tend to be more tech-savvy. Their deeper understanding of AI's capabilities likely influences their heightened concern about job loss.

Our survey indicates a strong association between AI usage and elevated concerns about losing one's job to AI. Figure 14 shows the percentage of respondents who have used AI in the last three months, both at work and at home. A few interesting patterns stand out in Figure 14.

- **The proportion of respondents using AI at work is broadly comparable between the US and the European countries we surveyed.** This finding offers some reassurance amidst European political concerns about falling behind in the 'AI race,' suggesting that even without developing as many cutting-edge models of their own, European businesses are effectively leveraging existing AI tools.
- **While US respondents show similar rates of AI usage at work and home, in Europe, home usage generally surpasses work usage.** This could signal a greater appetite among European workers for integrating AI into their professional lives, provided they are granted more autonomy with the tools.
- **AI adoption, both at work and at home, is steadily increasing.** Across all surveyed countries, the percentage of respondents using AI in the past three months shows a consistent upwards trend.



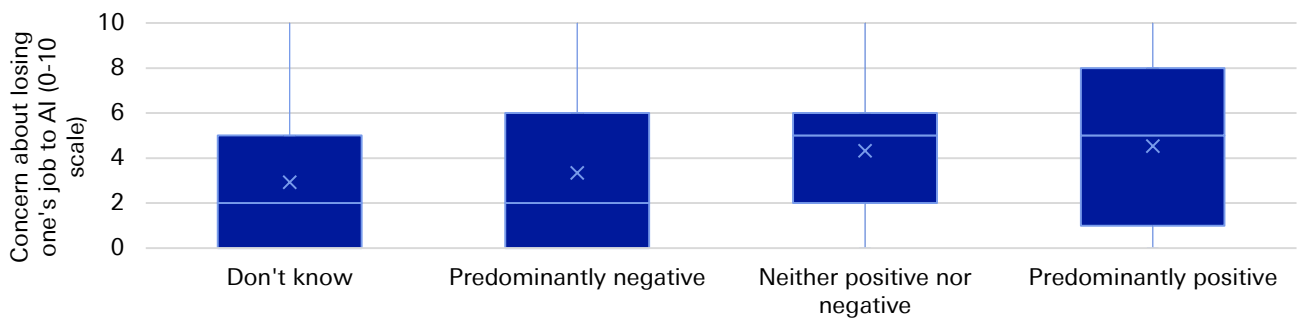
Figure 14: Share of respondents who have used AI in the last 3 months at...



Source : Deutsche Bank Research, dbDataInsights

Those with a more positive outlook on AI's societal impact also demonstrate the highest concern about losing their own jobs (Figure 15). This pattern suggests that techno-optimism/pessimism may not be the primary determinant of individual job security concerns.

Figure 15: Those thinking AI will have a more positive social impact are the most concerned about losing their jobs to AI



Source : Deutsche Bank Research, dbDataInsights



Appendix 1

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Deutsche Bank
Research

Q2 Tech Performance Review: Memory Wins, Chips Dominate

July 1, 2026

Marion Laboure | Camilla Siazon

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute



Apple increases MacBook and iPad prices by 20%

Micron Soars After AI-Fueled Forecast Shatters Estimates

Wall Street ends lower on semiconductor selloff as AI spending concerns mount

Alibaba sues Pentagon over inclusion on Chinese military blacklist

Chinese AI, chip firms are driving an onshore IPO rebound

Anthropic Halts Access to Top AI Models After U.S. Ban on Foreign Use

Apple seeks to buy memory chips from blacklisted Chinese company

SUMMARY: Memory wins, chips dominate

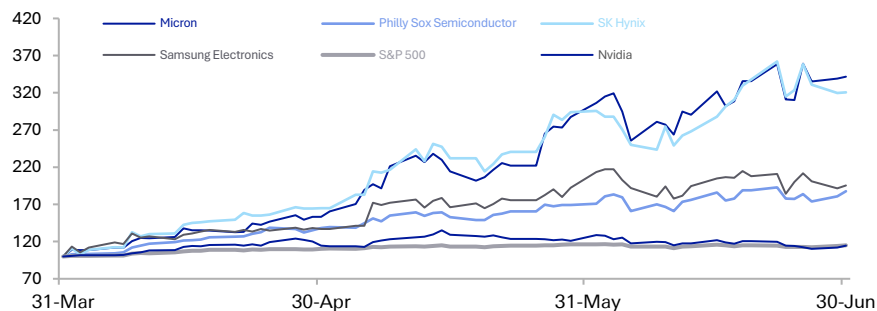


In Q2, equities ran largely uncorrelated from events in Iran, driven by a tech rally despite ongoing concerns over the war. Strong earnings growth fuelled the Mag 7's rise in April (+15%) and May (+7%). Then last month, risk assets sold off despite the June 15 US-Iran peace deal, as worries over rising Fed hawkishness, the memory shortage's inflationary impact, and doubts over AI demand sustainability triggered a sell-off in AI stocks. Still, despite the meltdown over the last few weeks, tech delivered a remarkable run this quarter, with AI excitement significantly outweighing macro and geopolitical concerns around the war. The Mag 7 ended up +12% on the quarter.

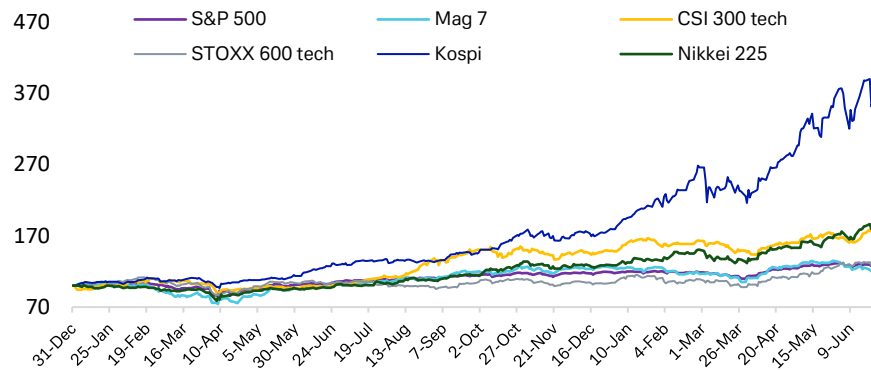
The spotlight has been on memory chipmakers in particular, which drove most of tech's outperformance – and its June selloff. The ongoing memory shortage has led to rising returns for Micron (+242% q/q), SK Hynix (+228% q/q) and Samsung Electronics (+100% q/q), all of which have now joined the \$trn dollar market-cap club. Asian equities followed, with the Nikkei 225 (+37% q/q) and Kospi (+67% q/q) outperforming their Western counterparts.

What will Q3 bring? Micron's results were probably enough to restore confidence in AI-driven demand, particularly in data-centre memory. But volatility under a more hawkish Fed will likely persist, and BIS has warned of AI exuberance risk ending in a lengthy investment bust. In crypto, payments and fintech, expect continued pressure as investors rotate into AI. Tech should remain the underlying volatility driver, with the US most exposed.

Memory chipmakers have had geometric rises...



... pushing up Asian equities in particular

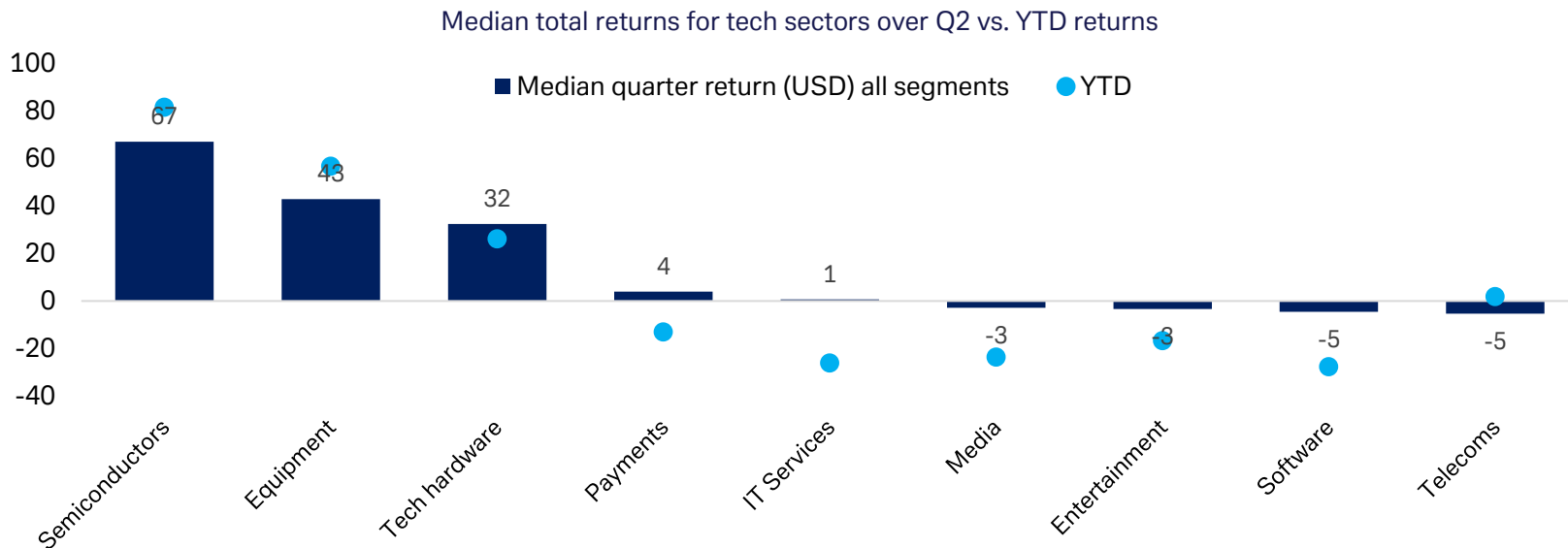


Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

1. GLOBAL INDUSTRY BREAKDOWN



Semiconductors and chip-related stocks are tech's clear group-stage winners in Q2 and YTD, led by Chinese and other Asian companies like GigaDevices (+248% q/q) and ACM Research (+210% q/q). Outside of semis, equipment and tech hardware, the rest of the field struggled. Payments and IT services continue to underperform in both AI risk-on and risk-off environments, with this quarter also weighed down by Accenture's (-37% q/q) weak FQ326 earnings in June. Software remains the worst performer, as AI disruption continues to hit companies including Intuit (-39% q/q), Horizon Robotics (-38% q/q) and Sensetime (-27% q/q).

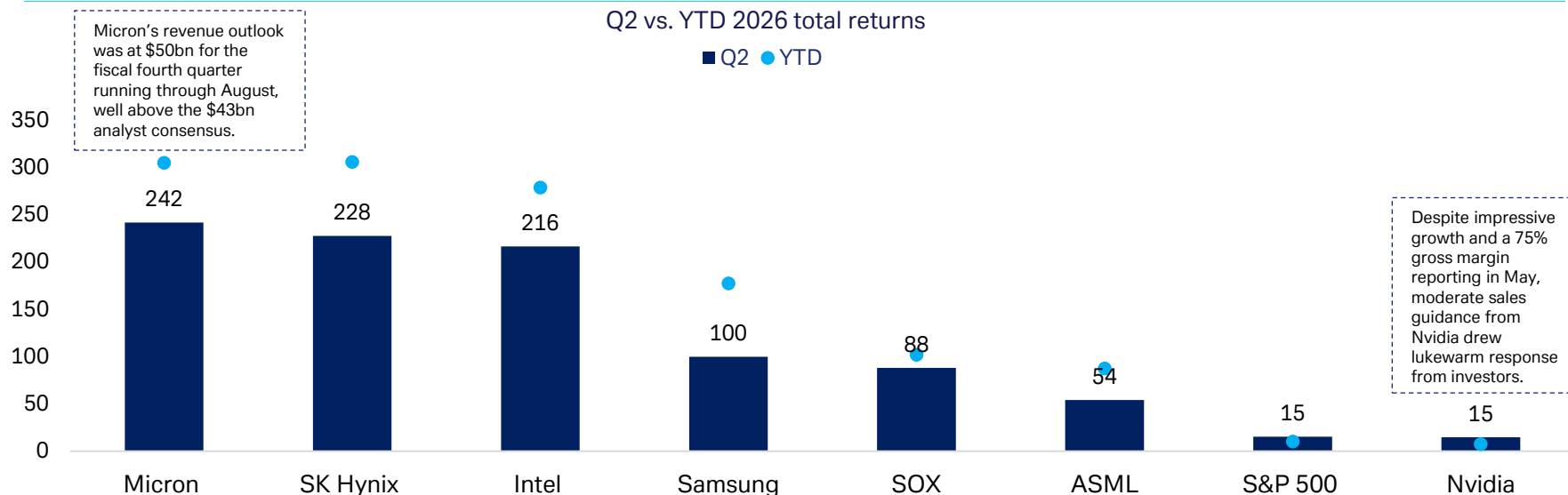


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

2. SEMICONDUCTORS



Memory chipmakers will continue to benefit from persistent industry imbalances, with Micron and SK Hynix the standout performers. Micron's earnings beat ignited hopes about AI-fuelled growth and helped push back against bubble fears. SK Hynix has also confirmed it will [seek over \\$29bn](#) via the issue of ADRs on the Nasdaq. Intel (+216% q/q) surged on a strong earnings beat and accelerating foundry momentum, with reports that Apple is evaluating Intel's 18A process and Google has reportedly placed orders for more than 3mn TPUs for 2028. Elsewhere, the Philadelphia Semiconductor Index (+88% q/q) posted its best quarterly performance since the index began in the early 1990s.

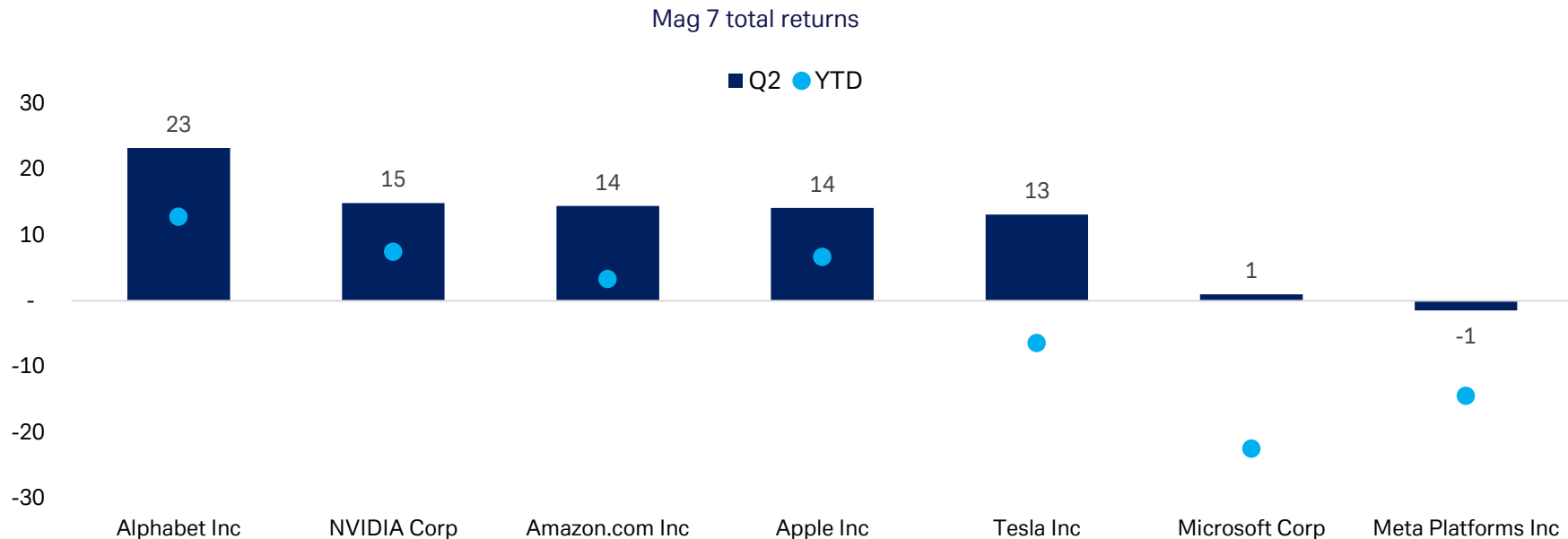


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

3. MAGNIFICENT 7



The Mag 7 started Q2 on a high, driven by strong earnings growth against a backdrop of hyperscaler capex expected to exceed \$700bn this year. In June, elevated large-cap tech positioning combined with AI concerns temporarily dragged the index into correction territory, although the group recovered by quarter-end (+12% q/q). Microsoft (+1% q/q) continues to lag YTD, as dual concerns over its ability to compete on AI spending and AI disruption risk persist.



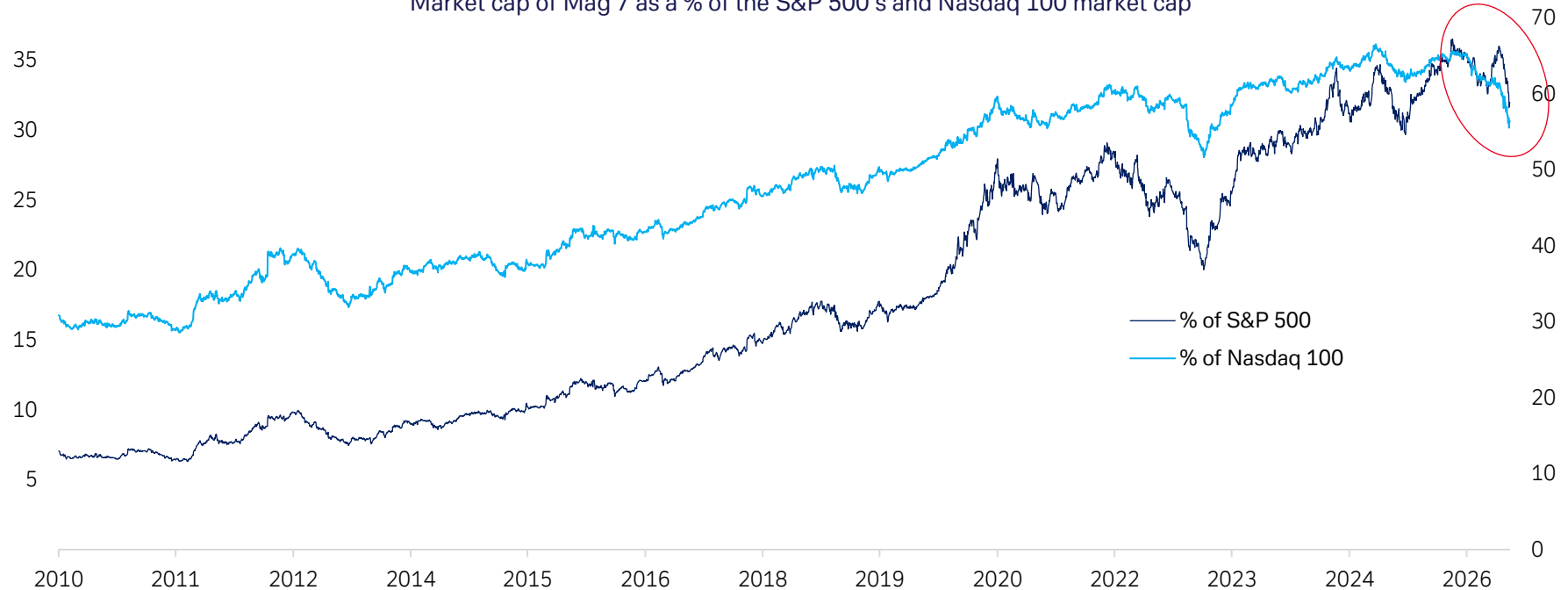
Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

3.1 MAGNIFICENT 7



Large-cap tech stocks are down significantly, dragging the S&P 500 down modestly, even as two-thirds of the overall stocks and industries are up, alongside small- and mid-caps. Still, [according to our strategists](#), there is an ongoing rotation away from large-cap tech and into other sectors and regions that have lagged.

Market cap of Mag 7 as a % of the S&P 500's and Nasdaq 100 market cap



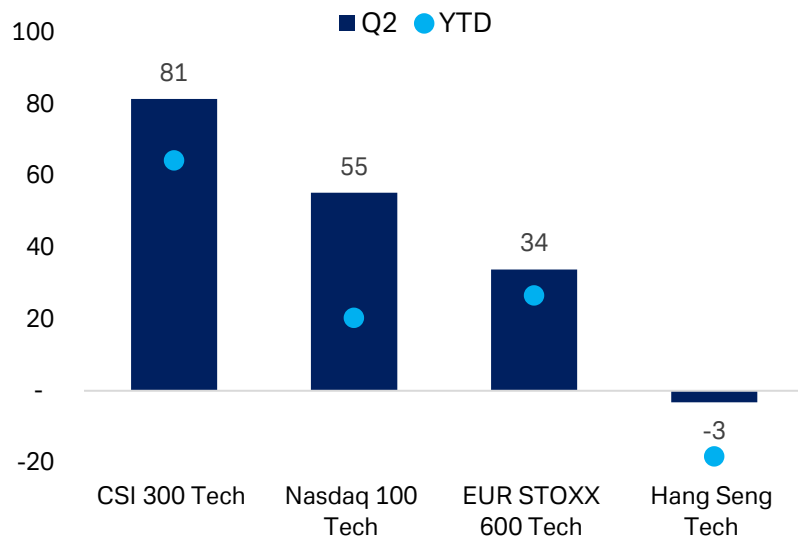
Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

4. REGIONAL BREAKDOWN

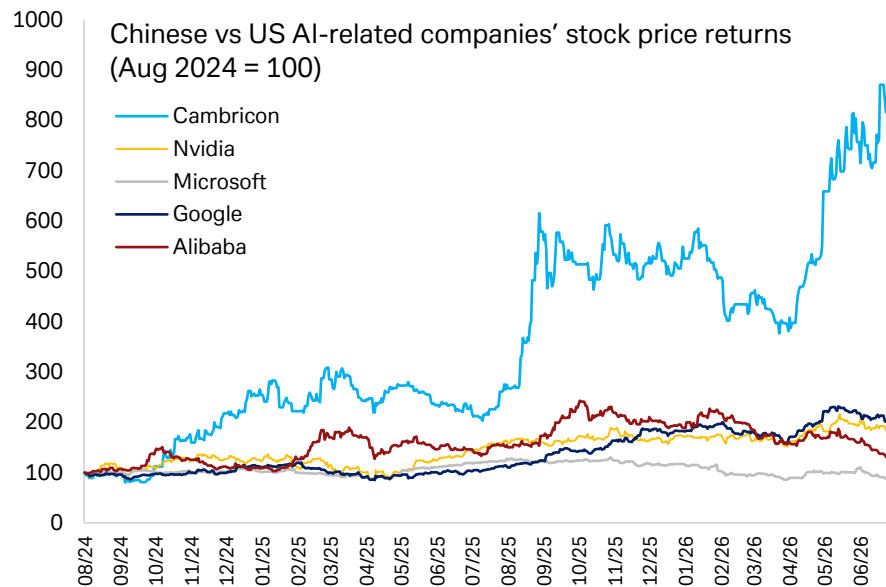


Chinese stocks are leading YTD and quarterly gains, buoyed by local memory chipmakers, while off-shore HK-listed tech continues to suffer from old-guard heavyweights like Xiaomi (-32% q/q), Alibaba (-21% q/q), and Tencent (-10% q/q). Elsewhere, European tech equities saw some growth but suffered substantial outflows during the war, with software companies particularly affected over the last six months.

Top global tech indices – Q2 vs. YTD total returns



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.



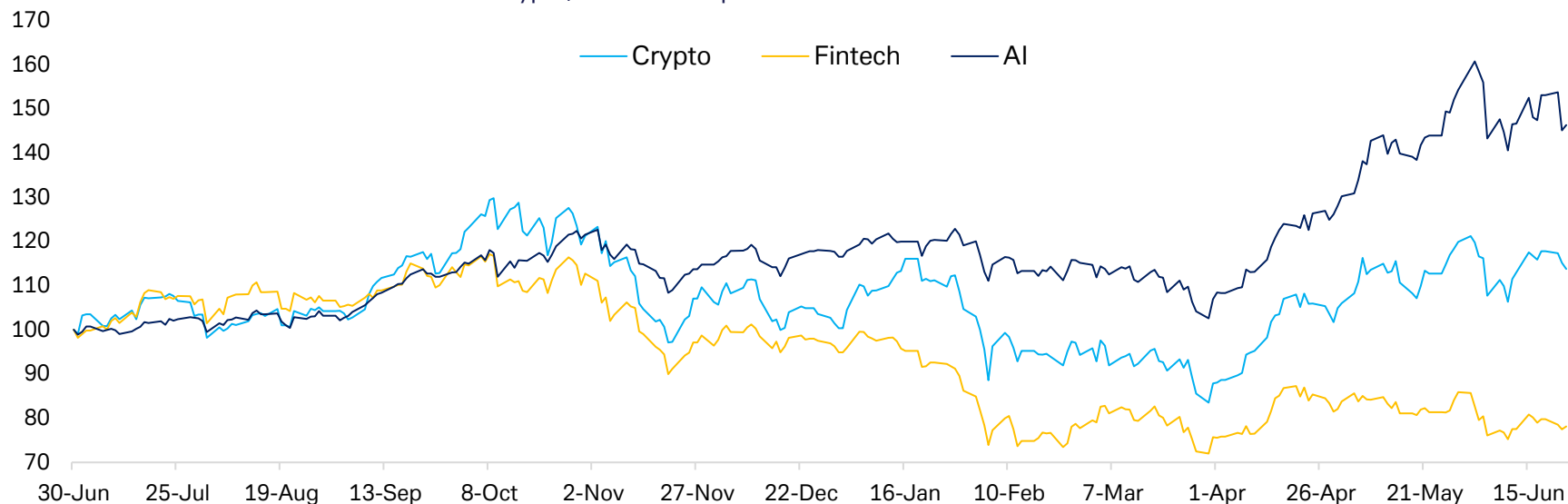
Source: Deutsche Bank Research, Bloomberg Finance LP. Indexed to 100. Updated June 30, 2026.

5. CRYPTO, AI & FINTECH



Crypto extended its struggles in Q2, falling below \$60k in June as a renewed sell-off was driven by a more hawkish Fed outlook, record institutional ETF outflows, uncertainty over the CLARITY ACT, and rotation of risk capital into AI (see [here](#)). Our Fintech and blockchain ETF remains the worst-performing segment YTD (-17%), weighed down by ongoing pain at companies like Canton Strategic Holdings (-14%) and Circle (-34%). Fintech sentiment remains weak more broadly, with the steady demand deterioration coupled with long-term fears around AI disintermediation.

Crypto, AI & Fintech performance rebased to June 2025

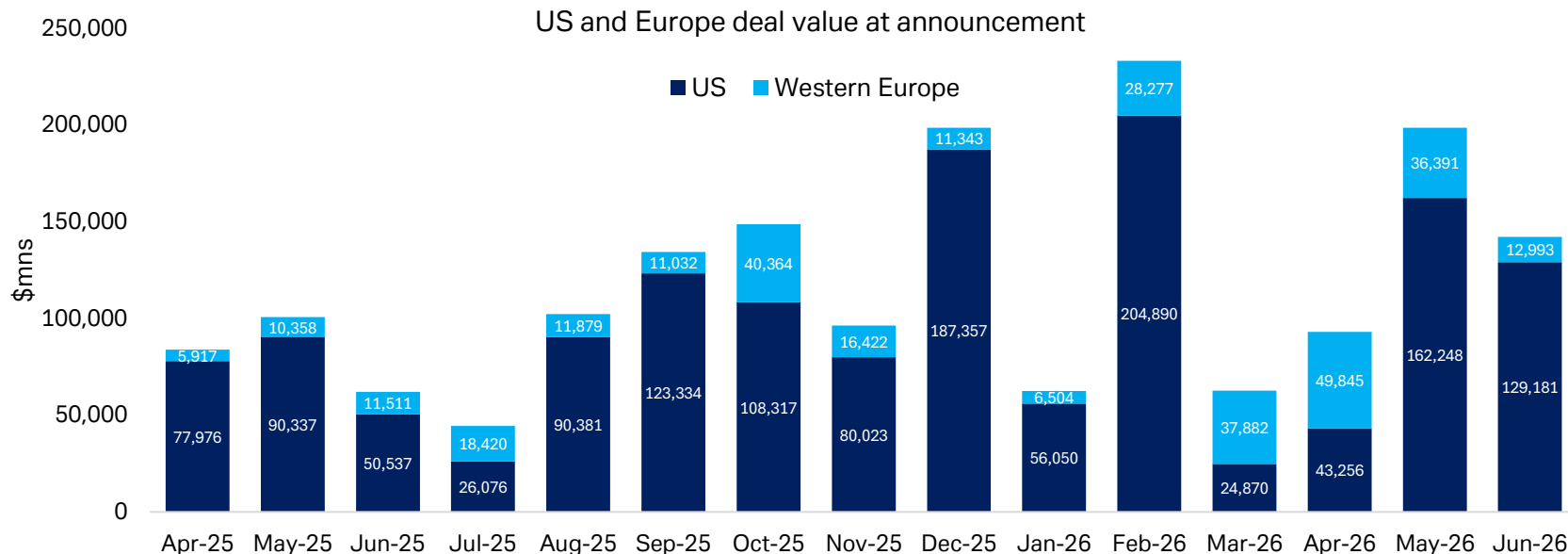


Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated June 30. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF.

6. M&A



After a halt in April, Q2 was a blockbuster quarter for mega-cap AI IPOs, with Anthropic (\$65bn) and OpenAI (\$852bn) filings. Beyond IPOs, semiconductors M&A led the way, including Analog Devices' proposal to acquire Empower Semiconductor for \$1.5bn in May and ON Semi's \$6.8bn acquisition of Synaptics Inc, announced on 25 June.



Source: Deutsche Bank Research, Dealogic. Values up to June 29.

Appendix 1



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Deutsche Bank
Research

What Q2's emerging themes mean for 2026 and beyond

1 Jul 2026

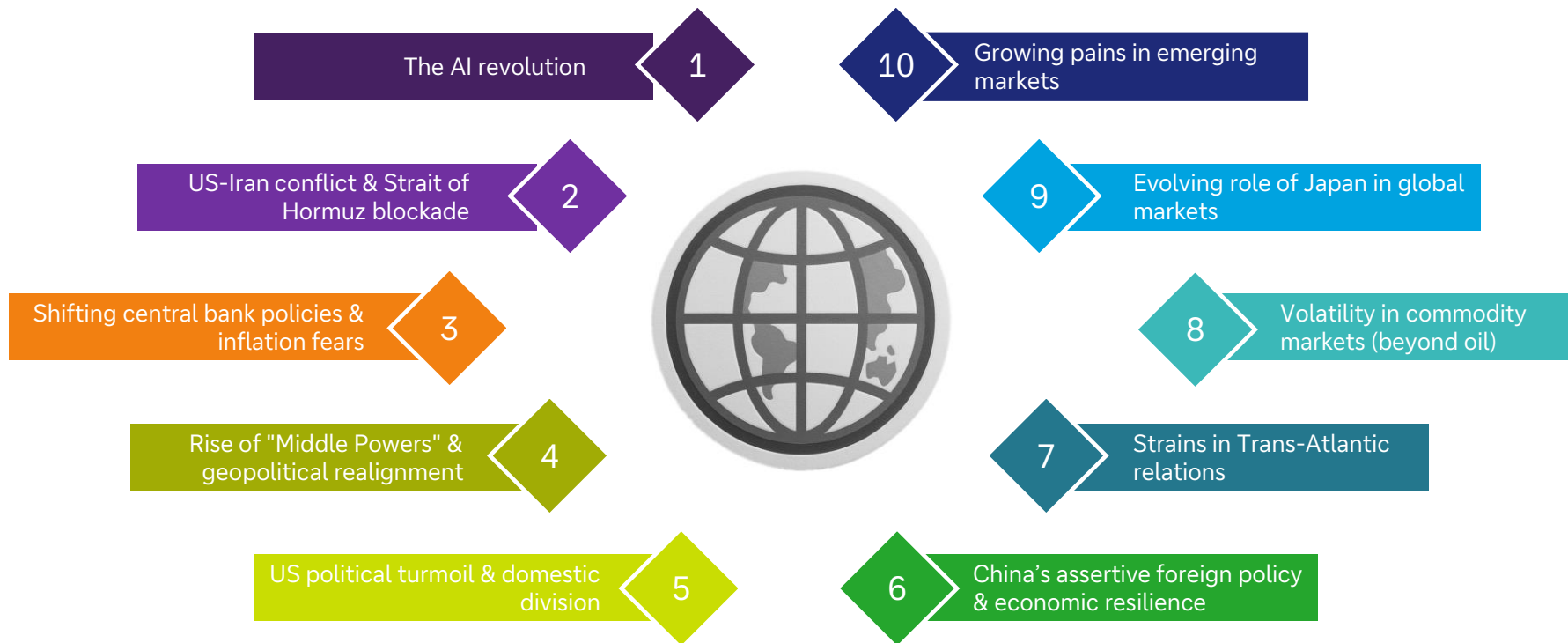
Luke Templeman | Thematic Strategist
Galina Pozdnyakova | Research Analyst

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
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The themes driving markets in Q2 – based on AI analysis of our daily market commentaries

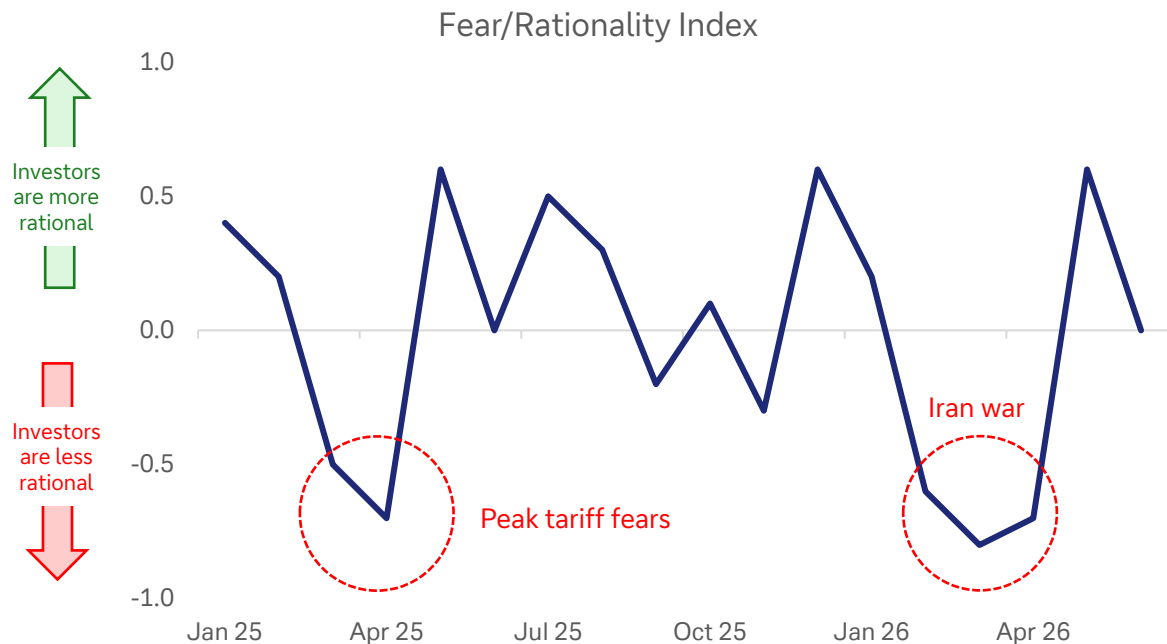


Are investors rational?

As markets began to recover from their Iran war-low, the investor buying was very rational. Now, that equity markets are close to their peak again, 'rationality' has moved to neutral ... but not into negative territory.



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions



What does it mean to be 'rational'?

Risk-off periods:

The tariff fears in 2025 and then Iran war in 2026 were key buying opportunities in equity markets. Yet, the overwhelming fear exhibited by investors in these periods largely meant they sold off risk assets in an emotional and irrational response.

Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

The most 'emotion' we've ever seen

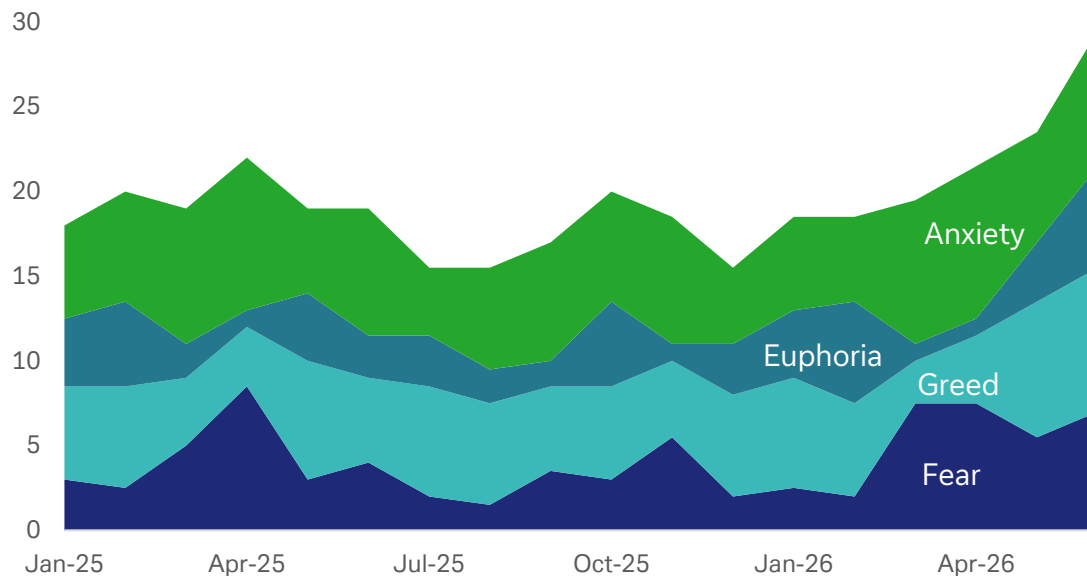
The four key market-moving emotions dominated trading in Q2. Hence the volatility in both directions.



Emotion was everywhere in Q2 – volatility followed

Status-quo bias is strong. That is creating more market volatility

The impact of investor emotions on global markets



Investors are loathe to consider the upside in bad times and the downside in good times. Thus, when sudden events change, market drops can be more aggressive than expected.

Some examples:

1. Rush to price in the downsides of tech disruption
2. Fear of considering sovereign risk
3. Fear of underperforming peers is greater than the desire to beat them
4. Unwillingness to price in the upside of iterative technology improvements
5. Narrow vision of what globalisation is and the fear that it has peaked

dbLumina's estimate of how each key theme in Q2 impacted the S&P 500



AI surge

Yet another strong rebound ... after yet another period of AI-rally scepticism



Iran conflict

Markets settled after their initial shock



Fed policy

Uncertainty about both Warsh and the Fed's response to energy inflation

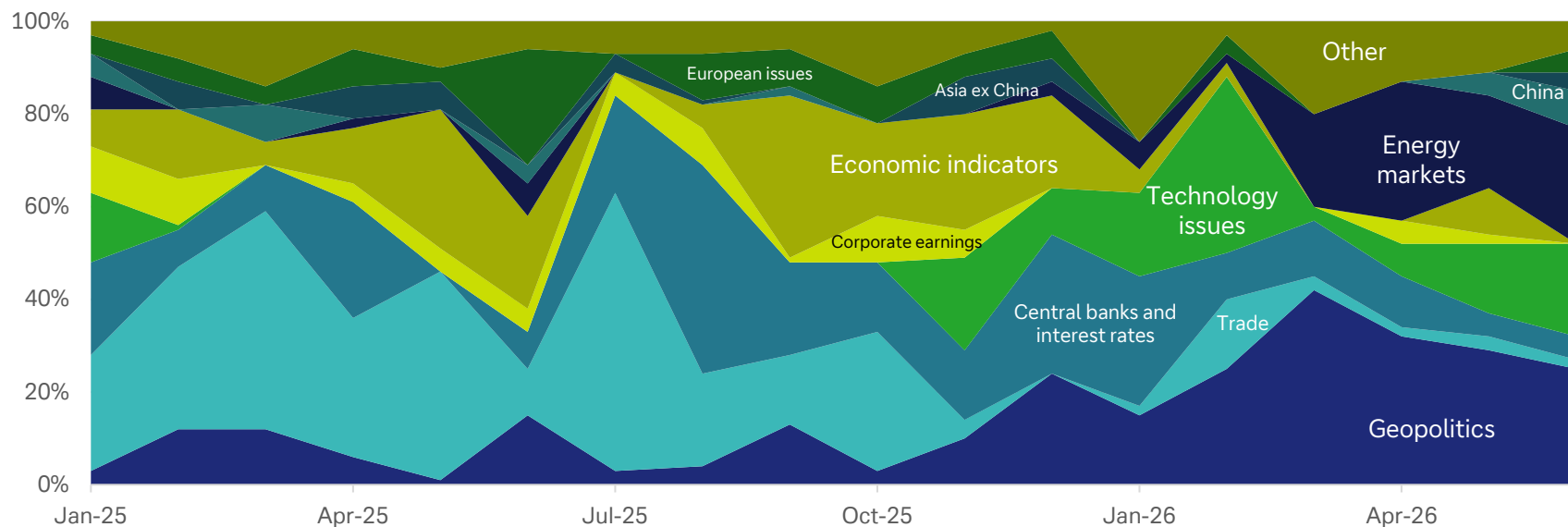
Impact of key themes on the S&P 500 in Q2



Our AI analysis shows how groups of themes have driven markets over time



The themes that impacted markets each month



The impact of today's themes 1 year ahead:

We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that returns will be lower than previously expected.



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Strongly Positive	Strongly Positive	Positive (Upward)	Positive (Upward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Negative	Negative / Volatile	Strongly Positive (Upward)	Strongly Positive (Upward)
3 Shifting Central Bank Policies & Inflation Fears	Negative	Negative	Strongly Positive (Upward)	Negative (Downward)
4 Rise of "Middle Powers" & Geopolitical Realignment	Neutral	Neutral	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Slightly Negative	Negative / Volatile	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Negative / Volatile	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Neutral	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Slightly Negative	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-2	-3	-5	-2

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

The impact of today's themes 3 years ahead:

The medium-term picture now broadly reflects the short-term picture – a big change from last quarter when several risks were weighing on economies and markets



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Very Strongly Positive	Positive	Mixed / Uncertain	Negative (Downward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Neutral	Neutral	Neutral	Neutral
3 Shifting Central Bank Policies & Inflation Fears	Neutral	Neutral	Neutral / Stabilizing	Neutral / Stabilizing
4 Rise of "Middle Powers" & Geopolitical Realignment	Slightly Negative	Slightly Negative	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Neutral	Neutral	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Slightly Negative	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Slightly Negative	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Neutral	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-1	-1	Nil	1

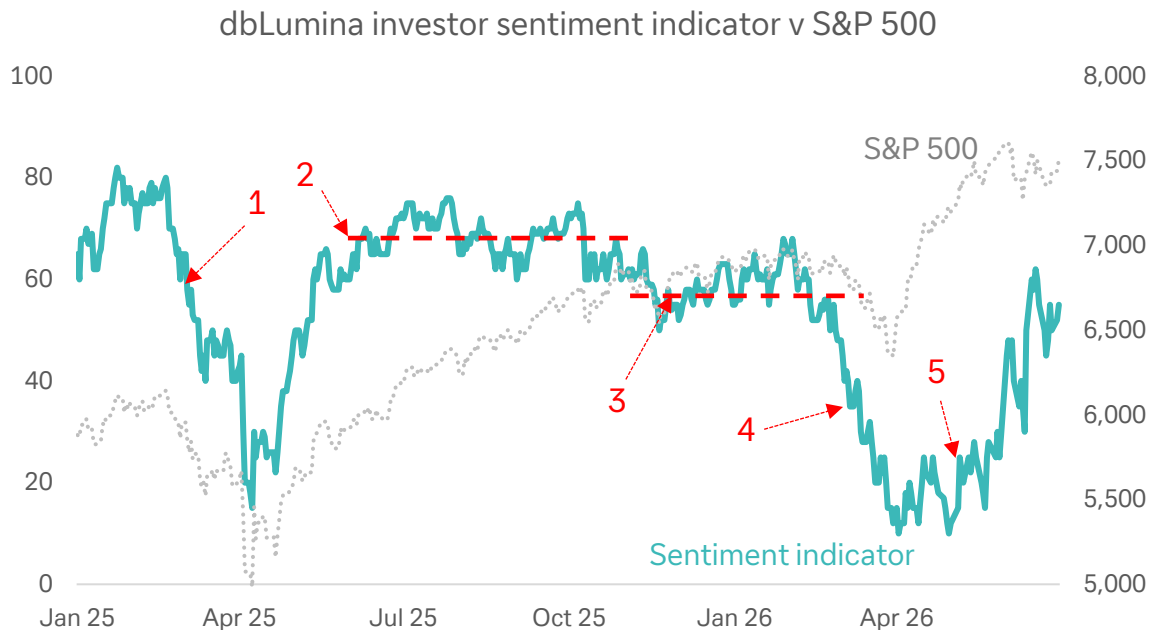
1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Our gauge of investor sentiment uses AI to interpret macro, economic, and market signals
This is our response to the fact that so many confidence indices today fail to reflect technological and social megatrends that now affect markets.



It is early days, but our gauge appears to be developing some predictive qualities



1. Indicator drops 20 points in Feb-25 before the most dramatic stock market declines relating to tariffs.

2. Consistent strong sentiment as markets recovered from the tariff-induced sell-off.

3. Lower sentiment as markets top-out on valuations and software/PC nerves grow. Yet, no catalyst for a large drop.

4. Our sentiment indicator commenced a steep drop on 3-Feb. It fell 20 points before the war in Iran kicked off.

5. The slower, more volatile recovery in our indicator foreshadowed the volatility in the S&P 500 during June.

Emerging themes – part 1

We asked dbLumina to help us identify the key rising themes that have the potential to most impact markets and economies in the short term



1

The “sovereignty” premium in technology and AI

National governments are increasingly asserting control over the technology sector, extending beyond simple regulation to direct intervention in the name of “sovereignty.”

This is evolving from a focus on supply chains into more direct control over AI models and data infrastructure. Examples include:

- The US asking OpenAI to restrict its latest model, GPT 5.6, to “government-approved entities” only.
- The US-led “Pax Silica” alliance expanding, aiming to secure AI supply chains, including critical minerals and energy
- China adding Japanese companies to an export control list
- Talks between Anthropic and the US Commerce Department over security fears related to its AI models

This trend reinforces the trend towards a future where access to advanced AI and technology is becoming fragmented along geopolitical lines, creating a “sovereignty” premium on nationally-controlled tech assets and disrupting the globalised tech ecosystem.

2

The rise of the populist left in Europe

While the rise of the populist right has been a long-running theme, a complementary trend is now gaining traction across Europe: the re-emergence of the populist left.

This is beginning to create new political uncertainties and potential fiscal challenges in key European economies. Examples include:

- Alexis Tsipras, Greece’s former prime minister, announced his return to politics with a new party aimed at unifying the left.
- Across Europe’s ten largest countries, support for populist left parties is now “rivalling that of strictly centrist parties”.
- In the UK, Andy Burnham firmed as the favourite to become the next Prime Minister. He has previously supported greater government borrowing, causing some initial concern in gilt markets.
- Local elections in the UK showed a drive towards the populist left and right, putting pressure on centrist leadership.

The growing influence of the populist left could challenge the established fiscal consensus in Europe, potentially leading to increased government spending, greater sovereign debt issuance, and renewed focus on wealth distribution policies.

Emerging themes – part 2

A key learning from the 'emerging theme' analysis is the focus on some longer-term themes that have been pushed aside by the conflict in Iran and the focus on tech



3

The AI "picks and shovels" investment thesis

As the initial euphoria and fear around AI business models mature, a more pragmatic investment theme is emerging, focused on the underlying infrastructure and enabling technologies—the "picks and shovels" of the AI gold rush.

- The entry of three new firms—Vertiv, Lumentum, and Coherent—into the S&P 500, all of which specialise in AI supply chain components like power, cooling, and high-speed optical parts.
- Major plans from chipmakers Samsung and SK Hynix (potentially \$1.3tn over ten years) for chipmaking plants and data centres
- Comments from TSMC that global chip supply will be insufficient to meet demand "for years to come" reinforcing the long-term demand for the foundational hardware of AI.

This theme suggests a broadening of the AI investment landscape, with increasing investor attention on the less glamorous but potentially more durable companies that provide the essential hardware and infrastructure for the AI revolution.

4

"Middle power" diplomacy and strategic hedging

The "middle powers" are navigating changes to US foreign and trade policy, the tense relationship with China, and other global conflicts by building new alliances. They aim to hedge their dependencies and carve out more independent foreign policy paths. Examples include:

- A meeting of Mercosur's leaders to discuss the implementation of their trade deal with the EU
- Canada inaugurating a sovereign wealth fund specifically to reduce its economic dependence on the US and its Prime Minister visiting President Xi in Beijing to reset relations.
- Colombia's election of a new hard-right president, signalling a domestic policy shift that has implications for its relationship with the US.

Frequently, geopolitical trends take a long time to play out. This trend is accelerating on a monthly basis. It indicates the oft-talked about multipolar world is quickly becoming a practical reality. This creates new opportunities and risks in international relations and trade.

Current evolving risks

Today's key concerns revolve around assumptions that key risks will turn out to be positive for markets. A big assumption.



1

Geopolitical Miscalculation in the Middle East

The fragile US-Iran ceasefire could unravel at a moment's notice.

Iran is constantly testing the truce, including attacks on shipping and back-and-forth military strikes

Markets appear far too sanguine about the risks of a reignition of a full-scale conflict.



2

AI-Driven Market Disruption and Valuation Risk

AI is a dual risk: the potential for disruptive technology to upend established business models and the risk of a valuation bubble in AI-related stocks.

Further AI sell-offs in non-tech sections also appear possible following similar instances in wealth management and private capital.



3

Sovereign Debt Fragility and Fiscal Strain

Global sovereign bond markets showed increasing signs of stress.

We do not expect a serious developed-market default, but several factors increase the risk of fear-based market sell-offs.

Japan and Europe remain clear risks. Secondary effects could press through other markets, particularly if oil prices flare up.



4

A US Consumer and Labor Market Slowdown

The economic indicators continue to show an inconsistent trend and investors may have become too used to the US labour market 'always finding a way through'.

Persistently low consumer sentiment risks turning into a broader downturn should another shock (such as a renewed energy crisis) hit the US economy.

Emerging risks underestimated by the market – part 1

Iran and tech dominate risk equations but several risks are underestimated



1 Social & political backlash against "Big Tech" and AI

An undercurrent of social and political resistance to the influence of technology and AI is steadily growing. While the market is focused on the economic disruption and investment opportunities of AI, a broader societal backlash is forming that could lead to significant regulatory, legal, and fiscal headwinds for the sector.

Examples:

- Legal & Regulatory: A California court ruled on tech companies creating addictive platforms for minors. Governments are also proposing legislation, such as Canada's bill to ban social media for children and similar measures being considered in the UK, France, and Spain.
- Societal & Fiscal: South Korea has proposed a "national dividend" funded by tax revenue from AI-related profits. Ireland has demanded that new data centres "Bring Your Own Power" (BYOP),

Potential Impact (1-3 Years):

- Inflation/Equity Prices: A wave of litigation and stringent regulations could impose massive costs on major technology firms
- Interest Rates/GDP Growth: New taxes on AI or technology, like the proposed "national dividend," could alter fiscal landscapes and influence government spending, potentially affecting GDP and central bank interest rate policy.

2 The politicisation of trade and infrastructure

Beyond standard tariffs, a more complex and unpredictable risk is emerging where critical trade routes and infrastructure are being used as leverage in geopolitical disputes.

The market has treated the Strait of Hormuz situation as a temporary, energy issue, yet it is a dangerous example of the politicisation of global chokepoints

Examples:

- Control over chokepoints: Iran has demonstrated its ability disrupt traffic in the Strait of Hormuz at a very low financial cost to establish a persistent form of leverage over the global economy.
- Targeting infrastructure: Continued Iranian attacks on neighbouring countries sets a dangerous precedent for how other conflicts may play out

Potential Impact (1-3 Years):

- Inflation/GDP Growth: The risk of similar disruptions in other global chokepoints could lead to recurring supply chain crises, driving sustained inflationary pressures and hampering global GDP growth.
- Equity Prices: Sectors reliant on global shipping, manufacturing, and stable energy supply may face recurring shocks to their earnings and valuations.

Emerging risks underestimated by the market – part 2

Iran and tech dominate risk equations but several risks are underestimated



3

The fragmentation of the EU's political centre

While the market has reacted to specific events like the UK leadership turmoil, it appears to be underestimating the broader, structural trend of political polarisation that could threaten the EU's cohesion and policy-making ability.

Examples:

- Rise of the Populist Left: Support for these parties now rivals that of strictly centrist parties. Just one example was the return of Alexis Tsipras in Greece.
- Internal EU Disagreement: Disagreements on core policies are becoming more pronounced. The summit on European competitiveness revealed a lack of alignment between France and Germany on joint eurobonds, leading to a suggestion that a smaller group of countries might push ahead with "enhanced cooperation".
- Weakening of Traditional Alliances: The UK's political instability has been a consistent theme, while the EU's response to US tariff threats and the US-Iran conflict has been disjointed

Potential Impact (1-3 Years):

- Interest Rates: A breakdown in fiscal cohesion could lead to diverging sovereign bond yields and increased risk premiums for fiscally weaker EU member states
- GDP Growth/Equity Prices: Political paralysis or a turn towards protectionist policies could stifle the single market, hindering the continent's growth and impacting the performance of European equities.

4

'Grey Zone' escalation and the limits of military deterrence

"Grey zone" tactics—actions that are hostile but fall below the threshold of conventional warfare—are growing. Iran's recent actions have demonstrated that a technologically inferior power can impose significant costs on a military superpower and its allies, a risk that the market has not fully priced in.

Examples:

- Asymmetric Warfare: Iran's ability to close the Strait of Hormuz along with its cheap rockets and drones that have been a severe burden on the far more expensive US and Israeli interceptors.
- Proxy Forces: Iran has proven adept at enlisting loyal groups like the Houthi rebels in Yemen and Hezbollah in Lebanon to exert pressure and escalate the conflict horizontally.
- Economic Disruption as a Weapon: Iran's strategy involved not just military threats but also creating regional instability and economic pain – tactics that could be replicated in other conflicts.

Potential Impact (1-3 Years):

- Inflation/GDP Growth: A proliferation of these tactics globally could lead to a state of perpetual, low-level conflict, disrupting trade, raising insurance costs, and creating a persistent drag on global growth and a floor for inflation.
- Equity Prices: Defence sector stocks may benefit, but the broader market would likely face a higher risk premium due to the constant threat of unpredictable disruptions.



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FIFA World Cup: What economics sees that fans don't

June 30, 2026

This summer, two markets are running simultaneously: one financial, one sporting. While financial markets react daily to macroeconomics and geopolitics, the sporting market — currently represented by the football World Cup — unfolds across 16 venues in the US, Canada and Mexico, with 48 nations competing for a trophy and an expected 6bn global viewers.

These markets are more alike than most observers admit. Both:

- Thrive on scarcity and compelling narrative;
- Follow the same microeconomic laws of supply and demand, driving pricing and profit;
- Reprice in real-time based on new information;
- Exhibit "winner-takes-most" structures, where top performers outstrip the rest exponentially; and
- Exhibit herding behavior - retail investors and football fans alike chasing momentum, overpaying at peaks and panic-selling (or abandoning) at troughs.

This makes the FIFA World Cup an unparalleled “economics laboratory”. Over 39 days, it puts core microeconomics on display — across tickets, host cities, tournament design, player pay, fan behavior, and even the business model of FIFA, football’s international governing body, itself.

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1. The ticket market: Dynamic pricing meets the Tinkerbell problem

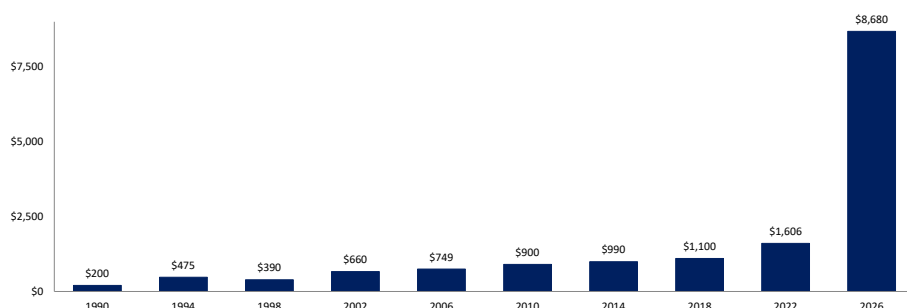
FIFA implemented algorithmic dynamic pricing for 2026 — a first for the World Cup. Think of it like Uber surge pricing: the fare changes depending on how many people want a ride at any given moment. The same mechanism now applies to football tickets, and the effects were immediate.

By February, the median resale ticket on [SeatGeek](#) had reached \$1,291. The US opener against Paraguay saw prices exceed [\\$3,200](#). Premium final seats at MetLife Stadium, with a face value of \$6,730, [were tripled by FIFA to \\$32,970](#) by early May. US President Donald Trump publicly said he would not pay those prices.

By May, demand softened — group-stage prices fell [28%](#) to a median of [\\$928](#). But once results started to matter, prices surged again. After the US beat Paraguay 4–1, tickets for the next US match climbed [65%](#) in 48 hours. By mid-June, [84%](#) of all matches had seen resale prices rise.

This is what we have previously called the “[Tinkerbell Effect](#)”: while the product (a seat) does not change, the belief and narrative surrounding it do and that is enough to move the price. FIFA capitalized on this by creating an [official resale marketplace](#), collecting a 15% fee from both buyer and seller. At the other extreme, Jordan vs Algeria and Curaçao vs Ivory Coast tickets were available for under \$450.

Figure 1: World Cup final ticket prices



Source: [The World Cup Guide](#) Note: Category 1.

2. Host cities: Scarcity priced in, demand missing

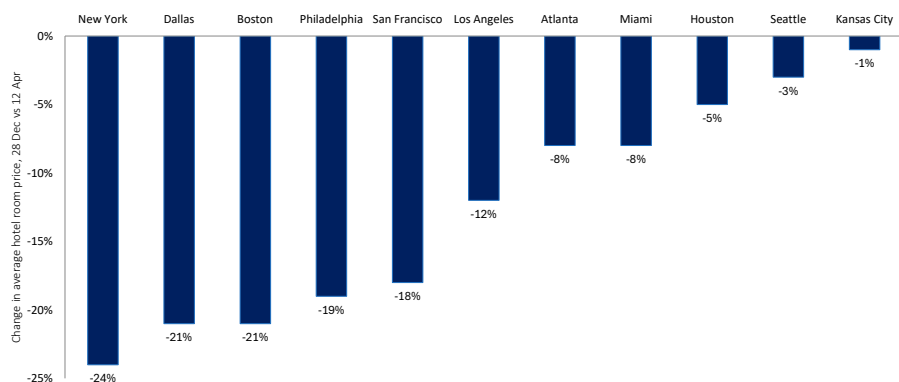
The hotel market illustrates how quickly an anticipated demand shock can reverse. Following the December group-stage draw, room rates in some host cities surged by up to 300% overnight. By April, [80% of US hotel operators were below their initial forecasts](#). New York was down [65%](#) vs expectations; Seattle, [80%](#). Game-day rates had fallen roughly one-third from their December peaks. Mexico was the exception: tighter local supply kept prices elevated.

This shortfall reflects more price-sensitive demand than many expected. And it is not without precedent. The World Cup in France in 1998 offers the closest parallel: organizers predicted 500,000 extra tourists, yet fewer visitors came than in a normal June. Non-football fans simply avoided the country; a pattern economists call the “crowding-out effect.” Overnight hotel stays by non-residents fell [13%](#) year-on-year. The same dynamic is playing out in 2026, compounded by visa and entry frictions that reduced cross-border travel — a factor cited by [70%](#) of hotel operators as a primary drag on international demand. Several high-profile cases reinforced this constraint, including denied entry to officials and ticket restrictions affecting entire national allocations.



The overall macroeconomic impact is limited. The US GDP uplift is estimated at about [0.05%](#) — [negligible relative to the headline projections](#). External assessments consistently find realized gains materially below advertised figures, in line with research showing that [12 of the last 14](#) World Cups produced net economic losses for host regions. With Canada's hosting costs at ~C\$1.07bn (~C\$82mn per match), the event is less about economic stimulus and more about prestige spending.

Figure 2: World Cup hotel rates (%)



Source: Business Traveller, citing Lighthouse Intelligence. Comparison of average hotel room prices booked on 28 December vs. 12 April.

3. Fans: "The ball is round", behavior isn't

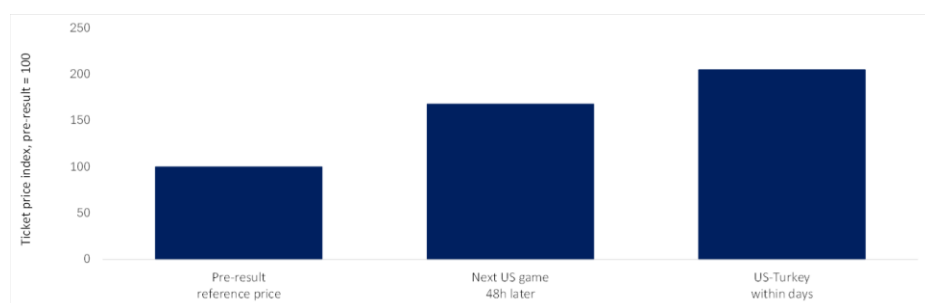
Fans price emotion, not assets. After the US defeated Paraguay 4–1, tickets for the next game surged [68%](#) in 48 hours; US v Turkey prices climbed [105%](#) in days. The product remains unchanged; only the narrative shifted. As Nobel Prize-winning economist Daniel Kahneman showed, people's valuations are reference-dependent and heavily influenced by recent information. In this case, a single victory fundamentally altered fans' willingness to pay.

Fan behavior also reflects Nobel Prize winner Richard Thaler's classic biases. Fans holding tickets for matches their team will no longer play face a sunk-cost dilemma. Many attend rather than sell at a loss, as loss aversion dominates: avoiding a realized loss matters more than optimizing value. What appears to be demand is partly behavioral inertia leading to predictable mispricings. Seats are filled not because their marginal value has increased, but because past spending anchors decisions. Markets clear, but not efficiently.

The contrast is broadcasting. While stadium access is scarce and volatile, global viewership scales at near-zero marginal cost. FIFA's ~\$4.2bn in broadcasting rights captures value from the marginal viewer, not the marginal ticket buyer — a reminder that, in this market, price reflects psychology as much as scarcity.



Figure 3: How winning changes ticket prices



Source: seatgeek.com

4. Tournament design: All about game theory

Rules shape behavior, sometimes more than talent does. Tournament design significantly influences outcomes. The 1982 match between West Germany and Austria is the classic illustration: both teams knew that a 1–0 win for West Germany would send them both through at Algeria's expense, and that's what happened. Given the rules, the outcome was entirely rational. FIFA's response — requiring final group-stage matches to kick off simultaneously — was an institutional fix to a game-theory problem.

The 2026 format partly recreates these conditions. With 12 four-team groups and eight best third-place finishers advancing to the round of 32, there are again situations where teams gain more from managing a result than from maximizing performance. Cape Verde illustrated the new incentive structure: three draws were enough to qualify (the first time since World Cup 1998). The early phase of the tournament rewards not losing as much as it rewards winning.

This played out on the pitch. Against England, Ghana showed little interest in pressing for a win; having already won their earlier match, a draw was the rational outcome to fully secure qualification. England's possession — however dominant — could not change that calculus. Norway, already through and needing only a draw to top the group, fielded a rotated side against France, rationally conserving energy for the knockout rounds.

Yet, 2026 also exposes the limits of purely incentive-based models. Turkey, despite being already eliminated and with nothing at stake, beat the US 3–2 in stoppage time in a match with no bearing on standings. No prize-money model — with payouts ranging from [\\$9mn](#) for a group-stage exit to \$50mn for the champion — would have predicted that result. Pride, national honor, and players auditioning for future contracts generated an intensity that financial incentives alone cannot explain.

Incentives matter, but they do not explain everything.



Figure 4: Ranking of the third best

Ranking	Country	Points	+/-
1	DR Congo	4	+1
2	Sweden	4	0
3	Ghana	4	0
4	Ecuador	4	0
5	Bosnia-Herzegovina	4	-1
6	Algeria	4	-2
7	Paraguay	4	-2
8	Senegal	3	+2
Eliminated			
9	Iran	3	0
10	South Korea	3	-1
11	Scotland	3	-3
12	Uruguay	2	-1

Source: FIFA; <https://www.skysports.com>.

5. Penalties: Behavioral economics under pressure

As tournament rounds advance, quality differentials compress. By the semi-final stage, the marginal gap between sides is small enough that outcome is determined not by aggregate talent but by individual decision-making under extreme pressure. Penalty shootouts are that mechanism institutionalized.

The incidence is significant. Four of the last 10 World Cup champions survived at least one shootout en route to the trophy — in 2022, Argentina survived two against the Netherlands and France. A material share of tournament outcomes are therefore decided not by 90-minute performance differentials but by a discrete, high-variance event with well-documented behavioral distortions.

Shootouts perfectly illustrate loss aversion, mixed-strategy equilibrium, and irreversible decision-making. Kahneman and Tversky's framework explain how players, weighing the asymmetric reputational cost of missing against scoring, systematically favor "safe" shots even when an unpredictable strategy is superior. The fear of missing is not irrational; it is a rational response to asymmetric social payoffs.

The data are unambiguous. World Cup shootout conversion stands at ~70%, against ~80% for penalties in normal and extra time — a 10pp gap attributable to psychological load, not technique or distance. Premier League conversion runs at 80% in lower-stakes contexts. The distance is unchanged; what changes is the psychological weight attached to each kick.

The differential in success rate may be explained by goalkeepers systematizing their preparation for shootouts with more transparent data. Pickford's water bottle at Euro 2024 — carrying printed tendency data on each Swiss taker, direction by direction — captured this precisely: "AKANJI: DIVE LEFT." He dived left and saved it. England used the same approach in the 2018 World Cup round-of-16 against Colombia. Instinct has been replaced by a signal-processing problem. As goalkeepers industrialize their reads, kickers randomize further — producing exactly the mixed-strategy equilibrium game theory predicts, with neither side able to sustain a systematic edge.



The underlying condition remains fixed: a professional athlete, optimally prepared, missing from 12 yards not because of technique but because tournament stakes have recalibrated every cognitive signal. A penalty is ultimately a test of psychological resilience, not technical skill.

Figure 5: 10 last World Cup winners' penalty shoutouts

Winner	Match won on penalties
Argentina 2022	Netherlands (1/4); France (final)
France 2018	—
Germany 2014	—
Spain 2010	—
Italy 2006	France (final)
Brazil 2002	—
France 1998	Italy (1/4)
Brazil 1994	Italy (final)
Germany 1990	England (1/2)
Argentina 1986	—

Source: FIFA; <https://www.skysports.com>.

6. Players: The GOATs take it all

In 1981, economist Sherwin Rosen argued that small differences in talent, amplified by technology that lets the best performers reach unlimited audiences, produce extreme income inequality. The 2026 squad lists are the most striking illustration of that thesis in the sport's history.

Cristiano Ronaldo of Portugal enters his sixth World Cup at the age of 41 with annual earnings of [~\\$300mn](#) — a base salary of ~\$235mn at Al-Nassr (tax-free) plus endorsements including a lifetime Nike deal — making him the first-ever soccer player to cross \$1bn in net worth. Argentina's Lionel Messi earns [~\\$140mn](#) annually; his Inter Miami contract includes a revenue-sharing clause tied to Apple TV's MLS Season Pass subscriptions, giving him equity-like upside in platform growth. France's Kylian Mbappé, at [~\\$100mn](#) per year, is already building a venture portfolio before age 28.

Below this elite tier, the drop-off is steep. Mid-squad players earn 10–20% of their income from endorsements. New Zealand's Tim Payne worked in construction between international caps. If football's income distribution were mapped as a Gini coefficient — the standard measure of inequality used for whole economies — it would likely rank among the most unequal in the world.

The Saudi Arabian influence makes this more extreme still, with sovereign wealth capital deployed as soft power, pricing players at levels no normal commercial model would typically justify. This is structurally identical to US hyperscalers committing over \$700bn to AI infrastructure in 2026: strategic positioning, not near-term return.

Figure 6: World Cup 2026: Top 5 vs. bottom 5 squad market values (€mn)

Top 5	Market value	Bottom 5	Market value
France	€1,520mn	Qatar	€20mn
England	€1,360mn	Jordan	€20mn
Spain	€1,220mn	Iraq	€21mn
Portugal	€1,010mn	Curaçao	€26mn
Germany	€947mn	Iran	€32mn

Source: [Transfermarkt](#); Deutsche Bank Research.



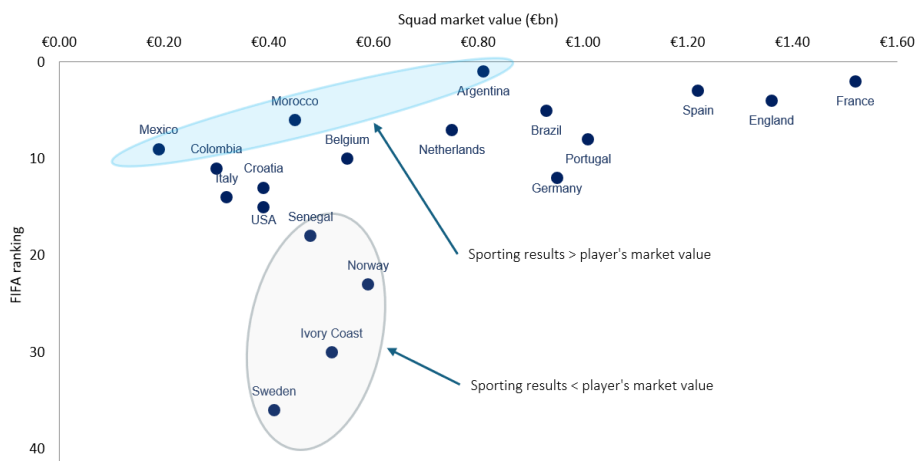
7. Teams: Better than the sum of their GOATs

Moneyball — Michael Lewis's 2003 book about the Oakland Athletics — showed how statistical analysis could greatly assist in building a winning team. It works particularly well in baseball because the sport decomposes into a large number of relatively homogenous individual duels, simplistically: pitcher against batter, each with a measurable contribution that can be compared with many other similar events. The whole approximates the sum of its parts.

Football is more complicated as it has a low number of repeatable scoring 'duels'. Rather, a player's value is frequently derived from hard-to-measure intangibles that necessitates the use of complex 'non-linear dynamic system models'. These are only starting to understand how players interact with each other in a way that can be shaped by training and chemistry built over months. Alchemy matters in a way that spreadsheets find it difficult to capture. The World Cup bears this out. Italy's winning team in 2006 had five players that knew each other well from Juventus (Buffon, Cannavaro, Zambrotta, Camoranesi, and Del Piero); Spain in 2010 had seven from Barcelona (Valdés, Puyol, Piqué, Xavi, Iniesta, Busquets, and Pedro); Germany in 2014 had six from Bayern (Neuer, Lahm, Boateng, Schweinsteiger, Kroos, and Müller). In 2026, the pattern holds among the favorites. Germany is again built around a Bayern spine of six — Neuer, Kimmich, Tah, Musiala, Goretzka, and Pavlović — alongside four from Dortmund and three from Stuttgart. Spain again leans on Barcelona, with Cubarsí, Pedri, Lamine Yamal, and potentially Ferran Torres and Gavi. France has six Paris St Germain players in the mix.

The counterexamples are equally instructive. Cohesion without quality produces coordination without results; the winning formula requires both. Saudi Arabia fielded six or seven Al-Hilal players; Czech Republic 10 from Slavia Prague. Both are eliminated.

Figure 7: Correlation between FIFA ranking and team market value (€ bn)



Source: [Transfermarkt](#), FIFA, Deutsche Bank Research.

8. "Football is a simple game", scaling isn't

FIFA is best understood not as a sports organizer but as a platform — like Apple or Uber — sitting in the middle between two groups (teams on one side; broadcasters, sponsors and fans on the other), capturing value from both. The more users on each side, the more valuable the platform becomes.



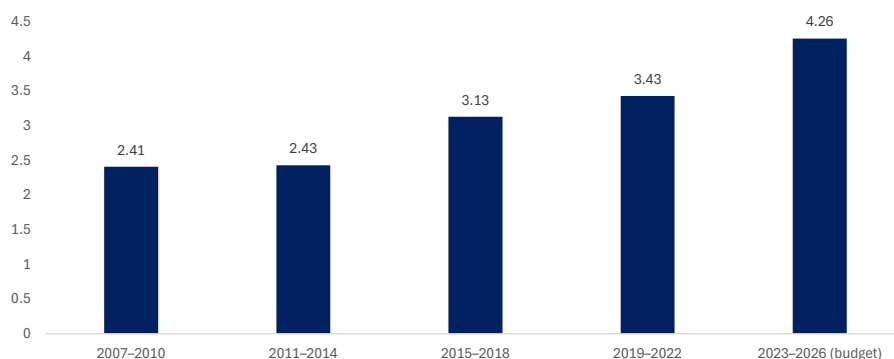
This year's move of expanding the tournament from 32 to 48 teams increased the number of matches from 64 to 104. More matches, combined with two new mandatory 3-minute stoppage breaks per game, mean more advertising slots, more sponsorship activations, and more data generated. The revenue arithmetic is direct: [broadcast revenue above \\$4.2bn](#) (US rights up ~94% vs 2022), [sponsorship at ~\\$2.4bn \(+37%\)](#), and [total cycle revenue approaching \\$13bn](#), up from \$7.6bn in Qatar. Scale, not scarcity, is now the dominant strategy.

FIFA is also moving further into the value chain. Its official resale marketplace mirrors Apple's App Store: a controlled secondary market framed as consumer protection, charging 15% fees on every transaction. This is vertical integration — capturing more of the value the platform creates.

The next frontier is data. With 150mn data points generated per match and 104 matches played, the 2026 tournament represents the largest structured sports dataset ever assembled. Data, not just matches, is becoming a monetizable asset.

The trade-off is familiar to every platform that has ever grown. More content increases reach but risks diluting quality at the margin. Curaçao vs Tunisia in a half-empty stadium is not Brazil vs Argentina, whatever the algorithm prices it at. The balance between scale and quality is now FIFA's central strategic question.

Figure 8: FIFA World Cup broadcast rights revenue has nearly doubled over the past two decades (\$ bn)



Source: FIFA Annual Reports (2010, 2014, 2018, 2022, 2024). Figures refer to four-year commercial cycles; 2023–26 is FIFA's budgeted revenue.

9. Football market as capital markets: A broader ecosystem

The maturation of capital markets produced more than trading profits. It generated an entire industrial infrastructure: data terminals (Bloomberg, Refinitiv), analytics vendors, and retail execution platforms that democratized market access. Football's commercial ecosystem is replicating this structure, driven by the same dynamic: more data, more participants, more liquidity.

The data layer is expanding fastest. FIFA is tracking ~150mn data points per match in 2026, with the match ball's internal sensor logging 500 movements per second. Every player is 3D-scanned and tracked 50 times per second, generating a continuous biometric and performance data stream across all 104 matches. FIFA's AI Pro system, distributed to all 48 teams, provides identical pre- and post-match analytical capabilities via AI agents. The analogy to Bloomberg terminals holds: what those terminals did for price discovery in the 1980s, real-time tracking infrastructure is doing for football performance and wagering today.



The wagering market has scaled accordingly. Global wagers were [\\$35bn](#) at Qatar 2022; 2026 is projected to surge by 43% to exceed \$50bn driven by the expanded format, broader regulatory access, and North American time zones. Prediction markets represent a new layer: Kalshi and Polymarket alone surpassed Super Bowl prediction-market volume within 48 hours of tournament kickoff.

Brazil is the sharpest case study in what happens when deep football fandom meets regulatory liberalization. Online betting was legalized in 2018 but unregulated until January 2025. The results were immediate: licensed operators generated [\\$7bn](#) in gaming revenue in the first year, with [BRL 10bn](#) collected in tax revenue, making Brazil one of the world's largest regulated betting markets in its first year of operation. The driver is simple: roughly one in four of Sofascore's Brazilian users are active bettors, and [18 of 20](#) Série A clubs carried betting sponsors in 2025 — though that figure has since pulled back to [12–13](#) as the market matures. The fandom is the distribution network.

The capital markets analogy holds at the ecosystem level. Retail participation, data infrastructure, and institutional liquidity are scaling simultaneously, each reinforcing the others. The sports analytics market alone — [\\$2.29bn](#) in 2025, forecast at [\\$4.75bn by 2030](#) — is the infrastructure layer that makes the wagering layer possible, precisely as Bloomberg and Refinitiv underpinned the growth of retail trading.

The economic product has shifted in the process: the World Cup used to monetize attention through tickets, sponsorship, and broadcast rights. The same 90 minutes now generate a continuous data inventory — odds, expected goals (xG), corners, cards, player props, micro-markets — and what is being priced is real-time uncertainty, not a match result.

10. Prediction markets as capital markets: Repricing in real time

Financial markets price expectations, not outcomes. When tensions flare around the Strait of Hormuz, oil prices move immediately: the market is revising its probability distribution over future states. Prediction markets apply the same framework to football: each contract is a continuously updated implied probability, and every red card, substitution, or missed penalty is a signal that triggers instant repricing.

The market is no longer marginal. Peak betting traffic is expected to average [100,000 wagers per minute](#) around key matches in the 2026 World Cup. US sportsbooks (FanDuel, DraftKings, BetMGM) run full tournament slates. But the more structurally interesting development is the rise of prediction markets proper: Kalshi and Polymarket together went from [\\$2.2bn to \\$4.8bn](#) in trading volume on the opening day alone, surpassing Super Bowl prediction-market volume within 48 hours. Unlike sportsbooks, these platforms allow participants to enter and exit positions continuously, acting as liquid secondary markets in probabilistic outcomes.

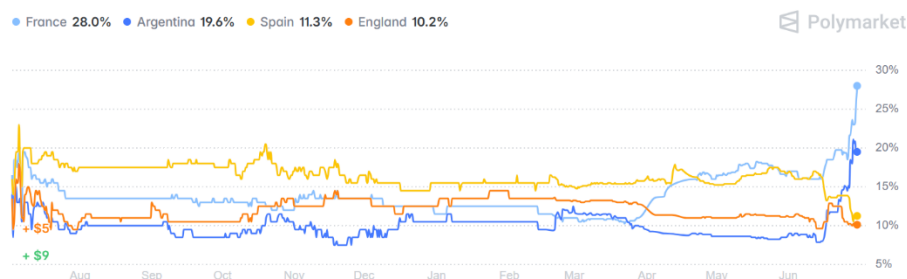
Argentina's tournament offers the cleanest illustration. The defending champions entered at [~9%](#) implied probability — unusually low for a title holder — reflecting market uncertainty about Messi at the age of 38 and a congested field. A perfect group stage (three wins, no goals conceded) pushed that to [~13%](#). Then came the more revealing repricing: after the group stage draw, Argentina's probability surged to [~21%](#) without kicking another ball. Portugal's failure to top its group had handed Argentina an easier path to the semi-finals with no heavyweight opponent until that stage. The market priced the bracket, not a



result. No new information about Argentina's squad quality had changed; what changed was the probabilistic map of their path to the trophy.

That is the efficient market hypothesis operating in compressed time. The tournament is, in this reading, a six-week price discovery mechanism: 104 matches, \$50bn in open interest, and a continuous information flow that no participant can fully anticipate.

Figure 9: World Cup Winner



Source: [Polymarket.com](https://polymarket.com).

Conclusion: Can America make football great again?

The 2026 World Cup has been a live economics seminar mostly confirming the theory. Dynamic pricing has extracted value but triggered a backlash. The anticipated demand boom in host cities has softened under geopolitical pressure. Game-theory distortions have emerged on cue. Superstar pay has widened income disparity further. Fans have overpaid at peak and held tickets at a loss. And FIFA, like any dominant platform, continues to capture a larger share of the value it enables.

The final whistle blows on July 19 at MetLife Stadium in New Jersey. Regardless of the score, the economic outcome is already visible: higher prices, strong revenues, and a tournament that has solidified football's role as both a global spectacle and a significant business engine. Andrew Giuliani — executive director of the White House's World Cup task force — has already suggested expanding the tournament to 64 teams and proposed a US bid for 2038. The arithmetic is simple: more matches, more markets, more revenue.



Appendix 1

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Washington's Post-Iran Playbook: Risks, Deals and Pressure Points

June 29, 2026

Executive Summary

- Markets should expect more policy volatility, not less, after Iran. Washington's willingness to consider using force means geopolitical tail risks will likely remain difficult to price.
- The midterms may cap some near-term volatility but increase incentives for visible foreign policy wins. President Trump has reason to avoid market-disruptive escalation before November, but pressure for quick wins could accelerate action on Cuba and Europe.
- After November, foreign policy could become an even bigger focus. If domestic legislating becomes harder, the administration is likely to lean more heavily on executive tools, sanctions, tariffs, security deals and international resource coalitions.

Context

- The first half of 2026 has demonstrated that the Trump administration has a higher tolerance for market volatility than many anticipated, including decisions that risk disrupting trade, commodity flows and supply chains.
- Markets will remain sensitive to signalling from the Trump administration on international security. Trump's willingness to threaten force to advance talks drove repeated bouts of volatility in H1 – but the signals will remain hard to price as the continued ambiguity may lead markets to misinterpret geopolitically driven tail risks over the next two and a half years.
- The Iran ceasefire partially frees Trump to refocus on longstanding policy priorities in the second half of 2026. But domestic political pressures will likely weigh more heavily on the Trump administration's foreign policy post-Iran. Public support for further military campaigns – especially lengthy ones or those involving ground forces – is low. But investors should not overestimate how far this constraint will shape Trump's international strategy over the coming two and a half years.
- The administration has shown it is willing to use, or threaten to use, air and naval forces to resolve international disputes where negotiations stall. The interventionism of H1 2026 defied almost every expectation set in 2025 for Trump's second term. While it is not our base case, investors should consider tail-risk scenarios that hit markets through energy supply, freedom of navigation in key waterways, or spillover into tariffs and export controls.

From ceasefire to stress test

- Even after the Memorandum of Understanding with Iran, the US faces serious diplomatic and security challenges in the Middle East. The Phase 2 negotiations with Iran that began on 21 June (focusing on the nuclear programme and deal implementation) will be complex and almost certainly run past the initial 60 days. Reopening the Strait of Hormuz to full pre-war

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traffic could take months and require a major military commitment to fully de-mine its central corridor and reassure shipping firms.

- Washington is consequently pushing European allies and other regional actors to shoulder more of the burden after the initial re-opening. Recent strains in US-Israel relations could complicate the administration's efforts to maintain delicate ceasefires in Lebanon and Gaza, and have already affected the truce with Iran and the navigability of the Strait of Hormuz. Alongside US efforts to manage post-war security assurances for Gulf Arab countries ([which we discussed in our recent note](#)), the Middle East will likely remain a focus for the rest of Trump's term.

NATO's burden-sharing bill comes due

- We expect pressure on European allies to carry more of the security burden will intensify as US stockpile and resource constraints bite after the Iran war. Trump's demands will likely headline the NATO Leaders Summit in Ankara on 7-8 July. It is slated to assess the credibility of national defence spending plans and advance the emerging "NATO 3.0" agenda under which European NATO members take on more responsibility for their own conventional defence.
- Ahead of the meeting, the US has announced some military pullbacks from Europe and reportedly notified allies of further planned reductions to its NATO Force Model contributions. To slow the withdrawal of hard-to-replace US capabilities (such as air defence, long-range weaponry and strategic airlift), European leaders will likely stress their commitment to NATO's new 3.5%-of-GDP target for "core" defence spending and their readiness to help clear the Strait of Hormuz.

Tariff pressure remains a dealmaking tool

- The July expiry of Section 122 tariffs and their replacement by Section 301 levies should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. While EU-US trade relations are more stable now than in early 2025, there remains a tail risk that a transatlantic security or sovereignty dispute (renewed American claims on Greenland, for instance) spills over into the economic relationship.

Ukraine diplomacy sees renewed momentum

- Trump will likely renew his push for a ceasefire in the Russia-Ukraine war. The G7 Leaders' 16 June commitment to boost support for Ukraine and increase pressure on Russia struck European capitals as an encouraging sign that the US was converging on their approach to the conflict. After meeting Volodymyr Zelensky the same day, Trump signalled he could reinstate Russian oil export sanctions to press Moscow towards a settlement. On 17 June, the US Treasury's most recent waiver of Russian oil sanctions expired. But US-Europe rhetorical alignment could reverse quickly – for instance if US-Russia-Ukraine negotiations resume in a format that largely excludes the EU/UK. While a ceasefire this year is far from guaranteed, any deal brokered by the Trump administration could offer Russia sanctions relief and access to frozen assets.



Asia policy balances deterrence with détente

- The US strategy for the Asia Pacific is crystallising around pragmatic balancing with China and more burden-sharing with allies. In a 30 May speech to the Shangri-la Dialogue, Defence Secretary Pete Hegseth reaffirmed the 2026 US National Defence Strategy's aim of building up forces to strengthen deterrence and denial along the First Island Chain and in the Taiwan Strait. But with resources stretched and stockpiles to rebuild post-Iran, Washington will likely pair this build-up with mounting demands that allies spend more on their own defence, using incentives such as favourable access to weapons programmes, intelligence sharing and industrial collaboration.
- We expect the administration to prioritise stabilising relations with Beijing in the lead-up to the Trump-Xi summit in Washington, D.C. on 24 September, where the 2025 Busan trade and critical minerals truce may be extended. Even so, a steadier US-China relationship will not undo deepening long-term competition on military, economic and technology issues. Strong bipartisan alignment in Congress on a more hawkish China policy should also keep pressure on the administration to limit any rapprochement with Beijing.

The Americas become a legacy play

- Extending the “Donroe Doctrine” in the Americas should offer Trump a legacy-building opportunity. The US stands to gain from a rightward shift in regional governments (now including Colombia and Peru), letting the administration expand its Shield of the Americas initiative to counter drug trafficking and curb Chinese involvement in critical infrastructure. US pressure on Cuba is mounting, which may lead to more brinksmanship or a partial negotiated solution with Havana in the next few months.
- We expect Trump to also push to widen American involvement in anti-cartel efforts in Mexico, which the Sheinbaum government will likely accommodate through already-close US-Mexico security cooperation. The US will likely also keep leading the rapid re-development of Venezuela's oil and minerals sector and collaborating with the Rodriguez government on anti-gang measures. The drive for a democratic transition in Caracas is expected to persist but may take longer to materialise as the administration focuses on near-term stability.

The impact of midterm elections

- The 3 November midterms will likely bring domestic politics to the fore and shape the Trump administration's international agenda. The thesis that the midterms will steady US policy is partly credible: Trump has a strong incentive not to shock equity and bond markets or stoke inflation ahead of the vote. But the midterms will cut both ways. Some foreign policy issues should benefit from more stability before November – namely US-China ties and the security situation in the Gulf. Yet an administration looking to demonstrate strength through quick wins may pursue other issues more aggressively. Investors should watch rising US pressure on Cuba and the political relationship with Europe as likelier sources of nearer-term movement.
- What happens after the midterms actually matters more. Recent polling and historical precedent – governing parties usually shed seats at midterms – point to Republicans losing control of at least the House of Representatives. Even so, this would not decisively restrict the administration's foreign policy in its final two years: the US executive holds broad foreign affairs and military powers. While a Democratic-controlled House may attempt to constrain



certain Trump initiatives through spending and oversight powers, the administration has already proved willing to work around congressional limitations.

- With little room to pass major domestic legislation, Trump is likely to become a “foreign policy president”, focused on cementing his legacy. This should include: embedding existing tariff and investment deals with key US partners; deepening US leadership in the Americas; creating the conditions for a pull-back of American resources from Europe (including brokering a Russia-Ukraine ceasefire); and broadening US efforts to reduce rare earths and critical minerals dependence on China, including through international coalitions such as the US-led Pax Silica initiative.



Appendix 1

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